

Marksans Pharma (MARKSANS)

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Marksans Pharma Q1FY23 Earnings Call
CIN: L24110MH1992PLC066364
- 1 -

"Marksans Pharma Limited
Q1 FY23 Earnings Conference Call"
August 16,2022

ANALYST : Mr. Nitin Agarwal - DAM Capital Advisors Ltd

MANAGEMENTPARTICIPANTS:

Mr. Mark Saldanha
Founder, Chairman & Managing Director

Mr.Jitendra Sharma
Chief Financial Officer

Q&A PARTICIPANTS:

1. Yogesh Tiwari - Arihant Capital
2. Madhav G - Shastra capital
3. Manoj Mathew Jacob - Individual Investor
4. Prerit Choudhary - Green Portfolio
5. Hemant Kanungo - Individual Investor
6. SachinKasera - Svan Investments

Marksans Pharma Q1FY23 Earnings Call
CIN: L24110MH1992PLC066364
- 2 -

Moderator

Good evening, ladies and gentlemen. I'm Kritika, moderator of Marksans Pharma Q1 FY23 Earnings Call hosted by DAM Capital Advisors Limited. As a reminder, all participants' lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Nitin Agarwal of DAM Capital. Thank you and over to you, Sir.

Nitin Agarwal

Thanks, moderator. Good evening, everyone, and a very warm welcome to Marksans Pharma Limited Q1 FY23 post results earnings call hosted by DAM Capital Advisors. On the call today we have representing Marksans Pharma management, Mr. Mark Saldanha, Founder, Chairman and Managing Director; and Mr. Jitendra Sharma, Chief Financial Officer. I'll hand over the call to Mark to make the opening comments and then we'll open the floor for Q&A. Please go ahead, Mark.

Mark Saldanha

Thank you, Nitin. Welcome everyone to our Q1 FY23 earnings call. I'm pleased to share that we had a strong start to the year with a solid growth in the first quarter across our regions. Our US region grew by 25.7%, while UK and Europe grew by 13.7% driven by a strong volume growth and new product launches. Pricing erosion continued to be high in single digits in the US impacting our generic business. However, our RoW revenue doubled, while Australia and New Zealand grew by 38%. The inflationary headwind continued in the quarter with the increase in cost of material and freight costs impacting our margins.

However, we expect the situation to improve in the current year and cost pressures to be

moderate. We have also started passing price increase to our customers. We have continued to be innovative and launch products supported by R&D capabilities. We have a strong product pipeline and plans to launch several new products in the next two years. This will drive a sustained growth momentum and hopefully improve our profitability. We obviously aim to increase our R&D spend to 4% to 5% of sales over the coming years. Our low-cost manufacturing capabilities provide us with a competitive edge. We do plan to expand our capacities over the next 12 to 18 months.

Marksans Pharma Q1FY23 Earnings Call

CIN: L24110MH1992PLC066364

- 3 -

This along with our backward integration plan into API for our core molecules will help us expand our margins in the near future. Our aim as a company is always to be a fully integrated company with our own API formulation, manufacturing and a forward integrated business module in the biggest markets. With this I'd like to turn it over to Jitendra, who'll update you on the financials before we can start our Q&A.

Jitendra Sharma

Thank you, Sir. I will explain the financial performance of Q1 FY22-23. Operating revenue was at INR 433.8 crore, increase of 24.3% compared with INR 349 crore last year. US and North America was at INR 173.9 crores and witnessed 25.7% growth YoY. EU and UK formulations market recorded 13.7% growth standing at INR 181crores. Australia and New Zealand formulation market recorded 37.8% growth at INR 52.6 crores. Whereas the Rest of World recorded 99% increase in the sales to INR 26.3 crores in Q1 FY23. Gross profit was at INR 218.9 crores in Q1 FY23, increasing by 17.3% YoY.

Gross margin declined by 302 basis points from 53.5% to 50.5% in Q1 FY23. EBITDA was at INR 72.9 crore, decline of 5.8% YoY due to continued cost pressures. Our depreciation was at INR 11.1 crore at a normalized level versus last quarter where it increased due to Ind AS 116 lease accounting. Consequently, our PAT was INR 60.2 crore in Q1 FY23 compared to INR 62.6 cror

e in Q1 FY22 and INR 29.7 crore in Q4 FY22. Our R&D spend in the quarter was at INR 8.9 crore, that is around 2% of the sales. We continue to remain debt free and our cash and cash equivalent in the books was at INR 339 crores as of 30th June 2022. With this, I would like to open the floor to questions-and-answers. Thank you very much.

Moderator

Thank you, Sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask a question. If you would like to withdraw your request, you may do so by pressing * and 1 again. I repeat, ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. We will wait for a moment while the question queue assembles. First question comes from Manoj Matthew Jacob, an individual investor. Please go ahead.

Manoj Mathew Jacob

Hello. Mark, congratulations on the results. I have just three questions to you. Question number one is, this increase in turnover YoY, is it because of the additional capacity that has come into effect in the Goa plant? Because in 2020, after the March results, you said you are

Marksans Pharma Q1FY23 Earnings Call

CIN: L24110MH1992PLC066364

- 4 -

going to double the Goa plant production. So, can we expect more turnover this year or is this the turnover we could expect for the next quarters of this year? The second question is, as fast as when can we expect the API to come online? And since you said the core molecule, it will all be in the pain segment?

Mark Saldanha

Yeah, I can hear you. We're waiting for your questions. I'll reply once you finish all the questions.

Manoj Mathew Jacob

Yeah. I'm done with the questions.

Mark Saldanha

Alright. Hi. So, the increase in sales is obviously proportion to the capacity and over time we had increased capacity. Every year we spend a lot of Capex increasing capacity to meet our demand. So, we do expect to maintain this trend for this current year. However, that said and done, we have aggressive plans to increase our capacity further in the next 12 to 18 months, which will again fuel the next year's growth plan.

With regards to API, when will the API come online, it's a bit longer than expected. We're working on it, and we expect to file at least two DMF this calendar year, and maybe three in the next financial year. Obviously, once we file the DMF, we need to trigger those API onto our active licenses, which normally takes anywhere between six to nine months. So hopefully, by next year, we should have couple of products on to our licenses, they will be fully integrated on.

Manoj Mathew Jacob

Okay, my last question, okay. I remember you telling me that in January, April and July, you have your price renegotiations with your buyer with Kroger or Sam's Club and all, now the price initial is done and over. So, can we expect a better EBITDA and net profit next quarter?

Mark Saldanha

So, basically, we have asked for price increases and normally their price increases like you rightly said happens at a particular time. Some has happened in April, some are happening

Marksans Pharma Q1FY23 Earnings Call

CIN: L24110MH1992PLC066364

- 5 -

now in the month of August. While that's said and done, we still continue with cost increases at the other end. So, when you do a price recommendation, you start at from one point, but if cost escalates further, it again, you're just basically it is just eroding the advantage that you would have got. But that said and done we are seeing prices tapering down, raw material prices coming down.

We are seeing oil and crude prices coming down. We do see it basically continuing in this year. But by the time it actually kicks into the system, by the time you actually see the end result of that. I have my doubts whether this financial year you will see

the direct impact of all this happening. So hopefully the next year will be much better than this year.

Manoj Mathew Jacob

Okay. So, with this deal we can't expect the PAT margin of 20%, it will still be at 16%?

Mark Saldanha

Yeah. EBITDA will be about 15 to 16%.

Manoj Mathew Jacob

EBITDA. Okay. Thank you, Mark.

Moderator

Thank you, Sir. Next question comes from Yogesh Tiwari from Arihant Capital. Please go

ahead.

Yogesh Tiwari

Good evening, Sir. Thank you for taking my question. And congratulations on the results. My first question is regarding the US market. So, as you pointed out, that there was a high-single digit erosion in the US market. So, just wanted to understand, because the revenue grew by about 25%, the volume growth would be about 30%. So, if you can share some highlights, which molecules contributed to this high-volume growth, what would be the contribution of new product launches and previous launches in the following year.

Mark Saldanha

Marksans Pharma Q1FY23 Earnings Call

CIN: L24110MH1992PLC066364

- 6 -

So, the new product launches, obviously, you will see the impact only in the last quarter and moving beyond the last quarter into the next calendar year. So, obviously, we have some contribution coming in. The high cost increases single digits, which I mentioned is because of various factors that come into play into raw material cost, the packaging material cost, the freight cost all contributing. And those single molecules per se have contributed to this rise. It's been entire basket of products have basically performed and given decent revenues. There are a few products which have taken a backseat because of price erosions. But again, the pain segment, the cough and cold, allergy segments are our main contributors to this drive of growth.

Yogesh Tiwari

And, Sir, how is the pricing environment in the US now? So, is it similar like high-single digit, which was in the previous quarter, or it has moderated currently?

Mark Saldanha

So far, it is showing the trend, but it is showing a bit of moderation also. Now, with the raw material prices tapering down a bit. So, I don't think it will go back to the old number or whole pricing of raw materials that we saw two years back. But I do see the raw material prices getting better. It's not at least increasing further, it's coming down. That said and done the competition in US, the consolidation which has taken place, the correction which has taken place. So, it will take some time to see better numbers out there. So, challenges remain in the US. But we are moving against the trend out here and we are trying to differentiate ourselves amongst everyone else.

Yogesh Tiwari

Sure, Sir. But is the pricing erosion still similar to Q1, like in a higher-single digit or?

Mark Saldanha

Yeah, it is. It is very similar to that.

Yogesh Tiwari

Any consolidations happening in the oral solids in the US because of this challenging environment any companies which have shut down operations for maybe?

Marksans Pharma Q1FY23 Earnings Call

CIN: L24110MH1992PLC066364

- 7 -

Mark Saldanha

No, actually consolidation is not happening from the company standpoint of view, because companies are getting, they are clustered capacity, and the demand is lower than what it was in the peak of COVID times. But it is obviously the impact of what you see with a lot of companies is basically the consolidation and a distribution channel which is basically having an impact in the demand and supply situation. And this is creating obviously price erosion and over-supply happening out there. So, it will take some time to correct, but I do believe eventually it will correct.

Yogesh Tiwari

Any data around what would be the inventory of pain management in the US? Because that might be one of the factors behind the price erosion. So, any data b

etween now and previous quarter for Pain management?

Mark Saldanha

You're talking of inventory?

Yogesh Tiwari

So basically, what we understand is like, there has been some buildup on inventory in the US market, which lead to price erosion in previous quarters.

Mark Saldanha

No, I don't think that would be the right statement of inventory buildup. I think it is more with a demand and supply situation. So, there is more supply, the more capacity, more capabilities, and the demand has come down. So obviously, that's where companies tend to take aggressive stance to utilize their capacity. So that said and done, I don't have the numbers of what the inventory is, obviously. But I do believe it is mainly related to the capabilities and the capacity versus that the actual demand in the US market. So obviously, US is, although I mean, on the verge of recession or maybe going through a recession. So there has been a slowdown in the demand.

Marksans Pharma Q1FY23 Earnings Call

CIN: L24110MH1992PLC066364

- 8 -

Yogesh Tiwari

And, Sir, we are looking for a price increase in August. So, what would be that quantum like in the range of how much percentage we look to increase prices?

Mark Saldanha

It's difficult to mention, because it is product specific to product specific and based on molecules where pricing has gone higher than we are basically trying to pass it down to the clients. And the molecules where price increase has not happened, then we would not be increasing, and the price wherever increases happened made negligibly, we pass on negligibly to the customer. So there is no fixed thumb rule that throughout the product or basket we are going to increase it at X percentage, we don't do that.

Yogesh Tiwari

And, Sir, lastly, on the raw material, so the raw material prices have come down, but we must be having some high-cost raw material previously. So how many months or when can we expect this?

Mark Saldanha

Yeah, that's a good question, actually. Because with such a struggling supply chain, we cannot sustain our commitment with less inventory. So, we normally keep minimum four months of inventory, three months on-hand, four months on-hand sometimes, and one month in transit. So, we are sitting on a good four-months-plus inventory at our end. So that's where even our price, even if the pricing improves, you will not see that results for another six-months-plus.

Yogesh Tiwari

Sure, Sir. Thank you. That's all from my side. I'll get back in queue. Thank you.

Mark Saldanha

Thank you.

Moderator

Marksans Pharma Q1FY23 Earnings Call

CIN: L24110MH1992PLC066364

- 9 -

Thank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. I repeat, if you have a question, please press * and 1 on the telephone keypad. We're having a question from Prerit Choudhary from Green Portfolio. Please go ahead.

Prerit Choudhary

Good evening, Sir. So, my first question is related to the fall in revenue numbers in QoQ in Australia and New Zealand. So, are there any reasons for this happening or what is the reason behind it? I just wanted to know.

Jitendra Sharma

Hi. This is Jitendra here. Sorry, we couldn't get you properly. Which market you were talking about?

Prerit Choudhary

Australia and New Zealand. So, I'm looking at fall in the revenues and QoQ figures.

Jitendra Sharma

Yeah, okay. So, the last quarter, the Q4, there was a bit of incremental demand on pain management in Australia on account of the COVID fair-up. So, there was a good lift up resulting into higher sales in Q4 in Pain management segment specifically. So, that is the reason. But I think from Q1 onwards, now it is stabilizing, and I think the Q1 numbers will give you a bit of idea in terms of the trend of what we are likely to achieve in this year, so far as the Australia and

New Zealand market is concerned.

Prerit Choudhary

Okay. Thank you. And my next question is related to the acquisition. So, in the last con call, you had mentioned that you would be acquiring formulation manufacturing operations and also for the land in Madhya Pradesh you are planning a Greenfield expansion. So, are there any updates for the same, what the company plans are?

Mark Saldanha

Marksans Pharma Q1FY23 Earnings Call

Yeah. For the manufacturing facility, obviously, we are in dialogue with companies, and we are hoping that in the next couple of months, we would be in a position to put pen to paper. With regards to the Greenfield projects, the land that we have taken. Obviously, it's all revolving around the facility, if we can close this transaction, then we will take it, we will explore. We will explore whether we move forward with the Greenfield project at this stage or at a later stage.

Prerit Choudhary

Okay. And apart from that in the investor presentation, you have mentioned a couple of acquisitions or growth plans that you have. So, if you can provide any timeline, what plans you are currently working or what could be the possible, when we can see the possible results for the same?

Mark Saldanha

So, acquisitions and M&A's are very unpredictable. We don't, unless we are nearing something where we believe there could be a possibility of signing something, it is too early to mention that. Obviously, like I've always said in the beginning of the year that we are optimistic that this year our focus is going to be to expand our geographies and our footprints and the market. So, we are working on that. But presently there's nothing much to say about it because we don't have anything concrete beyond what we've already spoken about.

Prerit Choudhary

Okay. Thank you. That's it from my side.

Moderator

Thank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. I repeat, if you have a question, please press * and 1 on your telephone keypad. We're having a follow up question from Manoj Mathew Jacob, an individual investor. Please go ahead.

Manoj Mathew Jacob

Hello. Mark, I've got one more question for you. We did INR 433 crores and 60 crores net profit, and we have INR 19 crore cash. So, the rest, has it gone into investment into capacity and expansion?

Marksans Pharma Q1FY23 Earnings Call

CIN: L24110MH1992PLC066364

- 11 -

Mark Saldanha

How much cash? Because our cash.

Manoj Mathew Jacob

INR 19 crores.

Mark Saldanha

No, our cash is INR 300-odd crores.

Manoj Mathew Jacob

No, I'm talking of this quarter's cash accrued to the company. The June quarter cash with the company is INR 19 crores.

Jitendra Sharma

Yeah. Hi, this is Jitendra here. So basically, that cash, see we started the year with the cash of around INR 349 crores. And in the quarter, we did one acquisition of Access Healthcare, where we have invested around INR 30 crores. So, after utilizing that cash and the cash accrual with the quarter and whatever working capital adjustments we had in the quarter, the cash balance for the quarter was INR 339 crore. So basically, it got utilized in the working capital movements and partly towards the acquisition of Access Healthcare.

Manoj Mathew Jacob

Okay. So, when did you think you personalized OrbiMed preferential issue? Like, INR 375 crores when it comes in, they don't intend to put it in your balance sheet. Definitely you're in talks with some for some acquisition or for some CRAMS, something like that. You are not looking into CRAMS?

Jitendra Sharma

Marksans Pharma Q1FY23 Earnings Call
CIN: L24110MH1992PLC066364
- 12 -

No, no, we're not looking into CRAMS. Of course, the money will come into the balance sheet. It will definitely increase our cash

balance. And eventually we will plan, we are planning to utilize it for the growth-related revenues. So eventually it will get invested.

Manoj Mathew Jacob

But don't you think you have lots of formulation companies now in India up for sale? API, of course it's difficult, but formulation companies they're many I think now up for sale.

Jitendra Sharma
We are looking at various possibilities and we are working on that.

Manoj Mathew Jacob

Okay. Thank you.

Jitendra Sharma
Thank you.

Moderator

Thank you, Sir. Next question comes from Madhav G from Shastra Capital. Please go ahead.

Madhav G

Good evening, Sir, and congratulations for the good numbers. I have queries. Right now, I think the platform is well set for us, having very good cash balance and activities. So, what is actually the future growth plans for increasing the turnover from INR 2,000 crores and above?

Mark Saldanha

So, basically, obviously, our growth plan is within the same market. So, I do believe next year we should be trending towards the next milestone of INR 2000 crores. We have to do a lot of investments to grow beyond to take us to another level and for that there may be some M&A's, capacity increase and product pipelines, which will drive the growth further.

Madhav G

Is that a same kind of pipeline or something like any complex kind of working or are we actively working on it?

Mark Saldanha

No. Obviously as the company evolves, the pipeline evolves and gets more complex. So, we are working on different segments from a formulation segment, complex molecules, we are venturing into creams and ointments. So, we are getting into different segments like I mentioned. So, the formulations will get more complex as we evolve.

Madhav G

Okay. So, are we looking at something like injectables or something like or within the same ointment kind of thing we're looking, so complex [inaudible 00:26:36] ?

Mark Saldanha

No. Injectables, presently we don't, at least for the next 12 months we don't have it in our near horizons. We've got our plate full of the product pipelines and our wish list of products that we want to invest our resources on. So obviously, we are trying to invest wisely. And as to ensure that we basically get best returns out of our investments.

Madhav G

Another question, Sir. Actually, when I'm going through the raw material customer is consumed. The cost of this has gone up between Q4 to Q1. So, what could be the reasons? I think about 500 basis point, it has gone up. So, what could be the reason between Q4 to Q1?

Jitendra Sharma

Hi. This is Jitendra here. See, there are various reasons here. The product mix of course plays an important role. And the pricing pressure on input, the input cost pressure, again, continues, on raw materials pricing also even during this quarter. So largely it is the product mix, where which can have the different gross margin outcome at the quarter end.

Madhav G

Okay. Can we expect it will be improved in this running quarter, means the Q2 and onwards? So, can we expect that the Q4 kind of referral cost of commercials going to be?

Jitendra Sharma

We are expecting it to remain at these levels, at least for the next two to three quarters.

Madhav G

At Q1 level or Q4 kind of levels?

Jitendra Sharma

At Q1 levels.

Madhav G

At Q1 levels, okay.

Jitendra Sharma

Yes.

Madhav G

Okay. Thank you, sir. That's all from my end.

Jitendra Sharma

Thank you.

Moderator

Thank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. I repeat, if you have a question, please press * and 1 on your telephone keypad. We are having a quest

ion from SachinKasera from Svan Investments. Please go ahead.

Marksans Pharma Q1FY23 Earnings Call
CIN: L24110MH1992PLC066364
- 15 -

SachinKasera

Yeah. Good evening and congrats for a good set of numbers. I have a few questions. One, you have mentioned in the presentation that you intend to increase the R&D from 2% to 4% to 5%. So, one, if you could give a sense, this will happen over a what period of time? Secondly, this increase that we will see, will it basically mean that we are looking to move up the curve and start filing more complex drugs or it will be more driven by that we will now have far larger number of filings?

Mark Saldanha

Yeah. Hi. So basically, yeah, in terms of R&D, I think our spend is going to gradually increase, it's not going to happen in the next six months, but we are planning to invest into more complex molecules with cost going up. Our spend in R&D we do foresee in the next two years will eventually migrate from a 2% to a 4%. And the molecules, our molecules will be in the complex category and like I said, as the company evolves, the molecules get more complex at every stage. So, we are not actually going with a philosophy of number of filings. Obviously because every ANDA costs these big sum of amount to do filings. Nowadays ANDAs are not free, so they do charge a huge amount for filings. So, you got to be very selective in your development and filing with a vision that the product can see light after two years.

SachinKasera

Sure. Second question is on gross margins. So, from what I can see in the presentation as compared to the March quarter, there's a sequential improvement in the gross margin. And you have mentioned that, because of the consolidation and the type of demand supply, which is there, there remains rising pressure. You also mentioned that we are trying to take some price hikes. It's a little confusing when we are witnessing price hikes and low demand and this pricing pressure. At the same point of time, we are seeing sequentially improving gross margins and you also talking of price increase. So, it's a little confusing. So, if you could tell us how this interplay of those two things will play out as we go ahead?

Jitendra Sharma

Hi. This is Jitendra here. See, this is a continuous process. So, on one side, we are seeing

input cost pressure, varying the raw material recipient and packaging material prices is increasing. On other side, definitely we are trying to pass it on to our consumers. So, these are parallel activities, which we keep, which we are trying to do, try to work on. And so, that's

Marksans Pharma Q1FY23 Earnings Call
CIN: L24110MH1992PLC066364

- 16 -

where, as I said earlier, the gross margin improvement basically in the quarter was due to the product mix, the price increase which we are seeking from our customers. So that's another activity which we are continuously trying to have with our customers.

SachinKasera

Then coming to the question it's a little confusing, on one hand, we're able to get some price increase on products and secondly, we're seeing a lot of pricing pressure. So, it's confusing for us, what is the reality.

Jitendra Sharma

See, these are the continuous activities which like we are having, so. And they are independent of each other. I mean to say the price increase, the raw material price increase is happening, which everyone knows, what is happening in the chemical and the API sector. The oil price increase has a lot of pressure on the packaging material costs also. The aluminum prices are increasing, which is the main ingredient for our packaging material. So, the price increase is one part which is happening and that is what we are trying to pass on to our consumers. So, that's where the, so, though there is a pricing pressure, but then there are few products, where definitely we are able to pass it on to our consumers.

So, it's a mixed bag, where some products are seeing pricing pressure. Some products, we are able to pass it on to the consumers. So, it all depends on the product, customer, OTC, like definitely some products we are able to pass the price increase to the customers. Rx, we are finding it difficult to pass it on. Rx, we are seeing a lot of pricing pressure, OTC, relatively pricing pressure is on lower side. So, it's a combination and it's a dynamic situation out there in the business in today's market situation overall.

SachinKasera

Sure. So, the next question is just a follow up to this, your presentation mentions that the share of OTC is increasing continuously. So, if you could tell us little bit, one, is it that in OTC the pricing pressure and the gross margins are a little better and how do we see this ratio coming? And within OTC you have mentioned about soaked at an overall level. So again, is there any margin difference between the two and how do we see this evolving the OTC share between own brands and private labels?

Mark Saldanha

Marksans Pharma Q1FY23 Earnings Call
CIN: L24110MH1992PLC066364

- 17 -

No. The store brand and the private labels are the same. In terms of pricing, see pricing competition is there in every segment, in every category of our products. However, out here, the OTC obviously is more service oriented. So, they do give you some advantage out there. There is obviously a level of stability and predictability in OTC. We are very strong in OTC because historically we have always given equal importance to OTC.

So, it has, and our competitive edge is our product portfolio and manufacturing capabilities where we leverage low-cost manufacturing base, which has helped us to gain more market share on that. The volatility in Rx is obviously a different issue where pricing pressures because it's on your own label. Pricing pressures are more prominent in prescription products than in OTC. That's it. And then, OTC business model revolves on contracts. But during the negotiation of contracts, there's always a pricing pressure out there.

SachinKasera

But net-net, would you say that you get little better margins in OTC versus Rx or they are the same?

Mark Saldanha

I think they are pretty much at same. So, I would not say. Rx, the advantage of Rx is you do get short-term gains also. So, you can because Rx volatility is very high. So, when it hits bottom, it hits bottom, but when it goes up, you can see some advantage out there. So, you do see the ups and downs in Rx. OTC is more flat lined where, that is concerned.

SachinKasera

Sure. And the last question on the CapEx. There's a mention of INR 200 crores CapEx. So, this is mainly for capability building or is it that we are sourcing that we may run out of capacity, hence, we are looking to increase the capacity and that's the main reason for the investment in cost?

Mark Saldanha

So, it is both. Obviously, we have to have a forward-looking statement as to what we anticipate for next year and the year after that and CapEx takes time. So, it takes six months to get machines and put it in place everything at our stuff. So, definitely you got to invest today to see returns tomorrow.

Marksans Pharma Q1FY23 Earnings Call

CIN: L24110MH1992PLC066364

- 18 -

So, that said and done, the investment includes both new infrastructures to basically meet the complex molecules, at the same time expanding current infrastructure to cater to our existing products. And it may involve a bit of M&A in terms of the manufacturing facility that we are pursuing. It may involve that too, to ensure that we get to another level.

SachinKasera

Thank you.

Moderator

Thank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. I repeat, if you have a question, please press * and 1 on your telephone keypad. We will wait

for a moment while the question queue assembles. We are having a follow up question comes from Yogesh Tiwari from Arihant Capital. Please go ahead.

Yogesh Tiwari

Thank you so much for the follow up question. Sir, can you share how many products are you looking to launch in the US for this year and next year, and also for UK?

Mark Saldanha

So, basically, in US, we are looking at nearly four products this year and next year another four products, four to five products. And obviously, UK, we are filing nearly about 10 products where we do see at least three products seeing the light, the previous year's filing three to four products will see the light this year. But we have a wish list, in the next 24 months to file nearly about 25 products in the UK market and very close to 12 to 14 products in the US market.

Yogesh Tiwari

So basically, we'll be launching about 4 products in the US this year and 4 in the next year. Did I get it correct?

Mark Saldanha

Yes.

Marksans Pharma Q1FY23 Earnings Call
CIN: L24110MH1992PLC066364
- 19 -

Yogesh Tiwari

And in the UK about three to four this year. And next year, any targets?

Mark Saldanha

Yeah. It'll probably be about six-odd products next year, six-seven products next year.

Yogesh Tiwari

Okay, 6-7 products. And, Sir, lastly, what if we can get in that of range what would be the margin differential between OTC, OTC and prescription products? What will be differential margin?

Mark Saldanha

It's difficult to mention that because like I mentioned in earlier reply, Rx is highly volatile. And so, while there are good days, you may see bad days also. And sometimes molecules are just not affordable because of the volatility and demand and supply situation. OTC is like I mentioned flat lined. It is basically much more stable. So, if you look at the opportunity, Rx sometimes shows you good opportunities. While OTC is no predictable and you know what to get.

So, it's difficult to actually put a number and to say the difference between the two because if the Rx is active, we make sure we don't go below our thresh point which is pretty much what we enjoy in the OTC, we ensure we launch product. We keep Rx active to that thresh point. So, we don't have a big difference between the Rx and OTC.

SachinKasera

So, normally going forward 2-3 years it will remain in the same range?

Mark Saldanha

It will remain in the same range or if the Rx comes down below that range, then we decide we will just stop for some time and we get back into the market at a different time, at a different stage. So, we try to ensure that we don't, we service accounts where we at least make our desired bottom line.

Marksans Pharma Q1FY23 Earnings Call
CIN: L24110MH1992PLC066364
- 20 -

Yogesh Tiwari

And, Sir, last question on the US versus UK market. So, is the proportion of Rx and OTC similar in both the markets, the US and UK?

Mark Saldanha

Well, historically, it was similar, very similar. This year obviously because of price erosion, high price erosion and the Rx part of it, that's where mentioned on the volatility. The OTC has taken a bit of the front lead in terms of market share, but we are hoping that the Rx eventually will come back and take and gain some grounds. But I do see in the US OTC being the front leader compared to the Rx part of it. So historically, we were 49%, 51%. Now, I do believe Rx OTC may go to 60%. And so, OTC being 60%, 65%, and RX being 35% to 40%.

Yogesh Tiwari

Thank you, Sir. That's all from my side.

Moderator

Thank you, Sir. Next question comes from Hemant Kanungo, an individual investor. Please go ahead.

Hemant Kanungo

Yeah. Thanks for the opportunity, Sir. Sir, looking at the current result, can we expect similar momentum for this part in the quarter going forward?

Mark Saldanha

Yeah, I think that's our hope. A

nd, obviously, we are in control of fully what we do. We don't have global. I mean, we don't have control on the global scenarios that happen. But we are hopeful that we will continue with this numbers in the coming quarters also.

Hemant Kanungo

Okay, Sir. And, Sir, can you when is the next US like auditing offer facilities across all three facilities?

Marksans Pharma Q1FY23 Earnings Call

CIN: L24110MH1992PLC066364

- 21 -

Mark Saldanha

I don't have. I mean, I don't predict those timelines. Best it's leave it up to them.

Hemant Kanungo

Okay. But generally, it is every five years or is it just any random, like?

Mark Saldanha

It's random and it's not five years. It's normally two years or three years. It's two years, basically. But it's very random. They can come in six months also, it depends on filing, based on filings and based on what's in there.

Hemant Kanungo

Okay. So, in the year 2016 2017, like we had some issues with the US FDA.

Mark Saldanha

So, we didn't and most correctly, we didn't have any issues with the FDA. We had in 2015 with MHRA but not FDA.

Hemant Kanungo

Okay. So how better are we placed today in terms of our inspection of our facilities and everything and the measures and everything?

Mark Saldanha

We have evolved, we have progressed upon.

Hemant Kanungo

Okay, Sir. Thank you. That's it from my side.

Marksans Pharma Q1FY23 Earnings Call

CIN: L24110MH1992PLC066364

- 22 -

Moderator

Thank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. I repeat, if you have a question, please press * and 1 on telephone keypad. We are having a follow up question, comes from SachinKasera from Svan Investments. Please go ahead.

SachinKasera

Yeah. Hi. You mentioned that you're looking at some core launches in US this year and next year. You also mentioned in the presentation that you're on four soft gel. So, can you tell us whether this eight launches in the next two years are the same, does they include all the four soft gel launches? And secondly, if you could give us a more granular details about this four soft gels, what is the network addressable market and what type of revenue potential it can have for us?

Mark Saldanha

Yeah, I mean, see soft gel is a part of our business module. But in terms of , they are all niche molecules, so I mean, we do basically focus on more niche molecules, we don't look at any molecule being blockbuster out there. But the approvals that we are expecting are most solid oral as well as soft gel, over the next two years. So, I mean, I would give more importance, even to a solid oral dosage molecules where because they're more complex in nature. I do believe we are getting into more extended-release products. So that gives us that again showcases or highlights our capabilities of getting into more complex molecules. So those are niche molecules, and they will play equal importance as soft gels.

SachinKasera

Sure. Secondly, on the UK market, last four five quarters over every recorded-on INR 150-155 crores. This quarter, we've gone to INR 181 crore. Is this some one-time in this or because of the new launches and better maybe market share this is an environment that we should look at?

Mark Saldanha

Well, it is better market share, new launches, basically, that is resulting into that core.

SachinKasera

Marksans Pharma Q1FY23 Earnings Call

CIN: L24110MH1992PLC066364

- 23 -

So, should we assume it more like a sustainable number, this INR 180 crores a quarter and maybe you can probably improve a little bit from here, going forward?

Mark Saldanha

Yeah, I think it's fair enough to assume that.

SachinKasera

Sure. Secondly, on the RoW markets we have shown some strong growth last few quarters. So, if you just comment a bit, how is that market doing a

nd what are excursions therein, what type of outlook you're seeing there, or any new geographies we're targeting or what is bringing this type of traction in the RoW markets?

Mark Saldanha

Well, we are targeting more products launches. Again, new products, more product launches, newer markets, we are exploring markets to add value and obviously are now with this new baby of Access Healthcare in Dubai, we do plan to tap onto the Middle East also. But, yeah, I mean, it's basically new launches and new markets that are basically fueling that growth. And, obviously, the base being very small, the growth, the numbers, when it grows, the percentage looks larger because the base value is small.

SachinKasera

Sure. And one thing on this Access Healthcare, what was the contribution in this quarter from that. And where do you classify it, is it part of RoW markets, mainly the fields of Access Healthcare geographically and what type of benefits or growth we're seeing from particular company?

Mark Saldanha

Well, we just got one month in the quarter. So, it is not a very large, so the revenue was very close to INR 4 crores in terms of what it contributed. So, because we acquired this wholly on the 1st of June, so technically, only the June month revenue came into the quarter. And yes, it falls in the RoW, rest of the world.

Marksans Pharma Q1FY23 Earnings Call
CIN: L24110MH1992PLC066364
- 24 -

SachinKasera

And as you've just mentioned in the previous question that with this coming into the full, you see RoW markets doing much better now with Access under your wing?

Mark Saldanha

Yes, I do believe it will look around much more better.

SachinKasera

Sure. Just one last question. Any sense on what is the type of capacity utilization we would be running across all our plants?

Mark Saldanha

That's basically, you're looking at between 75%, we are running at 75% capacity. However, as we speak, we are investing into more capacity, more machinery expansion. So, as those issues come into play, our capacity keeps increasing. So, we are trying to stay one step ahead of the demand.

SachinKasera

Sure. And just last question on the overall EBITDA margins. If I see at the last 12 quarters, we have seen improvement from 13%, 14% to like almost 27%, 28%, and then again correct to 15%, 16%. So, what do you think? Well, there's a lot of volatility. What do you think with the type of changes you're doing to the business model in terms of getting into more complex and better markets? What do you think over the next two to three years, not from a short-term perspective, the most sustainable EBITDA margin for our company?

Mark Saldanha

Yeah, so I mean, this year, we anticipate about 15%, 16% would be more realistic. And obviously we're hoping next year we'll get better if the market scenario and our pricing pressures and a lot of ifs are there, but we are hopeful that that will ease down. And with that our EBITDA will go back to what it used to be. But it's not going to be overnight affair, it's going to take some time to migrate to that levels, which right now for this calendar and financial year, we are talking about between 15% to 16%.

Marksans Pharma Q1FY23 Earnings Call

CIN: L24110MH1992PLC066364

- 25 -

SachinKasera

But over a 3 year period, do you think 19%, 20% margin is achievable or do you think that would be a very fast?

Mark Saldanha

No, I think it is achievable. And we are very hopeful that we will be out there.

SachinKasera

Sure. Thank you, and all the best.

Mark Saldanha

Thank you.

Moderator

Thank you, Sir. That will be the last question for the day. I would now like to hand over the floor to management for the closing comments.

Mark Saldanha

I thank all of you all for participating in this con call. And please be safe and my regards to everyone at home. Take care. Bye.

Mo

erator

Thank you, Sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a pleasant evening.

Marksans Pharma Q1FY23 Earnings Call

CIN: L24110MH1992PLC066364

- 26 -

Note: 1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.

Corporate Office 11th Floor Grandeur,
Off Veera Desai Road, OppGundecha Symphony,
Andheri (W), Mumbai – 400 053, Maharashtra – India
CIN: L24110MH1992PLC066364

Call: Nov 2022

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 1 -

Q2 FY23 Earnings Conference Call
November 16, 2022

Management Participants:

Mr. Mark Saldanha
Chairman and Managing Director
Mr. Jitendra Sharma
Chief Financial Officer

Analyst:
Mr. Nitin Agarwal - DAM Capital Advisors Ltd

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 2 -

Moderator

Good evening, ladies and gentlemen. I'm Krithika, moderator for Marksans Pharma Q2 FY23 earnings conference call hosted by DAM Capital Advisors Limited. As a reminder, all participants will be in listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch tone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Nitin Agarwal from DAM Capital. Thank you and over to you sir.

Nitin Agarwal

Thanks Krithika. Hi, good evening everyone, and a very warm welcome to Marksans Pharma's Q2 FY23 & H1 FY23 earnings conference call, hosted by DAM Capital Advisors. On the call today, we are representing Marksans management Mr. Mark Saldanha, Founder, Chairman & Managing Director and Mr. Jitendra Sharma, Chief Financial Officer. I will hand over the call to Mark, to make the opening comments and we will open it for questions.

Mark Saldanha

Hi, Nitin, thank you and welcome and thank you everyone for joining us on our Q2 FY23 & H1 FY23 earnings. I'm pleased to announce, that we have had a strong financial performance, and a high double-digit growth across all the regions in the quarter. Our robust growth comes from regions which were supported with obviously, volume growth as well as market share gains in existing products. A strong revenue growth, and a focus on cost efficiencies, resulted in an improved margins of 17.7% in the quarter.

Moving on to the operational environment, it continued to remain tough with high inflation, supply chain challenges and pricing pressure. We witnessed high single digit price erosion in generic Rx business in the US. Our focus remains on sustainable growth. Manufacturing and innovations are a strategic pillar for growth. In October 2022, we acquired a manufacturing facility from Teva India, that has a potential to scale up our manufacturing footprints in India, by an additional 8 billion units per annum, over the period of next two years. This will drive our transformational growth journey moving forward. We plan to produce and manufacture tablets, hard capsules, soft gelatin ointments, creams, and liquids from this plant.

This plant is in addition to the three existing manufacturing facilities in UK, US as well as in India, which we already have. This plant is basically spread across 47,597 square meters. It has approvals from EU health authorities, the Health Canada, and the Japanese health authorities. We are expecting this transaction to be finalized by April 1, 2023, subject to the usual closing conditions. In our previous calls

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 3 -

we've always mentioned, and we are still moving forward, to backward integrate ourselves into API manufacturing on our core molecules for captive consumption. That will potentially have cost synergies and potential gross and EBITDA margin expansion of 500 bps.

Our focus on R&D remains, with a product pipeline being very strong we plan to launch several products with high value in the next two years. R&D expense was 2.1% of the revenue, at Rs. 18.7 crores in H1FY23. We further aim to increase R&D spends, between 4-5% of sales in the coming years. We are confident that our market share gains, the volume growth in the existing product portfolio, supplemented by new molecules, will drive our growth journey in the coming quarters and years. We do see potential growth demand in Rx and OTC, and in the segments that we are already existing in various markets, and especially the Rx to OTC switch which obviously is very lucrative.

With this, I'd like

to turn it over to Jitendra who will update you on the financials, before we can start our Q&A questions.

Jitendra Sharma

Thank you, Sir. I will explain the financial performance of Q2 FY23. For Q2 FY23, our operating revenue was Rs. 452.6 crores, an increase of 25.5% compared with Rs. 361.2 crores last year. US and North America was at Rs. 190.3 crores, representing a 13.7% increase year-on-year basis. EU and UK formulation market grew by 32.6% to Rs. 193.5 crores. Australia and New Zealand formulation market recorded 39% growth to INR 43.9 crores. Rest of world saw 56.4% increase in the sales, to Rs 24.9 crores in Q2FY23.

Gross profit was at Rs. 229.4 crores, up 23.4% year-on-year. Gross margin declined by 80 bps from 51.4% to 50.7% in Q2 FY23 due to the pricing pressure. EBITDA was at Rs. 80.3 crores, an increase of 33.6% year-on-year, led by operating leverage. EBITDA margin improved by 110 bps from 16.6% in Q2 FY22 to 17.7% in Q2 FY23. Profit after tax was at Rs. 60.1 crores in Q2 FY 23, compared to Rs. 46.3 crores in Q2 FY22, a growth of 29.9%. EPS for the quarter was 1.52, a 36.3% growth on year-on-year basis.

Operating revenue was at Rs. 886 crores in H1 FY23, up 24.8% year-on-year. The gross profit for the first six months of FY23, increased by 20.4% year-on-year to Rs. 448.3 crores. Gross margin was at 50.6%. EBITDA for the first six months of FY23 was increased by 11.4% year-on-year to Rs. 153.1 crores; however, EBITDA margin declined by 210 bps, from 19.4% to 17.3% in H1 FY23. This was mainly on account of increase in cost of materials, freight costs in the last quarter.

In the first six months of FY23, PAT grew by 10.5% year-on-year basis to Rs. 120 crores. The earnings per share grew by 14.1%, to Rs 2.99 per share. We spent Rs. 18.7 crores in H1 FY23 in R&D, which amounts to 2.1% of the sales. We continue to remain debt free; we had a total of Rs. 335 crores of cash and bank

Marksans Pharma Limited
November 16, 2022

balance as of 30th September 2022, which we plan to utilize for capex and funding our inorganic growth strategies.

With this, I would like to open the floor to question and answers, thank you very much.

Moderator

Thank you, Sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad, and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again.

The first question comes from Madhav G., from Shastra Capital Private Limited, please go ahead.

Madhav G.

Greetings, good evening and congratulations for the good numbers and thanks for the opportunity. So, my question is regarding the new acquisition what we made for the Teva Pharma. So, the acquisition cost is Rs. 200 crores, and so over and above that, what would be the expected Capex amount on this facility, Sir?

Mark Saldanha

No, the acquisition cost basically, the amount we plan to spend including the acquisition cost and Capex is Rs. 200 crores

Madhav G.

Okay, thank you, and one more thing, what is our plan for US sir, are we going to make it for the US market?

Mark Saldanha

Yes, obviously we will have to get this plant registered in the US, but we do plan to obviously utilize infrastructures for both Europe as well as US.

Madhav G.

Are we able to use any of the products and start getting revenues from this plant, Sir?

Marksans Pharma Limited
November 16, 2022

Mark Saldanha

Did you say when will we get the revenues?

Madhav G.

I'm saying, this is business from Teva. So, they may be supplying some products on this manufacturing facility to Teva Pharma.

Mark Saldanha

So, we would have a supply arrangement with Teva, sp

anned out for the next 12 months after the acquisition is closed. After that, we will be taking a call on extending the supply arrangement, if need be. But we do plan to also produce our products for various markets.

Madhav G.

Okay, Sir can be from the first year, will it be EPS accretive.

Mark Saldanha

So, the Capex will obviously be within the next two years, it's not going to all happen in one year, because there's a lot of capacity expansion that we have to work on. But we will be doing some revenues in the first year itself, which will be supply arrangements with Teva, and some of our products that we'll be producing in that plant.

Madhav G.

Okay, one last question. Is there any plan to ship some of the products from the existing Goa facility to Teva?

Mark Saldanha

Basically, there will be some products, but we'll have to only move products which have European approvals, because Teva presently has European approvals. So, we will be probably leveraging the Teva plant for those products which are required for UK and rest of Europe.

Madhav G.

Okay, okay. Thank you very much. All the best.

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 6 -

Moderator

Thank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. I repeat, if you have a question, please press * and 1 on your telephone keypad.

We are having a question from Prerit Choudhary, from Green Portfolio. Please go ahead.

Prerit Choudhary

Thank you for the opportunity. The first question I have is, we acquired Access Healthcare in June 2022. So now in this quarter, we would have the full effect of this Access acquisition. So, if you can just give me the breakup of how much revenue that we made from Access in the current quarter.

Jitendra Sharma

Hi, this is Jitendra here. So, see the AHC is a relatively small business. For this Q2, we have achieved a revenue of AED 5 million, which will be translated into equivalent of Rs. 12 crores.

Prerit Choudhary

Okay. My next question is, so we are planning a API backward integration project. So, what is the numbers for Capital Work in Progress, I'm not seeing any update? So, if you can just explain a bit about when this project would start? And what would be the sources of funds for this.

Mark Saldanha

So basically, the API, obviously, we plan to file our first DMF, because it's a long process, it still needs approval, it still needs to come on to our license. So, we plan to basically file a first DMF in the mid of 2023. So, I do believe any upside in terms of leveraging of profitability, will happen only towards the end

of FY23-24, next financial year.

Prerit Choudhary

So, once we start making the API are we planning to sell it to the outside market or only use for captive?

Mark Saldanha

It is solely for captive consumption.

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 7 -

Prerit Choudhary

So, my next question is, in the balance sheet, I'm looking at is goodwill has grown from 300 million to 470 million, if you can give some explanation of why we have grown the goodwill?

Jitendra Sharma

This goodwill was on account of acquisition of Access Healthcare. So around Rs. 17 crores has gone into goodwill, on purchase price allocation of what consideration we have paid for the acquisition of the company.

Prerit Choudhary

So, my last question is, in the accounts, we have around Rs. 18 crores as restricted cash balance. So, what will be the use of this money?

Jitendra Sharma

Basically, this restricted cash of Rs. 18 crores is into escrow account, which we have kept towards the buyback of shares, the buyback program is going on right now. And as per the SEBI requirement, we have kept 25% of the overall buyback budget into the escrow account.

Prerit Choudhary

Okay. Thank you, that's all from my side.

Moderator

Thank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad.

I repeat, if you have a question, please press star and one on your telephone keypad. We will wait for a moment while the question queue assembles.

We are having a question from Nitin Agarwal from DAM Capital, please go ahead.

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 8 -

Nitin Agarwal

Mark, on the US business, while you are ramping up your filings, what is the kind of filing target that we have in mind over the next couple of years?

Mark Saldanha

We have very close to 30 odd products that we are working on right now, and we are expecting as a matter of fact, approvals every year and probably, every half yearly, we will see approvals coming in 2023. I think 2023, we'll probably see about five ANDAs getting approved. And then, on an average, maybe seven, eight products approval per year. So, we are targeting about 30 odd products for the US market.

Nitin Agarwal

In terms of composition of these products, what will be the split between OTC and Rx products in the approvals that you are expecting?

Mark Saldanha

Yes, so obviously it will be about probably 65-70% will be in OTC and the balance will be in Rx.

Nitin Agarwal

Okay, and on that account on the current portfolio that we are marketing, what is your assessment, how much of the incremental sales potential do we have in the current sort of portfolio of ANDAs?

Mark Saldanha

Well, obviously, it's just at the tip of the iceberg, we have not penetrated anything significantly, but we are still doing decent numbers. I do see next year, our growth drives happening from the US, because we have been awarded items, and we do plan to commercialize by March of 2023. So, we do see a much more healthier roadmap for next financial year. And with this our market share will slowly start growing, I think we have a tremendous growth potential in terms of market penetration, market share on our existing product portfolio. Obviously, the new products will just be the icing on the top.

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 9 -

Nitin Agarwal

We've seen a fair amount of disruption, which has happened on the generic side, prescription side of the business in the US. There have been a lot of questions around the price erosion which has happened, how has been the business on the OTC side, the market environment on the OTC side, has the pressure been as severe in the OTC business?

Mark Saldanha

Well, the OTC, in terms of pricing pressure, was not as bad, because you know OTC is more on private label more on, it's a much more sustainable business model. But there was obviously, profit margins because of cost of inputs going up, and freight going up, everything of that stuff going up. So, obviously the advantage of the OTC is, while you have better visibility, you have a sustainable business model, you have contracts for a longer duration.

The negative side is you're stuck with a contract, and you've got to honor it and if you're costing or pricing or other intangible costs goes up, because of various issues, it does have an impact on the

bottom line.

But that said and done, now we see the freight costs coming down, we see a lot of raw material pricing being eased. So, we do see a better profitability being generated, and revenue growth is anyhow quite stable, and moving in a positive direction where OTC is concerned.

Nitin Agarwal

Last one on that Mark, so when you are typically competing for these bids, with these retailers in the US or with the customers in the US, what is the typical nature of competition that you have to contend

nd

with, how many typical players and are there players from India, because typically on the generic side, prescriptions is where essentially bulk of the problem for the industry essentially originated from.

Mark Saldanha

So, obviously the players are, you have all the big guys out there, most of the big guys have entered into the foray of OTC. So, in terms of the largest player, you'll obviously have Perrigo, but beyond that, you have a lot of Indian players that are into the OTC. A lot of top Indian pharmaceutical companies which have entered into the OTC foray. So, competition is there in every area, the only difference between OTC and Rx, is Rx, the distribution channel has consolidated tremendously, and that consolidation has affected competition and price erosion, which has taken place as a cascading impact of that, while OTC is still fragmented and diversified, where that is concerned.

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 10

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Nitin Agarwal

Thank you. Last one is on the UK market, this seems to be going pretty well in H1, has anything really changed in the market for us, and given whatever is happening in the continent or out there, what do you see is the outlook for our business in the next couple of years?

Mark Saldanha

I think outlook is only going to get stronger, because of the product pipeline that we have and the nature of the products that are getting approved. So, we are looking much more healthier, much more stronger. We also penetrating into the market, we have become very prominent players over a period of time, consistent deliveries. We have a much bigger product portfolio in the UK market, as compared to the US.

So, Relonchem must be having over 100 plus market authorizations, while Bells has got about 60 odd market authorizations, so much more diversified and wider product portfolio in the market, in the UK market. And that has given us obviously, an advantage to basically cater to a much more diversified portfolio, as well as we are more consistent and preferred source of partnering with. So, we are seeing definitely better market share. But all said and done, I do believe there's a better visibility, better growth potential because of the product pipelines that are coming into that market in the next 12 months.

Nitin Agarwal

Thanks, Mark, I'll join back in the queue

Moderator

Thank you, Sir. So next question comes from Agastya Dave from CAO Capital. Please go ahead.

Agastya Dave

Thank you very much for the opportunity, Sir. I missed probably 90% of what you have said, because the line was just terrible. And I'm pretty sure it was not from my end. So, I'm very sorry, if my questions are

slightly repetitive.

Sir, one thing is that this quarter, I was expecting some sort of a hit on the FX side. So, was there a hit? If not, then will we get a hit in the next quarter? How have you managed cross currency risk? That's the first question.

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 11

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Jitendra Sharma

Hi, this is Jitendra here. So, fortunately of course, like you know the rupee has weakened in the first half of this year. Our revenue are 100% export oriented so, we have gained, of course there is a foreign exchange gain only.

Agastya Dave

Sir, adjusted for that, what would have been the EBITDA margin? Any adjustments that you can provide?

Jitendra Sharma

Not significant.

Agastya Dave

Okay. So, next question is that, we have been talking about margins going back above, close to or above 20%. So, given the pipeline and given the strength that you are seeing and the new filings, when can we expect that 20% margin for the entire portfolio, for the company as a whole?

Jitendra Sharma

The guidance we had given earlier for this year was around 15% EBI

TDA margin and yes, we are doing better now. For the first half, it's almost over 17%. So, with the trend like you know, which we are seeing now in the input cost price reduction, and the freight costs also have started coming down. So, we expect to do better in this year. Hopefully, if this trend continues, we will see that number next year.

Agastya Dave

So given the price movement, because raw material prices are correcting, my guess is that some of the finished good prices will also come off, but then if there are new launches which are happening, and there is a natural tendency of pharma products to lose some of their pricing. So, if I look at the combination of everything and I look at Q2 revenues of Rs. 453 crores, this portfolio what you have today, what kind of growth are you expecting over the next two years? The current portfolio, I'm not talking about the new filings.

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 12

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Mark Saldanha

So, we are trending obviously, this year we are trending at Rs. 1,800 crores revenue and we do believe this product portfolio will see us crossing Rs. 2,000 crores in the next year. So, we do plan to achieve what I have always committed, in all our discussions in the previous conference calls, that we are moving in the path of crossing Rs. 2,000 crores in the next financial year.

Agastya Dave

And just to be repetitive here, but this is coming from the existing portfolio and existing like, pure organic growth of the existing portfolio.

Mark Saldanha

Yes

Agastya Dave

Okay. And then the filings that you have, the OTC and the Rx filings, what kind of market potential do you see there, and how rapidly will they grow? So, my guess is that anything will launch in UK will obviously grow very fast. Anything you launch in the OTC will grow very fast. But on the on the Rx side, what would be the ramp up that we'll see?

Mark Saldanha

So basically, obviously our first objective, our first milestone is Rs. 2,000 crores, but I've always maintained that, now that we have got the platform, we've got a lot of product pipeline, I do believe, we will after crossing that milestone of Rs. 2,000 crores, I think, we should be moving towards probably the next milestone of Rs. 3,000 crores within 1/3rd of the time that took us to jump from Rs. 1,000 to 2,000 crores.

Agastya Dave

Okay, so final two questions. I did hear you were talking about your backward integration project. So, can you please repeat what you said? And the last question would be that you were also looking at probably acquiring something on the front end in in the EU markets. So, any progress on that?

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 13

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Mark Saldanha

Well, just to address your backward integration, obviously, this has been a longer project than we had planned for. And we are planning to file a couple of DMFs in the mid of 2023. These are again molecules, where we have captive consumption, and where we are growing by strength. So, we will be seeing some obviously after filing DMFs, we still need to get it onto our licenses, because they all ANDA products. So that that takes about six to nine months to get it. So hopefully, we are expecting by the end of 2023 or early 2024, we should see that profitability kick into the system, the cost advantage kicking into the system. And that's where we do see our margins also improving slightly from a cost efficiency point of view.

With regards to the EU, we are still pursuing that part of it, we do plan to expand in our geographies, it's always been our aim. We are looking, we are exploring different M&As. We have been in active dialogue over the last couple of six months, and some dialogues are closer than the other, but nothing concrete to put pen t

o paper or nothing concrete which is worth talking of, because these are at very initial stages. But you know, we will keep pursuing it, and we are hopeful that we will come across some M&As, which will add tremendous value to the company and the shareholders.

Agastya Dave

So, nothing imminent as such, as of now?

Mark Saldanha

In M&A, it can happen within a couple of months or maybe in a year's time. So, it's difficult, but we are actively looking at it.

Agastya Dave

I get the point. That's about it. Thank you very much. I would really appreciate it, Sir, whatever your opening remarks were, if they can be posted on the exchanges. It would be nice to go through whatever you have said, I couldn't hear anything. Thank you very much. Congratulations for a very good quarter.

Moderator

Thank you, sir. Next question comes from Manoj Matthew Jacob, an individual investor, please go ahead.

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 14
-

Manoj Matthew Jacob

Hello, congratulations, Mark and Jitendra. My first, my first problem was, I couldn't connect to you because I had a problem with the line. In fact, this con call was the worst ever concall by DAM, by the people who coordinated the concall. Okay, so my first question, my first question is, is your buyback over?

Mark Saldanha

No, the buyback is still going on. We have completed about 50% plus of the buyback.

Manoj Matthew Jacob

I know, but there has been no buyback for some time. I mean, that's why I was asking, is it over?

Mark Saldanha

No, it's not yet over.

Manoj Matthew Jacob

Okay. Question number two. As you had said earlier, from your present product portfolio, you will be doing Rs. 2,000 crores. But how about, with Teva coming in? Would you be doubling this Rs. 2,000 crores?

Mark Saldanha

So, I would like to say, that's a very good question actually. But Teva basically, we have to work on expanding the capacity of what we are acquiring. So, we do have, we have projected a spend of nearly Rs. 200 crores into this project, which includes the acquisition cost and the Capex, I do believe that once we achieve that objective, Teva would basically be doubling our present capacity, if not more, of what we presently have in our present plants.

So, with new capacity of that magnitude, and that volume, will definitely give tremendous potential for growth, and that's where we are, you have to invest today to see returns tomorrow, and that's where we do believe that with what Teva basically opens up, the potential what it opens up, we can definitely increase our revenue and reach the next milestone, maybe Rs. 3,000 crores.

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 15

-

Manoj Matthew Jacob

Okay. The next question is, is this turnover of Rs. 452 crores, has it come because of the forex benefit, or has it come with drive in volumes?

Mark Saldanha

Sorry, I didn't get that.

Manoj Matthew Jacob

The Rs. 452 crores you did this quarter, was it because of the forex depreciation, the rupee depreciation or was it because of the drive in volumes?

Mark Saldanha

It's a drive in volumes, prima facie. We have grown in terms of revenue in all the continents and all the geographies that we're doing.

Manoj Matthew Jacob

Okay. And the next question, Teva, as from April 1, will belong to Marksans. So as of today's capacity, what volume do you expect from Teva, as of today's capacity?

Mark Saldanha

From April, the Teva capacity, prima facie is not very large. So, it's probably one and a half billion tablets maximum.

Manoj Matthew Jacob

Okay. So, in one quarter can we add Rs. 100 crores?

Mark Saldanha

No, Rs. 100 crores per quarter is not possible. I'm talking of, a billion and a half tablets for t

he whole

year. So, that's not a very large volume, but we are going to increase it, and we are working on Capex

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 16

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aggressively out there. So, then obviously, we will achieve, maybe Rs. 200 crores once we hit our objectives of increasing capacity, we probably achieve maybe Rs. 200 crores per quarter, if not more.

Manoj Matthew Jacob

Okay.

Mark Saldanha

Right now, the capacity is low. So, we have to increase our capacity on that.

Manoj Matthew Jacob

Okay. Thank you, and congratulations once again.

Moderator

Thank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. I repeat, if you have a question, please press * and 1 on your telephone keypad.

We are having a follow up question from Madhav G. from Shastra Capital Private Limited. Please go ahead.

Madhav G.

Thanks for the opportunity. What is the current status of input prices, like freight costs, the input RM prices? Is there any reduction are we seeing in the current quarter, in the future also?

Mark Saldanha

So, the freight cost has come down definitely from what it was historically high. And that is helping our bottom line, which was actually eroding a lot of our bottom line. So, I do see some better profitability in the coming quarters. But the input cost is slightly, I would not say high but slightly improved. I mean, it has cooled down from an upward trend, we are seeing it coming in a downward trend, but it is at a very slow pace. So again, but the global market scenarios are so volatile. With the war still raging in Russia and Ukraine, no one has a crystal ball to see as to what impact it will have. Obviously, China has got its own challenges of lockdown. So again, we are very cautious in terms of giving any forward-looking statement, but as of today, it is looking positive, it is improving to that level.

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 17
-

Madhav G.

Okay, so do we have any regulatory audits from the last concall to today, Sir?

Mark Saldanha

I didn't get you. Could you repeat that?

Madhav G.

Any regulatory audits in all the three sites the last three-four months? Do we have?

Mark Saldanha

I mean, in UK, we have had audits, UK audits, our UK plants have been audited. But out in India, audits can happen anytime. So, it does not matter whether you've been audited or not audited, they can come anytime.

Madhav G.

Was there any audit on the US facilities Sir?

Mark Saldanha

I didn't get you. Could you repeat that?

Madhav G.

We have one facility in the US as well. Right?

Mark Saldanha

Yes. So that that gets audited very frequently, obviously, once a year, twice a year, but in US is different, they come in anytime, because it's a local audit.

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 18

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Madhav G.

So, there are no critical observations, we are through in all the audits as of now, right?

Mark Saldanha

Again, US audits can happen anytime. So, you have to take note of that. Yes, as on today, we have a GMP status. We are working on it. There are no observations, and obviously we work towards a brighter future tomorrow.

Madhav G.

And then last was that I think so we are well prepared. Actually, we are launching, we are actually accelerating our momentum into the regular markets. 34 filings means there's a very good number for the size of Marksans. I think at the leadership level, the facilities and the filings, I think this facility will be taken care, and I think properly teams are establishing in terms of getting things rightly done? Am I right Sir?

Mark Saldanha

Thank you. I didn't get

most of that. We are moving in the right direction, because as a company, we are evolving, and we've reached a stage where visibility and growth is much more stronger and better out here.

Madhav G.

Only one thing I'm processing Sir, because of when actually we are accelerating the filing pace, so definitely there will be certain regulatory issues may crop up. What I'm saying is that so I think the leadership sectors are properly placed, to see that things will be going smooth functioning, that's what I'm expecting from your team Sir.

Mark Saldanha

Well, we are working hard to basically achieve all objectives.

Madhav G.

Thank you, Sir.

Marksans Pharma Limited
November 16, 2022

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Moderator

Thank you, Sir. Next question comes from Utsav from DAM Capital, please go ahead.

Utsav Kedia

Hi, Sir. Thanks for the opportunity. So, I wanted to know about your plans in the Australia and ROW markets? That's my first question.

Mark Saldanha

So, the Australian market, obviously, we had a bit of a challenge in terms of pricing pressure in terms of profitability part of it, for the first time actually, because of freight and because of disruptions, supply chain disruptions. But we do believe that the Australian market will grow. We are seeing growth, we have evolved over the many years. It's a smaller market, population is small. So, obviously, in terms of the absolute numbers, it will always remain small, but I do see a growth happening there.

The other emerging markets, I think we are doing fairly well. We do see us doubling our revenue in the next couple of years. So, it is getting strong, we are expanding into different geographies, and our product portfolio is getting stronger. So, we do see that adding value both in the top line as well as the bottom line. So, I'm quite optimistic where that is concerned.

Utsav Kedia

Okay, thank you for that, Sir, and my next question was around the distributor model in these markets. So, where do you have a front-end presence? Do you have a front-end presence in any of these markets?

Mark Saldanha

Obviously, Australia, we do have a front-end market. The rest of emerging markets, presently we do distributors market and marketing collaboration with front ends.

Utsav Kedia

Marksans Pharma Limited
November 16, 2022

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Lastly, Sir on your M&A plan. So, you spoke about some M&A transactions on the call. So, can you explain what kind of areas would you be looking for markets and if you'd be looking at some vertical integration in other markets through M&A, so if you could add some colour on that?

Mark Saldanha

Well, presently in M&As, we are exploring the pan Europe market. Now, they will be obviously front-end market authorizations, pretty much what we have in UK, we will be expanding into other geographies of Europe. But that said and done, that is right now on the horizon that we are pursuing. We are actively in discussions; we are talking to various companies. And that's a geography of interest for us right now.

Besides that, we don't have anything on our plate, any other geographies on the plate to discuss, but again, M&As are somethings which sometimes opportunities come and then we have to explore it, at that particular time.

Utsav Kedia

And what would be the potential size of a deal? I mean, what's the total potential target size?

Mark Saldanha

It's difficult to say because we don't have a target right now in hand, so it's difficult to actually put a potential target. But again, we are looking for a platform to launch our products, we are looking for a platform where we can have distribution channels, and where we can add value.

Utsav Kedia

Thanks for answering my questions.

Moderator

Th

ank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. I repeat, if you have a question, please press * and 1 on your telephone keypad.

We are having a follow up question from Prerit Choudhary, from Green Portfolio.

Prerit Choudhary

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 21
-

So, couple of questions. You said at the new Teva plant, you will be producing 1.5 billion units per annum. But if I look at the document, the existing capacity of that plant is around 6 billion. And the total capacity is 8 billion. So, would it require to ramp up that capacity? Or how should I look at it?

Mark Saldanha

So basically, we are talking of 8 billion with the expansion capacity that we are working on. So presently, their capacity volumes are low, and it will take us a good six to eight months after we get into the plant, to actually achieve part of that objective. That's where we have given a two-year window period for us to achieve that objective of touching 8 billion capacity.

Prerit Choudhary

Okay, just a follow up question on the API side. So how we will be funding those projects?

Mark Saldanha

It will be through internal accruals only.

Moderator

Thank you, Sir. We are having a follow up question from within another one from Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal

Thanks, Mark just on the Teva portfolio we have been talking about, for filling up the entire 8 billion target capacity, would you require a significant share of contribution from a newer set of products, or the current set of products can take you to a significant distance there also?

Mark Saldanha

So obviously, since our geographies and our product portfolios are increasing, our market share is increasing, we do need additional capacity. So, I do believe this 8 billion will be more from an additional capacity requirement point of view, that is pretty much double than what we are presently doing with our present facility in Goa. So that will obviously generate that equivalent revenue spurt. And that's where we are very optimistic, after we cross the Rs. 2,000 crores, that's where if we produce more, we can sell more, and definitely, that will be your growth for the next milestone.

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 22

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Nitin Agarwal

In your assessment, by when do you start reaching optimal capacity utilization of the newer asset?
Mark Saldanha

You're talking of our present plant?

Nitin Agarwal

No, the Teva plant, when will you hit the optimal capacity utilization on the assets or how many years will take you to utilize optimally?

Mark Saldanha

It will be happening parallelly, so today, we do believe whatever capacity we do in, to activate or to start or whatever, presently, they have a very small capacity. So that's where we are taking, obviously 8 billion, to scale up from 1.5 to 8 billion is not going to happen overnight. But as and when we scale up, let's say the first objective will be to get it up to 4 billion, and then we'll do 8 billion, but by the time we touch 4 billion we'll probably be sold out in terms of the capacity of 4 billion, and then we'll be moving towards 8 billion. So, I do believe that we won't be having, we won't keep any spare capacity lying around.

Nitin Agarwal

And lastly, on an overall business mix, what would be, at a global level our share of between OTC and prescription, on an overall global level and how do see it going forward?

Mark Saldanha

So, we have I think OTC is about 65%, Rx is about 35%. Historically it was 50-50, with OTC now taking a little larger share of 65-35, moving forward I do believe it will remain that way, give or take a percentage point here or there, but I do believe it wi

It probably remain in the same mix. May be 65-35.

Nitin Agarwal

Thank you.

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 23

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Moderator

Thank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. I repeat, if you have a question, please press * and 1 on your telephone keypad.

We are having a follow up question from Madhav G. from Shastra Capital Private Limited. Please go ahead.

Madhav G

Thanks for the follow up question Sir. In OTC we are having 65%, from this what is our own label share?

Mark Saldanha

When you mean own label, are you talking of our controlled labels, like Bells or you're talking of a private label?

Madhav G

I'm talking about, we are selling through e-commerce platform, I'm talking about that.

Mark Saldanha

The e-commerce platform is relatively very small, because we've just launched it, not even a year. But it is growing, so obviously in terms of the overall business, it is relatively very small, maybe single digit.

Madhav G

In your presentation I saw that there is store label and own label, so what is the difference between store label and own label?

Mark Saldanha

Well, store label is what we supply to retail outlets, own label is like you said we do the e-commerce and a few of the retail outlets, we promote our own brands.

Madhav G

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 24
-

But the presentation, pie chart was showing somewhere around 25%. That's the reason I'm asking this question. The presentation that was uploaded to the BSE website, that was showing that the own level somewhere close to 25%, the pie chart.

Mark Saldanha

Yes, in UK so own labels we also do Rx in our own labels, not only OTC. All our Rx is basically in our own labels.

Madhav G

Ok sir got it, Thank You.

Moderator

Thank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad.

Ladies and gentlemen, this concludes your conference for today.

Thank you for your participation and for using Door Sabha's conference call service.

You may disconnect your lines. Thank you and how pleasant evening thank you.

Marksans Pharma Limited
November 16, 2022

Q2FY23 Earnings Call
CIN: L24110MH1992PLC066364 - 25

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Note: 1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Feb 2023

Marksans Pharma Limited
February 14, 2023
1

Marksans Pharma
Q3 FY23 Earnings Conference Call

Event Date / Time: 14/02/2023, 15:30 Hrs.
Event Duration: 64 mins 53 secs

Host:
MR. VISHAL MANCHANDA – SYSTEMATIX INSTITUTIONAL EQUITIES
MR. SIDHARTH AGARWAL - SYSTEMATIX INSTITUTIONAL EQUITIES

MANAGEMENT:
MR. MARK SALDANHA – FOUNDER, MANAGING DIRECTOR, AND CHIEF
EXECUTIVE OFFICER - MARKSANS PHARMA LIMITED
MR. JITENDRA SHARMA - CHIEF FINANCIAL OFFICER - MARKSANS PHARMA
LIMITED

Marksans Pharma Limited
February 14, 2023
2

Sidharth Agarwal
Good evening, everyone, and a warm welcome to Marksans Pharma's Q3 and Nine Months FY23 Earnings Call. Please note that all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the opening remarks. Please note that the conference is being recorded. The results, press release, and investor presentation are available on the stock exchanges and the Company website.
I would like to now introduce the management team today on the call with us, Mr. Mark Saldanha, Founder, Chairman, and Managing Director, and Mr. Jitendra Sharma, Chief Financial Officer. A cautionary note that some of the statements made on today's call could be forward-looking in nature and actual results could vary from these statements. A detailed intimation in this regard is available in the Investor presentation, which is available on the stock exchanges and the company's website.
I will now hand over the call to Mr. Mark Saldanha for the highlights. Over to you, sir.
Mark Saldanha
Thank you, Sidharth Agarwal.
Welcome everyone and thank you for joining us on our Q3-FY23 & 9M-FY23 earnings conference call. I'm pleased to announce another quarter of strong performance across all our regions led by volume growth and market share gains in existing products. Strong revenue growth of 32% YoY was also reflected in the similar EBITDA growth. Our EBITDA margins YoY were stable at 16.0% despite high inflation, input cost pressures, and pricing erosion of a high single digit in the US. The supply chain pressures and freight costs have softened in the quarter compared to last year, which is a silver lining for us.
Before we discuss our performance in the quarter, I am pleased to highlight that on January 20th, 2023, we completed raising Rs.372.40 crores through the conversion of warrants into equity shares by OrbiMed Asia and Promoters at Rs 74 per share. With this transaction, OrbiMed Asia now owns a 10.88% stake in the company. We are confident that our strategic partnerships will be bolstered through OrbiMed's deep global healthcare experience.

Marksans strives to strengthen the best governance practices. We continue to value the expertise of OrbiMed's representative - Dr. Sunny Sharma on the Marksans Board. We have MSKA & Associates, affiliates of BDO International, as our auditors. BDO is the fifth-largest global auditing firm.

In Jan-2023, we also completed a buyback of 64.74 lakh equity shares for a total value of Rs 32 crore

Looking ahead, we see growth potential in OTC and Rx markets, especially the switch from Rx to OTC. We remain confident of our growth journey driven by volume growth, market share gains, and new product launches.

With this, I'd like to turn it over to Jitendra who will update you on the financials, before we can start our Q&A.

Jitendra Sharma:

Thank you, Sir.

Our operating rev

enue was Rs. 479.8 crores, an increase of 32.3% compared with Rs. 362.6 crores last year. The US and North America was at Rs. 217.0 crores, representing a 37.8% increase year-on-year basis. EU and UK formulation market grew by 25.4% to Rs. 186.8 crores. Australia and New Zealand formulation market recorded 27.6% growth to INR 49.6 crores. The rest of the world saw a 52.0% increase in sales, to Rs 26.5 crores in Q3FY23. Gross profit was Rs. 240.3 crores, up 23.2% year-on-year. Gross margin declined by 371bps from 53.8% to 50.1% in Q3FY23 due to the pricing pressure and input cost inflation. EBITDA was Rs. 76.6 crores, an increase of 32.6% year-on-year. EBITDA margin was stable at 16.0%, with operating leverage offsetting the impact of high levels of inflation. Profit after tax was Rs. 62.3 crores, compared to Rs. 48.3 crores in Q3-FY22, a growth of 29.1%. EPS for the quarter was at Rs 1.56, 30% growth on a year-on-year basis.

Taking you through the 9 months' performance,

Operating revenue was Rs. 1,366.2 crores in 9MFY23, up 27.3% year-on-year. The gross profit for the first nine months of FY23, increased by 21.3% year-on-year to Rs. 688.6 crores. The gross margin was 50.4%. EBITDA for the nine months of FY23 increased by 17.7% year-on-year to Rs. 229.8 crores; however, EBITDA margin declined by 138 bps, from 18.2% to 16.8% in the first 9 months of FY23. Cash generated from operations was Rs 208.6 cr.

Marksans Pharma Limited

February 14, 2023

4

For the first nine months of FY23, PAT grew by 16.2% year-on-year basis to Rs. 182.6 crores. The earnings per share grew by 18.7%, to Rs 4.54 per share.

We spent Rs. 24.5 crores in 9M-FY23 in R&D, which amounts to 1.8% of the sales. We continue to remain debt free; we had a total of Rs. 417 crores of net cash position as of 31st December 2022, which we plan to utilize for capex funding and our inorganic growth strategies. This excludes the 75% warrant subscription amount of Rs 279 crores received in January 2023.

With this, I would like to open the floor to questions and answers, thank you very much.

Sidharth Agarwal

Thank you, sir. We can now open the floor for questions. Participants may use the Raise hand function or come in by introducing yourself and your company. We would request You to kindly introduce yourself and your company since we need it for record purposes. We will wait for a few minutes till the question queue assembles.

I have the first question from Riddhesh Gandhi. Riddhesh, could you please introduce yourself?

Riddhesh Gandhi

Sure, hi. This is Riddhesh from Discovery Capital and congratulations on your numbers. Sir, just wanted to understand, we are showing revenue growth, despite you indicating high single-digit price decreases. Just wanted your view on, if you see these priceerosion to continue in the future or you see it actually abating. And also, just to get an understanding of the reason, we've been able to gain share, is it because we have kind of reduced our pricing, or is there is something else which is led to an increase in our share

Mark Saldanha

Yeah. Hi, good evening. So, basically, the pricing pressure, price erosion, still continues in all the first-world countries, especially US. We do see it stabilizing at some time. The scenario is highly volatile where raw material prices are also on the decline. So that again raises all the questions of pricing pressure. Our market gain has been obviously because of service, because of our new product launches because of our positioning, and our product basket that we offered now in those markets, especially in the US. So, we are the preferred choice, and we are catering to

Marksans Pharma Limited

February 14, 2023

5

segments in total. So that's where we have achieved the market penetration, reliability, and sustainability. So that's where we basically have succeeded and actually gaining some market share, overall.

Riddhesh Gandhi

That's helpful. And sir, if you could also throw some light on, do the backward integration, you guys were looking into API, and any timelines on to that?

Mark Saldanha

Yeah. So with regards to the backward integration, what we have done is, besides doing our R&D as work, we are going with the CDMO our strategy presently, because we have our hands full there. Obviously, we are working on the Teva integration and the acquisition and the integration of Teva will be our immediate focus. So we are actually working on the CDMO strategy, but we do plan to file our DMFs in the calendar year of 2023, that's this year.

Riddhesh Gandhi

Got it. And then effectively we would be looking at commercialization then would still be, let's say three years away, two years to three years away?

Mark Saldanha

Commercialization will be relatively fast, but there is a process because once we file our DMF, we still need to get that DMF onto our licenses. Actually, that process is longer than actually developing and filing a DMF. So, because you know getting an active raw material onto a license could take anywhere between six months to nine months after we file the DMF. So we are working on parallel grounds, but you are looking at a year-and-a-half in total.

Riddhesh Gandhi

Marksans Pharma Limited

February 14, 2023

6

And the last question with regards to effectively going ahead, do we, can continue to be able to see this kind of growth trajectory? And is there, hello, any sort of abatement in terms or the inflationary pressure, and therefore potentially coming back to that 18% to 20%, the EBITDA level?

Mark Saldanha

So, I think we will maintain our growth trajectory. Like I've always said in my previous calls, we are poised to cross 2,000 crores in the next financial year. I think, so we are moving in that direction. I don't see any hurdles coming out there. I think with regards to pricing pressure, it's just the nature of the beast that we are into that. So, we know the nature of the game very well by now. But I don't foresee any challenges appearing from that angle. So, we should be pretty much as per what I mentioned in the last couple of quarters.

Riddhesh Gandhi

Right. Thank you, sir, and all the best.

Mark Saldanha

Thank you.

Sidharth Agarwal

We'll move on to the next question, CAO Capital. Could you please introduce yourself and ask your question.

Agastya Dave

Yeah, am I audible?

Mark Saldanha — Managing Director and Chief Executive Officer

Yes, you are.

Marksans Pharma Limited

February 14, 2023

7

Agastya Dave

Yeah, hi, this is Agastya from CAO Capital. Congratulations for the great numbers. I think in the sector you guys have probably delivered the numbers. I could be wrong, but great performance.

Mark Saldanha

I'll take that compliment.

Agastya Dave

Yeah, because these numbers were really bad in the sector. And thank you for hosting this call over Zoom. Last time, we had requested you to do the same and you guys took the suggestion. Thank you very much for that, as well. Sir, my questions are kind of an extension of what the

previous participant was asking, but I'll concentrate more on the cost side. So, there are so many moving pieces, as of now, as you mentioned that raw material prices are coming off and freight costs are also coming off, yet, there is an element of inflation, right. So how long

do you

see inflationary pressures continue to reflect in our P&L? Because I'm pretty sure on the margin, costs are coming off, but you must be sitting on some inventory, and there will be some lag effects. So, on the cost side, when can we expect some sort of stability? Do you have any visibility on that?

Mark Saldanha

Agastya, that's a very good question, yes, you are right, we are sitting on some material and especially because if one noticed in the month of October, November, and December, China had all these issues of lockdowns and there was absolutely a standstill with China and at that time, obviously, we decided to increase our inventory holdings, so that we can service our contracts and everything on that stuff. So the position is very fluid, but one positive silver lining, like I mentioned earlier is the freight cost has come down and that is some relief.

Marksans Pharma Limited

February 14, 2023

8

Agastya Dave

Okay.

Mark Saldanha

But the raw material situation is that we are sitting on very close to six months of inventory on raw materials or finished products which are at a high cost, But we do see, now that the China has opened up and now that things are cooling down or coming down. We do see the raw material situation to further improve and this impact or this advantage you could see maybe post six months.

Agastya Dave

Would we see a couple of quarters of some inventory losses? Are the finished goods prices falling fairly steeply?

Mark Saldanha

No, no, because we have contracts. So basically the finished goods prices will not change overnight. But however, the margins will also not improve overnight. We'll see some better days like I mentioned, once the new raw material pricing come down, but I must caution you that while raw material prices do come down, as and when you go for new contracts there will always be a correction in pricing or pricing pressure happening.

So, the market, the market is in, especially in the US is, just coming off a pandemic, it's coming off the flu season, it's coming off the virus, that was a there. The virus that was prominent. So, what happens is, there is always a correction in the distribution channel. And doing that correction distribution channel, you do see a slight slowdown happening

Agastya Dave

Yes, yes.

Marksans Pharma Limited

February 14, 2023

9

Mark Saldanha

Honestly, companies get a bit desperate in terms of pricing. But that said and done, we are confident of achieving our objectives and hitting our forecasted, numbers.

Agastya Dave

Right. Sir, I was coming to that point also, can you give some idea as to what kind of channel inventory is out there as of now, because I would say, it was very rational of the company to stock up on inventory, given the situation in China in October, November. But I'm pretty sure that channel would be filled with inventory as well. And also along with the freight, transit times are also compressing. So that also has this result of just liberating a lot of material in the supply chain, right, which was earlier getting caught up in transit. So given all of this, do you think there is any risk of significant channel destocking? Or do you think those situations are under control overall? And we should not see any significant slowdown in primary sales?

Mark Saldanha

In primary sales, the only slowdown can happen more seasonal or more because of COVID, or the lift up, or the distribution channel, basically being overstocked due to like I mentioned, the flu season, the COVID or the viral outbreaks that happened in the last quarter. But with regards to destocking and with regards to A

ccess stocking, I don't see that having a materialistic impact

in movement, in terms of units being sold or distribution or value being eroded presently.

Agastya Dave

Great, sir. And one question to your CFO. Sir, I just wanted to reconfirm the cash that you guys have received post-conversion of warrants is INR279 crores, over and above INR417 crores of cash as on December?

Jitendra Sharma

Yes, that is correct.

Marksans Pharma Limited

February 14, 2023

10

Agastya Dave

INR279 crores. And sir, can you also share the final fully diluted share count now after the warrant conversion and after the end of the buyback?

Jitendra Sharma

See, the final, the share, issued share capital is around 45 crore shares now.

Agastya Dave

Okay.

Jitendra M. Sharma

We have intimated the exact numbers to the stock exchange.

Agastya Dave

I'll check it again, sir. Thank you very much, sir. Thank you. I'll go back in the queue. Sir, I may have a few follow-up questions, but I'll go back in the queue now. Thank you.

Jitendra M. Sharma

Yeah, thank you.

Sidharth Agarwal

Utsav Jaipuria, DAM Capital, please go ahead

Utsav Jaipuria

Yeah. Hi, thanks for the opportunity. So my first question was on the US business. So Q-o-Q also it's been about a 12% growth. So is this largely because of the flu season?

Marksans Pharma Limited

February 14, 2023

11

Mark Saldanha

I think there is some flu season involvement out there, but it's how the products move in certain seasons, how it moves in certain markets and certain timings. We do plan to show this type of growth, basically year-on-year. So, we don't foresee any hiccups on actually showing growth in the US, and in the next financial year. We should be able to maintain that growth per say, and that will be because of new product launches also that takes place and certain contracts that are being commercialized, which are awarded maybe six months back. So I think it's coupled with a lot of factors.

Utsav Jaipuria

Thanks for that. So on the contract, so this would really be largely in the Store Brand segment, right?

Mark Saldanha

Yes.

Utsav Jaipuria

So what is your typical length of a contract in that segment?

Mark Saldanha

It's normally two years.

Utsav Jaipuria

Okay, two years. And is there any sort of a switching costs for our customers in that?

Mark Saldanha

I didn't get you, could you repeat that.

Marksans Pharma Limited

February 14, 2023

12

Utsav Jaipuria

Is there anything that prevents, let's say, a customer from switching to a competitor after two years?

Mark Saldanha

After two years, nothing stops them. You will probably have another bid that comes around and then you have to pitch for the business. But over time, you develop a relation, you have a reliability factor, you have a consistency factor, you have the support factor that comes into play, and it's basically the confidence that they have on you, which puts you in a stronger

position to win the contract next year.

Utsav Jaipuria

Okay. That's fair. So I had a question on the Teva plant as well. So what sort of a breakeven timeline, ramp up timeline, are you expecting from this plant? What sort of a payback period are you expecting?

Mark Saldanha

About nine months give or take, maybe slightly here and there. So, we do see the first nine months, obviously, the consolidation phase happening, integration happening. We are growth bump in a lot of money into capex and increasing capacity. So, but I would say, probably take u

s

nine months to breakeven.

Utsav Jaipuria

Okay. So, thanks for answering my question.

Sidharth Agarwal

Now we have Viraj. Viraj, could you please introduce yourself, your company.

Marksans Pharma Limited

February 14, 2023

13

Viraj

Hi. I'm an individual investor. Hi, Mark, Jitendra, congratulations on stable results. Couple of questions for you. Mark, you mentioned about this Rx to OTC switch, can you educate us a little bit about what's happening in the end markets, particularly in markets like the UK, which is leading to an increase in OTC, due to this switch?

Mark Saldanha

Yeah, I mean, these are opportunistic moments that one looks for, but products coming out of Rx going into OTC, it's all about timing. And how fast you can actually foresee that and develop your product to file it and get approval on pretty much the same date. But these are opportunities that give you pretty much better value than a normal generic. These situations where our product which was initially an Rx item, but still has high usage goes into OTC, which becomes basically reachable for the consumer who goes to a grocery to just pick it up. So obviously, in such scenarios, the volumes grow much higher than reading for a prescription. So it is an area where, I mean, we are not inventing this, which has always been there

Viraj

And it's driven by the local regulator, healthcare regulator?

Mark Saldanha

It is driven by local regulator and companies, basically, companies who basically propose, show evidence. And obviously there is something called, the regulator obviously does a risk assessment evaluation, they look at the grandfather status, how long the molecule has been in the market, time-tested, the clerical, the risk factors to consumers, of over dosing everything. So there's a lot of factors that go into it, but ultimately it's a regulator who decides that this product qualifies to go into a consumer more of a OTC.

Marksans Pharma Limited

February 14, 2023

14

Viraj

Understood, understood. Second question is regarding freight costs. Freight costs have come off meaningfully, have you had the benefit of the freight cost reduction in this last quarter, or is it likely to kick-in Q4 onwards, because there's probably a lag effect.

Mark Saldanha

There is a lag effect, and it will kick-in, in Q4 onwards.

Viraj

Right.

Mark Saldanha

But it's a relief, because —

Viraj

Yeah. Absolutely.

Mark Saldanha

That was a big burden, which was difficult — because freight is a very variable factor. So it's difficult to pass it on to our client or something of that stuff, because it may go up and may come down. So you can't keep going into the client saying, well, it's gone up one day, it's come down the other day.

Viraj

Sure.

Mark Saldanha
Marksans Pharma Limited
February 14, 2023
15

So it was a huge drag in terms of the margins.

Viraj

And your record margins will go up by 1% on account of these freight cost reductions going forward or –?

Mark Saldanha

Yeah, slightly one plus percent.

Viraj

One plus percent, okay.

Mark Saldanha

Yeah, one plus percent.

Viraj

Okay, good. And lastly on this API question that the first participant, Riddhesh asked your strategy of going with the CDMOs, now you're not going to acquire an API plant or you're going to have this partnership with existing API players, what does that mean for your margin expansion, because you obviously now going to pay it out as supposed to do in 100% in-house.

Mark Saldanha

Yeah.

Viraj

So do you see your margin expansion as you file these DMFs, and go to the CDMO route, and by how much?

Marksans Pharma Limited

February 14, 2023

16

Mark Saldanha

We do see our margin expansion because we would be sourcing the intermediates, we would be sourcing the chemicals, we'd be probably paying them the conversion cost that the only thing. Now that conversion cost, if you run a plant, you'd probably have the same conversion cost itself. And gestation time to break-even a plant from a greenfield project or from an acquisition would be much longer, assuming. Due to a great extent prevent in taking any immediate losses or burden, in terms of the learning curve that you go through in trying to integrate a manufacturing plant of especially into API.

Viraj

Right.

Mark Saldanha

So obviously reason is because we have the Teva acquisition there, which we have done. And we'll be integrating this acquisition on 1st of April. So there were too many things to juggle. So we decided to go down this route, number one, I do believe it will be more economical. And number two, we do see margins improving because we would be in control of the cost factor.

Many a times when there is a surge in demand, mostly, you'll see the raw materials price is not going up that much, but a lot of time API companies exploit the situation and increase the price.

Viraj

So more stability in your RM, and hence the margin expansion over time.

Mark Saldanha

Yes, yes.

Viraj

Marksans Pharma Limited

February 14, 2023

17

Okay, great. All the very best. Oh, sorry, one last question, but let me come back in the queue.

Mark Saldanha

Okay. All right. Thanks.

Sidharth Agarwal

Thank you, Viraj. Next question is from Prerit. Prerit, could you please introduce yourself and your company.

Prerit Choudhary

Yeah. Hi, I'm Prerit Choudhary from Green Portfolio. So I have some questions related to the numbers. So we are saying that we will be supplying some of the products from the Teva plant to their existing customers till the end of financial year '23. So in the current quarter, did we reward any revenues from the Teva plant?

Mark Saldanha

No, in this quarter, obviously there won't be because we are getting into the Teva plant on 1st of April.

Jitendra Sharma

So the revenue from the Teva plant will start from the next year.

Prerit Choudhary

Okay. All right. And second question is, how much was the revenue from the Access Healthcare business?

Jitendra Sharma

Marksans Pharma Limited

February 14, 2023

18

For the first six months, it was INR19 crores

Prerit Choudhary

Alright. And so now, OrbiMed is our — become a key shareholder in the company. So, I mean, how would OrbiMed be helping our company in growth. If you can talk about a little bit.

Mark Saldanha

So, obviously OrbiMed gets a lot of intangible values onto the Board, besides intellectual and discussions that we have strategic discussions that we have. Their exposure and experience in the global market and especially in the healthcare is absolutely valuable to us. Our business model revolves on both organic and inorganic strategies. So, they are exposed to a lot of companies, clients where they do get to us opportunities for exploring our inorganic strategies, it is very helpful to use their strengths and basically help us in our growth strategy, which partly depends on inorganic. That's why we raised the resources or the funds. Over and above that, obviously, having an investor with so much of know

ledge in the healthcare does add a lot

of valuable discussions that we have in the Board on a regular basis on a monthly basis, on a quarter basis. So, definitely they are adding a good value on to the Board and to the company.

Prerit Choudhary

All right. Okay. So the next question is, so company has a cash balance of INR417 crores, and through warrant subscription INR279 crores. Now we have around INR700 crores in cash with us. So, what would be the breakup. How would we be using these funds in the future?

Mark Saldanha

Yeah, obviously, we have a capex plan, which we have discussed over the last quarter, number one and we still have to pay for the Teva deal. So, we'll be paying for the Teva deal maybe in the next couple of weeks. And over and above that, we would have to spend onto the capex plan of Teva. And then we have the inorganic growth strategy that we're pursuing and we are in dialog

Marksans Pharma Limited

February 14, 2023

19

few firms, but nothing concrete. But we still need capital to consummate these deals. So that's where we look at a decent amount of capital going.

Prerit Choudhary

Okay, I understood. So the last question is, what would be the guidance of our revenue and margins for the next financial year?

Mark Saldanha

So, obviously we do like I have always said and I repeated same thing in the beginning of the call, we are looking at crossing 2,000-odd crores next year. So that's — that is pretty much what we say there in the last few quarters. Our trajectory is, if one extrapolates the numbers, you can easily get variable line for next year. And based on that, we are confident we will cross 2,000 crores in the next year.

Prerit Choudhary

And on the margin front?

Mark Saldanha

Margin front, I think we will maintain a margin, if not slightly.

Prerit Choudhary

All right. Okay, that's it for me. Thank you.

Sidharth Agarwal

Yeah. Thank you very much, Prerit. Next question is from Vishal Manchanda. So, Vishal?

Vishal Manchanda

Marksans Pharma Limited

February 14, 2023

20

Thanks for the opportunity. This is Vishal from Systematix Institutional Equities. So, on Teva, when it is integrated next year conveniently, will we see an impact on your operating margins, as you might take time for you to get the approvals from the clients? Is it fair to assume the impact on margins conveniently?

Mark Saldanha

We do have CDMO contract with them — a CMO contract with them on the existing products that we need to ship out for the next 12 months. But that said and done, I don't see the margins having too much of impact overall. But like I said, the breakeven scenario, we are looking at nine months once we enter the plant — it will take us about nine months-to basically breakeven our operations are there in the plant.

Vishal Manchanda

Will it lead to incrementally invest in the facility?

Mark Saldanha

Definitely we will have to invest in the facility in terms of capex, which we've always said, we are planning to expand. I mean, increase their capacity, their capabilities in different dosage forms. So we are planning to put in a lot of resources out there to scale-up the operation. So I mean, yeah, from that angle, investment will go into capex, but that will also give us additional revenue, So we are looking at Teva giving us a decent, sizable revenue maybe 12 months down the line.

Vishal Manchanda

So can you share a number as to how much they need to invest in the Teva brand over a period of time

Mark Saldanha

Marksans Pharma Limited

February 14, 2023

21

So we have budgeted about INR200 crores in overall capex for the Teva plant.

Vishal Manchanda

That include the upfront payment we would make to acquire the facility?

Mark Saldanha

Yes.

Vishal Manchanda

That includes.

Mark Saldanha

Yes, that's included.

Vishal Manchanda

Just need to understand price erosion a bit better. So what I can see is when your portfolio, you also have aging products like Ibuprofen. So do you still see price erosion in such product categories?

Mark Saldanha

Yeah, because price erosion in such categories, obviously, it will be very limited because it's already eroded substantially. But that said and done if raw material prices keep falling down, then obviously competition do try to exploit that situation and towards different pricing. So from that angle, you can look at price erosion happening, but relatively it's a much more stable molecule in terms of volumes, in terms of value, in terms of everything that we have seen so far.

Vishal Manchanda

Marksans Pharma Limited

February 14, 2023

22

So is there a thumb rule say as we have seven or eight players in a product category, it may be so that price erosion may not be incrementally happen versus lower competition will remain prone to price erosion?

Mark Saldanha

So price erosion happens when, like I said, when the pricing of materials change, If the material prices are very stable, then price erosion does not take place to that level. But if material prices start going down rapidly, then pricing pressure comes into the finished product also.

Vishal Manchanda

And just with respect to our Rx to OTC Switches, are you targeting any product categories in the US?

Mark Saldanha

We are working on few categories. It's too early to discuss that right now on this forum. But we are working on few items and products, both in Europe as well as in the US.

Vishal Manchanda

Is the Rx to OTC switch, driven by the company or it is driven by the regulator?

Mark Saldanha

It is driven by the regulatory primarily, but it's a push from bigger companies that go on, and instead of waiting and watching, you need to be more alert as to what's happening in the market, and obviously regulatory bodies evaluate, like I mentioned earlier, a lot of other parameters before they actually approve it. And based on the probability factors, we need to start working well in advance, so that we don't miss the bus on the early-to-market strategies.

Vishal Manchanda

Marksans Pharma Limited

February 14, 2023

23

Thanks. That's helpful.

Sidharth Agarwal

Yeah. Thank you, Vishal. Any more questions?

Vishal Manchanda

That's all.

Sidharth Agarwal

Yeah. I believe. Lalit was there in the queue, but his hand is not raised. We have Yogansh Jeswani. Yogansh, could you please introduce yourself. Yogansh Jeswani, are you there on the call? Okay, we move on to Jessel. Jessel, are you there? Okay, we'll move on to HN. I guess HN is also not there.

Hiral

Hiral, this is Hiral, an individual investor.

Sidharth Agarwal

Hiral, okay, fine. Yeah, Hiral, please start.

Hiral

So my question was answered. So I just wanted to thank you for your plan to utilize that INR700 crores and more about the Teva facility or the time lines. I think both the questions got answered by the previous participants. So I'm done with that. Thank you.

Mark Saldanha

Thank you.

Marksans Pharma Limited

February 14, 2023

24

Sidharth Agarwal

Yeah, thank you. I guess we have

have Dipesh on the call, Dipesh Sancheti.

Dipesh Sancheti

Hello?

Sidharth Agarwal

Yeah, Dipesh, could you please introduce yourself, your company name?

Dipesh Sancheti

Hi, I am Dipesh Sancheti, and I am an individual investor.

Sidharth Agarwal

Okay, yeah, please ask.

Dipesh Sancheti

I wanted to understand, are we getting any accumulated losses, which will be useful for a tax advantage from Teva?

Mark Saldanha

No.

Dipesh Sancheti

There won't be, okay. And also wanted to understand what is the additional — I mean, what is the risk of additional competition coming in from other Indian companies into the OTC market, which we are in US as well as in UK?

Marksans Pharma Limited

February 14, 2023

25

Mark Saldanha

Sorry, could you repeat that?

Dipesh Sancheti

I'm saying what is the risk of additional competition coming in from the other Indian companies into the OTC markets of US as well as UK?

Mark Saldanha

Well, this is not a new market, so I mean, we live with that and we live with competition and like I said, it's the nature of the beast. So we just got to work with that.

Dipesh Sancheti

Because you mentioned that the cost advantage, which we have is the marketing cost in the presentation.

Mark Saldanha

Yeah. I mean because we do not have to increase our marketing team, we don't need to overleverage ourselves, our reinventor cycle all over again. So that's where our advantage arises, but beyond that, I would say that it is — competition will always be there. New players may always come in. While new players come in, some old players exit. So it's a balancing act.

Dipesh Sancheti

Okay. And where do we see our growth coming from in the coming years? Will we see us maximum from Teva

Mark Saldanha

Marksans Pharma Limited

February 14, 2023

26

So growth will come from all geographies, Teva with the plant — which we've acquired from Teva, that will help us to service and basically fuel revenue for whatever we produce in the plant, so definitely it's going to service our global demand that is going on and newer markets that we venture out into. So it is very important strategic acquisition that we've done at a decent price.

Dipesh Sancheti

And the 8 billion capacity expansion, which you are planning to do, will maximum happen in Teva? I mean, how much of it will happen in Teva?

Mark Saldanha

I mean, all of it will happen in Teva.

Dipesh Sancheti

All of it will happen. And approximately INR200 crores is the capex which we have budgeted, right?

Mark Saldanha

Yes.

Dipesh Sancheti

Okay. Yeah, thank you so much.

Mark Saldanha

Thank you.

Sidharth Agarwal

Marksans Pharma Limited

February 14, 2023

27

Yeah, thank you, Dipesh. We have Mandhan on the call. Mandhan, would you be having a question? Anupam Agarwal?

Anupam Agarwal

Yes, good afternoon. This is Anupam from Lucky Investments. Congratulations on good numbers. So my question firstly is on the number of filings that you have mentioned, basically the pipeline for US and Europe. If you can give some color as to the overall market size, the potential number of competition in those products?

Mark Saldanha

Well, in the UK, we have planned over 34 new filings what we are planning in the next three years. Out of which, nearly seven are planned only in this calendar year 2023, 16, products have already been filed previously or waiting for approvals. So it is a huge product portfolio. It's a huge basket, the same thing in the US. We are looking at only 3

2 products which are in the

pipeline. 20 of them on solid oral, there are some in ointments or some in creams, some in soft gels. It's difficult to narrate the segment and the value of each of them, but these are our future growth drivers that we do believe will add value. It is quite expensive to go and file our ANDA now in the US. So we only undertake that when we feel there is enough of returns and value to be generated from the product. So we are looking at the futuristic growth. But that's said and done, this is not going to happen in one year. So when I talk of 32-odd products, it's over the next couple of years.

Anupam Agarwal

Yeah, my question was not on product-specific answers. I'm asking, basically that 75 products which are in pipeline, which will fructify in the next three to four years. What will be the overall potential of those products?

Mark Saldanha
Marksans Pharma Limited
February 14, 2023
28

See, market size will be huge, couple of billion dollars, but that has no relevance because obviously then you have a lot of players in it. If it's a digestive item than a single molecule could be a billion dollar. But do you may have four or five players. You may have players that are very prominent into those segments. So definitely they can give us a good revenue jump, help us to at least get us to a double revenue over time, let's say, in the US, help us to achieve that objective of doubling our revenue over time, if all those molecules do see light.

Anupam Agarwal

Understood. In terms of capacity utilization, how much would that be for the Goa plant currently?

Mark Saldanha

So you are talking now Goa obviously, we have to consider two plants that we have. And with our plan to expand Teva plant to get us 8 billion units that plant will basically be generating more volume than our current existing plant. Slightly more volume in terms of our current existing plant which is very close to 8 billion anyway. So you can just add the numbers of what we are doing presently today, and you can double that from what will come from that plant. So we do see a larger revenue pie coming from the other plant.

Anupam Agarwal

Fair enough. Lastly, just wanted to understand on this Rx to OTC switch. So is it going to be marginally accretive for us and is it going to take time for that to happen or is there going to be with a one quarter, two quarter lag?

Mark Saldanha

No. So Rx to OTC is a long-term plan. So these are items which are, like I said in my to the previous people on the call, these are determined by regulatory authorities and months of visibility comes, you should be ready to file it. And then after filing it, wait for approvals to

Marksans Pharma Limited

February 14, 2023

29

happen. So you don't want to file it when it's an Rx item you have to file it when you see visibility happening in the OTC so when it's been switched over an OTC part of it. So these are long-term game plan, like I said, we are not into parafooperating challenges, but these are opportunities that we look out for.

Anupam Agarwal

Got it. Lastly, again on the capex, so INR200 crores capex for the plant and balance would be inorganic acquisition, is it right?

Mark Saldanha

Yes.

Anupam Agarwal

And at what stage of discussions or negotiations are we on that front and what location are we looking at the acquisition to happen?

Mark Saldanha

So it is in different geographies like I've always stressed that we are looking at expanding our footprint into Europe. At what stage, it's too early. There is nothing concrete to put to discuss on this forum right now, but these acquisitions will take addition

al amount of resources or

funds to consummate it. Like I said, there is nothing I can't basically discuss on what stage it is presently because it's too early.

Anupam Agarwal

So the size of the acquisition will be INR400 crore, INR500 crore kind of acquisition or?

Mark Saldanha

Marksans Pharma Limited

February 14, 2023

30

No, can't comment right now because it all depends on at what valuation expectation and agreements that we would eventually conclude on. So it's very vague to speculate on that right now.

Anupam Agarwal

Fair enough. Thank you so much. I'll wish you all the best. Thank you.

Sidharth Agarwal

Yeah. Thank you, Anupam. Next question, we have from Manoj Mathew. Manoj, could you

please introduce yourself.

Manoj Mathew

Hello. Can you hear me?

Sidharth Agarwal

Yeah, loud and clear. Manoj, could you please introduce yourself?

Manoj Mathew

Okay. I'm an investor and my question is, has the warehousing charges from the US gone up?

Mark Saldanha

Warehousing charges?

Manoj Mathew

Warehousing charges.

Mark Saldanha

Marksans Pharma Limited

February 14, 2023

31

Warehousing charges, I mean, we normally have our own warehousing in the US.

Manoj Mathew

Okay, not public warehouse.

Mark Saldanha

No, we don't do 3PL warehousing over there.

Manoj Mathew

Okay.

Mark Saldanha

You're asking of real estate prices have gone up, yes. The answer is yes.

Manoj Mathew

Okay. The next question. So you're talking of some acquisition. Probably, let's guess it's Europe, but definitely it should be consummated within the next financial year, because of course OrbiMed will be getting restless with their funds with you.

Mark Saldanha

Well M&A is a very tricky thing, but if past history has taught us anything, I mean if you look at our track records, we have done over four M&As over the span of a decade and a half. And so we are exploring, we are in talk OrbiMed is involved in everything that we do. Also, so we do have very — we have marathon discussions that puts valuable because they do give us insights of the company, the financial backgrounds, and analytic evaluations that they run through. So they are pretty much involved in tune in-hand with us on M&As, and they are also getting quite a few potential clients to us. And we evaluate it as a team. And then obviously, then that's only the starting point, right. From there, it goes through the entire nine yards. But presumably,

Marksans Pharma Limited

February 14, 2023

32

today there is nothing concrete. We are in dialog with a couple of companies, but there is nothing concrete to discuss as to whether there'll be consummated or whether they will go through and the timelines of that. If not, we will keep continue our search and we will continue exploring the possibility.

Manoj Mathew

Okay, again back to the warehouse, you ship to the East Coast, West Coast, Gulf Coast off the US, okay. So in all these three places you have your own warehouses?

Mark Saldanha

No, we ship to the East Coast and from East Coast, we distribute it to the rest of US.

Manoj Mathew

So you have some arrangements with some truckers?

Mark Saldanha

No way, we have our own — I mean, we don't have our own logistics, but we have companies that basically either collect programs or if you're dealing with large client, they have collect programs, where they pick it up from our warehouse.

Manoj Mathew

Okay.

Mark Saldanha

Or sometimes we ship it directly to the customer.

Manoj Mathew

Marksans Pharma Limited

February 14, 2023

33

Okay. So you'll be shipping to New York most probably.

Mark Saldanha

Yes. And we have all state licenses. So we don't need to walk on a 3PL for anyone else.

Manoj Mathew

Okay. And you own a warehouse in New York, that's what you're telling me.

Mark Saldanha

Yeah, we have one own warehouse. And we have long-term lease warehouse.

Manoj Mathew

Okay. Fixed lease for long-term.

Mark Saldanha

Yeah, long-term.

Manoj Mathew

Okay. Thank you. Thank you very much.

Sidharth Agarwal

Yeah. Thank you, Manoj. Our next question is from Bilal. Bilal Khan, could you please introduce yourself? Yeah, Bilal, are you there Bilal? Okay, Yogansh, YoganshJeswani? Yogansh, do you have a question? Okay, our next question, Vishal Manchanda.

Vishal Manchanda

Marksans Pharma Limited

February 14, 2023

34

Yeah, thanks for the opportunity again. In your presentation, you also had your own label brands. So can you say what percentage of your OTC business will be or what level?

Mark Saldanha

What percentage?

Vishal Manchanda

Yes.

Mark Saldanha

So our own label is around 15% to 20% right now.

Vishal Manchanda

Has the prices in your own label brands stable and do they fetch better realizations versus the rest of the business?

Mark Saldanha

Yes, they do to some extent, yes.

Vishal Manchanda

But are they moving so like as I understand, private labels are gaining market share than own label brands. So are there brands stable in terms of market share?

Mark Saldanha

They are stable, they are niche products, and they have potential of growth.

Vishal Manchanda

Marksans Pharma Limited

February 14, 2023

35

Okay. And which categories, these are the therapeutic categories that you have own label brands valued at or those are wellness brands?

Mark Saldanha

No, they are in the same categories that we are into pain, in digestive and cough and cold. So, our product portfolio revolves around those type of products presently. We focus on to these three segments presently on that.

Vishal Manchanda

So one thing that we're thinking about fortifying your existing business is backward integrating into API. Which are the other molecules which maybe large part of your business and we're going to backward integration?

Mark Saldanha

Well, we have a couple of molecules which have become really large, cetirizine is one of the items that we are backward integrating, some of the digestives we are backward integrating, so we are working right now on 10 DMFs presently. We do believe at least two or three of them would be filed in 2023.

Vishal Manchanda

And these DMFs will be filed from third-party businesses?

Mark Saldanha

No, the DMF will be on our name, will be filed by us, but we'll be only are using their facilities.

Vishal Manchanda

Right. So 200, 300 basis point expansion, is that fair to expect on account of this backward integration process?

Marksans Pharma Limited

February 14, 2023

36

Mark Saldanha

Yeah, sure. It's reasonable to expect that.

Vishal Manchanda

So like — currently it's 50% your raw material for us, would it be fair to assume about 80% of that would be API?

Mark Saldanha

Yeah, substantial amount will be active, yes.

Vishal Manchanda

Thank you. That is it.

Sidharth Agarwal

Yeah, thank you, Vishal. So we have our few investors

left. I'll just take them one by one. You

have Yogansh. Yogansh your question is done, or you would like to ask?

Yogansh Jeswani

Am I audible now?

Sidharth Agarwal

Yeah, Yogansh.

Yogansh Jeswani

Yeah, I'm so sorry about the — I had some trouble.

Sidharth Agarwal

Marksans Pharma Limited

February 14, 2023

37

Yogansh, could you please introduce yourself?

Yogansh Jeswani

Yeah. So I am from Mittal Analytics PMS. Mark, my question to you is on the inventory side. So, could you share the December ending inventory number for us?

Jitendra Sharma

Yeah. Hi Yogansh, see as of 31st December, we had inventory of around INR449 crores, say INR450 crores.

Yogansh Jeswani

Okay. So if we just look at your inventory in terms of inventory days, couple of years back, it used to be I think somewhere in the range 120 to 150 days. While in last two years, it has gone up to 200 kind of days. So going forward, what is the trajectory like, do we think that once these things normalize, we will be back to our 150, 120 days or that is a challenge now?

Jitendra Sharma

Our revenues have also grown. So we are expecting to do around INR1,800 crores plus in this financial year. And if you see our overall working capital cycle, so as on December — like you know, we had a working capital cycle of around 150 days. So we think that this kind of like numbers will remain in the business and with the absolute sales going up, the working capital will also go up. So these levels, I think, will continue in business from now onwards, because we need to — the inventory consists of raw material in the previous products. Since we are directly distributing the finish products, we have to high level of inventory days.

Yogansh Jeswani

Marksans Pharma Limited

February 14, 2023

38

Okay, understood. So just one clarification on that part, so earlier, the finished products used to not be on our books is the warehousing thing that you were mentioning to one of the participants, is that something recent that we started to see last two, three years?

Jitendra Sharma

See, we haven't hovered if you get the business. We are directly marketing these products to end consumers. So our revenues, 100% revenues are coming from B2C segment before acquiring Time-Cap in US, we used to distribute it through third-parties or through repackages. So at that time, of course, the finished goods inventory like you know, used to come in their books, not in our books. But now since we are distributing directly, once we export the products to US, it will be with us till we deliver it to the customers, end customers.

Yogansh Jeswani

Okay. Understood. So that was helpful. Just one question, not even a question, I just wanted to know your management's thoughts on it. So our company has been performing very stably for last many quarters now, and we are doing a lot of right things like we did a buyback a good time. We have also put in money in terms of orders and bringing in a strategic partner, while if we still look at the kind of valuation that the company is getting in the market is really low, so what are your thoughts as a management on this and what are you thinking of in terms of unlocking more value for all the shareholders?

Mark Saldanha

So there's no magic wand, except working hard and performing. But over and above that, obviously, the sentiments of the market play a very vital role in what you see. With COVID that took place, I think sentiments were not very favorable when we exited the tough scenario and got into normalcy because a lot of other industry starting to coming back into the play. But that said and done, we are looking at

our long-term outlook and our performance will speak of the numbers that will come. So I think our numbers will be a reflection of our performance and that's what I believe from a long-term one has to evaluate it from that angle.

Marksans Pharma Limited

February 14, 2023

39

Yogansh Jeswani

Right. That should be helpful, Mark. And I wish you and your team all the very best. That's it from my side. Thank you.

Sidharth Agarwal

Yeah, thank you, Yogansh. We have a question from Forum Makim. Forum, could you please introduce yourself? Forum, are you there? Okay. Bilal, do you have a question? Bilal Khan?

Okay. TanujKhiyani, you have a question?

TanujKhiyani

Yeah. This is TanujKhiyani from Ventura Securities. I actually had a question on Ibuprofen shortage that was going on recently. So how is the situation like and do you have any material impact on the same?

Mark Saldanha

Well, the shortage was very short-lived because obviously of the impact of what happened in China in the last quarter. Now, with China opening up, I don't foresee that having any material impact.

Jitendra Sharma

But of course, we can have a good amount of inventory, Ibuprofen raw-material lying with us.

We don't foresee any challenges at least so far as we are concerned.

TanujKhiyani

Okay. And I think Caplin Point has also done with its capex in the softgel segment. So do you see — how do you see them and like how would be competitor do in regards to our company?

Mark Saldanha

Marksans Pharma Limited

February 14, 2023

40

I can't comment on somebody else's company. But we don't evaluate it from that angle. We are more focused on what we do and how we grow. So, I don't see that being a concern right now.

TanujKhiyani

Thank you. That answers my questions. Thank you.

Sidharth Agarwal

Yeah. Participants, in the interest of time, this was the last question. And for follow-up questions, we request participants to write to ir@marksanspharma.com. So sincere apologies for this, yeah, as we have restricted the questions, so we may now conclude the call. I will now hand over the call to the management for their closing comments. Over to you, sir.

Mark Saldanha

Thank you, Siddharth, and thank you, everyone, for giving us this time opportunity. I know it's a busy day of the week. So, thanks a lot for coming on the call, and I hope we answered all your questions. Have a great day and be safe.

Sidharth Agarwal

Thank you, On behalf of Marksans Pharma and Systematix Institutional Equities . That concludes this conference. Thank you for joining us, and you may now disconnect Your lines and exit the webinar. Thank you.

Note:

1. This document has been edited to improve readability

2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Jun 2023

"Marksans Pharma L
4QFY23 Earnings Conference Call

MANAGEMENT : MR. M
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MODERATOR : MR. P
LIMITED
Page 1 of 23

Marksans Pharma L imited
23 Earnings Conference Call
May 31, 2023

MARK SALDANHA – FOUNDER, CHAIRMAN AND
ANAGING DIRECTOR – MARKSANS PHARMA
TED
JITENDRA SHARMA – CHIEF FINANCIAL
ARKSANS PHARMA LIMITED
PRASHANT NAIR – AMBIT CAPITAL
IMITED
23 Earnings Conference Call "

HAIRMAN AND
HARMA
INANCIAL OFFICER
APITAL PRIVATE

Marksans Pharma Limited
May 31, 2023

Page 2 of 23

Moderator: Ladies and gentlemen, good day, and welcome to the Marksans Pharma 4QFY23 Earnings Conference Call hosted by Ambit Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prashant Nair from Ambit Capital. Thank you, and over to you, sir.

Prashant Nair: Thank you, Ryan. Good afternoon, everyone, and thank you for dialing in. I am Prashant Nair, healthcare analyst at Ambit Capital. I would like to thank the Marksans Pharma management for giving us the opportunity to host this call. From the company today, we have with us Mr. Mark Saldanha, Founder, Chairman and Managing Director; and Mr. Jitendra Sharma, Chief Financial Officer. I will now hand over the call to Mark for opening remarks and to take it forward. Over to you, Mark.

Mark Saldanha: Thank you, Prashant. Welcome, everyone, and thank you for joining us in our 4QFY23 and FY23 earning conference call. We appreciate your continuous interest and support for the company. We are delighted to report a great year of performance, which exceeded our FY23 guidance of INR1,800 crores in revenue. Our performance was led by intense focus and

execution, driving market share in various products and SKUs. We saw strong growth across all our markets.

Our EBITDA margin improved for the quarter based on normalization in freight cost and cost optimization initiatives that we had undertaken. We observed improved market conditions in the quarter with stability in price erosion for our Rx products. This year has been a relatively busy year for us, which accounted for several key developments for the company, enabling shareholder value creation. This included the completion of the Teva Pharma acquisition, the OrbiMed warrant conversion, the share buyback, and now, additionally, we have announced a dividend of INR0.5, which is 50% of the equity of INR1 each face value for the financial year of '22-23.

We have appointed Mrs Shailaja Vardhan as our new woman independent director in the company for the strengthening and broadening our board. One of our key focus areas for the next financial year is going to be the integration of our newly acquired manufacturing plant from Teva, where we plan to obviously increase the capacity and launch new delivery segment dosage forms. We expect a meaningful revenue contribution from this plant to start from Q3 of FY24. We continue our focus on revenue growth by growing SKUs and existing retailers, products, and key markets. We also aim to launch new high-margin products in the year to come, enter new geographies, add new customers, and capture growth opportunities in the OTC segment.

We continue to take steps for backward integration and operational efficiencies. Marksans has consistently maintained a net cash balance sheet for the last five years. We aim to maintain a strong balance sheet with a disciplined growth approach over the coming years. We remain

Marksans Pharma Limited
May 31, 2023

Page 3 of 23

confident of the performance in the coming quarters, while headed to the best of regulatory and governance practice.

With this, I'd like to turn it over to Jitendra, who will update you on the financials and then we can start our Q&A.

Jitendra Sharma: Thank you, sir. Starting with 4QFY23 performance. Our operating revenue was INR486 crores, an increase of 16.3% compared with INR418 crores last year. The US and North America was at INR193.5 crores, representing a 12.8% increase year-on-year basis. UK and EU Formulation markets grew by 33.1% year-on-year to INR206.3 crores. Australia and New Zealand Formu

lation market recorded revenue of INR63.4 crores. The rest of the world saw an 11.8% increase in sales to INR22.8 crores in 4QFY23.

Gross profit was at INR242.1 crores, up 17.3% year-on-year. Gross margin increased by 40 basis points from 49.4% to 49.8% in Q4 of FY23. The raw material prices have started to normalize. However, the company is yet to see the full benefit of it.

EBITDA for the quarter was at INR109.5 crores, an increase of 72.1% year-on-year. EBITDA margin increased by 730 basis points from 15.2% in Q4 of FY22 to 22.5% in Q4 of FY23 on account of the normalization of freight expenses and cost optimization initiatives. Profit after tax was at INR82.7 crores compared to INR29.7 crores in Q4 of FY22, a growth of 178.9%. EPS for the quarter was at INR2, with almost 185% growth on a year-on-year basis.

Now, taking you through the full year FY23 performance. Operating revenue was at INR1,852 crores in FY23, up 24.2% year-on-year. The gross profit for the year increased by 20.3% to INR930.8 crores. The gross margin was at 50.3%. EBITDA for FY '23 increased by 31% year-on-year to INR339 crores. However, EBITDA margin increased by 100 basis points from 17.4% to 18.3% in FY '23.

The cash generation from the operation was at INR237 crores. For FY23, PAT grew by 42% year-on-year basis to INR265 crores. The earnings per share grew by 42% to INR6.4 per share. In FY23, the free cash flow was INR183.8 crores.

The capex incurred during the year was INR53.6 crores and we spent INR29.5 crores in R&D, which amounts to 1.6% of the sales. We continue to remain debt-free. We had a total of INR715 crores of cash as of 31st March 2023, which we plan to utilize for capex and funding our inorganic growth strategies.

With this, I would like to open the floor to questions and answers. Thank you very much.

Moderator: Thank you. We will now begin the question-and-answer session. Our first question comes from the line of Agastya Dave with CAO Capital. Please go ahead.

Agastya Dave: Thank you very much for the opportunity, and Mark, I must congratulate you. Amazing execution. Congratulations. Great work this quarter. Sir, my questions to you are basically a follow-up on something that we discussed last quarter. You had mentioned three major levers

for margins going forward. One was the high-cost raw material prices coming down, then the channel in the freight cost and the internal improvements.

Now, my understanding was that the freight reduction would have contributed to 100 basis points of margin improvement this quarter, but you guys, quarter-on-quarter, have reported a much, much bigger jump. So can you help me reconcile, because in the opening statement, you have also mentioned that the RM prices while coming down have not benefited you at all. So can you please help us reconcile the margins between Q3 and Q4?

Mark Saldanha: Yes. I mean, see, the RM prices have been dropping down, but it's not that we have been able to capitalize it for the full year.

Agastya Dave: Right.

Mark Saldanha: So, definitely, we did see a better improvement in Q4 compared to Q3. And again, this basically revolves around the inventory being held at different levels, at different plants, at different processes. While the freight has seen a steep decline on a month-to-month basis, so it's just a matter of timing, again, we definitely saw a better quarter compared to the previous quarters where these were concerned. Even the RM, actually, in April, we have seen better pricing than what we had seen in the last quarter. So there has -- because, obviously, when your inventory depletes, your new pricing comes into play, where your raw material and your purchase comes into play.

So that is where the dynamics basically changes from time. But definitely for the financial year, we could not capitalize it for the full 12 months because, obviously, we didn't see the price

prevailing at that -- at this level for the full 12 months. We saw an improvement happening in the third quarter. It was much better in the fourth quarter. Our inventory, which was there, reduced, because obviously due to all the supply challenges, we had to hold high inventory. So once the inventory started depleting, we started gaining on the new cost of goods or new cost of raw material that came into play.

Agastya Dave: Sir, you mentioned in Q3 that you guys were sitting on six months of total inventory, different for different locations and different products.

Mark Saldanha: Yes.

Agastya Dave: What is this number down to now? The six months of high-cost inventory.

Mark Saldanha: Yes. It's almost over. And some of the places and some of the items, we have already started with new cost. But I must tell you that the cost of Q4, what material we got in Q4 and what we are getting in Q1 of this financial year, which is starting from April, has further improved.

Agastya Dave: I see.

Mark Saldanha: So there has been a continuous process of improvement. I do believe that it is coming to a rock bottom in terms of pricing, but I do believe this year will be much better where pricing is concerned or raw material prices are concerned.

Agastya Dave: Nice. Nice. One other question, which is on the inorganic side. Sir, any progress as last quarter, you were saying you were evaluating two deals. Any progress there? Any likelihood that we'll see some announcement this quarter?

Mark Saldanha: Not this quarter, definitely not this quarter, but it's a continuous process. We do evaluate. We go under due diligence. We find out that maybe it's not the right deal for us. Sometimes valuations don't fit in. But nothing concrete where we are far away from pen to paper. But we are in dialogue with a couple of potential targets, but nothing concrete as of now.

Agastya Dave: Great. Sir, I may have a couple of more questions. I'll go back in the queue and come back. Thank you.

Mark Saldanha: Sure.

Agastya Dave: All the best for next quarter.

Mark Saldanha: Thank you.

Moderator: Thank you. Our next question comes from Viraj Mahadevia, individual investor. Please go ahead.

Viraj Mahadevia: Hi, Mark, Jitendra. Fantastic numbers. Congratulations to you for staying on course through the difficult last year. Mark, my question was regarding your opening remark about the launch of new products. Can you give us a flavor of the nature of new products you're looking to launch from your R&D stable, which are going to push up margins overall? And in a

normalized freight and raw material environment, do you think 25% margins are achievable in FY24 or FY25?

Mark Saldanha: So let me address your first question. Obviously, our product launches are something which -- obviously, it's not something that we start today and launch tomorrow. So these are items where we have been working on and where we file for quite a long -- I mean, maybe 12 months earlier. So we do see some approvals coming in the digestive range of items. We do see some approvals coming in the pain segment. We are expecting quite a few approvals in our UK plant and our UK manufacturing facilities. So we are seeing potential approvals coming all across

Viraj Mahadevia: So what's different about these products, Mark? What is different? Is it extended relief?

Mark Saldanha: Products in the UK are -- you are looking at antidepressants, cardiovascular items, some Rx and a mix of OTC. Out here in India also -- I mean, for the US market, you are looking at a bunch of pain and digestive in OTC and some in Rx items, and cough and cold also.

Viraj Mahadevia: Right. And what is...

Mark Saldanha: It is a basket of items, Mahadev.

Viraj Mahadevia: Right. What would lead to higher margins?

Marksans Pharma Limited

May 31, 2023

Page 6 of 23

Mark Saldanha: So the higher margins, we are lo

oking at basically, obviously, better cost of goods, raw materials, better product mix that is going to come into play with new approvals coming in. So these are factors that we are playing on. In terms of, obviously, leveraging new cost of material is always great news. But this will also come with some challenges of pricing pressure in terms of new price challenges that will ramp in, in the market because raw material prices have really declined dramatically out there.

But we do see us capitalizing on this raw material, the freight, the packaging material, cost that has come down, petroleum product -- petroleum items which are impacted with oil pricing, everything has improved. So we are very hopeful for a better financial year this year compared to last year.

Viraj Mahadevia: Right. My second question, Mark, is regarding your cash balances and something I've repeatedly asked, and congratulations on completing the buyback last year. I'm sure you are very pleased both from a shareholder and owner perspective at the price at which it was done. You have about INR715 crores of cash on your books. You're generating about INR200plus crores of free cash flow annually.

Even if you set aside INR200 crores for the Teva acquisition plus debottlenecking and another INR400-odd crores potentially for one or two acquisitions, you'd still have another INR50 crores to INR100 crores incremental left. Would you consider another buyback down the line because your share is still not fairly valued? Obviously, we have improved and come the long way since your last buyback, but that would add further to investor confidence.

Mark Saldanha: I think this is going to be an every-year process. And we have now defined the process of free cash flow and how we have to deploy the free cash flow in terms of dividend and buyback. And we will basically -- I mean, this year itself, we have -- like I said, we have done a buyback as well as improved on our dividend ratio. But if you look at it, one-third of the free cash flow we have deployed onto -- either into both categories or any one of the categories we have to explore on that.

Viraj Mahadevia: Right. So you're saying, potentially it's INR50 crores to INR70 crores could come back to shareholders in terms of a combination of dividend and/or buyback?

Mark Saldanha: Yes. It's one-third of free cash flow. That's what we try to adopt.

Viraj Mahadevia: Great. Excellent. Thank you. All the very best. Look forward to 2024 and 2025.

Mark Saldanha: Thank you very much.

Viraj Mahadevia: Thank you.

Moderator: Thank you. Our next question comes from Hiral Nandu with Kalpvruksh Capital. Please go ahead.

Hiral Nandu: Thank you. Thank you for the opportunity. And congratulation, Mark, for the great set of numbers.

Marksans Pharma Limited

May 31, 2023

Page 7 of 23

Mark Saldanha: Thank you.

Hiral Nandu: Just to understand on the EBITDA margin, as you have promised earlier or you have guided further that we will keep growing, and it is seen on that path. We are now 22.5% EBITDA. So in going forward, how much this sustainable and growth, as I think the earlier question was also same line, that 25% or at least 22.5% margin sustainable in the future. And are we on the same target, top line of INR2,000-plus crores in the years to come?

Mark Saldanha: Yes. I mean, we are very confident. In all my earlier conference calls, we had set out a benchmark of INR2,000 crores and we are pretty much around there. And so now we no longer talk of INR2,000 crores. We talk beyond INR2,000 crores. So we are confident of surpassing that benchmark. Now we are setting up a new benchmark, a new milestone for us, and that we are planning to achieve in the coming years. So definitely we are confident...

Hiral Nandu: We are excited to hear the new benchmark, actually.

Mark Saldanha: Yes. I mean, because there is visibility. Obviously, we do believe INR2,000 crores will be crossed, and now we

are aiming for higher grounds, higher -- new heights, let's put it this way.

So we have visibility and we do see us growing in the next three years or so. And that's where I do believe, at least from a revenue point of view, we have surplus expectation, like I mentioned, in this year itself and we do plan in the coming years.

So from a bottom line point of view, obviously, we are working hard in terms of EBITDA. It's very fluid, but it's always -- I believe it's going to be always better than the previous because of all these improvements of raw material, freight, everything coming into play.

Hiral Nandu: So you see that this raw material and the freight price now being settled and more or less can remain constant in the future, right, for the next couple of quarters, so that this margin is sustainable that way. And if some guidance or some thought process on the Teva facility, that what kind of revenue we see in this coming year, financial year '24?

Mark Saldanha: Well, like I said I mean, there will be a gestation time. We have just acquired. We have just moved into Teva somewhere in April. There will be some gestation time for integration, for expansion of capacity, everything. So we do see revenue generation coming from the Q3 of this year. And then, obviously, we do see a full-fledged revenue generation happening maybe in the Q4 or Q1 of the next year, Q1 is more realistically, where we do believe with the amount of investment that we are doing, it will be probably equivalent to or at par or bigger than our present facility in Goa.

Hiral Nandu: Superb. Superb. All the very best and congratulations once again. Thank you.

Mark Saldanha: Thank you very much.

Moderator: Thank you. Our next question comes from the line of Darshil Jhaveri with Crown Capital. Please go ahead.

Marksans Pharma Limited
May 31, 2023

Page 8 of 23

Darshil Jhaveri: Good evening, sir, and thank you so much for taking my question. Firstly, sir, congratulations on great set of results.

Mark Saldanha: Thank you.

Darshil Jhaveri: So, sir, I just wanted to ask about -- so we were talking about going beyond INR2,000 crores revenue. So that would be for FY24, correct, sir? And so what would be the potential of combined our new product launch and Teva maybe for FY25 or something we could have, like, some sort of what we could see is our combined that. And will the Teva facility impact our EBITDA margins because we are seeing integration of new facilities?

Mark Saldanha: So from a short-term point of view, if you're talking of a quarter or two, definitely integration takes time, takes money. So there's a cost implication out there. But from a medium to long-term point of view, the return on investment, and there's a lot of gain from the pain that we take in the short-term. So I do believe that Teva facility is going to add tremendous value and basically it's going to fuel our growth and service our front-ends globally.

So I think there is no other shorter cut or a shorter way to actually overcome that. But we are doing -- we are basically burning the candle at both the ends. We are working extremely hard to ensure the gestation time is as short as possible where that is concerned.

Darshil Jhaveri: Okay, sir. So, if I may, just for FY24, can we think about INR2,000-crores-plus revenue with around 22% margin, would that be a fair assumption?

Mark Saldanha: Well, I can say we are quite confident of breaching the INR2,000 crores. So that's not a problem. The margin part of it, I would not want to speculate right now. But we are optimistic that our EBITDA will be better than what it was for the year end.

Darshil Jhaveri: Oh, okay, sir, that helps a lot. And sorry, sir, but can I just if -- about the Teva facility. So what kind of peak revenue or how that we could maybe expect, maybe FY25, because I understand there is a gestation period or something? Any something ballpark figure?

Mark Saldanha: I think from a rev

enue point of view, again, we don't want to give a short-term outlook on a revenue basis. We normally talk about our objectives of hitting new goals and new heights. We have plans in place to achieve our new milestone. We no longer talk of INR2,000 crores, but it's great that you still remember INR2,000 crores. So -- but we have set a new height for the company, a new objective, new goal. But I do believe in terms of volumes, we are looking at 5 billion-plus tablets or pills to come out of Teva for '25.

Darshil Jhaveri: Okay, sir. That helps a lot. And congratulations once again on a great set of results. Thank you so much.

Mark Saldanha: Thank you.

Moderator: Our next question comes from the line of Manoj Mathew Jacob, an individual investor. Please go ahead.

Marksans Pharma Limited

May 31, 2023

Page 9 of 23

Manoj Mathew Jacob: Hello. Congratulations, Mark and Jitendra.

Mark Saldanha: Thank you.

Manoj Mathew Jacob: My question is what about the DMF, have you filed the DMFs? You said you will be filing DMF for molecules?

Mark Saldanha: So, Matthew, we are working on it. We are working on right now five items, five products, five molecules. We are hoping that our DMF would be filed somewhere in the month of September 2023. Obviously, we are just going through the entire process of stability, profiling, and impurities. There's a lot of chemistry that is involved in all that, but we are optimistic that we should see the light in terms of the filing part of it.

Manoj Mathew Jacob: And you'll still stick to contract manufacturers, not to own the backward integration?

Mark Saldanha: Yes.

Manoj Mathew Jacob: You'll still stick to contract manufacturers. And one question, sir. Teva alone, Teva alone, the next financial year, how much will it do? INR1,000 crores or INR2,000 crores?

Mark Saldanha: I didn't get what you were asking. Could you repeat?

Manoj Mathew Jacob: I'm talking Teva facility alone. Teva facility alone.

Mark Saldanha: Teva facility, okay. Like I said, I can't give a number to it because we don't give a forward look on this, but I can give you what we are aiming in terms of the number of pills that we are -- the capacity that we are looking at, 5 billion to 6 billion tablets coming out of that facility.

Manoj Mathew Jacob: Not 8 billion.

Mark Saldanha: Well, it will go to 8 billion, but it's a stepping stone. So we won't -- it's not like -- I wish it was like a Ferrari where you start from a zero to 100 in 4 seconds, but it does not happen that way.

We are investing a lot. So in the first year, after the -- I mean, after the first year, we do believe we will touch between 5 billion to 6 billion and then we will be aiming for 8 billion.

Manoj Mathew Jacob: Okay. And you will be looking into inorganic growth because we sit on a good amount of cash.

Mark Saldanha: Well, that's a part of our business module that we always pursue and -- but if history has to say something about us, we are very choosy in how we go about doing our inorganic strategies and how we acquire companies. We have to see the synergy and obviously, it has to be value-driven for our shareholders. So it's easier said than done, but we are exploring. We are in dialogue.

We've gone through due diligence of over two companies in the last 8 months. So we do explore that possibility, but nothing concrete today to report on that.

Marksans Pharma Limited

May 31, 2023

Page 10 of 23

Manoj Mathew Jacob: Okay. Okay. That's good news, and the last question. There was some news that in Madhya Pradesh you allotted some piece of land. Is that true? Is it -- are you building something over there?

Mark Saldanha: Yes, Indore, that was Indore, we were awarded land, but now our focus has gone to this new facility, Teva, that we acquired because that came a bit later on. So presently, we are pursuing the Teva plant. We've got our hands full. And like I mentioned in my opening statement, that's our priority

number one because that will ensure our objectives being hit and our growth plan being executed.

Manoj Mathew Jacob: If you look at your financials, it seems that you bought the Teva plant for INR56 crores and you will be putting in another INR200 crores to expand capacity. Am I right?

Mark Saldanha: Yes. INR200 crores includes the acquisition cost.

Manoj Mathew Jacob: Okay. So now INR200 crores minus INR56 crores. That's how we should read it.

Mark Saldanha: Yes.

Manoj Mathew Jacob: Okay. Okay. Thank you, Mark, and congratulations.

Mark Saldanha: Thank you.

Moderator: Our next question comes from Vignesh Iyer with Sequent Investments. Please go ahead.

Vignesh Iyer: Congratulations, sir, on a strong set of numbers and thank you for the opportunity. This is more related to your other expenses for this quarter and for the quarter that ended December.

Just to get an understanding, as in your other expenses in quarter three was around INR101 crores and which is INR72 crores in this quarter. So just wanted to understand if this is one-time savings in quarter four or was it more to do with one-time expenses in the earlier quarter? Or what is the exact nature that we have managed to save a good chunk despite having growth in revenue?

Jitendra Sharma: So mainly, of course, this reduction has come from freight because in terms of -- if you see the product mix, most of our products are volume-driven products and our freight costs, like, has gone as high as 15%, like, of the revenue number when the freight rates were at peak.

So just for your better understanding, for US refer containers, like, earlier at pre-COVID level, the freight rates were in the range of \$3,000 per container, which have gone up to \$12,500 per container and now it has come down again back to \$3,000 per container. Similarly, for UK also, the freight rates have gone up to almost \$9,000 per container, which has now come down to almost \$2,000 per container.

So we have witnessed a good amount of saving there. And so there is no one-off as such because freight, like, in coming quarters, we believe these are the normal levels. We have gone to almost pre-COVID levels of freight rates. So, hopefully, like, we see better numbers. We have taken lot of measures in terms of the cost optimization also. And there are some

Marksans Pharma Limited

May 31, 2023

Page 11 of 23

reclassification, which we have done in our other expenses and that also resulted into bit of lower other expenses in totality.

Vignesh Iyer: Sure. So, sir, if my understanding is correct, subject to the freight doesn't go up from here, we'll be saving that amount of cost, right, for this amount of savings that we're doing.

Jitendra Sharma: A good part of that, yes.

Vignesh Iyer: Fair enough. And secondly, coming to this new acquisition that you have done in Teva facility, just to understand if I have to put a blended margin profile for the products that are going to come from the Teva facility, would it be more or less on lines with what the company is making now?

Mark Saldanha: Yes, that would be fair enough to say. Obviously, we will always try to improve on the margins, but it's too early to mention on the improvement part of it. But I think it'd be fair to say that it will be a blended mix of what we are getting today.

Vignesh Iyer: Okay. Because just to get the understanding, because you've got a huge chunk of cash with you, so just to understand what is the process by the management to actually identify any company. Is there a metrics in place, like a good IRR or ROC that you expect the company to make out of such acquisition? I mean, if I could just -- if we could, as an investor, get an idea behind, apart from the product profile, obviously, which is more on the technical side of it, but on the financial side, if we could get some understanding of what is the management thought process behind, because we have got a good chunk of money even after t

his acquisition.

Mark Saldanha: So, obviously, when you -- acquisitions are different types of acquisitions. When you look at an asset, I think the gestation time is going to be how fast we can optimize the desired output that we are looking for. And if we hit those objectives, then return on investment relatively is very fast. And obviously, we do calculate all this into an acquisition that we go into.

When it's related to more into company and to different geographies and all, it becomes a bit more complex. Then integration takes a bit longer and return on investment takes a bit longer because then you are looking for different objectives and different milestones to be hit and different growth trajectories to be hit. So there, obviously, the dynamics and even the valuation becomes different when you look at company versus you look at a facility. So a facility is always looked as either asset or a liability. Company is always looked with more sentiments and emotions attached to it and valuations and multiples that go into play.

Vignesh Iyer: Yes, it is right. I don't deny on that part of it, but, financially, at least, I mean, as the management would be deciding on acquiring a company, which probably has like 3.5, 4 times of fixed asset turnover or a 15%, 20% of ROC at least, right? So if you have got any specific metric that you could share with us that, okay, we don't pick up a company if it is below this because at this ROC level, it doesn't make sense to actually put money in the company.

Mark Saldanha: No, I think we evaluate it from case to case basis. We don't have a metrics defined in paper

that way, but we do have -- obviously, we have a board of directors. We brainstorm. We

Marksans Pharma Limited
May 31, 2023

Page 12 of 23

evaluate it. We do consider -- we do try to see how fast we can -- how fast the ROC will take place. And if it is too long, then we have to let go of it.

Vignesh Iyer: Okay. Sir, just last question from my side. I just wanted to understand, we closed this year with a -- on a consolidated basis with a tax rate of 21%. Would it be at this level only or will it be moving to probably something like 25% again in next year?

Jitendra Sharma: Yes. It will increase a bit because from this year onwards, the UK corporate tax rates have increased from 20% to 25%. So we believe the effective tax rates from this year onwards should go to around 23%.

Vignesh Iyer: Okay. Okay, sir. Thank you. That's all from my side. All the best.

Jitendra Sharma: Thank you.

Moderator: Thank you. Our next question comes from the line of Anupam Aggarwal with Lucky Investment Managers. Please go ahead.

Anupam Aggarwal: Thank you so much for the opportunity and congratulations team on great numbers. My first question is on the Teva plant. So I understand Q3 of this year is when you're looking to commercialize. Can you help us understand the annual opex cost that will start flowing through from the next year with respect to Teva plant?

Jitendra Sharma: Well, see, the opex cost will depend on the level of activity and the capacity utilization we will have from the plant. So right now, we are in the investing mode. We don't have much of opex out there, but definitely, we are investing a lot in capex. The current costs, like, are not that high and -- but definitely it will increase in coming quarters. But our objective here is to ensure that we start generating revenue as early as possible. And we believe that we will achieve, like, a breakeven kind of scenario by Q3 of this financial year, so far as Teva facility is concerned.

Anupam Aggarwal: You mean EBITDA breakeven by Q3 FY24?

Jitendra Sharma: At profit level, I mean to say at profit level. Not EBITDA.

Anupam Aggarwal: Understood. Understood.

Jitendra Sharma: Yes, at net profit level.

Anupam Aggarwal: But you just mentioned to the earlier participant that blended company level both are at a similar margin as what Marks

ans reports currently. I'm not able to reconcile the math.

Jitendra Sharma: Yes. That was with regard to the product mix what we were talking about. The EBITDA, which our -- the existing plant product mix generates, like, we will have similar level of EBITDA with the products which we are going to get manufactured at Teva plant.

Anupam Aggarwal: All right. All right. Have we already started front-ending some costs with respect to the Teva plant already in the Q3, Q4 numbers?

Marksans Pharma Limited
May 31, 2023

Page 13 of 23

Jitendra Sharma: It will start from Q1.

Anupam Aggarwal: It will start from Q1. All right. And at 5 billion capacity, which sir said in year one, what will be the opex cost for the plant on an annual basis?

Jitendra Sharma: Well, I can give you just offhand numbers. It will be anything between INR50 crores to INR60 crores per annum.

Anupam Aggarwal: Understood. That helps. Thank you. Second question with respect to the new products, so you mentioned they're coming in digestive and pain segments and antidepressants and a mix of Rx and OTC. Just to get a color on how the product mix will shape up from the Teva plant. Is it similar to what we do currently or is it going to be meaningfully changing from there?

Mark Saldanha: More or less in the first year, it is going to be very similar. And then as and when we start filing some products from the Teva plant, the product mix will change.

Anupam Aggarwal: And the revenue mix from that plant is also going to look similar, US and UK largely, or...

Mark Saldanha: It will be more European-driven, but I do believe eventually it will balance it out to US and Europe.

Anupam Aggarwal: US and Europe. Understood. Just lastly from my end, just wanted to understand directionally, I know OrbiMed has come in and has converted the warrants. Any support you have received from them in terms of customer engagements, in terms of penetrating deeper into MSE markets, or getting into new markets? Some sense if you can give as to what -- financially, we understand you've got the support, but otherwise, if you can help us understand what is the role

OrbiMed is playing in terms of getting more business to us?

Mark Saldanha: Yes. I mean they are actively involved in dialogue. They are also helping us in identifying M&As. They are on the board. They basically -- all the M&As we get also, we have -- they have insight, they have market intelligence on various continents and countries where they give us good inputs on potential targets that we identify and the background checks. So I think their value addition is tremendous, number one on the board, on the corporate governance point of view. And obviously, in M&A, they are very actively helping us on that.

Day to day running of operation, obviously, we do most of the day to day operation. They do actively participate in our meetings that we have every fortnight or once a month. Whenever we do have board meetings, they are quite active out there.

Anupam Aggarwal: So I believe it's been a year OrbiMed showed interest in investing in Marksans. Last one year, have you seen anything in numbers financially helping us show better numbers?

Mark Saldanha: I think their role is a little different. They are not here to run the company. So we run the company...

Anupam Aggarwal: Right.

Marksans Pharma Limited

May 31, 2023

Page 14 of 23

Mark Saldanha: But their role is more on to adding value on to the board and on to the direction that we would -- that we plan to take, the support structure that they actually offer, and obviously, the wealth of knowledge that is there in this industry as well as in M&As. So we lean towards them where we -- whenever we do come across an M&A or with -- sometimes they have honestly recommended quite a few M&As, and they actually approach company or M&As for us even if we have potential target, because they have better connectivity and bet

ter bandwidth of

approaching clients. So they have been very instrumental.

And M&As is a very important part of our business module that has evolved our company over the period of years. So I do believe they will add tremendous value where that is concerned.

Anupam Aggarwal: Right. Lastly if I may, sir, out of INR200 crores, we have invested INR57 crores, so balance INR143 crores. Will that entire INR143 crores flow through in FY24 as capex? And over and above our current business, what is the capex there?

Mark Saldanha: So in the Teva plant, we have already -- starting from April, we've started really spending money because, like I said, we are trying to compress the gestation time as fast as possible. And we are trying to put machines, we are trying to increase capacities, we are trying to integrate. So a substantial part of that money will go in this financial year and in the new -- and whatever, our new -- in the current financial year, which is going on.

And with the other facilities, the normal capex, which goes year-on-year, in terms of upgradation of machines or breakdowns or engineering novets that we keep working on, so that's a normal process which pretty much every plant witnesses on a yearly basis.

Anupam Aggarwal: Right. So INR150 crores, INR200 crores each year for next two years. Is that understanding right?

Mark Saldanha: More or less.

Anupam Aggarwal: Okay. Got it. Thank you so much and wish you all the best, sir.

Mark Saldanha: Thank you.

Moderator: Thank you. Our next question comes from Yogesh Tiwari with Arihant Capital Markets.

Please go ahead.

Yogesh Tiwari: Yes. Good afternoon, sir. Thanks for the question and thanks for the opportunity, and congratulation for the result.

Mark Saldanha: Thank you.

Yogesh Tiwari: My first question is on the employee cost. So on a quarter-on-quarter basis, the employee cost has declined. So what would be the reason for it?

Marksans Pharma Limited

May 31, 2023

Page 15 of 23

Jitendra Sharma: See, basically, I think it is just that, like, some bonus payments normally, which happens in the initial quarters and towards the end, like, it normalizes. So I think it is that, which has basically resulted in a bit lower employee cost. So it will get covered, like, in the first two quarters of the current year.

Yogesh Tiwari: So basically, it was related to some bonus component.

Jitendra Sharma: Yes. The incentives and bonuses, which are normally being paid in Q1 and Q2.

Yogesh Tiwari: Sure, sir. And in terms of the US business, like what would be the price erosion for the fourth quarter and what would be the current status, like, how is the pricing environment now versus Q4?

Mark Saldanha: So in the first quarter of this financial year, obviously, there is a stability in terms of pricing. But whenever raw materials change, pricing erodes so fast it's never encouraging because it creates panic and even the front-end witnesses that price erosion to some extent, but I do believe this year, there will be a stability. I do not see prescription products which were highly volatile. We have seen -- we are witnessing now pricing stability happening. So that is a good news. So we do not see any further price erosion happening where that is concerned. But in the rest of the industry, it's just a normal trend, which is nature of the beast that I would put it at.

Yogesh Tiwari: So, sir, directionally, like Q1, the current quarter, the price erosion is less than Q4. Can we assume that?

Mark Saldanha: Yes, we can assume that.

Yogesh Tiwari: And it is in the range of a single low digit?

Mark Saldanha: Yes.

Yogesh Tiwari: Okay, sure. In terms of US business, sir, our proportion of OTC has improved significantly from about 55% to about 74%, 75%. So how will it impact our business in the US? Are margins increasing? What would be the impact like?

Mark Saldanha: I don't see an impact. I see a positive because we are gaining market sh

are only. Operational

leverage will kick in with better revenue coming in. Distribution will get more economical and cheaper when you start shipping more products to the same destination. So I do see freight cost optimization happening, I do see operational expenses being optimized and leverage being kicking in there.

So I do see a benefit happening only from that angle.

Yogesh Tiwari: Thank you. So, sir, can we assume that because of the increase in the proportion of OTC products in the US, that might be one of the factors why our other expense and freight cost is also reduced drastically in the quarter?

Marksans Pharma Limited

May 31, 2023

Page 16 of 23

Mark Saldanha: To some extent, yes..

Yogesh Tiwari: And we will be able to maintain that low freight cost because of the increase in this proportion?

Mark Saldanha: Yes.

Yogesh Tiwari: Sure, sir. In terms of the UK business, we have seen quite a strong growth of, like, 33% on a YoY basis. So what would be the key drivers for that such a strong growth? Because other regions still they are in a band, but UK and Europe is doing extremely well. So what would be the key drivers for it?

Mark Saldanha: New product launches happening, and so we are very aggressively launching new products. We are also obviously taking market share. So as company matures, the product basket matures. You get better market share. You get better position. And definitely, with new products coming in, you see a better product mix and a better profitability happening.

Yogesh Tiwari: Sure, sir. And in terms of the -- as you told in the commentary that we will be looking at some inorganic opportunities. So any target segments, what would be the target segments for the inorganic opportunity?

Mark Saldanha: Well, I can't say target segments, but I can tell you geographies, we are still exploring Europe. So we look at opportunities in Europe. We look at opportunities in India. So we are exploring different geographies.

Yogesh Tiwari: Sure. And like, we have about INR 700 crores of cash. So that what would be like the ticket size of that acquisition approximately? What would be the range like?

Mark Saldanha: We don't define that. We are more keen on looking at the qualitative part of the acquisition than the quantitative part of it. So we do look at, number one, there has to be a synergy and there has to be a value addition on what we can get on to the table. So based on that, we are open to different ticket sizes, but we are -- we don't go with a mindset that we need to acquire something really big or acquire something really small.

Yogesh Tiwari: Sure, sir. And sir, in terms of the outlook for FY24, so this Teva facility would be coming about like in Q3 of this year. And we grew by about like 24% approximately in Q this FY23 and this Teva facility coming in mid of '24. So can we do better than the growth we had in FY23? Can we assume that with the new facility is coming?

Mark Saldanha: Well, we are expecting to grow, that's for certain. I mean, our benchmark is to cross INR 2,000

crores and we are positioned for that. So definitely growth will happen, but the full optimization of the Teva facility, you'll basically see it in the next financial year, like I mentioned in the Q1 of '25. But definitely, this is -- you will see returns happening, you will see sales revenue being generated in Q3 '24, and that will add to our growth story only because obviously any additional revenue that comes in is going to add to your growth story.

Marksans Pharma Limited
May 31, 2023

Page 17 of 23

Yogesh Tiwari: So, sir, just in terms of approximate quantification, because of the new facility and other initiative which we took, so we will be able to grow more than 20% in this current financial year facilitated by our other initiatives.

Mark Saldanha: It's tough to give a number right now or a percentage right now. But like I said, when you talk of Q3 of '24, basically t

hree-fourths or half the year or more than half the year is already over here. So it's not going to be like, well, if numbers could add up that easily, then next year you'll ask me, can we do 40% growth. So it does not work that way, but, definitely, we plan to maintain our growth level for this year, too.

Yogesh Tiwari: Sure, sir. And lastly, sir, for modeling purpose, what would be the sustainable operating margins in the long-term for us?

Jitendra Sharma: Can you repeat your question again, please?

Yogesh Tiwari: What would be the range of sustainable operating margins, EBITDA margins, for our company in the long-term?

Jitendra Sharma: See, we have achieved 18% EBITDA margin during March '23. And it is a bit difficult to give forecast, but we expect to maintain at least these margins at these levels.

Mark Saldanha: And probably improve slightly. Obviously, we are aiming -- we want to touch the 20% levels, but we have to work out on that.

Yogesh Tiwari: Sure, sir. That is very helpful. That's all from my side. Thanks.

Moderator: Thank you. Our next question comes from the line of Prerit Choudhary with Green Portfolio.

Please go ahead. Prerit, your line is unmuted. You could please ask your question.

Since there is no response, we move on to our next question, which is from the line of Shikhar Mundra with Vivog Commercial Limited. Please go ahead.

Shikhar Mundra: Hi, sir. Congrats on a good set of numbers. What would you say is our existing capacity utilization for the Goa, UK and US facilities?

Mark Saldanha: You are talking of the present facility or the Teva, including the Teva?

Shikhar Mundra: No, excluding Teva.

Mark Saldanha: So we are at 70% utilization.

Shikhar Mundra: All right. And sir, how much do we plan to invest in API manufacturing for the top 10 molecules?

Mark Saldanha: I didn't get you. You're asking how much do we plan to invest or how much do we...

Shikhar Mundra: API. API manufacturing for the top...

Marksans Pharma Limited
May 31, 2023

Page 18 of 23

Mark Saldanha: Yes. I mean, we are -- right now, we are targeting the top five molecules to file our DMFs. It may go between five to seven items that we will file DMFs. And we'll probably be looking at an investment around INR20-odd crores, INR20-odd crores to INR30-odd crores.

Jitendra Sharma: So we are basically going through a CDMO approach.

Shikhar Mundra: Okay.

Jitendra Sharma: So basically our investment here will be mainly in filing DMFs, in the product development and in filing the DMFs. So we believe that we will spend somewhere around say INR5 crores to INR7 crores per molecule.

Mark Saldanha: Per molecule.

Shikhar Mundra: Okay. And what would be the potential cost saving for these? Like, these top five molecules contribute how much to our revenues? And what would you expect the cost savings due to the backward integration?

Mark Saldanha: The top five molecules, the fact that they talk of top five molecules will probably contribute maybe 30%.

Jitendra Sharma: In terms of the price reduction. But in terms of the overall margins, like, we can expect our gross margins to improve by anything between 300 to 500 basis points.

Shikhar Mundra: That's only pertaining to these five molecules or on a company level?

Jitendra Sharma: On these five molecules.

Shikhar Mundra: All right. And one question for the Teva facilities. You have acquired the whole facilities for INR56 crores. Then, how come are we spending extra INR144 crores to get it ready? What are we exactly spending this on?

Mark Saldanha: For capacity enhancements. And obviously, the capacity is very small. So we are increasing it to our expectation. So the facility is big, but the capacity is small.

Shikhar Mundra: Okay. So what is the current capacity? So -- because we plan to make it 8 billion. So what is like the current capacity in terms of units?

Mark Saldanha: I think it's less than 2 billion.

Shikhar Mundra: A

Il right. All right. And do we have some manufacturing agreement with Teva in place to supply them some of the medicines from this facility?

Mark Saldanha: We have for 12 months.

Shikhar Mundra: 12 months. And how much would be the potential in terms in billion units?

Mark Saldanha: I didn't get you. How much would be the potential in terms of units?

Marksans Pharma Limited

May 31, 2023

Page 19 of 23

Shikhar Mundra: Yes, to Teva.

Mark Saldanha: It will obviously come from the present capacity only. This is not from our increased capacity. So they will be consuming it from their present capacity that is already installed.

Shikhar Mundra: All right. And that agreement is for this financial year, FY24?

Mark Saldanha: Yes. For this financial year, for 12 months.

Shikhar Mundra: All right. All right. And so the EBITDA margin which has occurred, so how much -- like, the EBITDA margin expansion which has occurred from quarter three to quarter four, how much would you say it is due to a change in product mix and how much from the savings and freight costs?

Mark Saldanha: I think a substantial comes from the raw material and freight cost. And product mix, that is a continuous process that takes place. But you will see a better impact of the product mix in this financial year.

Shikhar Mundra: All right. So if the freight cost remain as it is, so this EBITDA is definitely sustainable, would you say that or we can even do better than this, like with the improvement in product mix?

Mark Saldanha: I'm hoping for better.

Shikhar Mundra: All right. Got it. Thank you and best of luck.

Mark Saldanha: Thank you.

Moderator: Thank you. Our next question comes from Vishal with Systematix. Please go ahead.

Vishal Manchanda: Hi. Good evening and thanks for the opportunity. Sir, would you like to speak about the drivers that would help you in FY24 in terms of performance, whether it would be new product launches or probably any specific opportunity that you're looking at in FY24?

Mark Saldanha: So FY24, obviously, is on two grounds. One is continuing the momentum that we have set out in 2023. I think a substantial amount of that momentum happened in the last half of the year.

So that itself, if it carries forward, will help us achieve our objectives. Then, obviously, a better profitability where we obviously are hoping for the best in terms of pricing and raw material, sustainability pricing and freight, which I do see is basically now stabilizing and has hit rock bottom.

And then, obviously, last but not the least, commercializing and integrating our Teva facility, which we are expecting some decent amount of revenue generation happening in the last half of the year.

Vishal Manchanda: Sir, when you say integration, you mean the backward integration with your own API?

Mark Saldanha: No, no. Teva, we are talking about obviously integration in terms of our products. We still need to do a lot of site variations out there. We still need to get our licenses into Teva. So it's

Marksans Pharma Limited

May 31, 2023

Page 20 of 23

not that -- we are not inheriting any product licenses from Teva. So it's not something that we are inheriting. It's only the facility. So it's one thing expanding the operation in terms of capacity, but it's another thing of trying to say, okay, these are the products that we need to introduce into Teva and for that we need regulatory approvals or site variation approvals to basically take place so that we can actually produce this product somewhere.

Vishal Manchanda: Okay. And with Teva cost starting to hit into your P&L, will that dilute your margins in the

near-term?

Mark Saldanha: There will be some short-term pains before before you see gains. So definitely, there will be -- while we are investing in the short-term in the first three to six months, there will be some short-term pains, but we are expecting tremendous gains to come out of that.

Vi

shal Manchanda: Any fundamental improvement that you're seeing in Europe in terms of either competitors exiting, helping you gain market share, or better pricing, any such trends in Europe that you're seeing?

Mark Saldanha: No, nothing that is visible right now.

Vishal Manchanda: Okay. But overall, do you see an improvement in the environment, the competitive environment and pricing environment?

Mark Saldanha: I see an improvement in our performance beyond that.

Vishal Manchanda: Right.

Mark Saldanha: I mean the environment is what it is for the last 10 years, is going to be always the same.

Vishal Manchanda: And ibuprofen contribution, can you call out the number during the quarter?

Mark Saldanha: Well, it is a part of our pain. It is a part of our largest portfolio that product that we have that we enjoy market share. The exact number of the -- number on the molecule, I don't have it readily available with me right now.

Vishal Manchanda: And the backward integration will happen this year with your own API?

Mark Saldanha: Yes.

Vishal Manchanda: Second half or...

Mark Saldanha: Second half. We are hoping for filing maybe in September or October.

Vishal Manchanda: So you mean you can start selling with your own API? It'll take time post that once you...

Mark Saldanha: It will take time because then, once the DMF is filed, then we have to also -- we will be also filing for our own license to be incorporated in our own license. So it may take another three to four months, but at least the first step would -- we would have crossed the first step.

Marksans Pharma Limited

May 31, 2023

Page 21 of 23

Vishal Manchanda: Understood. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, I request please restrict yourself to one question per participant. Our next question comes from the line of Sachin Kasera with SVAN Investments. Please go ahead.

Sachin Kasera: Yes. Hello. Good evening and congrats for a good set of numbers. I had two small questions.

One is on the margin. So in the presentation you have mentioned that you want to increase the share of R&D from 1.5% to 4% to 5%. And there's also mention that our expectation is to reach like the 25% margin. So which means that we need to expand our markets by like 900 to 1,000 basis points, part of which will be reinvested in R&D and part will be retaining.

So, one, this looks like a very ambitious number from the current 18% that we reported this year. So, first, if you could tell that? And secondly, will this expansion be primarily driven by gross margins or we see significant benefits coming from, like, things like freight savings or maybe operating leverage or some other cost-saving initiatives if you could dwell on that?

Mark Saldanha: Well, it's going to come from both, I mean, from all fronts basically. It cannot come from a single front. Like I mentioned, the margin contribution will also happen because of product mix that we are looking at, which, again, is a part of new product launches, which is a part of R&D contribution, which basically gives rise to new launches that happen on a quarterly basis, on a yearly basis. So product mix is going to play a critical part for any company to evolve from point A to point B.

And then, again, it's a cumulative thing of -- it's a cumulative effort of every department on every area to save -- to add value onto the bottom line. Whether it might be raw materials, freight, and operating leverage, operation cost. So we look at every small thing, distribution cost, everything of that sort.

Sachin Kasera: And on R&D, you are talking of like almost tripling as a percentage of sales. That's too also on a growing revenue target. So what exactly are you trying to do because this looks like a very, very significant increase in the overall R&D spend. So what are we going to do in terms of the number of filings or is it there going to be a significant invol

vement of the complexity of this

product because this looks like a multi-fold increase in the overall R&D spend in the next two, three years?

Mark Saldanha: Yes, I do believe. So now that we've evolved to A point for us to go to aim at new heights, we have put a lot of emphasis on to R&D. We are looking at various segments, delivery dosage, complex molecules, clinical molecules, molecules which may need some clinical studies. So

all these, obviously, we do believe our cost going up. Historically, we avoided or we basically restrained from going into such complexities because it's high-risk, high-gain strategy, but we were very conservative with our outlook and our cash flow.

And although we will continue operating the same way, but now we have the bandwidth we will expand. We have the chemistry behind us and we have the financial capabilities to basically explore couple of molecules that may cost more than what we historically paid.

Marksans Pharma Limited

May 31, 2023

Page 22 of 23

Sachin Kasera: Sure. And just one clarification on the EBITDA margins. You mentioned that you expect to sustain them or even slightly better. So you are referring to the full year margins or you are referring to the Q4 margins because the full year and the Q4 numbers...

Mark Saldanha: Full year. No, we are talking of full year only, because quarter-to-quarter, you'll always have these variations, but we'd like to be known for a full-year performance.

Sachin Kasera: Sure. Thank you.

Moderator: Thank you. Our next question comes from the line of Anupam Aggarwal with Lucky Investment Managers. Please go ahead.

Anupam Aggarwal: So thank you for the follow-up. I just had a question on your presentation slide where you mentioned the number of filings and products that are in the pipeline. So across markets, we have about 92 products in UK, Europe, US and ROW where we either are awaiting approval or plan to launch in the next two years. Can you help us quantify the overall size of these molecules? What is the opportunity? What is the number of -- how many players are there in each of these products or if you can just give some color at least?

Mark Saldanha: That will take more than a few -- a couple of minutes when you talk of such a wide basket of products. But we have been very selective based on our strengths, our product portfolio. We aren't the only players in -- quite a few of them. Obviously, there are other players. These are not first to file. But at the same time, there are certain molecules in that basket, which are very niche and basically where we believe a lot of players are more restricted than other molecules that we basically start off that you'd normally see.

So that's where we are -- we basically have identified molecules very strategically where we feel -- which will revolve both our capabilities, our strength of marketing, distribution, and at the same time, in terms of number of players. Now, like you rightly said, there are a lot of molecules in our filing, a lot of products in our launch items, so it's difficult to go through one by one.

Anupam Aggarwal: Not one by one, but overall if you can help us understand what is the market size we are looking at?

Mark Saldanha: Some of them go into \$1 billion, but that has no relevance because, again, it again depends on number of players and the market share that you can take from that particular molecule. The molecule may have \$1 billion market size or \$1.5 billion, \$2 billion, but then you have the brand, you have the generic. And from the generic, you have number of players in there.

Anupam Aggarwal: Right. Secondly and the last one, are we shifting any products from our current facility to the new plant of Teva, or is it completely new range, new set of products there?

Mark Saldanha: We will be shifting certain products so that we can start commercial operations. New products, new product filings, we'll see light only in FY

25 mid.

Marksans Pharma Limited

May 31, 2023

Page 23 of 23

Anupam Aggarwal: Any percentage or number of molecules you can help us with what we are shifting to new plant?

Mark Saldanha: It's going to be a small basket right now. So they're small.

Anupam Aggarwal: Small basket efforts. Thank you. Thank you so much. That's all from my side.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

Mark Saldanha: Thank you, all, for participating in our questions and thank you for all the support and the good wishes. Be safe and hope to talk to you soon again next quarter. Take care. Cheers.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

Date: 22nd August, 2023

Subject: : Transcript of investor(s) / analyst(s) meet
and strategy update

Dear Sir/Madam,

Pursuant to Regulation 30 read with Para A of
(Listing Obligations and Disclosure Requirements) Regulations,
transcript of the investor(s) / analyst(s) meet for Q1FY2024 financial per
strategy update held on August 16

The above information is also available on the website of the Company i.e.
<http://www.marksanspharma.com/investors>

We request you to take the aforesaid on records.

Thanking you.

Yours faithfully,
For Marksans Pharma Limited

Harshavardhan Panigrahi
Company Secretary

Encl: As above BSE Limited
Corporate Relation Department
Phiroze Jeejeeboi Towers,
Dalal Street,
Mumbai – 400001.
Scrip Code: 524404

: Transcript of investor(s) / analyst(s) meet – Q1FY2024 financial performance
Regulation 30 read with Para A of Part A of Schedule III of the SEBI
(Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the
transcript of the investor(s) / analyst(s) meet for Q1FY2024 financial per
strategy update held on August 16, 2023.

The above information is also available on the website of the Company i.e.
<http://www.marksanspharma.com/investors-meet.html>

We request you to take the aforesaid on records.

For Marksans Pharma Limited Corporate Relation Department National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C- 1, Block
Bandra-Kurla Complex,
Bandra (East), Mumbai –
Symbol: MARKSANS

Q1FY2024 financial performance
Part A of Schedule III of the SEBI
2015, please find enclosed the
transcript of the investor(s) / analyst(s) meet for Q1FY2024 financial performance and
The above information is also available on the website of the Company i.e. National Stock Exchange of India Limited
1, Block-G,
400051.
Page 1 of 17

"Marksans Pharma Limited
Q1 FY2024 Earnings Conference Call "

August 16, 2023

ANALYST : MR. NITIN AGARWAL – DAM CAPITAL ADVISORS

MANAGEMENT : MR. MARK SALDANHA – FOUNDER , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER -

MARKSANS PHARMA LIMITED

MR. JITENDRA SHARMA - CHIEF FINANCIAL OFFICER -

MARKSANS PHARMA LIMITED

Marksans Pharma Limited

August 16, 2023

Page 2 of 17 Moderator : Ladies and gentlemen, good day and welcome to Marksans Pharma Limited Q 1 FY2024

Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Nitin Agarwal from DAM Capital. Thank you and over to you, Sir!

Nitin Agarwal : Thank you, Carol. Good afternoon, everyone, and a very warm welcome to Marksans Pharma's Q1 FY2024 post earnings call, hosted by DAM Capital Advisors Limited. On the call today representing Marksans Pharma, we have Mr. Mark Saldanha – Founder, Chairman & Managing Director; and Mr. Jitendra Sharma – Chief Financial Officer. I will handover call to the Marksans team to make some opening comments and then we will open the floor for questions. Please go-ahead sir.

Mark Saldanha : Thank you, Nitin. Welcome everyone and thank you for joining us in Q1 FY 2024 earnings conference call. We appreciate your continued interest and support for the company. We have had a strong start to the FY2024, and our revenue exceeded INR 5 billion in the first quarter. We saw strong growth across our key regions attributed to share expansion with existing customers and new product launches. We observed a stable market condition in the quarter and our gross profit expanded mainly on account of better product

mix and

reduction in the rates of few raw materials. We are on track with the integration of the newly acquired Teva manufacturing unit in Goa and expect a meaningful revenue contribution from this plant to start from Q4 of FY2024. We are delighted to inform you that we were the first Indian company to receive US FDA approval on one of our key OTC molecule, which is equivalent to the Advil dual action tablets. I would also like to inform you that we have just been added to the MSCI Global Small Cap Index list. We continue to follow our balance sheet disciplined growth approach. Our interest remains in capturing major market share in the OTC market across geographies and with the newly acquired Teva manufacturing unit serving as a backbone to fuel our strong top line growth. Our immediate focus is to create a complete product offering in three of our key OTC therapeutic segments that is pain, cough and cold and digestives. Our backward integration and cost management initiatives will lead to expanding our EBITDA margins in the coming years. We are optimistic about our growth journey in the coming years with a commitment towards our three pillars which are providing superior value to our shareholders, exemplary service to our customers and engaging experience to our employees. With this, I would like to turn it over to Jitendra who will update you on the financials and then we can start our Q&A.

Marksans Pharma Limited

August 16, 2023

Page 3 of 17 Jitendra Sharma : Thank you sir. For Q1 of FY2024 our operating revenue was Rs.500 Crores an increase of 15.3% compared to Rs.433.8 Crores in the same quarter last year. US and North America was at Rs.193.3 Crores representing an 11.2% increase on a year-on-year basis . UK and new formulation markets grew by 24.8% year-on-year basis to Rs.225.9 Crores on account of new launches , incremental market share , and also on account of better realization due to currency fluctuation . Australia and New Zealand formulation market recorded revenue of Rs.58.6 Crores , an 11.4% increase year on year basis. The rest of the world recorded sales of Rs.22.2 Crores in Q1 of FY2024 . Gross profit was at Rs. 257.3 Crores up 17.5 % year on year basis. Gross margin increased by 95 basis points from 50.5% to 51.5% in Q1 of FY2024 . EBITDA for the quarter was at Rs. 102 Crores , an increase of 39.9% year-on-year basis and a decline of 6.9% on quarter -on-quarter basis. EBITDA margin for the quarter was at 20.4% . This quarter, our employee expenses increased due to the onboarding of Teva's acquired manufacturing facility employee , and other expenses also increased on account of the addition of newly acquired facility costs. Profit after tax was at Rs. 70.4 Crores compared to Rs.60.2 Crores in Q1 of FY2023 , a growth of 17%. EPS for the quarter was Rs.1.52. In Q1 of FY2024, the cash from operations is at Rs. 34.3 Crores and the free cash flow is at -47.2 Crores on account of high capex in the quarter. The capex incurred during the quarter was Rs.81.5, with investment in line with our plan of scaling and acquiring a manufacturing unit from Teva Pharma in Goa and we spend Rs.8.46 Crores in R&D which amounts to 1.7% of the sales. We continue to remain debt free. We had a total of Rs.636 Crores of cash as of 30th June 2023. With this I would like to open the floor to questions and answers. Thank you very much.

Moderator : Thank you very much. Ladies and gentlemen, we will now begin the question answer and answer session. The first question is from the line of Viraj Mahadevia an Individual Investor . Please go ahead.

Viraj Mahadevia : Hi Marks, congratulations on stable results and on getting recognized by MSCI. You mentioned that you had some incremental expenses coming on account of Teva facility this quarter. Can you give us a sense of the loading on the P & L in the quarter due to that Teva facility

and when these facilities are likely to turn break even later this year?

Mark Saldanha : So, I will answer the latter part of your question and Jitendra can take you through the other numbers. So obviously like I mentioned in my previous concalls, there will be some pain before any gain and we do believe in early 2024 maybe the last quarter of this financial year, you will see optimization and revenue generation from Teva , although we have started the plant, plant is operational but the revenue generation right now is relatively smaller and we are just supplying a few items as per contract to Teva , but the actual revenue generation with all the capex expansions will probably start by Q4 of this financial year. Jitendra you want to add on to the first part of it.

Marksans Pharma Limited
August 16, 2023

Page 4 of 17 Jitendra Sharma : Yes, Viraj in terms of the exact expenses which are loaded in P & L both on account of employee expenses and other expenses, there was an increase of approximately around Rs.11 Crores in the quarter .

Viraj Mahadevia : Understood, thank you. Given your cash balance you have been talking about potentially making some bolt on acquisitions Mark , asset -light bolt on acquisitions in Europe, can you give us a sense of any progress made on that front?

Mark Saldanha : We are in dialogue Viraj with actually two target companies, but nothing concrete to highlight , we are far away from any pen coming to paper per se, so I think it is too early to discuss anything relevant because these M&As and 90% of the time the probability factors are they do not go through. So as on today while we are exploring possibilities there is nothing concrete.

Viraj Mahadevia : Understood and assuming these are asset -light businesses, so it would not involve manufacturing and plants in Europe, but more registrations and teams on the ground.

Mark Saldanha : Yes, that is it. You are correct on that.

Viraj Mahadevia : Perfect. All the very best. Thank you.

Mark Saldanha : Thank you very much.

Moderator : Thank you. The next question is from the line of Vilin an individual investor . Please go ahead.

Vilin : Thanks for the opportunity. I just have follow -up question on the Teva facility . So, Mark can you just help us understand when this facility is likely to be optimally utilized , probably can we expect sometime mid-next year?

Mark Saldanha : Yes, so basically like I mentioned while the facility is operational obviously, but we are investing a lot into capex and expansions of capacity and machinery and everything of that stuff. We do see revenue generation happening towards the first quarter of the calendar year

or you can say last quarter of this financial year, we would see some revenue, better optimization happening and from a full-fledged point of view, I would be more comfortable to give maybe the first quarter of next financial year we would be fully optimized and running in full flow with regards to the Teva facility, but I am hoping at least towards the end of this financial year we will see that growth coming up from the Teva plant.

Vilin : Great and from this facility, it is going to be all new products, new registrations or it will be some of the existing products which will be shifted from the current ?

Marksans Pharma Limited

August 16, 2023

Page 5 of 17 Mark Saldanha : It is going to be a mix of both and initially obviously we are doing a lot of site variations so that we can jump start with products which we historically have done with confidence and new additions, but I would say maybe 60% will come from new items and maybe 40% maybe from existing items.

Vilin : Great. Just one more question if I can squeeze in, we are hearing from lot of Indian pharma companies exporting to US that there is a less pricing pressure now in the US, maybe low single digit and as a result

that many of these companies are able to perform better, but in our commentary, our performance was primarily driven by low freight cost than product mix. So, I mean how does it, it is not so much pricing which has favored us versus the other Indian pharma, just to get more colour on this?

Mark Saldanha : Like I mentioned in my commentary that obviously, we are seeing a bit of stability in the market. So, I guess that is pretty much in the comment to what all other companies are talking about, so compared to the historic last year, this year we have witnessed a good stability so price erosion has tapered down because probably we hit rock bottom when that is concerned and then again we are talking of optimizing our cost and reduction of costs and raw material corrections, our pricing to improve our profitability per se. There will always be some challenges molecule specific, but overall it is not as bad as in previous years.

Vilin : This trend seems to be continuing.

Mark Saldanha : Yes

Vilin : Okay, great. All the best for the future.

Mark Saldanha : Thank you very much.

Moderator : Thank you. The next question is from the line of Mahesh Vyas from UTI AMC. Please go ahead.

Mahesh Vyas : So congratulations for your consistent performance and just one question on your UK geography if you can just spread down the growth which has been coming, I mean this has been a tremendous growth which had come from UK. So if you can lay down the growth of UK in terms of like market share being led by volumes or is there any price hikes taken, contractual agreements?

Mark Saldanha : So the growth and consistency from UK is basically product mix. It is also market share being taken, gaining new market share from present clients and also product expansion. So we are launching products, three to four products every quarter. So that value addition is happening. So I think it is on the right path and will continue to show consistent results.

Marksans Pharma Limited

August 16, 2023

Page 6 of 17 Mahesh Vyas : Okay, also sir whether our US margins are lower than the average margins of the company?

Mark Saldanha : I did not get you whether the US margins?

Mahesh Vyas : Are our US geographical margins are lower than the average margin of the company?

Mark Saldanha : It is presently, operational leverage has to kick in and we are seeing that kicking in so we will definitely perform better than the previous year and in the coming years we will perform better than this year. So it is as and when, we have invested a lot in terms of manufacturing, in terms of people, in terms of infrastructure. So we have got a good platform now to scale it up so as and when your revenue generation grows, your operational leverage kicks in and you will see better bottom-line expansion happening over time.

Mahesh Vyas : Okay and sir one more question, how do you feel US is a market, I mean in terms of size and what would be the growth expectation for the next 2-3 years overall market size in the US?

Mark Saldanha : Well market size in US is huge and we expect to double our revenue in the next couple of years, but we are relatively very small in the US market. So that gives us the potential for growth. I do see US being a growth driver in the coming years.

Mahesh Vyas : Okay, sure. Thank you.

Moderator : Thank you. The next question is from the line of Vishal from Systematix Group. Please go ahead.

Vishal : So can you share revenue and margin outlook for FY2024, so what sort of revenue growth you are expecting and what margin should we close the year?

Mark Saldanha : So I can tell you like I told in the previous calls if you extrapolate what have done in the first quarter we will cross Rs.2000 Crores in this year and that was our commitment that we have done. In terms of profitability , I would say we would be in range bound of 17 to 19% by the end of the

year. So we are targeting that obviously if we do something better than that would be great, but looking at the various visibility factors, I think we will be range bound with that is concerned.

Vishal : So you said 17 to 19% range?

Mark Saldanha : Yes.

Vishal : Okay.

Marksans Pharma Limited

August 16, 2023

Page 7 of 17 Mark Saldanha : I know, I know the first quarter is 20%, but we are trying to extrapolate for the whole year.

Vishal : So should we expect margins to come down in subsequent quarters and any reasons for that?

Mark Saldanha : It is not, I do not foresee margins to come down, but there are a lot of variabilities, unforeseen variabilities. Obviously the Teva acquisition which we are spending a lot of resources on. We are not going to break even in the next two quarters where the Teva operation is concerned because obviously we need to get all these revenues generated and I did mention you see probably revenue generation happening in the last quarter. So that is a bit of overhang that we have right now , but like I said no pain, no gain but we will definitely perform better than the previous years that is why we will cross Rs.2000 Crores and we will probably be range bound from the overall 17 to 19%. We may overshoot that , but I would like to keep it like that .

Vishal : Can you share the expected Teva contribution in revenues in the year FY2024 ?

Mark Saldanha : It will be very less because right up to December, I think revenue will not be more than I mean in this year you say around Rs.40 Crores that will probably come from Teva , but it will be relatively less compared to the overall picture, but I am hoping in the last quarter you will see some real improvement happening from the plant.

Vishal : You said Rs.40 Crores would be the contribution.

Mark Saldanha : Yes, between 40 to 50 Crores coming from Teva .

Vishal : In an answer to the previous question you said 11 Crores is the cost addition on account of the Teva plant?

Mark Saldanha : Yes.

Vishal : Sir would probably be kind of more or less breaking even on Teva this year.

Mark Saldanha : I would not say breaking even. I would say definitely from the first quarter of next year we will be breaking even, but the last quarter will probably be the best quarter for Teva . That is my assumption. We would have to scale up operations to get ready for the new manufacturing setup or the new capacity so there will be some more cost additions before revenue gets generated. So we anticipate a bit of over drag out there for a couple of months , but that said and done, our overall performance will be better than the previous year.

Marksans Pharma Limited

August 16, 2023

Page 8 of 17 Vishal : Okay and like just a broader question on the US market. So we have been seeing discontinuation on the RX front, prescription front . So are we also kind of witnessing discontinuations on the OTC front companies exiting out of OTC products?

Mark Saldanha : That is the nature of the beast. I think there are different reasons for companies to take different calls. Consolidation is the normal process in the pharma industry. So different companies take calls based on product portfolio, product change, focus change. I would not attribute it to the market structure but it is more company specific.

Vishal : Okay and any shortages that you see on the OTC front ?

Mark Saldanha : No abandoned stock, so enough of stock.

Vishal : Okay . Any guidance on the number of launches in US this year?

Mark Saldanha : I would say in this financial year maybe three , if we are lucky for.

Vishal : Three to four launches that includes this the one Advil dual action ?

Mark Saldanha : Yes.

Vishal : Okay. That is all from my side. Thank you.

Moderator: Thank you . The next question is from the line of Hrishit Jhaveri from Pisquare Investments . Please go ahead.

Hrishit Jhaveri : Can you tell me what

is the current capacity utilization excluding the Teva?

Mark Saldanha : So our utilization is around the 70% right now excluding Teva facility .

Hrishit Jhaveri : Okay . In UK, you mentioned that tax has jumped from 19%, so expect that to be stable.

Mark Saldanha : Jitendra you want to highlight on the taxation of UK increasing from 19 to 25%? ?

Jitendra Sharma : Yes Hrishit , we have mentioned in our presentation, the tax rates in the UK have gone up to 25%. We believe that this will remain now, they would not increase it further it looks like 25% will be a normal run rate from here on so far as the UK taxation is concerned.

Moderator : Thank you. The next question is from the line of Neelam Punjabi from Perpetuity Ventures LLP. Please go ahead.

Marksans Pharma Limited

August 16, 2023

Page 9 of 17 Neelam Punjabi : Thanks for the opportunity and congratulations on a good quarter. My first question is on a potential EBITDA margin over the medium term once the Teva facility ramps up and your operating leverage starts kick in?

Jitendra Sharma: So Neelam see we expect our EBITDA margin to improve once we start full-fledged Teva operation. So currently they are in the range of , last year it was around 18% , this year for the first quarter it is around, it is in the range of 20%. So gradually it will go up to 21 , 22% as we utilise more of Teva capacity .

Neelam Punjabi : Once Teva is at the optimum utilisation our margin can go up to 21 to 22%, that is what you are saying ?

Mark Saldanha : Yes.

Neelam Punjabi : Okay and you mentioned that you have higher expenses of about Rs.11 Crores during the quarter on account of the Teva facility . So is this the base or are we expecting any further increase in expenses?

Jitendra Sharma: As we increase the capacity, definitely the expenses will go up. So at present this is the base, but definitely as and when we increase, we will definitely incur more expenses.

Neelam Punjabi : Okay and on the gross margins, we have seen an improvement during the quarter. So is the current gross margin sustainable throughout the year?

Jitendra Sharma: We expect it to remain at this level, yes.

Neelam Punjabi : Got it. Lastly on backward integration into API so you had mentioned in the last quarter that our backward integration would start from September. So are we on track for this is?

Mark Saldanha : Yes, we are on track to file our DMF by September.

Neelam Punjabi : Okay . Thank you.

Mark Saldanha : Thank you.

Moderator : Thank you . The next question is from the line of Jawahar Soneji an Individual Investor . Please go ahead.

Jawahar Soneji : Thank you, Sir. Good evening and congratulations for the good results . Before acquiring Teva plant we already had one plant in Goa, which is considered one of the largest facility in Asia right and the size of the plant is about 18,000 square feet and the land is about two Marksans Pharma Limited

August 16, 2023

Page 10 of 17 acres. Now what I wanted to know is since we have acquired Teva plant which is much, much bigger, six times bigger plot than the Goa plant or earlier plant, right . It is almost six times bigger land than the earlier existing one. What are your future plans , are we going in for the world's largest plant , what are your plans . How you are going to utilise the land , how much it is being utilised compared to the earlier one . In earlier one almost 1/4 of the land is utilised for the plant and the other 3/4 is open and in this case, how big is your plant now and what are your plans on that , that is what I wanted to know ?

Mark Saldanha : Our present plant is about 8 acres so 7.5 acres our old plant. It is not 2 acres it is about 7.5 acres and it is about 24,000 square meters and build up is about 18,000 square meters so we have utilised substantial amount of land out there , definitely we are one of the largest in

terms of softgels and we have huge capacities in tablets and capsules . Coming back to our Teva plant. You are right . Teva plant , it is not six times bigger than our present plant it is about 2 times bigger than our present plant; it is 48,000 square meters built up , 48000 built up compared to 38,000 square meters compared to about 24 000 square meters. Obviously Teva we do expect the overall capacity to be larger than our present plant and that will address our requirements for the next three years. I would like to say three to five years, but I being bullish on front ends , I would say it will at least address our requirements for the next three years.

Jawahar Soneji : Thank you. One more question sir about the procurement of the raw material for our plants, are we procuring from a local source or we are importing the raw materials if at all we are importing what is the security, assurance given for the long term ?

Mark Saldanha : We sign all contracts . These are all approved vendors we are dealing with for the last 10 to 15 years, some of them maybe 20 years and we sign yearly contracts or maybe sometimes bi-yearly contracts and technically it is only on the contracts and the purchase order and normally unless there is force majeure situation, most of them honor their commitments.

We do keep a huge amount of inventory with us, very close to five to six months of stock of raw materials are kept with us and we do buy both locally as well as import internationally.

Jawahar Soneji : Is it a major part is imported or major is local I mean indigenous?

Mark Saldanha : I think it is a mix, I would say maybe 50 :50.

Jawahar Soneji : Fine. Thank you very much, Sir.

Moderator : Thank you. The next question is from the line of the Deepesh Sancheti from Manya Financial Services . Please go ahead.

Deepesh Sancheti : Hi, am I audible ?

Marksans Pharma Limited

August 16, 2023

Page 11 of 17 Mark Saldanha : Yes, you are.

Deepesh Sancheti : Okay just wanted to know on the capacity utilization and sales that come from the new Goa unit of Teva ?

Mark Saldanha : Right now, the sale has just started. It is very negligible . Based on the current capacity and our contracts with Teva basically I would assume we will probably do Rs.40 odd Crores, Rs.40, Rs.45 Crores by the end of this year. But that is why we are investing into enhancement of capacity where that additional revenue you probably see happening in the last quarter trickling in the last quarter of this financial year.

Deepesh Sancheti : Going ahead in the next financial year FY2025 what do we expect ?

Mark Saldanha : That will be substantial. Maybe that will be substantial revenue coming from the Teva plant.

Deepesh Sancheti : About the US FDA status on the Goa facility where I believe we had two observations we had received qualifications now have we answered them , is it cleared?

Mark Saldanha : I think the due date for answering is this week, so we will be answering they are just normal process of questions that has to be answered , some SOPs that have to be updated and sent to them so I do not foresee any issues with that.

Deepesh Sancheti : So we should see that resolution maybe this month or in this quarter itself, right?

Mark Saldanha : Once we answer normally they take a couple of months to issue the EIR report so that is what the formality is .

Deepesh Sancheti: Okay Congratulations and all the best for this year .

Mark Saldanha : Thank you.

Moderator : Thank you. The next question is from the line of Shlok Dave from CAO Capital . Please go ahead.

Shlok Dave : Yes, hi, good evening and congratulations again for great execution . Mark, I had just one question on the Teva plant in terms of the fixed overheads that will be incurring and what our plant capex was. Are you seeing any possibilities of any cost overheads there ?

Mark Saldanha : Any cost or ?

Marksans Pharma Limited

August 16, 2023

Page 12 of 17 Shlok Dave : Cost overheads , whatever you had initially planned, is there a possibility that we may have some overruns over and above those targeted cost?

Mark Saldanha : No. I think it is pretty much going as per our target as per our budget. So obviously we have seen, Jitendra has mentioned the overheads that we have taken for the quarter . I think the next quarter will also be in a similar number towards the latter part when we are planning to go full scale you will see a bit of cost increase happening because obviously more people manpower will have to be added to produce those requirements but relatively faster those returns will come in and operational leverage will kick in soon.

Shlok Dave : Great. One question this is more an industry question rather than company specific. Can you give some assessment of what is happening on the API pricing , so the way specialty chemical and even basic chemical prices are falling, I am pretty sure sooner or later they will start reflecting quite heavily in the API price, so how are you seeing the situation and if there is a dramatic fall let say 20% across the board fall in API prices from the current levels, do we gain or do we pass on everything to our end users?

Mark Saldanha : So obviously COVID was an API boom more than anything else, and prices were highly inflated. That had to come down per se and we are witnessing some heavy drops in the API to the extent it is going down from the prehistoric low before COVID so I do see a bit of stability happening there for some time and then obviously I do not have a crystal ball to predict the road map ahead, but I do see a bit of stability happening, at least for the next 12 months.

Shlok Dave : Okay and no chances of any significant destocking in the channel, right, because generally what happens is if the prices fall out people do tend to destock. So how is the channel looking like ?

Mark Saldanha : Well, it does happen more in the RX industry. In the prescription industry you see a high volatility happening and price tanking overnight and OTC relatively it is much more stable

because you are on contracts and eventually the next contract be at the lower price .

Shlok Dave : Right.

Mark Saldanha : So it will correct eventually but you do not see the volatility and obviously in the RX you see an immediate price correction happening overnight and that is where companies with higher cost of raw material get impacted sometimes.

Shlok Dave : So volumes will not be challenged just because of channel destocking?

Mark Saldanha : Volumes will not, but price will be challenged.

Marksans Pharma Limited

August 16, 2023

Page 13 of 17 Shlok Dave : That is fine. Thank you very much Mark. All the best for the next quarters. Thank you.

Moderator : Thank you . The next question is from the line of Jayesh an Individual Investor . Please go ahead.

Jayesh : First of all congratulations on a wonderful performance . First question is on Teva Pharma, what will be the target area , we will be selling this product in US, UK or rest of the world and the second one is what is the progress of the backward integration of API molecules?

Mark Saldanha : So if I got it right so the targeted market is basically pretty much the same market that we are strong in. You are looking at Europe, you are looking at Australia, and you are looking at US all three markets will be targeted markets for the Teva molecule . For the backward integration like I said in September we will probably be filling our first DMFs, so we are expecting to file at least two DMFs by this financial year and maybe the third one by early next year.

Jayesh : Thank you.

Moderator : Thank you. The next question is from the line of Dinesh Kulkarni an Individual Investor . Please go ahead.

Dinesh Kulkarni : Thanks for the opportunity

and congratulations on a good quarter. I have just one question.

I can see working capital cycle for the quarter is about 120 days so in line with this revenue growth and EBITDA scaling up on the business where do you see this working capital cycle, will it be improved or any specific measures been taken for that or it will stay around this?

Mark Saldanha : No it will remain in the same range like it has already come down a bit, with Teva plant operating in full fledged definitely there will be incremental requirement of materials and also the receivable will also increase in line with the increase in sales. So overall, I think it will remain in the range of around 120 days.

Dinesh Kulkarni : Okay. Thank you.

Moderator : Thank you . The next question is from the line of Harish Shiyad an Individual Investor . Please go ahead.

Harish Shiyad : Yes. Good numbers management and the team . I have a question Teva is a part of the standalone Marksans Pharma I suppose ?

Mark Saldanha : Yes.

Marksans Pharma Limited

August 16, 2023

Page 14 of 17 Harish Shiyad : Okay and next question is, as you said that Rs.11 Crores we have spent 43:56 audio cut . The second question any more expenses on this.

Mark Saldanha : Harish. Your first part of the question was not audible.

Harish Shiyad : Hello. I am talking about the additional expenses we have incurred in this quarter on because of Teva. So will it be there in the second quarter also?

Mark Saldanha : Yes, it will be there in the second quarter also.

Harish Shiyad : Okay and more about integration plan on the marketing, distribution, logistics and the research and development part 44:50 audio cut ?

Mark Saldanha : We are not getting your question, but I think you are asking that whether we will incur additional expenditure on marketing, other infrastructural development, is that your question?

Harish Shiyad : No, no, I am talking about integrating the marketing and the distribution expenses and operating leverage out of it ?

Mark Saldanha : I am sorry, I am not able to get your question ?

Moderator : Thank you. The next question is from the line of Vilin an Individual Investor . Please go ahead.

Vilin : Thanks again, Mark. I think it is now put together all the levers whether it is Teva facility and also the backward integration and everything , is my assessment correct that our revenue growth for the next 2 -3 years will be higher than our historical growth rate of 15 to 16% for last ten years and also margins would be much better with all these benefits and the initiatives that we have taken.

Mark Saldanha : Well, as your base grows higher the percentage may not always be proportional to what the

theory you are mentioning, but our absolute numbers will be much higher compared to historic numbers. So that is pretty much what we can summarize because obviously, the contribution that will come from the Teva plant will help us to fuel our growth. So I think presently now that we are expecting to cross let's say Rs. 2000 Crores, I am hoping that we can aim for the Rs.3000 Crores mark now.

Vilin: I agree Mark, I am not putting you on the number but I think in your earlier remark you said that we expect US to also double and with the Teva facility even though the base is high, is it fair to assume even about 15% which we used to do historically. I just really do that growth rate

Marksans Pharma Limited

August 16, 2023

Page 15 of 17 higher obviously I know you want to be on the conservative side, but we do at least 15% from next two three years.

Mark Saldanha: That will be fair enough to say.

Vilin: Okay and second question, any major challenge you see to do this from any front, whether it is the market or competition any major challenges you see?

Mark Saldanha: Not major challenges, but that is the nature of the beast. There will always be challenges we have to overcome with it and we have to move forward. So, we are quite optimistic in what we do. We do believe our growth pattern will continue and we are working hard to ensure we hit our objectives.

Vilin: Perfect. Thanks a lot.

Mark Saldanha: Thank you.

Moderator: Thank you. The next question is from the line of Vishal from Systematic Group. Please go ahead.

Vishal: Thanks for the opportunity. There have been a few RX to OTC switches that have been allowed by the US FDA in the recent past. So for Marksans to kind of participate in these opportunities, can you kind of participate in this immediately or will there be an exclusivity for this switches that will happen?

Mark Saldanha: Again, depends on which items. The present one, which has happened is more into nasal and different delivery systems which we do not have. So obviously setting up infrastructure specific for a molecule is always more expensive and difficult for us to do it right now, but in the past there has always been RX to OTC switches where we have launched products relatively fast. So I think because molecules are more older molecules they do not have an exclusivity per se. Just simply changing from an RX to an OTC does not give them an exclusivity, it is more molecule specific. There can be an exclusivity which is a process related or molecular related, but not for the switch per se.

Vishal: Okay kind of if potentially you have the capability you can participate in those categories immediately, the filing process basically whatever it takes to?

Mark Saldanha: Normally what happens is this happens relatively fast. So the people who are actually working on it, they get the first bite because they are aware of when it is going to happen, the rest of the market follows.

Marksans Pharma Limited

August 16, 2023

Page 16 of 17 Vishal: Okay and another general question with respect to the overall OTC market, is the private label market growing faster than the brand market, basically the own brand market?

Mark Saldanha: So, obviously the private label market, it is growing. The branded, we are not into branded right now and different markets encourage different outlook. So there are markets which basically promote only branded and there are markets which basically promote generics and there are in the generics from the private label. So we are more into the generic markets. In some markets you do find some growth happening in branded per se. Today the branded market does have a bigger market share, but for that obviously you need to invest a lot. So we are not into that space right now.

Vishal: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Harish Shiyad an Individual Investor. Please go ahead.

Harish Shiyad: Hello. Am I audible now?

Mark Saldanha: Yes you are.

Harish Shiyad: Okay. My question was regarding the Teva facility. I wanted to understand or wanted your view on the integration of the marketing, distribution, logistics and the research in both the factories and what economies of scale we will get in operating leverages?

Mark Saldanha: All the marketing, distribution, everything remains the same. So there is not going to be an additional, we are going to use Teva more as a manufacturing platform more than anything else and the distribution, marketing everything else will be leveraged for my existing platform only. So there is not going to be any additional cost impact out there. The

operating leverage like I mentioned will happen only when your production and your output actually gets generated for which we are investing huge amount of capex into the Teva plant so that the manufacturing, the number of units that come out of the plant will be much higher and thereby the operating leverage will kick in.
Harish Shiyad : Okay and since our Teva facility will start by end of this year so any ballpark figure

for the
next year capex plan, FY20 25?

Mark Saldanha : Well it is part of our growth strategy. So I would like to use it as a standalone business model, but it falls within our growth plans eventually because we are using our fair marketing infrastructure. I would not like to assume that well Teva is a different marketing setup so they will get different revenues, but it will help us to fuel our overall growth plans and get us close to our next target that we are aiming for.

Marksans Pharma Limited
August 16, 2023

Page 17 of 17 Harish Shiyad : Okay . Thank you very much and all the best of luck for the future.

Mark Saldanha : Thank you very much.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for closing comments. Thank you and over to you all.

Mark Saldanha : I would like to thank all our investors for taking their time on a busy day to participate and looking forward for your continued support. Thank you very much and have a pleasant evening and a great day to come tomorrow . Take care and be safe.

Moderator: Thank you.

Jitendra Sharma : Thank you. Thank you everyone.

Moderator : On behalf of DAM Capital Advisors Limited, we conclude today's conference. Thank you for joining. You may now disconnect your lines.

Call: Nov 2023

Date: 16th November , 2023

Subject: Transcript of investor(s) / analyst(s) meet – Q2FY2024 financial performance and strategy update

Dear Sir/Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the investor(s) / analyst(s) meet for Q2 FY2024 financial performance and strategy update held on November 09, 2023.

The above information is also available on the website of the Company i.e. <http://www.marksanspharma.com/investors-meet.html>

We request you to take the aforesaid on records.

Thanking you.

Yours faithfully,
For Marksans Pharma Limited

Harshavardhan Panigrahi
Company Secretary

Encl: As above BSE Limited
Corporate Relation Department
PhirozeJeejeeboi Towers,
Dalal Street,
Mumbai – 400001.
Scrip Code: 524404 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block -G,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051.
Symbol: MARKSANS

Page 1 of 12

"Marksans Pharma Limited Q2 FY24 Earnings
Conference Call"

November 09, 2023

MANAGEMENT : MR. MARK SALDANHA – CHAIRMAN AND MANAGING
DIRECTOR , MARKSANS PHARMA LIMITED

MR. JITENDRA SHARMA – CHIEF FINANCIAL OFFICER ,
MARKSANS PHARMA LIMITED
MODERATOR : DR. BINO PATHIPARAMPIL – ELARA SECURITIES
PRIVATE LIMITED

Marksans Pharma Limited
November 09, 2023

Page 2 of 12

Moderator : Ladies and Gentlemen , Good day and welcome to the Marksans Pharma Q2 FY24 Earnings Conference Call hosted by Elara Securities Private Limited .

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing '*' then '0' on your touchtone phone . Please note that this conference is being recorded. I now hand the conference over to Mr.

Dr. Bino Pathiparampil from Elara Securities Private Limited. Thank you and over to you, sir.

Bino Pathiparampil : Thank you Shiva a very good afternoon to all of you. On behalf of Elara Securities, I Dr. Bino Pathiparampil welcome you to the Q2 FY24 earnings call of Marksans Pharma . We have on the call from Marksans Pharma Mr. Mark Saldanha – Chairman and Managing Director and Mr. Jitendra Sharma – Chief Financial Officer.

We will start with the opening remarks from the management. After that, we will have a Q&A session. Over to you, Mr. Saldanha .

Mark Saldanha : Thank you, Dr. Bino . Welcome, everyone, and thank you for joining us in our Q2 and H1 FY24 earnings conference call. We appreciate your continuous interest in and support for the company. We've had another strong quarter with our revenues expanding by nearly 17% year -on-year and EBITDA and PAT expanding around 40% year -on-year, this is attributed to the market share expansion along with our existing customers and some new product launches.

The improved margins in the quarter resulted from the focus on cost efficiencies and reduction in raw material and freight cost. We recently received key product approvals from USFDA and market authorization from UK MHRA in the pain segment, cough and cold segment , and digestive.

Our continued focus remains on strengthening our product pipeline and creating a complete offering in our four key therapeutic segments that is pain , cough and cold, gastro , and anti -allergy.

On the compliance front, the US FDA inspection which was conducted in October 2023 for a wholly owned subsidiary time cap laboratories was completed with EIR status.

Moving on to our operational environment, we saw improved demand and volume growth across all our key markets and the pricing pressure is normalized for our RX products in the US

We witnessed a reduction in rates of a few raw materials and freight rates compared to the last year, resulting in improved margins in the quarter. An update on the newly acquired Teva manufacturing unit in Goa. We are presently on track with the expansion capacity and integration of the manufacturing unit and a recent audit from the German health authorities was successfully completed with no major observation.

Marksans Pharma Limited
November 09, 2023

Page 3 of 12

We expect the revenue contribution from this unit to increase quarter -on-quarter. Building our momentum, we are optimistic about driving growth through our base business and strategic initiatives which will maximize shareholder value. With this, I'd like to turn it over to Jitendra who will update you on the financials and then we can start with our Q&A.

Jitendra Sharma: Thank you, sir. For Q2 of FY24, our operating revenue was at Rs. 531 crores an increase of 17.4% compared with Rs. 452 crores in the same quarter of last year. The US and North America was at Rs. 222.3 crores representing a 16.8% increase year -on-year basis. UK and EU formulation market grew by 20.6% year -on-year basis to Rs. 233 crores . This was on account of new launches and incremental market share.

Australia and New Zealand formulation market recorded revenue of Rs. 48.4 crores , an increase of 10.3% on year -on-year basis. The rest of world recorded sales of Rs. 27.3 crores in the

Q2 of

FY24. Gross profit was at Rs. 278 crores up 21.4% year -on-year basis. Gross margin increased by 174 basis points from 50.7% to 52.4% in Q2 of current year.

EBITDA for the quarter was at Rs. 113.9 crores , an increase of 41.9% year -on-year basis and an increase of 11.7% on quarter -on-quarter basis. EBITDA margin for the quarter was 21.4%. The improvement in EBITDA margin was led by cost optimization initiatives and the reduction of freight expenses compared to last year's same quarter, profit after tax was at Rs. 83.9 crores compared to Rs. 60.1 crores in Q2 of FY23, a growth of 39.5%. EPS for the quarter was Rs.

1.84.

Talking about half year financial performance. For the H1 of FY24, our operating revenue was at Rs. 1,031.3 crores an increase of 16.4% compared with Rs. 886 crores in the same period last year. The US and North America was at Rs. 415 crores, representing a 14.1% increase year-on-year.

UK and EU formulation market grew by 22.6% on Y oY basis to Rs. 459 crores. Australia and New Zealand formulation market recorded revenue of 107 crores, an increase of 10.9%. The rest of the world recorded sales of 49.5 crores in the H1 of FY 24. Gross profit for the first half of the year was at Rs. 535 crores up 19.5%, gross margin increased by 137 basis points from 50.5% to 52% in H1 of FY24.

EBITDA for the period was at Rs. 215.9 crores an increase of 41% year-on-year. EBITDA margins stood at 20.9%. Profit after tax was at Rs. 154.3 crores compared to Rs. 120.3 crores in H1 of FY23, a growth of 28.3%. Growth is attributed to improved performance. However, there is an increase in tax rate in UK from 19% last year to 25% in the current year. EPS for the H1 of FY 24 was at Rs. 3.4 per share.

In H1 of FY 24, the cash from operation is at Rs. 90.6 crores, and the free cash flow is at -29.3 crores, this is on account of higher CAPEX in the quarter. The CAPEX incurred during the period was 119.9 crores. The investment is in line with our plan for scaling the acquired manufacturing unit from Teva Pharma in Goa and we spent Rs. 16.89 crores in the R&D, which Marksans Pharma Limited

November 09, 2023

Page 4 of 12

amounts to 1.6% of the sales. We continue to remain debt-free and had a total of Rs. 661 crores of cash as of 30th September 2023.

With this, I would like to open the floor to questions -and-answer. Thank you very much.

Moderator: Thank you very much sir. Ladies and gentlemen, we will now begin with the question -and-answer session. We take the first question from the line of Sudhir Bheda from Bheda Family Office. Please go ahead sir.

Sudhir Bheda: Congratulations Sir on superb performance in Q2 as well as H1. I have a couple of questions.

As you see the EBITDA margin is clocked at 21.4% led by an increase in the gross profit margin to 52.4%. So, if these kinds of raw material continue to remain soft and freight rates are also soft. So, this kind of margin we are able to do in the H2 as well?

Mark Saldanha: We are hoping for that. Obviously, we continue to work towards that and we are hoping that this trend continues.

Sudhir Bheda: My second question is now I believe that Teva facility is now completely integrated and now the revenue can flow from that facility. So, I think, do you expect that the growth rate could be higher in H2 as well because of Teva facility coming into operation?

Mark Saldanha: So, the Teva facilities in operation, but the integration is still going on. We have invested a decent amount and we have to continue investing to ensure we upgrade the facility in terms of capacity. Like I mentioned in my introduction that we do expect growth quarter-on-quarter basis where Teva is concerned, but you will see the full potential of revenue generation only somewhere in April 24 onwards.

Sudhir Bheda: And can you throw some light on the firstly the new product launches and the

demands scenario

in UK and the US if you can throw color on that these two aspects?

Mark Saldanha: Well, new product launches obviously we are into segments, different segments. So, there are lot of new products that are and as and when a product does get approved like we've received Esomeprazole approvals, or we have received Cyanocobalamin and few other approvals. We basically we launched it in the respected markets, and we basically take market share to our distribution channels that were already existing.

So, it increases our product portfolio and obviously increases our revenue and our penetration into the market. So, we do see with the product approvals coming in our revenue generation happening on those segments in respected markets.

Sudhir Bheda: And demand scenario so in the US and Europe in view of recessionary kind of trend going on there?

Mark Saldanha: Did you say demand scenario.

Marksans Pharma Limited

November 09, 2023

Page 5 of 12

Sudhir Bheda: Yes in US and Europe market?

Mark Saldanha: So, we do see our growth drivers being in the US and in Europe. We do believe this trend will continue for the coming year also. So, we are quite optimistic on both these markets.

Moderator: Thank you. We take the next question from the line of Sriram an Individual Investor. Please go ahead, sir.

Sriram: So, just wanted to understand can we expect a buyback in FY 24?

Mark Saldanha : We have to yet work on that but like in the last conferences based on free cash flow determination we will basically be splitting it between potential buyback or dividends.

Sriram: Another thing I would like to know is how is the competition scenario in the UK and US markets for OTC products?

Mark Saldanha : Well, it's crowded and tough as always that's the nature of the beast. So, it is not simple, just that whatever we do, we excel at it and we basically work hard towards getting market share penetration into that segment and we've got a bit of a longer history where that product portfolio or segments are concerned.

Moderator: Thank you. We take the next question from the line of Ishita Jain from Ashika Stock Broking. Please go ahead.

Ishita Jain: Congratulations on a good quarter. So, my first question is so for our backward integration plans and subsequent DMF filing. Can you talk about for which products is backward integration a priority, so which are the raw materials that are more sensitive or strategically more important for us to backward integrate?

Mark Saldanha : So, we've taken obviously our wish list is quite large, but we have basically selected one item on each category. So, we picked up one item in pain and we are working on ibuprofen then we have in anti-allergy we have picked up another product and in digested we picked up our product. So, there are three categories that we are targeting so that we have a single product in every category and then we can expand our product portfolio from there on.

Ishita Jain: Second question, so we are expecting US to be a major growth driver going forward especially when operating leverage kicks in, can you comment on what is the timeline on this and how many more launches are we expected in the US this year and finally from a geography mix standpoint, what is the percentage of our revenue that we think is going to be US, say by end of FY25?

Mark Saldanha : I think US will be, I mean, it's a very close call because both the markets are very strong. So, I think our US will be very close to 48% maybe and between 45% to 48% by FY25 and UK will be pretty much around the same 40% or 42%, 45%.

Marksans Pharma Limited

November 09, 2023

Page 6 of 12

Ishita Jain: If I could just squeeze in one more so cash on books is about approximately 700 crores. Can you comment on our capital allocation strategy going forward, I know it's mentioned in the investor

presentations, just want to know what kind of inorganic growth opportunities are we looking for from a product or a geography mix perspective?

Mark Saldanha : Well, obviously the first part of the CAPEX deployment is to expand our capacity in the newly acquired plant, which was concluded early in April this year. So, we are still working exhaustively and at a very rapid pace to scale up those capabilities to meet our demand. So, I do see some decent amount of CAPEX going there and obviously then we have M&A's that we are planning in a couple of geographies, Europe being one of that. Our plan is to expand our geographies. It's always been there. We have been in dialogue, but nothing concrete or nothing to put pen to paper or discuss about, but there are we are exploring M&A in Europe basically.

Moderator: Thank you. We take the next question from the line of Dr. Bino Pathiparampil from Elara Capital. Please go ahead sir.

Bino Pathiparampil: Mark a couple of questions in the US, how many ANDAs do we file per year now on an ongoing basis and what are your plans? Do you plan to increase that number and similarly the filings for the UK as well?

Mark Saldanha : So, in the US we are averaging or we're targeting very close to 5 ANDAs. So, you can see between 4 to 5 and in Europe we are talking of around 20 authorizations you can say 15 to 20.

Bino Pathiparampil: Sorry, so you are basically saying that you are going to triple the rate of filings in a year's time.

Mark Saldanha : Yes, total filings, I mean we have a big product portfolio in Europe, in the UK. So, it is quite an exhaustive many market authorizations we have. So, it will not be tripling it, but we are looking at definitely we have already been working on 60-70 odd products. So, we are planning to file very close to maybe like I said 20 odd products year-on-year.

Bino Pathiparampil: Sorry, I didn't quite understand. So, in the US you are filing 5 ANDAs in a year, will that run rate increase going forward to 15, 20 or you are saying 30?

Mark Saldanha : No, the US would be 5 only every year and I was talking of Europe.

Bino Pathiparampil: Okay. Second question, on our own brands in these markets roughly what sort of revenue would that be contributing in each of these markets in US and UK?

Mark Saldanha : So, we are not into brands, we are into generic formulations, but I mean we have segments that we talk about. Obviously, we have the pain segment which is still the largest for us. Then we have the digestive and the cough and cold which contributes then we have a substantial amount of I mean we have about 30% odd on our prescription related segments that we pursue, and we do have certain brands, we have brands in Australia, we have brands in our Dubai regions and

obviously we are very active in the Amazon segment also.
Marksans Pharma Limited
November 09, 2023

Page 7 of 12

Bino Pathiparampil: For housekeeping questions, for the first half you have given a CAPEX figure of 120 crores. Does that include the payment given to Teva for the facility?

Mark Saldanha : Yes it does.

Bino Pathiparampil: And I have seen a jump in depreciation this quarter, is that related to the Teva facility and does it fully capture the impact?

Jitendra Sharma: Yes, this depreciation for the quarter includes the Teva facility depreciation. So, we started depreciating it from this quarter onwards.

Moderator: Thank you. We take the next question from the line of Viraj Mahadevia an Individual Investor. Please go ahead, sir.

Viraj Mahadevia: Congratulations on good encouraging results. Mark, you mentioned briefly that you were looking at 3 molecules across different therapeutic areas for potential backward integration.

These three molecules represent what percentage of your overall revenue of your total revenues that you're looking to backward integrate?

Mark Saldanha

: So, about very close to 30%.

Viraj Mahadevia: And when is the impact of that backward integration likely to kick through in terms of lower raw material benefits as a result of these agreements?

Mark Saldanha : Maybe the mid or latter part of 2024.

Viraj Mahadevia: Calendar year?

Mark Saldanha : Yes.

Moderator: Thank you. We take the next question from the line of Vilin an Individual Investor. Please go ahead.

Vilin: Congratulations on good set of numbers and thank you for the opportunity. So, Mark, considering the additional CAPEX that we are doing for the new facility and for the backward integration, how much additional CAPEX do you see we are going to make an investment in the next 6 months to 12 months?

Mark Saldanha : We are looking between 80 crores to 100 crores.

Vilin: So, is that for any future growth then is that the full capacity for the Teva or we can still have few more plants and make few more investment at the same facility?

Mark Saldanha : No, obviously we can make some more investments, but this is the initial onset that we had planned like I mentioned very close to 200 crores was going to go into facility including the

Marksans Pharma Limited

November 09, 2023

Page 8 of 12

acquisition cost, so that's pretty much what we are planning to do and then obviously maybe after a year and a half, we may have to invest more to increase our capacity further on.

Vilin: And I think in the past concall you referred to filing spending more on the filing of ANDA's and the percentage of R&D going to increase. So, do you see it's going to be a significant jump or it's going to be gradual increasing?

Mark Saldanha : It is going to be a gradual increase, but it will be an increase for sure.

Vilin: And the last question from my side, Do you see most of the tailing from the raw material cost are there now, so any future works will be given by more operating leverage and the product portfolio, would that be a safe assumption?

Mark Saldanha : Yes, that's fair enough to say.

Moderator: Thank you. We'll take the next question from the line of Prerit Choudhary from Green portfolio. Please go ahead.

Prerit Choudhary: Congratulations for good set of numbers. I just had two questions. First one is we had plan to file DMF for backward integration on September, any updates on that if you can provide?

Mark Saldanha : We are still working towards that.

Prerit Choudhary: So, any tentative dates mean by which month we can file those DMFs?

Mark Saldanha : I think hopefully we will be optimistic by the end of this financial year.

Prerit Choudhary: And my last question is what would be the total expense number for our Teva facility for this quarter?

Mark Saldanha: You're talking of the expense?

Prerit Choudhary: Yes expense amount for the whole Teva facility for this quarter.

Mark Saldanha: Around 10 crores.

Moderator: Thank you. The next question is from the line of Ishita Jain from Ashika Stock Broking. Please go ahead.

Ishita Jain: Thank you for the opportunity again. So, given the product mix, we must have not faced very high price erosion in the U.S., can you quantify the price erosion, if any?

Mark Saldanha: It's difficult to quantify exactly, but obviously we are not immune to price erosion. There's always some price erosion happening because when raw material prices come down, so do
Marksans Pharma Limited
November 09, 2023

Page 9 of 12

finished products come down. So, we're not immune to it, but definitely we didn't suffer as compared to the prescription segments, but there was some price erosion, but not dramatic.

Ishita Jain: Do you think that we will be able to cushion this even further with backward integration, at least for the molecules we are considering backward integration from?

Mark Saldanha: Yes. I mean, obviously we do believe in that, and we do believe it will bas

ically strengthen our

sourcing capabilities and reliability of ensuring materials available on key molecules. So, that was the objective more than anything else that because when prices go up or when circumstances happen in the market manufacturers tend to exploit the situation, so we that's the reason why we wanted to backward integrate ourselves.

Ishita Jain: So, Teva plant breaks even first quarter 25 is this timeline still intact?

Mark Saldanha: Definitely.

Ishita Jain: And last question, if I may R&D spend on a consolidated level was 1.6%, do you have any guidance for R&D spend say for FY25-26?

Mark Saldanha: About 2% may go slightly higher, but I would conservatively say 2%.

Moderator: Thank you. The next question is from the line of Vilin Individual Investor. Please go ahead.

Vilin: Mark, I think there are confluence of all these good things that are coming together, between these do you see any risk that you should be considering the geopolitical situation and all?

Mark Saldanha: Geopolitical situation, I mean there's not much control we have out there. Geopolitical is something which I think globally is always a risk from the global scenario, the overall countries and industry that will have pretty much a proportion that impact if things go South, but I think pharma industry basically is quite immune because at the end of the day, people still need medications and we are optimistic that whatever geopolitical scenarios do arise we'll probably be the least impacted out there.

Moderator: Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Two questions one is we can only recap the proportion of OTC business for US and UK?

Mark Saldanha: We are right now trending at a very close to 70 and 30 US 70 and RX is about 30.

Nitin Agarwal: In US?

Mark Saldanha: US maybe I'm talking of globally US it may be slightly more maybe 78.

Nitin Agarwal: And UK would be similar about 70 30?

Marksans Pharma Limited

November 09, 2023

Page 10 of 12

Mark Saldanha: Yes, I mean, UK, the RX portfolio is slightly larger so that's where the average coming down to 70, 30.

Nitin Agarwal: And do you see this proportion sort of changing over the next three odd years three to five years?

Mark Saldanha: I think it will be pretty much standard maybe 5% here and there OTC maybe 75 RX maybe 25.

Nitin Agarwal: And lastly with the Teva plant capacity available for us, I mean, what degrees of freedom does it just give you from our planning perspective I mean are you're looking to push in more volume to the existing products in the same geography you're looking to go out to more geographies, what are we really thinking about it?

Mark Saldanha: So, basically, we are looking at the same geographies and pushing more volumes and products both because of new product launches into similar geographies that we already existing. So, obviously that, I mean, we are talking of nearly looking at potentially doubling our supplies into the geographies that we are already existing.

Thereby, that's where the growth is going to be generated because while the front end we have a strong order book status, we need to ensure infrastructure supports those initiatives and fuels of growth out there. So, we do see Teva giving us equivalent amount of our revenue like our existing old plant and that's where we are investing on this CAPEX out there and it will also help us and assist us in any new geographies we basically venture into.

Nitin Agarwal: And just last one in terms of the current portfolio that you're supplying to US and UK, I mean, how much it's given once you get more capacity from Teva I mean are there opportunities for you take significantly higher market share than you already have and what would drive up?

Mark Saldanha: Yes, that's pretty much it, right. So, we will be

able to get more market share. We'll be able to

service more share because we have additional capacity and we are reliable supplier. So, we already have penetration. We already have distribution and all we need to do is expand our

product portfolio and also expand our products within the same clients and that can happen with additional capacity.

Nitin Agarwal: Sorry, just persist of that, but during over the last year or so, you've had situations where you can take a business because you don't have capacity or was it like a widespread thing for us?

Mark Saldanha: No, it wasn't that. Nitin it's basically we could foresee that our existing plant is reaching to its optimum and we need more facility to service increasing demand. Order book status is pretty much for next year, decent amount of that is going to will be basically coming out from the new facility. So, we could foresee that after a certain amount we would need additional capacity to service, increase demand and growth. So, that's where the Teva facility comes into play.

Nitin Agarwal: And lastly, on this one when you're taking higher market share or higher volumes so in your current products, so it's a market which is growing that you are participating in or you're taking

Marksans Pharma Limited

November 09, 2023

Page 11 of 12

market share and if you're taking market share over typical kind of player, you're taking the market shares from?

Mark Saldanha: So, obviously I don't think the market is going to the tune of our growth, but we are we are taking market share and again product portfolio, new product add it to the portfolio helps us to also add to the basket of our market share and revenue and when you talk of taking market share from competitors or from lead companies you're looking like Perrigo and PLDS and various other top companies that are existing already there.

Moderator: Thank you. We take the next question from the line of Hiral Nandu from Kalpvruksh Capital. Please go ahead.

Hiral Nandu: Congratulations on good set of numbers. Just one question on the brand thing if I heard something and correct me if I got wrong, I just wanted to understand how we are planning to expand our own brand in the various geographies. I heard that we have in presence in Australia and Dubai. I think on the branded side what about the other geography?

Mark Saldanha: Presently, obviously we have a few markets, those markets are more branded than generics looking at India, for example, so that is a huge possibility then you're looking at certain markets in Europe, which basically encourages branding and you're looking at certain other like evident US you have looking at Amazons or the E retail type of opportunities that exist, but I would say in branded business the markets that we are presently in or when we talk of US or when you talk or UK or Europe they are more generic driven and focus is there. We may explore brands, but they are relatively very small in terms of the revenue contribution and the big markets are obviously India and we would explore M&A's as and when we get an opportunity for that.

Hiral Nandu: So, the margin profile will certainly be higher in the branded products, right or even the generic brand will give a similar margin?

Mark Saldanha: Well, Hiral we always look at expanding our margins and we are always working towards that. The branded business does give definitely lucrative bottom lines, but that is once it reaches a certain level of revenue and optimization till then you have to invest a lot of money into marketing and sales and everything. So, it's like a chicken and egg situation. It's not like from day one branded business gives you business bottom line and it's actually a lot of investments go into branding.

Hiral Nandu: And as you rightly said, even though M&A could help it to cut down that cost and the timeline, so which might be

Ip ?

Mark Saldanha: Definitely.

Moderator: Thank you, sir. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Marksans Pharma Limited

November 09, 2023

Page 12 of 12

Mark Saldanha: I'd like to take this opportunity to wish everyone on the call and all our shareholders a very Happy Diwali and have a great year ahead and be safe. Thank you.

Moderator: Thank you. On behalf of Elara Securities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Date: February 20, 2024

Subject: Transcript of investor(s)/
strategy update

Dear Sir/Madam,

Pursuant to Regulation 30 read with Para A of
Obligations and Disclosure Requirements) Regulations,
transcript of the investor(s) / analyst(s) meet for Q
strategy update held on February 14, 2024

The above information is also available on the website of the Company i.e.
<http://www.marksanspharma.com/investors>

We request you to take the aforesaid on records.

Thanking you.

Yours faithfully,
For Marksans Pharma Limited

Harshavardhan Panigrahi
Company Secretary

Encl: As above BSE Limited
Corporate Relation Department
PhirozeJeejeeboi Towers,
Dalal Street,
Mumbai – 400001.

Scrip Code: 524404

investor(s)/ analyst(s) meet – Q3 FY2024 financial performance and
Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing
Obligations and Disclosure Requirements) Regulations, 2015, kindly
investor(s) / analyst(s) meet for Q3 FY2024 financial performance and
strategy update held on February 14, 2024 .

The above information is also available on the website of the Company i.e.

<http://www.marksanspharma.com/investors-meet.html>

We request you to take the aforesaid on records.

For Marksans Pharma Limited Corporate Relation Department National Stock Exchange of India Limited
Listing Department

Exchange Plaza, C- 1, Block
Bandra- Kurla Complex,
Bandra (East), Mumbai
Symbol: MARKSANS

FY2024 financial performance and
Part A of Schedule III of the SEBI (Listing
find enclosed the
financial performance and

The above information is also available on the website of the Company i.e. National Stock Exchange of India Limited
1, Block-G,
Kurla Complex,
Bandra (East), Mumbai – 400051.

“Marksans Pharma L
Q3 and 9M FY’2

MANAGEMENT : MR. M
DIRECTOR
M R. J

– MARKSANS

MODERATOR : MR. B
PRIVATE

Page 1 of 17

Marksans Pharma Limited
FY'24 Earnings Conference Call
February 14, 2024

MARK SALDANHA – FOUNDER AND MANAGING DIRECTOR – MARKSANS PHARMA LIMITED
JITENDRA SHARMA – CHIEF FINANCIAL OFFICER – MARKSANS PHARMA LIMITED
BINOPATHIPARAMPIL – ELARA SECURITIES PRIVATE LIMITED
Earnings Conference Call ”

MANAGING
DIRECTOR
FINANCIAL OFFICER
SECURITIES

Marksans Pharma Limited
February 14, 2024

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to Marksans Pharma 3Q FY24 Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference has been recorded. I now hand the conference over to Mr. Binopathiparampil from Elara Securities Private Limited. Thank you and over to you, sir.

Binopathiparampil: Hi, thank you, Aditya. Very good afternoon to all of you. This is Dr. Binoy Patiparampil from Elara Securities. I welcome you all to the quarter three FY24 earnings conference call of Marksans Pharma. Today we have with us on the call Mark Saldanha, Founder and Managing Director, and Jitendra Sharma, Chief Financial Officer. I hand over the call to the management for opening remarks.

After that, we'll have a Q&A session. Over to you, Mark and Jitendra.

Mark Saldanha: Thank you, Dr. Binoy. Welcome, everyone, and thank you for joining us in our Q3 and nine-month FY24 Earnings Conference Call. We appreciate your continuous interest and support for the company.

I'm delighted to announce yet another robust quarter, reflecting our dedication to consistently deliver superior performance and create value for all our stakeholders. Our revenue expanded by 22% year-on-year, primarily driven by the market share expansion and new product launches. We saw consistent improvement in margin profile, with an EBITDA margin of 22.7% in Q3, led by operating leverage, consistent cost optimization initiatives, and a reduction in raw material costs. Our net operating cash flow for nine months stood at INR169 crores, driven by an improved EBITDA margin and better collection.

Moving on to operational environment, during the quarter we saw improved volume growth across all our key markets, especially from the U.S. A moderate price erosion of our RX

products or absorbs, a reduction in a few key raw materials prices continued compared to the last year, thereby improving our gross margin. However, we experienced a surge in freight expenses due to recent sea route disruptions.

We are taking initiatives to ensure that our supply chain remains intact and on track. Talking about our strategic initiatives, the infrastructure expansion from a newly acquired Teva plant is in progress and going at a good pace. We basically had broken this into two phases.

Phase 1 was to try to achieve over 3.6 billion units per annum and we believe by next month, March, we will be trending towards that objective. Obviously, Phase 2, we anticipate towards the middle or end of next financial year, where we will be targeting over 6 billion tablets per annum. We expect the scale capacity from Teva new facility to cater to the incremental opportunities we see in different geographies.

Marksans Pharma Limited
February 14, 2024

Page 3 of 17

Building on our momentum and in continuation to our last conference call discussion, we have initiated the filing of our first DMF and we plan to file a second DMF within this quarter, which is a step towards backward integration. As we continue to strengthen our pipeline, looking ahead, our priorities remain focused on driving sustainable growth, maintaining balance sheet discipline and pursuing strategic opportunities that align with our long-term vision.

With this, I would like to turn it over to Jitendra, who will update you on the financial and then we can start our Q&A.

Jitendra Sharma: Thank you, sir. For Q3 of FY24, our operating revenue was at INR586 crores, an increase of 22% compared to INR479 crores in the same quarter last year. The US and North America was at INR257 crores, represent

ing an 18% increase year on year. UK and EU formulation markets

grew by 34% year on year to INR251 crores. On account of new launches and incremental market share, Australia and New Zealand formulation market recorded revenue of INR48.6 crores and the rest of the world recorded sales of INR29.1 crores in Q3 of FY24.

Gross profit was at INR313 crores, up 30.4% year on year. Gross margin increased by 336 basis points from 50.1% to 53.5% in Q3 of FY24. EBITDA for the quarter was at INR133 crores, an increase of 73.6% year on year and an increase of 16.8% on quarter on quarter basis. EBITDA margin for the quarter was at INR22.7%. Improvements in margin is majorly led by reduction in raw material prices compared to last year, operating leverage and cost optimisation initiatives.

Profit after tax was at INR83 crores, an increase of 33.2% year on year and decrease of 1.1% on a quarter on quarter basis. The decrease in quarter on quarter path is primarily due to decrease in other income which is led by the provision of end-to-end loss in foreign exchange. The EPS for the quarter was at INR1.84. Talking about 9-month financial performance, for the 9-month of FY24, our operating revenue was at INR1,617 crores, an increase of 18.4% compared with INR1,366 crores in the same period last year.

The US and North America was at INR673 crores, representing 15.8% increase year on year basis. UK and EU formulation market grew by 26.5% year on year to INR710 crores. Australia and New Zealand formulation market recorded revenue of INR155 crores, an increase of 6.4%. The rest of the world recorded sales of INR78.5 crores in the 9-month of FY24. The gross profit for the period was INR849 crores, up 23.3% year on year.

Gross margin increased by 209 basis points, from 50.4% to 52.5% in 9-month of FY24. EBITDA for the period was at INR348.9 crores, an increase of 51.9% year on year. EBITDA margins stood at 21.6%. Profit after tax was at INR237.3 crores, compared to INR182.6 crores in 9-month of FY23, a growth of 29.9%. Growth is attributed to improved EBITDA. However, there is an increase in tax rate in UK from 19% last year to 25% in the current year. EPS for the 9-month was at INR5.2. In 9-month of FY24, the net cash from operation is at INR169 crores and the free cash flow is at INR8.4 crores.

Marksans Pharma Limited
February 14, 2024

Page 4 of 17

The capex incurred during the period was INR160.6 crores. The investment is in line with our plan for scaling up acquired manufacturing units from Teva Pharma in Goa, which will derive our future growth. We spent INR29.4 crores in R&D, which amounts to 1.8% of the sales. We continue to remain debt-free and had a total of INR688 crores of cash as of 31st December of

2023.

With this, I would like to open the floor to questions and answers. Thank you very much.

Moderator: Thank you very much. Our first question is from the line of Viraj from MoneyGrow India. Please go ahead.

Viraj: Hi Mark, this is Indra. Congratulations. Fantastic outcome for the quarter. I had a question regarding the SBA facility status of the Goa plant based on the last observation and also whether all investments for the Teva plant are now complete?

Mark Saldanha: So, obviously, based on our last observation, we already have an EIR status. We received the EIR report on that, so that audit was closed. And with regards to the capex for Teva, we have not completed the full capex yet and it will spill over to next financial year, the capex.

Viraj: My second question is, it looks like you will do INR2200-odd crores of top line for FY24. Can you guide us towards what is likely to be the targeted top line for FY25 given full ramp-up of Teva plant?

Mark Saldanha: So, I would like to give a slightly longer outlook than just 12 months, but obviously our first target was to cross INR2000 crores, which you rightly said we are trending way above that target of INR2000 crores. We have set

out a target to come very close to, our next target is INR3000 crores within the next two years. So, we are working towards trying to achieve that objective.

Viraj: All the very best.

Mark Saldanha: Thank you very much.

Moderator: Thank you. Our next question is from the line of Akshay from Green Portfolio. Please go ahead. Hello Akshay sir? The line from Akshay sir has been disconnected. Our next question is from the line of Harshit Sharma from MNP Investments. Please go ahead.

Harshit Sharma: Hi, thanks for taking my questions. Congratulations on a good set of results for the quarter, sir. My question is, what is the likely utilization of net cash and how much is expected to be spent for R&D and capex in the coming years?

Mark Saldanha: So, I think our R&D will probably touch two and probably cross slightly over two. In capex, obviously, like I mentioned, we have to complete the capex of what we spoke of INR200-odd crores for the Teva plant. And we have not yet infused that part of the capex to complete our projects. But we have achieved our first objective and by March, like I said, we should be able to achieve nearly -- very close to 300 million tablets, which is, with the run rate of that is nearly 3.6 billion tablets per annum.

Marksans Pharma Limited
February 14, 2024

Page 5 of 17

So, that was our first target that we had set out when we acquired the plant and we started infusing the capex for that plant. So, we still have a fair amount of capex to be done in our Teva plant to get it to the second phase. With regards to your first question... Basically, the utilization of cash. So, see definitely, we are looking at expanding our presence geographically. We are looking at spreading our business in EU. So, we have earmarked some amount for that and definitely, the capex will continue in the next year also.

So, as far as Teva manufacturing facility is concerned, we do plan to have some capex in our US and UK facilities also. So, broadly, the amount will be utilized in growth-related avenues in coming years.

Harshit Sharma: Sure. That's helpful. My other question is on the top line with respect to the US region. Just wanted to understand the drivers for the double-digit increase in sales from the US region, so, if you could just help us with that? Thank you.

Mark Saldanha: Yes. Sorry. You wanted to know about the US sales?

Harshit Sharma: So, I just wanted to understand the drivers behind the double-digit increase seen from the US region in terms of sales. So, yes.

Mark Saldanha: Well, it's obviously some new product launches. It is getting bigger market share, penetrating into the market getting some new clients on board. So, our product portfolio, besides expanding our product portfolio, we are also getting traction onto our core strength of products, which historically are maturing and growing and getting bigger market share in some retailers.

So, that's our growth driver in the US. I mean, our US market is huge. This is just the tip of the iceberg. So, I think double-digits on a low base is the least we could do.

Harshit Sharma: Thank you, sir. I'll get back in the queue for more questions.

Moderator: Thank you. Our next question is from the line of Tarang Agrawal from Old Bridge Asset Management. Please go ahead.

Tarang Agrawal: Hi. Good evening, guys. Congrats on an extremely strong set of numbers. Just a couple of questions. One, the gross margin levels that we're seeing in Q3, in your view, are they sustainable or there are some one-off advantages that you have right now? Second, if I look at

the nine months that have gone by, Europe, on a constant currency basis, has done exceedingly well.

So, is there anything specific that's working in your favour in UK or it's just a function of market dynamics?

Mark Saldanha: Well, in UK, basically, it's about portfolio product mix and new product launches, which are driving growth out there. It's a matured market for us.

So, obviously, with new product launches, it's relatively easier for us to get market share and market penetration into various accounts. In the gross numbers, I do believe sustainability is a huge possibility. I do believe there is a one-off, so I do believe we should be able to maintain that gross margin part of it.

Marksans Pharma Limited
February 14, 2024

Page 6 of 17

Tarang Agrawal: Okay. And sorry to bring it up again, but, I mean, what is the capex number that you're looking at? FY21 and fast forwarding to FY25?

Jitendra Sharma: Tarun, this is Jitendra here. We have invested INR160 crores already in the first nine months, and I think by the end of March, we should be crossing INR200 crores in terms of capex, and this includes the Teva acquisition costs also. We are doing a lot of capex in our other manufacturing facilities also. So, I think over a period of two years, current year and next year, our overall capex will be between INR250 to INR300 crores.

Tarang Agrawal: You mean FY24 and FY25 together, correct?

Jitendra Sharma: Yes.

Tarang Agrawal: Okay. Thank you.

Jitendra Sharma: Thank you.

Moderator: Thank you. Our next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Hi, thanks for taking the question. Going back to the earlier question around what has really worked for us in Europe this year. Is it largely new product launches or just increased market shares? I mean, we have almost like a 30% CAGR growth, a 30% Y-o-Y growth in Europe, in the UK this year. And how do you see us growing from this base in the UK going forward?

Mark Saldanha: So, I see a growth being quite robust, Nitin. It will continue being robust in UK for the next couple of years. Again, sheer strength of our product pipeline and product launches that have been planned. We've been filing them for quite some time. So, we've been investing on all the filings, everything of that stuff. So, obviously products, product launches are happening on a quarter-to-quarter basis and we are able to penetrate.

But it's also the product mix which is basically also giving that growth in terms of that specific market. And products that were not able to penetrate into certain accounts, we've actually broken into those accounts. So, it's a bit of that over time you mature to the level where the service defines your capabilities and you get better traction into certain accounts with a larger product portfolio than historically what you are holding.

So, it's a combination of both which is seeing us gain that market share as well as the revenue generation and the percentage of growth. I do believe in the coming years also we should be able to grow at a very healthy pace, double digits in the UK because of, again, sheer strength of product pipeline.

Nitin Agarwal: And, Mark, on the product pipeline aspect, I mean, the products that we are launching now, if you can qualitatively give us a sense on, I mean, what is the qualitatively, I mean, are these more profitable products, more complex products, any nature, difference in the nature of products that you're looking to file or launch in the coming years versus what you've done in the past?

Marksans Pharma Limited
February 14, 2024

Page 7 of 17

Mark Saldanha: Yes, I mean, these products are little niche products, high value products, great bottom lines. They are not, they will not be driving the top line, but as a basket collectively, the top line will basically, will grow. We are planning only 34 new filings in the next two years in UK itself, and these are all products where you would see amazing bottom lines being generated. So, you will see, while the cycle, the life cycle of every product is limited, while you may see a price erosion on A product, you will see gains on a B product or on a new product that has just got approved based on, and we have to foresee that, and hence we have gone into molecules which c

an basically -- is more focused on bottom line than top line.

But as a basket, I do believe the top line will grow because of the sheer number of products approvals that we're expecting next year and the year after that.

Nitin Agarwal: And Mark, if you can just remind us, what is the OTC versus prescription split in UK and in the US right now?

Mark Saldanha: So, in UK, our split is around 60-40. So, 60 is OTC and 40 is Rx, and our US is about 75-25.

Nitin Agarwal: And in the US, I mean, earlier we were very strong in pain and cold and cough. Are there any segments where we're looking to incrementally add meaningfully to our portfolio on the OTC side in the US?

Mark Saldanha: So, simply, it is on to these, it is basically digestives that we are focusing a lot on. So, pain, we are quite exhausted, we are exhaustively covering the pain, so we are launching a few products in the pain too, but our product portfolio expansion is actually more on digestive and cough and cold and allergies. So, these are the three segments we are still focusing on.

And finally, obviously, we are working on the prescription front, which is on a slightly different trajectory, but overall, as you can see, the ratio, we are more tilted towards OTC versus prescription.

Nitin Agarwal: And in this OTC market, three therapies that you're targeting on a going forward basis, I mean, how much more space do you have to cover in terms of reaching your target addressable market?

Mark Saldanha: I think we've gone a long way for that. So, the market size is huge, and I think we are just at the top of the iceberg for us. And so, we are working towards taking a larger market share, and we are getting there. We are very confident we are getting there.

Nitin Agarwal: And if I can take one last one, Mark, on the OTC side in the US, I mean, if you can give us some sense on if there have been any meaningful changes in the competitive dynamics in that market? I mean, some of the pricing pressure, which you've seen in the prescription side, has eased out. I mean, how has the dynamics, the competitive dynamics, been on the OTC side of the business in the US in particular?

Mark Saldanha: It's quite a matured product pipeline, so technically, it does not go through that volatility that you see in the RX front, where obviously, RX is highly volatile based on demand and supply

Marksans Pharma Limited
February 14, 2024

Page 8 of 17

situation. The OTC is more contract driven for a longer gestation and longer period of time.

So, we don't experience that.

That said and done, we are not immune to it, but we don't experience that type of volatility in the OTC at least.

Nitin Agarwal: And in terms of competitive dynamics, have you seen...

Mark Saldanha: No, we have not seen any changes out there.

Nitin Agarwal: Okay. Thank you so much.

Moderator: Thank you. Our next question is from the line of Ridhi Agarwal from ACM Capital. Please go ahead.

Ridhi Agarwal: Congratulations on a great set of numbers, sir. So, I wanted to understand, how is the price erosion for Q3 and how is the current market scenario shaping?

Mark Saldanha: So, price erosion, like I mentioned in our starting discussion, we have seen some price erosion in the RX front of it and that's sheer, like I said, the dynamics and the nature of the beast where demand and supply situation arises. So, we have seen the RX having price erosion. But overall, there has been a bit of stability on the overall basket.

So, the dynamics is still very healthy and obviously, we are expecting US to be our growth driver in the coming couple of years.

Ridhi Agarwal: Okay. I also wanted to understand, what could be the incremental revenue potential from the acquired Teva Pharma unit in FY25 and FY26 primarily?

Mark Saldanha: So, FY25 will be obviously much larger because FY24, three-fourths of a year, I mean, pretty much a year has nearly come to an end and we are still to hit our objectiv

es. So, I think we

would see a decent amount of revenue coming in FY25. I think we are looking at very close to 600 or close of revenue, additional revenue coming in from the facility.

Ridhi Agarwal: Okay. Thank you, sir. I'll join back in the queue.

Mark Saldanha: Thank you.

Moderator: Thank you. Our next question is from the line of Dr. Bino from Elara Securities Private Limited. Please go ahead, sir.

Dr. Bino: Hi. Thanks for taking my question. A couple of them, Mark, Australia growth was a little muted this quarter. What's happened there?

Mark Saldanha: Yes, it is muted and it's just the timing of approvals and market dynamics out there. So, we do plan to be on track in the next financial year. But this year has been a bit subdued where,

again, it's just been it's just coming out of COVID and you have a distribution channel which is

Marksans Pharma Limited
February 14, 2024

Page 9 of 17

pretty much flooded. So, it's just something of that stuff that the season, in comparison to the historic seasons, were not as inductive.

So, that's where they're pretty much flat or subdued, as you would say. But I believe they'll be back in growth. It is a very small market. So, growing is relatively always going to be, in single digits where the Australian market is concerned.

Dr. Bino: Okay. And coming to EBITDA margins, we have seen a huge expansion, which a lot of that, I believe, has come from operating leverage as well. Now that the Teva plant is also started and other plants also have ramped up, is the operating leverage kind of reaching its maximum or do we have further room to expand margins out of pure operating leverage?

Mark Saldanha: Operating leverage, obviously, like you said, the Teva is not even started to break even per se onto that. So, once we start in next financial year with the revenue, there's a very visible revenue generation will happen from the Teva plant and I think operating leverage will get better. Again, so I do believe as and when the plant reaches an X amount of production or output, you will see that operating leverage kicking in much better than what we've seen historically.

But for the rest of the plants that we have, I think we are seeing a good amount of operating leverage kicking out there.

Dr. Bino: Understood. And finally, Jitendra, we have seen a step up in depreciation, depreciation-amortization charges over the last two quarters. Is it primarily because of the Teva plant and is this the new base or do you think it will further go up?

Jitendra Sharma: Yes, it will be a new base now. So, we have started depreciating Teva plant also. So, that has resulted in incremental depreciation charge. We have also taken one new, like, warehouse on lease in US. So, there also some additional depreciation charge is coming. So, I think this INR22 crores will become a kind of benchmark for coming quarters also. These amounts will remain.

Dr. Bino: All right. Thank you. Thank you very much.

Moderator: Thank you. Our next question is from the line of Manoj Mathew from Business. Please go ahead.

Manoj Mathew: Hello. Mark, congratulations. Jitendra, congratulations. The freight rates have gone up. Understood. But this is also the time when rates are negotiated for your customers for the next year. I mean, your end customers. Am I right? Question number one. Question number two, I think as per your previous comments. You said that the fourth quarter of this year will be the best, will give the maximum results of this year in the Teva plant.

So, we can expect a better turnover in the fourth quarter. And can you also correct me if I heard that you have taken a new store, I mean, cold store space in US, just added a new cold store space in US recently. Is that correct?

Marksans Pharma Limited
February 14, 2024

Page 10 of 17

Mark Saldanha: Yes, that's correct.

Manoj Mathew: Okay. So, the first question, can you answer the first question? That means the freight rates

have gone up, but this is also a season of negotiating new contracts with your end customers, January to April.

Mark Saldanha: Yes. So, basically, contracts, obviously, no one predicts, no one predicted this freight to go up overnight. And some of these contracts that are being negotiated, they don't happen on a calendar year in the month of Jan. Some of them have concluded in December, November, some are happening in Feb. And the impact is not yet seen, because this freight disruption is happening, it's quite fluid, to put it in a right way. So, people anticipate that this will go off, people anticipate that it will come down.

So, nobody is giving a lot of weightage to it. And obviously, we are not seeing the freight prices going up to historic highs that we saw, maybe a year back. So, it has gone up, it has probably doubled than what it had come down, it had come down way below historic lows. So, it has gone up from that angle. But we do anticipate that it will get better, it's not probably going to get worse.

Even Maersk's— even Maersk Line, CEO, was on the news, on CNN, and he himself said that

the prices are not going to go up. And he'll be surprised that if we can maintain those prices, and it may even start tapering down. So, again, once a bit of normalcy comes in, and even if it does not come in, I think this new routing that has just started, if it is successful, it will be slightly higher, but it will not be -- we won't see those heights. Hopefully, we won't see those heights that were historic, what the industry witnessed.

Manoj Mathew: Okay. Mark, the next question is, from the Teva plant, can we expect thousand crores turnover for FY25? Approx?

Mark Saldanha: You are saying thousand crores turnover?

Manoj Mathew: Yes, from the Teva plant alone?

Mark Saldanha: Yes, we'll probably see it in INR26,000-INR27,000 crores. But we would, like I said, we are aiming for INR600-odd crores next year, in next financial year. So, we have two phases that we are, like I mentioned, we are talking of, I think in March we'll be hitting an all-time high, but that's not a great achievement compared to what historically Teva was doing. But in terms of numbers, it shows that we are moving in the forward direction, and we are getting closer to objectives. So, for us to hit a thousand crores, obviously we need to be doing six plus billion tablets, maybe six or seven billion tablets per annum. We are still a year, year and a half away from that.

Manoj Mathew: Okay. Mark, another question to you is, are we still suppliers of Teva? Are we going to continue supply to Teva in FY25? Or do we end it with FY24?

Marksans Pharma Limited
February 14, 2024

Page 11 of 17

Mark Saldanha: I think we won't be continuing moving forward in FY25. But again, our contract basically expires, I think, in April of '24.

Manoj Mathew: Okay.

Mark Saldanha: So, some of -- Right now we have not shown any plans, although they are looking for an extension, but we are not inclined to accept that extension because we have our own objectives to achieve.

Manoj Mathew: Okay. Okay. And you said you're going in for capex in your other plants also. So, will that capex enhance more productivity, or is it a renewal of capex to maintain the machines?

Mark Saldanha: Well, we always put capex, one is to maintain CGMP, the plant status. But we also put capex for authorization to get better output out. To meet our growing demands in each of the countries, we need to invest money to, like I said, to automate and to basically get a bit more efficient performance from the line to hit objectives out there.

So, this capex into every plant is going to be an ongoing basis. But today, our maximum capex has been drawn towards Teva to hit 600 million plus.

Manoj Mathew: So, you have added a new cold store in the US recently?

Mark Saldanha: Yes, I mean a warehouse, basically.

Manoj Mathew: A warehouse. Okay. Okay. Thank you. Thank you, Mark.

And congratulations again.

Mark Saldanha: Thank you.

Moderator: Thank you. Our next question is from the line of Hiral from Kalpvruksh Capital. Please go ahead.

Hiral: Hi, I'm Jitendra. Congratulations for the great set of numbers and the consistency which I'm seeing for the last two years, which we are maintaining quarter-on-quarter basis. I have a couple of questions. Some of them I've already answered earlier. Just for a couple of clarity, on the Red Sea costing perspective, as you mentioned that it has, in some of the contract it has already been covered. But just to understand the impact on the margin perspective, will it be a kind of 50 or 100 basis point impact on the margin or even less than that?

Mark Saldanha: It will be very less than that. It's very less than that. And it's not covered in any contracts because this is something which is war related or something which is beyond everyone's control. So, I mean, it is there today. It may not be there tomorrow. But we don't anticipate that impact like what we historically saw maybe a year back or two years back. We don't anticipate that.

Hiral: Great. And on the PAT margin, where we got some impact due to Forex, I think that was one-off the kind for that specific quarter or it can spill over to one or two more quarters?

Marksans Pharma Limited
February 14, 2024

Page 12 of 17

Jitendra Sharma: No, that is one-off only. It won't -- over to -- yes, it is difficult to comment. It is foreign

exchange at the end of the day. It may keep fluctuating, but we don't think it will be. This is one of kind of number. Great.

Hiral: Thank you. That clarifies and all the best for the future quarters and great result ahead. All the best.

Jitendra Sharma: Thank you.

Hiral: Just one thing as an investor I would like to mention that if possible, we would like to attend the plant visit for the Goa plant when it's ready.

Jitendra Sharma: Okay, we'll do. Sure.

Hiral: Thank you.

Moderator: Thank you. Our next question is from the line of Akshay from Green Portfolio. Please go ahead.

Akshay: Good evening. My question was related to new product launches and whether they were in the pain management segment or any other segments?

Mark Saldanha: They are in all the segments. Some of them are mainly in digestive, mainly in cold, very few in pain, some in prescription, anti-depressant categories. So it's a wide portfolio. It's a large portfolio.

Akshay: Okay, thank you.

Moderator: Thank you. Our next question is from the line of Viraj from Moneygrow India. Please go ahead.

Viraj: Hi Mark, Viraj here again. You had mentioned about a year ago regarding free cash flow allocation, saying one-third you had a board policy, one-third to be allocated between dividends and buybacks. I mean, assuming you haven't done a buyback or you may not do a buyback, can we at least see a higher dividend this year?

Mark Saldanha: Again, we have to take a call whether there may be a buyback or a dividend or it's going to be split into this. But like I said, 25% of our free cash flow will be divided into dividends. It may be fully dividend, it may be [three-phase] dividend, 25% buyback or maybe 100% dividend.

Or we have to just take a call on that.

Viraj: Okay. And any update on your new acquisition and where you are on that?

Mark Saldanha: Well, it's still in progress and we are still in dialogue, but nothing concrete. So we would not want to mention anything much today because we still are far away from 10 to payback.

Moderator: Thank you. Our next question is from the net of Shanmugam, an Individual Investor. Please go ahead.

Marksans Pharma Limited

February 14, 2024

Page 13 of 17

Shanmugam: Thanks for the opportunity. I have a couple of questions. First, if I touch upon our EBITDA I can't understand some of the earlier questions. Is it possible to split that 2% improvement from raw material and operating levels? Yes. I will repeat my question, sir. It's regard

ing EBITDA,

EBITDA question. Yes. There is an improvement, good improvement from 21% to 23%. Can you split that into how much comes from raw material reduction and how much from operating leverage?

Jitendra Sharma: The substantial part of it has come from the raw material side of it. So I can say almost two-third is coming from the raw material side of it and the balance is coming from the operating leverage.

Shanmugam: Great. So I hope that raw material reduction is going to have an impact positively. Considering the strike loss increment. Am I right, sir? I hope that raw material reduction will continue in the coming quarters?

Mark Saldanha: We all hope so. And we always continue for better pricing. We are always seeking for better pricing and it is looking much more stable. And there may be a possibility, but it's too early to say that.

Shanmugam: Thank you, sir. And finally, if you look at the consistency for the past two, three years, the final quarter will be a challenging one. The revenue will be flat, more or less. So, not considering SEWA plan, do we see growth in this final quarter in this year, sir?

Mark Saldanha: Yes, we are growing. So I think the numbers speak for themselves. So we are growing and we'll continue to grow. So we can look at it from a long-term outlook more than on a daily basis.

Shanmugam: Okay. So did SEWA plan have been commenced or it will commence in this quarter?

Mark Saldanha: No, no. It has commenced, but the volume growth has yet to translate. And we'll probably see March being the first month where we'll come close to hitting our first phase of objectives. And then obviously we have to keep pushing towards reaching our main objectives.

Shanmugam: So since it's a new plant, do we see any impact on EBITDA, sir?

Mark Saldanha: These have all been factored in a performance presently, so I don't see that much of a

difference.

Shanmugam: Thank you, sir. Last, if I touch upon that one question on other income, I understand that there is an entry regarding the forex, a general entry. Do we see any reversal in going forward? It's one time, it's permanent.

Jitendra Sharma: See, we believe this should be a one-time kind of situation here.

Shanmugam: One time? Is it going to be a reversal, sir, or is it a permanent entry?

Marksans Pharma Limited

February 14, 2024

Page 14 of 17

Jitendra Sharma: Yes, it depends on the foreign exchange levels, which will be there now as on 31st March. So difficult to comment, but I don't see any incremental mark-to-market. Let's see what happens as on 31st March. So it will get revalued again as on 31st March. We will continue at that time only, but then in Q3, the MTM laws should be a one-off kind of thing.

Shanmugam: What is it, Q3?

Jitendra Sharma: We don't see that kind of volatility in foreign exchange. See, the GBP, basically it has come from the GBP side, wherein between September to December, GBP fluctuated between INR101 to INR106. Now it has become a bit stabilized between INR104 and INR105. So we don't see any more volatility here, but anyway, it will depend on the levels which are there at 31st March.

Moderator: Thank you. Our next question is from the line of Anant, an Individual Investor. Please go ahead.

Anant: Yes. Good afternoon, Mark. Congratulations on a good set of numbers. This question has been answered probably, but I want a slightly different perspective on this. My understanding on the Teva facility was a total of INR200 crores will be spent on this. This includes the upfront payment, the acquisition cost and the upgradation to basically double the capacity from \$8 billion to \$15 billion, \$16 billion. Now, out of this INR200 crores, INR160 has been spent. So am I right in saying that we need to spend an additional Rs. 40 crores to reach that capacity of double?

Mark Saldanha: No. So I'll just like to clarify that one. So INR160 crores has been spent for globally, for all our plants. It's not spent

on Teva plant. So I think our Teva acquisition plant, for the Teva, we must have spent around INR85 crores to INR90 crores.

Anant: Right.

Mark Saldanha: So we still have some amount of capex to be spent out there. Number one. Number two, I don't think I've ever mentioned 15 billion targets because that's not possible for us. Overall.

Overall. Okay. But from a single plant, from Teva plant, it's not going to happen 16 billion.

It's what we are targeting from the Teva plant. And today, like I mentioned in the opening statement, that we should be trending at, from March we should be trending on a first phase to trending at 3.6 billion. And hopefully next financial year, we will get closer to the 8 billion target.

Anant: Thanks for the clarification, Mark. Just to follow up on this, the product coming out of the Teva facility, will this command a similar level of premium and margins compared to our existing facility? Are these approved for sale in US or no?

Mark Saldanha: Yes, it will. Because it's again, we supply all to regulated markets. So it will have the same premium that. But it's important to understand that you will see a better, it's not about, obviously, rooming numbers is very critical because with numbers you have operating

Marksans Pharma Limited

February 14, 2024

Page 15 of 17

leverage kicking in. So basically, we are working hard towards trying to do, trying to hit those objectives as fast as possible.

Anant: Right. No, thanks. Appreciate that clarification. And one last question. Can you give some color regarding our overall margins on our business in US compared to the UK?

Mark Saldanha: UK is a much more matured market in terms of, we've been in the UK market since 2008. So the operating leverage, the amount of product portfolio is huge. The operating leverage is already there.

Market penetration is there. For us, US market is relatively very new. We've been there, I mean, actively from 2017, although we acquired the company towards mid and late of 2015. But we've actively been promoting our products only from 2017. So it's been, it's not even five years. So we've got a long way to go.

And as and when our revenue keeps rising, the operating leverage will kick in and profitability will be much better and visible during the coming years. As you can see, this year is better than the previous year. And next year will be better than this year.

Moderator: Thank you. Our next question is from the line of Nirali Shah from Ashika Stock Broking. Please go ahead.

Nirali Shah: Hi, thank you for the opportunity. Majority of my questions have been answered. But just a quick question on, we were venturing into complex molecules like adult dual action.

So if you can give some color on that, how are we progressing on that? Or do we expect a meaningful contribution or maybe some color on the margins? So what kind of expectations can we have from these complex molecules?

Mark Saldanha: So dual action is only one of the many molecules that we filed in. We are still expecting many more approvals to come in on similar grounds, which are more complex in terms of extended release or bi-layered or MOPS technology type of molecules. So we do see those getting cumulatively.

It will be much better when all the products come in. From a dual action, we have not seen any price erosion per se. But we are working towards getting contracts on growing these molecules. So it's too early. We've just been not even a year with this molecule in the market right now.

Nirali Shah: Understood. And just one bookkeeping question. Last year, we had an effective tax rate of around 21%. And this year, I guess we're looking at around 27% or 26%. So going forward, do we expect it to be in the same range, 25%, 26%?

Jitendra Sharma: Yes, it will remain at 25% because the tax rates in UK has gone up from 19% to 25%. So now, I think going forward, our effective tax rate should be in the range of 24%, 25%.

Nir

ali Shah: Understood. Thank you.

Marksans Pharma Limited
February 14, 2024

Page 16 of 17

Jitendra Sharma: Thank you.

Moderator: Thank you. Our next question is from the line of Rohan from Prad Capital. Please go ahead.

Rohan: Yes, so thanks for the opportunity and congrats on a good set of numbers. So my question is on Teva. You said that next year, we are targeting around INR600 crores of revenue.

Is that incrementing revenue on our base or is that, you know, that you are supplying from some other sources and you would give that to the Teva facility?

Mark Saldanha: Yes, so Rohan, this will be mainly incremental. It may not be fully incremental, but mainly incremental growth that will come in from there because obviously, it will cater to a larger product basket and various geographies. So I would assume it will be mainly incremental growth coming from there.

Rohan: In terms of utilizing that facility, our facility would come up say March, April, but a lot of your contracts are signed, you know, end of the year for the next year. So, you know, can you expect, you know, the ramp up immediately as the facility is operational or we'll have to wait for some time and sign contracts and really see the utilization in say calendar year '25?

Mark Saldanha: Again, a very good question, but we will basically, see we can't take contracts without having that capacity in hand. So when we are taking contracts, right now we are taking contracts worth, you can see a visibility of 3.6 billion units coming in. When we scale it up to 8 billion, I mean, 600 billion or 8 billion, tending towards 8 billion units, we have to obviously expand and get contracts in place, support that.

But there will be some spillover in terms of optimization and that's why we are not saying that we will do INR1,000 crores, INR800 crores or INR1,000 crores next year. We do believe in the following year we will be hitting those objectives.

Rohan: Got it. So the contracts you've already signed, you've assumed this capacity to come up and based on that you've signed contracts. So you already have that visibility. Is that understanding correct?

Mark Saldanha: Yes, that's understandable. That's accurate and basically we only take contracts what we can deliver. We don't...

Rohan: Got it, sir. Thank you and all the best.

Mark Saldanha: Thank you very much.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to management for the closing comments.

Mark Saldanha: I'd like to thank all of you all for participating in this call. Have a great evening and be safe. Thank you very much. Thank you.

Marksans Pharma Limited

February 14, 2024

Page 17 of 17

Moderator: On behalf of Elara Securities PrivateLimited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2024

Date: June 05, 2024

Subject: Transcript of investor(s)/
strategy update

Dear Sir/Madam,

Pursuant to Regulation 30 read with Para A of
Obligations and Disclosure Requirements Regulations,
transcript of the investor(s) / analyst(s) meet for Q
strategy update held on May 3

The above information is also available on the website of the Company i.e.
<http://www.marksanspharma.com/investors>

We request you to take the aforesaid on records.

Thanking you.

Yours faithfully,
For Marksans Pharma Limited

Harshavardhan Panigrahi
Company Secretary

Encl: As above BSE Limited
Corporate Relation Department
PhirozeJeejeeboi Towers,
Dalal Street,
Mumbai – 400001.

Scrip Code: 524404

investor(s) / analyst(s) meet – Q4 FY2024 financial performance and
Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing
Obligations and Disclosure Requirements) Regulations, 2015, kindly
investor(s) / analyst(s) meet for Q4 FY2024 financial performance and
31, 2024.

The above information is also available on the website of the Company i.e.

<http://www.marksanspharma.com/investors-meet.html>

We request you to take the aforesaid on records.

For Marksans Pharma Limited Corporate Relation Department National Stock Exchange of India Limited
Listing Department

Exchange Plaza, C- 1, Block
Bandra- Kurla Complex,
Bandra (East), Mumbai
Symbol: MARKSANS

FY2024 financial performance and
Part A of Schedule III of the SEBI (Listing
find enclosed the
financial performance and

The above information is also available on the website of the Company i.e. National Stock Exchange of India Limited
1, Block-G,
Kurla Complex,
Bandra (East), Mumbai – 400051.

"Marksans Pharma L
Q4 FY'2

MANAGEMENT : MR. M
DIRECTOR
M R. J

– MARKSANS

MODERATOR : DR. B
LIMITED

Page 1 of 15

Marksans Pharma Limited
Q4 FY'24 Earnings Conference Call
May 31, 2024

MARK SALDANHA – CHAIRMAN AND
DIRECTOR – MARKSANS PHARMA LIMITED
JITENDRA SHARMA – CHIEF FINANCIAL
OFFICER – MARKSANS PHARMA LIMITED
BINO PATHIPARAMPIL - ELARA SECURITIES
LIMITED
Earnings Conference Call ”

CHAIRMAN AND MANAGING
DIRECTOR
FINANCIAL OFFICER
SECURITIES

Marksans Pharma Limited
May 31, 2024

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Earnings Conference Call of Marksans Pharma Limited, hosted by Elara Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Dr. Bino Pathiparampil from Elara Securities Limited. Thank you and over to you.

Bino Pathiparampil: Thank you, Yashashri. Good evening to all of you on the call. On behalf of Elara Securities, I, Dr. Bino Pathiparampil, welcome you all to the management call of Marksans Pharma to discuss the Q4 and full year FY '24 earnings release and the business outlook. We have with us Mark Saldanha, Chairman and MD; and Jitendra Sharma, CFO. I now hand over the call to Mark and Jitendra. Over to you.

Mark Saldanha: Thank you, Bino. Welcome, everyone, and thank you for joining us in our Q4 and FY '24 Earnings Conference Call. We appreciate your continuous interest and support for the company. We are pleased to report our strong performance for the year where we have achieved our highest revenue and EBITDA in FY '24.

Our revenue expanded by 18% year-on-year to INR2,177 crores and EBITDA expanded by 35% year-on-year to INR459 crores. The performance was mainly driven by volume gains, new product launches and an increase in the wallet share of our existing customers as well as addition of new customers. We witnessed a favorable demand in our key markets. The pricing pressure was moderate for our Rx products in the U.S.

In U.K. region, we are one of the leading Indian pharmaceutical companies and aspire to sustain a growth momentum. The profitability of the company has also improved due to the softening of raw material prices and the improved operating efficiencies. Throughout FY '24, we achieved remarkable milestones. We exceeded our projected target of INR2,000 crores in revenue and a 20% EBITDA margin. We received key approvals on USFDA and market

authorizations from UK MHRA in pain management, cough and cold, and other therapeutic segments.

Our expansion and scalability of the acquired unit of Teva Pharma is proceeding according to plan and we will see meaningful revenue contribution from the unit in FY '25. Our Q4 performance was flattish with a slight decline. Although our revenue was slightly lower as compared to the previous quarter and this is mainly due to the seasonality of product mix, we were still above our projected target of INR500 crores per quarter.

The transit time and freight rates almost doubled in Q4 as compared to Q3 due to the Red Sea crisis. This escalation impacted the cost of approximately INR9 crores. We're taking steps to include strategic route optimization to ensure no delay in delivery. In the fourth quarter, obviously, we have hired over 200 new people in the acquired manufacturing plant in Teva.

Marksans Pharma Limited
May 31, 2024

Page 3 of 15

This strategic move has led to an increase in expenses. This is crucial for growth as we scale and improve the utilization of this unit. The profitability parameters will start improving thereafter.

We have strategically increased our inventory levels of finished products and key raw materials in our U.S. warehouse due to various supply chain issues in recent times. And based on the nature of our business, we have large SKUs and are required to deliver weekly orders to our customers. This buffer helps us to mitigate the risk of supply shortages and production delays.

This decision has resulted in an increase in our stock reserves by approximately INR7 crores while consolidation of the account. We look ahead and feel optimi

stic on the coming year. Our

strategic initiatives to increase our market share, enter new markets, expand capacity, strengthen our product pipeline, increase operational efficiency, and focus on our execution should deliver a robust growth. As a part of our commitment to enhance our shareholder value, I'm pleased to announce that the Board has recommended a final dividend of INR0.6 per equity share, which is 60% of INR1 face value.

With this, I'd like to turn it over to Jitendra to update you on the financials.

Jitendra Sharma: Thank you, sir. In Q4 of FY '24, our operating revenue was INR560 crores, an increase of 15.2% compared to INR486 crores in the same quarter last year. The U.S. and North America was at INR245 crores, representing a 26.6% increase on a year-on-year basis. U.K. and EU formulation market grew by 12.9% year-on-year to INR230.8 crores.

Australia and New Zealand formulation market recorded revenue of INR63.3 crores, stable on a year-on-year basis. The rest of the world recorded sales of INR18.9 crores in Q4 of FY '24. Gross profit was at INR290 crores, up 19.8% year-on-year. Gross margin for the quarter was at 51.8%. EBITDA for the quarter was at INR109.6 crores, an increase of 0.1% year-on-year and a decline of 17.6% quarter-on-quarter.

EBITDA margin for the quarter was 19.6%. The sequential decline is due to the surge in freight cost, due to the Red Sea crisis from January '24 and the increase in expenses related to the Teva acquisition. And also, with the increase in hiring in the new facility in Q4 of FY '24. Profit after tax was at INR77.6 crores compared to INR82.7 crores in Q4 FY '23, a decline of 6.1%. PAT decline was due to the increase in the tax rate. The EPS for the quarter was INR1.73.

Talking about the full year financial performance. In FY '24, our operating revenue was at INR2,177 crores, an increase of 17.6% compared with INR1,852 crores in the same period last year. The U.S. and North America was at INR918 crores, representing 18.5% increase on year-on-year basis. The U.K. and EU formulation market grew by 22.9% year-on-year to INR943 crores.

Australia and New Zealand formulation market recorded revenue of INR218.8 crores, a 4.4% on year-on-year basis. The rest of the world recorded sales of INR97.4 crores. Gross profit was

Marksans Pharma Limited
May 31, 2024

Page 4 of 15

at INR1,139 crores, up 22.4% year-on-year. Gross margin increased by 207 basis points from 50.3% to 52.3% in FY '24.

The EBITDA for the period was at INR459 crores, an increase of 35% year-on-year. EBITDA margin stood at 21.1%, a 274 basis point improvement over the previous year. Profit after tax

was at INR314.9 crores compared to INR265.3 crores in FY '23, a growth of 18.7%. EPS for FY '24 was INR6.92. In FY '24, The cash from operation was at INR230 crores, while the free cash flow was at INR21.6 crores. The capex incurred during the period was INR208 crores, which increased INR125 crores in the acquired facility from Teva Pharma, INR30 crores in the existing Goa facility, INR31 crores in the U.S. facility, and INR22 crores in the U.K. manufacturing facilities. We spent INR34.6 crores in R&D, which amounts to 1.6% of the sales. We continue to remain debt-free and have a total of INR674 crores of cash as of 31st March 2024.

With this, I would like to open the floor to questions and answers. Thank you very much.

Moderator: Thank you very much. We have our first question from the line of Agastya Dave from CAO Capital. Please go ahead.

Agastya Dave: Sir, a few questions on this increase in gross margins we have seen. So obviously, there is a seasonality impact there and also a change in product mix, right? So I was just wondering on a like-to-like basis, what have you seen on the gross margin front?

Jitendra Sharma: Hi, Agastya, this is Jitendra here. So gross margin for the year was at 52.3% as against 50% last year. The improvement in gross margin mainly w

as on account of reduction in raw material prices and also some favorable product mix. So, we expect the gross margins to remain in the range of between say 50% to 52% on a sustainable basis.

Agastya Dave: Okay. So this whatever benefits we are -- like this is sustainable, right, this range between 50% and 52%?

Jitendra Sharma: Yes, definitely.

Agastya Dave: Okay. So what would be the capacity utilization at the new plant, acquired from Teva?

Jitendra Sharma: See, the capacity -- we are in the process of increasing the capacity of the new facility. So in terms of the capacity utilization right now, it is very low. But from this month -- see April onwards, we have started utilizing the newer capacities as well. So in coming quarters, we will see much-improved capacity utilization at the Teva facility.

Agastya Dave: Okay. In terms of the additional cost that we have incurred, so now if I look at the employee cost base, for example, it's at around INR80 crores a quarter. So is that a good assumption?

Like we are done with the hiring? Or are there any incremental hires that we need to make even now?

Jitendra Sharma: There will be some more incremental hiring but I think the large part of it is already over.

Marksans Pharma Limited

May 31, 2024

Page 5 of 15

Agastya Dave: Perfect. Perfect. And any other start-up costs that you will incur?

Jitendra Sharma: No, I think we have incurred almost all the cost.

Agastya Dave: Right. Sir, on a plant level, when do we expect the breakeven to happen? By when -- tentatively, sir, very, very tentative numbers -- timelines, not even numbers.

Jitendra Sharma: I think from this quarter itself we should be breaking even.

Agastya Dave: At an EBITDA level, sir or PBT level?

Jitendra Sharma: At EBITDA level.

Agastya Dave: Okay. Great. Sir, finally, for next year, now that you have the plant in place and the production is ramping up, what kind of volume growth are you anticipating?

Mark Saldanha: So for this, obviously, we have broken the capex and capacity into 3 phases. The first phase was 3 billion tablets and which we have achieved installing this capacity. So now we are scaling up to utilize this capacity and we will probably have that additional revenue, which comes out of 3 billion. But in the FY '25, we plan to increase this capacity towards the second half of FY '25 to 5 billion. And hopefully, by the end of FY '25, we will start -- this will be added value accreditations to already existing revenue.

Agastya Dave: So could you quantify that number, can we see like a 15% growth on the entire base?

Mark Saldanha: Yes, sure.

Agastya Dave: Yes. 15%. I'm saying just volume growth, sir. I'm not talking about value.

Mark Saldanha: Yes, yes. Definitely. 15% is achievable.

Agastya Dave: Thank You, Sir, I think it was a very decent quarter

Moderator: We have our next question from the line of Nirali Shah from Ashika Stock Broking.

Nirali Shah: Could you provide insight into what percentage of our top line comes from ibuprofen and -- considering it is our largest molecule. And what our current market share is for this product? Additionally, what are our internal market share pull for ibuprofen?

Mark Saldanha: So ibuprofen is just one of the molecules that we have. Obviously, it does contribute decently to our revenue. I would say we are approximately about 15% of contribution comes from this molecule, one point.

Nirali Shah: Okay. And the market share?

Mark Saldanha: Again, depending on which market we are talking about but it will pretty much be at above 15% maybe of the market share.

Marksans Pharma Limited
May 31, 2024

Page 6 of 15

Nirali Shah: You mean globally or just North America?

Mark Saldanha: It's a very broad question. So I would say globally. I mean, whichever markets we are in.

Nirali Shah: And my next question is, given that our focus on the U.K. and Europe regions, they have actually shown the highest gr

owth over the past year, we see Y-o-Y comparison. Could you provide an update on the expected launch timeline for new products in these markets?

Mark Saldanha: Launch time for our new molecules in the markets are happening every quarter. So we do expect launches happening during the year, which will again fuel growth. We are very optimistic and bullish on our road map for the U.K. market. And for the Europe market, obviously, we do plan, we are working towards having our entry into the European market, hopefully in this financial year, we are working towards that.

Nirali Shah: That's great. And just one more, just global perspective. So with the increasing demand for drug in the U.K. I just came across an article today. So how well are we positioned to capitalize on this opportunity considering U.K. is a mature market for us?

Mark Saldanha: We're very strongly positioned. We are among the top 5 companies out there in U.K. So we are very strongly positioned in terms of inventory, in terms of our stock position, in terms of our inroads, and market penetration. So we are strongly positioned out there in U.K.

Moderator: We'll take our next question from the line of Sudhir Bheda from Bheda Family Office.

Sudhir Bheda: Congratulations on a good set of numbers for the FY '24. In fact, the last quarter was muted and that I think was very well explained by you why the margin was down. Sir, my questions are what's our outlook on the U.S. market? I believe that the U.S. is a very, very big market and you are trying to penetrate. And if we are able to succeed then huge market will open for you. So can you throw some light on your U.S. -- approach in the U.S. market?

Mark Saldanha: Well, we are very bullish on the U.S. market. It is our growth driver for the next 2 years. We have increased our capacity, we've increased our presence out there, our product portfolio out there. So we are expecting to double our revenue, in the U.S. market soon. So literally, we are quite optimistic and bullish where U.S. market is concerned.

Sudhir Bheda: So what kind of growth do you expect in the U.S. market in the next couple of years?

Mark Saldanha: Well, in a short-term point of view, from a short -- from a span of maybe 1 to 2 years, we are looking at doubling our revenue. So, if we are getting \$100 million, a little at \$200 million.

Sudhir Bheda: Great. Great. That's so nice to hear. And sir, I think somewhere the concern you have projected from INR3,000 crores of revenue by '26 and 20% plus margin. Is it still achievable? Or -- how do you see your next couple of years spanning out?

Mark Saldanha: It is still achievable. I mean, last year, we had projected INR2,000 crores and we landed up at INR2,177 crores. So, we did across our projection. I believe in the next 2 years, we'll definitely touch INR3,000 crores.

Marksans Pharma Limited
May 31, 2024

Page 7 of 15

Sudhir Bheda: Great. And sir, the last question, there are some reports on the shortage of drugs in U.S. So what's your opinion on that? And how is that opportunity...

Mark Saldanha: Well, there were some reports of shortage of drugs but I don't think we stand to gain on any of that. And these are spot shortages, which happen and then will go up after some time. So -- but again, I don't think it is basically within our portfolio to basically encash on that.

Moderator: We'll take our next question from the line of Kashish Thakur from Elara Capital.

Kashish Thakur: Sir, my first question is based on the Australian market. I'm just looking into your numbers for the past 2, 3 years. So, your Q4 has been substantially stronger as compared to other quarters in the Australian market. So, any specific reason behind it?

Mark Saldanha: Because Australia has reverse seasonal -- seasonality is different in Australia. So when it's summer, there's winter out there, right? So normally, the winter always is the peak season for any pharma industry which are stro

ng in pain and cough and cold. So, they have a reverse season out there compared to other markets in the world.

Kashish Thakur: Understood, sir. Sir, my second question will be your R&D outlook. What kind of R&D spend

should we expect for FY '25?

Mark Saldanha: Around 2%.

Kashish Thakur: Sorry, 2% to 3%?

Mark Saldanha: No 2%. I would say 2% is more reasonable.

Kashish Thakur: And any like specialization you want to target this R&D towards?

Mark Saldanha: We are working on a diversified portfolio. So it is -- it basically covers a huge portfolio and segments and delivery systems. So it's difficult to pinpoint on any specialty but it has different delivery systems involved in that.

Kashish Thakur: Understood, sir. Sir, my next question will be on the U.S. market. Like what is the total number of monographs you have overall in the U.S. market?

Mark Saldanha: About 30-odd -- 25 -30-odd.

Kashish Thakur: And like how are we seeing this in FY '25?

Mark Saldanha: The nominal growth that we would expect, maybe 40 plus.

Kashish Thakur: So around 10 plus end of FY '25?

Mark Saldanha: Yes.

Kashish Thakur: Last question will be on the capex. What kind of capex can we expect in FY '25? And any -- like any kind of capex, which is going to be spilled over in FY '25 from the Teva plant?

Marksans Pharma Limited

May 31, 2024

Page 8 of 15

Mark Saldanha: So in Teva, we have invested about INR125 crores. We had presented about INR200 crores as what we have kept for Teva. What we needed to get adopt to you at least minimum the 2 phases that we have planned out for it. So we will be putting in another INR75-odd crores into Teva and then the nominal capex, which goes on to all our plants that whether it's U.S. or earlier plants, we normally do nominal capex, which goes to about INR25 crores on per plant.

Kashish Thakur: So optimally INR100 crores is what we are expecting?

Mark Saldanha: Yes, about INR100 crores, INR125 crores total.

Kashish Thakur: Sir, last question, if I may. Again on Teva plant. On which -- by when can we expect the optimum utilization for the Teva plant.

Mark Saldanha: So like I said, we book -- obviously, there's really so much you can do in a short span of time. And we have commercialized the plant. We have got it to 3 billion units. And we have just started attrition to capitalize on this 3 billion units. Now we are investing into the next phase, which will take us to 5-plus billion units. That 5-plus billion units will probably come after September -- in the second half of the year -- financial year. But hopefully, by the end of this year, we will have a decent run rate of revenue coming out from the Teva plant.

Moderator: The next question is from the line of Deepak Jain from SKS Research.

Deepak Jain: So my first question is to understand what is the next target or goal now that we have crossed our target of INR2,000 crores in revenue and EBITDA of 20%?

Mark Saldanha: Our next milestone will be INR3,000 crores.

Deepak Jain: Okay. So my another question that I had was regarding the employee expenses. So is this a new base that would be with the onboarding of Teva's acquired manufacturing facility employees or will it increase in the coming quarters?

Mark Saldanha: There might be a slight increase, not -- marginal but not exhaustively, because all -- most of the people have boarded on. It just depends on what phase of the acquisition, what phase of the capex we are on. So as and when we go up, let's say, \$5-plus billion, then we would need more people, if you are talking of the -- raising it from \$5 billion to \$8 billion, then we would obviously need more people to fill that growth.

Deepak Jain: Got it. From my side. I just wanted to understand, so any progress on the targets you were exploring in the European region?

Mark Saldanha: Well, we are in dialogue. We are in advanced dialogue but nothing concrete right now. But we are hoping the optimistic we're ho

ping. M&A is such an unpredictable thing even when we

come to the last step it may not happen. So right now, there's nothing concrete to discuss or put pen to paper right now.

Moderator: We have our next question from the line of Dr. Bino Pathiparampil from Elara Securities.

Marksans Pharma Limited

May 31, 2024

Page 9 of 15

Bino Pathiparampil: You mentioned about doubling the U.S. revenues from current level of \$100 million to \$200 million in a couple of years. So how would this mean -- how would this work out? Would it be

about penetrating into the existing customers? Or would it be new customers?

Mark Saldanha: So obviously, it's a mix -- Dr. it's a mix of both. Our order book status is quite healthy. So we have a good order book status to give us visibility of reaching to this number. And -- but it is a growth on existing plants as well as new customers coming in. And it's a mix of both, actually, that is feeling us to achieve this objective. It's still a very small number for a market like U.S.

So it's not something that is novel or is unique in any way but it's still at tip of the iceberg.

Bino Pathiparampil: Understood. And when you say penetrating the existing customer further, is it to buy new products to the customer? Or is it that in the same product you will get more market share from a single customer?

Mark Saldanha: So when it's a new customer, it's normally with existing products that we are supplying to another customer because that becomes our strength and our visibility for the new customers to see the performance and consistency. So it's normally the existing molecules but there are cases where they have gone and opted for new molecules altogether.

Bino Pathiparampil: Understood. Okay. And this is a big jump in -- jump in number from \$100 million to \$200 million in 2 years. So what would be the key risk to this -- achieving this in your mind?

Mark Saldanha: What will be -- I'm sorry, you were not audible. What will be?

Bino Pathiparampil: The key risk to this -- achieving this in your mind.

Mark Saldanha: I don't think that's much of risk because, obviously, when we talk of these numbers, it is with a good understanding on the visibility of contracts, the order book status and where do you stand by within the next 12 months and what will fuel the balance 12 months. So I can safely say that we are quite confident of achieving these objectives.

Moderator: We'll take our next question from the line of Darshil Jhaveri from Crown Capital.

Darshil Jhaveri: Firstly, congratulations on a great set of results. So sir, I just wanted to ask that I think we -- our target is to grow to INR3,000 crores by FY '26. But also other target is to double the U.S. market from \$100 million to \$200 million. So majority of our growth on the full basis is going to come from U.S. because that only will account for around INR700 crores or INR800 crores plus revenue coming directly to us from U.S. and North America. So can we overperform on INR3,000 crores because U.K. is also growing at a good pace. So I just wanted some color on that.

Mark Saldanha: Yes. So this rapid growth, obviously, when you talk of it, you're right, UK's also growing. But based on this high jump within a short span of time, the U.S. will be our growth drivers to achieve this objective. This will constitute like we said earlier, INR800 crores, the balance INR200 crores will come from U.K. and other markets. But definitely, there's the possibility that U.K. may contribute more.

Marksans Pharma Limited
May 31, 2024

Page 10 of 15

But here again we are talking of literally in the next 24 months. So U.K. may need a little more time as the base is already very big in U.K. compared to the market size. The U.S., the base is very small compared to the market size. So it's easier to go out there.

Darshil Jhaveri: Fair enough. That makes sense, sir. And sir, just one another part, like once we scale up to this level, will our margins also improve because we'll get some leverage, right?

Mark Saldanha: So our margins will improve because of operational efficiencies will increase. Leverage -- operational leverage will also increase. So definitely, we are anticipating a much more robust bottom line.

Darshil Jhaveri: So that can go to 23% roughly, right? Because like December quarter, we were able to get that with a higher revenue. So just wanted to...

Mark Saldanha: It's difficult to actually put a number and say but on a consistent basis -- are you talking of EBITDA?

Darshil Jhaveri: Sorry?

Mark Saldanha: Are you talking of EBITDA?

Darshil Jhaveri: Yes, EBITDA.

Mark Saldanha: I didn't get you. When you're saying margins...

Darshil Jhaveri: EBITDA margin, sir.

Mark Saldanha: So I think, yes, EBITDA margins will improve. I think it is possible to achieve those numbers. So we are aiming for better numbers, obviously. So I think it is doable.

Darshil Jhaveri: Perfect. Perfect, sir. And just a final question, sir, with some geopolitical risk as well as some wars going on. So how will that impact on U.S. business as well as elections coming up out there also? Is there like any sort of a risk for us out there or just anything that you could see in the environment that can hamper us?

Mark Saldanha: Jhaveri, if I had that answer, I would have been a global leader right now. I honestly can't predict geopolitical issues and force measures which may be beyond our control. I don't have a crystal ball, unfortunately. And we literally have no saying on the wars that are happening.

And hopefully, we all look for better times and we don't like -- we'd like not to think of the worst case scenario, because -- I mean, we all want peace and growth.

Moderator: Next question is from the line of Akshat Vijay from Hem Securities.

Akshat Vijay: On to your financial number at the stand-alone level, the business has delivered a very strong growth in this quarter. But at the consolidated level, I mean it's a subsidiary share, the performance has been on the muted side. So can you throw some light on it, like why the

Marksans Pharma Limited

May 31, 2024

Page 11 of 15

subsidiaries have underperformed in this quarter and maybe this is not the right way to look at the operations.

Moderator: Akshat, can you mute once you're done with your questions, there's some background noise on your line.

Mark Saldanha: Yes. So stand-alone, obviously, there is a consolidation that happens at the corporate level -- at the group level. So stand-alone -- while stand-alone looks positive, subsidiaries and everything at the end of a consolidation that takes place basically results onto the end numbers and subsidiaries that are in U.K. and U.S., these are all related to again seasonal product mix that I mentioned about.

I would say we are flattish okay. But that's said and done. Again, we have to look at the overall metrics of what we have projected and where we are, what we've achieved not so much quarter-to-quarter because the third quarter is the peak season in -- where you talk of cough and cold and everything of that stuff winters are better months compared to the summer.

Akshat Vijay: Okay. Fair enough. And my second question is regarding the USFDA observations that we have received for our Goa facility. Could you please share the status of the same like how severe they are and do you see any impact on that operations in the short term? And by when are you expecting, any idea?

Mark Saldanha: I don't see any impact on our operations, number one. Number two is, obviously, we replied to all the observations. And we don't foresee any issues in the observations. Now we have to wait for FDA to come back. But as far as we are concerned, there are just normal observations that were there.

Akshat Vijay: And one final question which I had is that in your previous calls you mentioned that you're expecting some additional INR600 crores

of revenue from the Teva facility in FY '25. Will you reassure that you're expecting the INR600 crores?

Mark Saldanha: Well, we should be hitting, let's put a run rate number. I will not say we will hit INR600 crores for the full year because these are ongoing capex. We never landed up spending INR200 crores on Teva, we said only INR125 crores like I mentioned in our call. We did only INR125 crores, which is literally slightly more than half of what we have presented that we will be doing. We have achieved the first phase target of 3 billion tablets. And now we have to hit the 5 billion tablet plus mark. So once we start hitting that, we will definitely start hitting the run rate that would see us to this number that we used to talk of.

Moderator: Next question is from the line of Viraj Mahadevia from MoneyGrow India.

Viraj Mahadevia: Congratulations on stable results. Mark, a question for you regarding the new Teva facility. What is the envisage product portfolio? Is it likely to be a higher-margin product portfolio with better mix versus the rest of the Goa? Or is it likely the same?

Marksans Pharma Limited

May 31, 2024

Page 12 of 15

Mark Saldanha: It will be most likely the same, maybe slightly better. So I will put average -- at the end of the day, even our Goa doing decent margins and we are doing decent EBITDA and contribution on gross margin. So I would like to maintain it at the same portfolio, it may be slightly better depending on the product mix. But the product mix will be slightly different. So I'm hoping for a better margin to come out of the plant.

Viraj Mahadevia: Right. And Jitendra, you touched upon this but you likely break even at the EBITDA level in Goa in the next 6 months?

Jitendra Sharma: Yes, definitely. We are expecting in this quarter itself.

Viraj Mahadevia: Right. Okay. And look forward to you using those cash balances for that acquisition.

Moderator: We'll take our next question from the line of Aditya from MSA Capital Partners.

Aditya: Congratulations on a good set of results. So I wanted to understand a few things. First is on Teva. So that -- now that Teva is in India and will be manufacturing in India and exporting

majorly to U.K. and Europe, do we envisage a better gross margin profile? Not a lot but a slight uptick from here because of Indian to export market?

Mark Saldanha: It's pretty much what the other gentlemen, Vijay had spoken in the previous question. Yes, I mean, we do -- we have a product mix that we are planning -- that we are launching from this facility. So we do see better product portfolio and product mix coming out of the facility but that's said and done our margins are quite decent. First thing, I mean, the most important thing in the Teva facility that we've acquired is to first breakeven. And basically, then you have operating leverage taking in to see that profitability kick in. For that we have to cross that bridge when we hire that.

Aditya: So what I was trying to understand was, definitely you had answered the previous part of the question that the product profile will be similar. But just wanted to get a feel that because this facility is located in India, do we have any margin advantage when we'll supply to U.K. and Europe?

Mark Saldanha: No. I mean all our facilities -- this is not the first facility we have in India. So in comparison, we have another facility, which does literally 100% of our facility what we manufacture goes to Europe and U.S. And I think from that standpoint -- point of view, our product portfolio in terms of gross margins will be very similar, maybe slightly better, like I said. So -- but I mean from a comparison, we are supplying into these markets. So what you see is what you see our historic numbers will basically increase but the margins will remain relatively same.

Aditya: Sir, in the previous few con calls, you had mentioned that the U.S. is operating at a bit lower EBITDA margin than

our overall company margin. Do you -- what would be the margin and where do you -- do you think that once we double the margins would be better?

Jitendra Sharma: Last year, we had a relatively better EBITDA margin in the U.S. as well. And as we increase our revenues in U.S., we are seeing like a lot of improvement in our EBITDA margin because

Marksans Pharma Limited
May 31, 2024

Page 13 of 15

of the operating leverage, which will get kick in. So I think we will see a much improved margin in the U.S. from this year onwards.

Aditya: Sir, on that question only, just as an addition, because U.K. also we have similar revenue but the margin profile is higher. So what is the -- is it in U.S. because having the same revenue but a lower margin profile than our U.K. and Europe operations?

Mark Saldanha: The U.K. and U.S. are 2 different markets. So I think we can't compare the 2 and the product portfolio is also different. But on average, I think if you can see that trending of the U.S., what is it showing, it is showing the same amount of gross contribution on margins but the operating leverage had to be kicked in. And now that the operating leverage has kicked in and will -- it will improve from there on. But from a margin portfolio point of view, it's very similar. It is only -- the operating cost in the U.S. is different and that in U.K. is different.

Aditya: Understood. Understood. And do we plan to take a U.S. FDA audit on Teva?

Mark Saldanha: Maybe in the near future, yes.

Aditya: All right. Any thought process, maybe in the next couple of years? Or it is much -- it is a longer thought process that you have?

Mark Saldanha: Probably a shorter thought process, like in a couple of years. I hope we can get it next year.

Moderator: Our next question is from the line of Kashish Thakur from Elara Capital.

Kashish Thakur: Sir, just one question. Like I was just going through your annual reports of past few years. So like in FY '22, you had given time cap of financials, you have given EBITDA number and PAT number. So similarly, will it be -- will you be able to give us the EBITDA and PAT number of FY '23 and FY '24?

Jitendra Sharma: Yes, definitely. It will be like the subsidiary annual reports will be available on our website. So definitely those numbers will be shared.

Kashish Thakur: Understood. And sir, like just following up on the question which previous participant asked. Sir, what kind of EBITDA margin we might be generating from our OTC segment in the U.S.?

Jitendra Sharma: See, we are at -- like we are at 10% plus EBITDA margin in the U.S. as well in terms of our overall U.S. portfolio. And that stands -- that is going to increase. That is what we are expecting in this year and to increase our revenues.

Kashish Thakur: Understood. And sir, any bifurcation, can you provide us like what percentage of sales in the U.S. will be from prescription business and what will be from OTC business.

Jitendra Sharma: See, broadly, the mix in our U.S. revenue for OTC 80% and Rx is around 20%.

Moderator: Next question is from the line of Shyamal Patel, an individual investor.

Marksans Pharma Limited
May 31, 2024

Shyamal Patel: Few questions. I know you must be -- I don't know what to say but I cannot keep everything to my heart, that's why I keep on asking, of course, for the betterment of the company. In a INR314.9 crores profit, just INR27.18 crores is given as dividend. Don't you think you can improve the percentage of dividend linked to the shareholders who have been with your thick and thin, just 9%? Good companies give 85%. Okay. I don't expect 85%. But can't we have a benchmark of giving 25% back?

Mark Saldanha: So Shyamal, we had a formula free cash flow that we have mentioned and we are going -- actually, we have gone above that formula itself. Our free cash flow -- based on a free cash flow basis, it would have been much more lesser but we've actually improved

over the last

year. So we always do it based on free cash flow. We invested like we mentioned a substantial amount in capex. And based on the free cash flow that we've generated, we basically then distributed the balance amount -- full balance amount after that into dividends.

Shyamal Patel: But we can't have a policy of 25% of the profits of the company, because we already have INR674 crores in cash. I'm just asking.

Jitendra Sharma: The profit figure, basically, like eventually the funds get utilized in various areas, so working capital adjustment is an important aspect we need to see. The tax payments also are huge. And the capex is also there over and above that. So basically, as a company, we have decided -- we have a policy of distributing 1/3 of free cash flow to the shareholders. And we will definitely stick to that. Definitely, we are investing more money in capex and other growth-related avenues. So that also has a priority. So basically approach will be eventually to mix and follow the policy which we have established at those levels.

Shyamal Patel: Yes, Mark and Jitendra ji, of course. But then till the people turn into buyers, Marksans share price cannot improve so much. And the people always see what is the return the company offers. I'm not trying to be selfish. I put it on record without knowing, I could be one of the largest shareholders of Marksans. I don't know individually. I'm not talking like Mahavir Prasad Agrawal or something.

But as individual shareholders, I must be one of the largest shareholders of Marksans. And I try to see the benefits which the company would get. Because if the company gets I will get. And what we are asking is not much. The 25% if you stick on -- even 20%, okay, we will get 20% of our declared profits. That should even offset the peace of shareholders.

Moderator: We've lost the connection from Mr. Patel. Next question is from the line of Deepak Jain from SKS Research. Please go ahead.

Deepak Jain: So one more question that I had was regarding the backward integration, which is a great move. So I just wanted to understand when will the benefits start kicking in for this move?

Jitendra Sharma: So we have filed, like I said, 1 DMF already on one of the items. We have to basically get an approval to fill to basically use that DMF of that active into our formulation -- so we are now taking batches and we are going to put it on stability and file it for past -- we have to file a

Marksans Pharma Limited
May 31, 2024

prior approval to FDA. So we are looking at a good 6 to 8 months -- a minimum 8 months and above time lines created for that.

Deepak Jain: Okay. Understood. Sir one more question is regarding, I think raw material prices have been on the lower end, at least the last few quarters that's been the trend. So do you expect the same trend to continue going forward? Or is there any correction -- like changes that you would be expecting?

Mark Saldanha: I think the raw material has hit its bottom low. So I do believe that it will be stable. Another gentleman spoke about war or something like that, that we can't predict any of the post-major part of it. But right now, based on our outlook, I do believe it will be stable.

Deepak Jain: Okay. Sir, one last question from my side. Do we have any substantial launches coming up in FY '25? And can you just let us know any revenue contribution for this?

Mark Saldanha: So yes, we do have launches coming in FY '25, definitely but the revenue contribution is difficult to pinpoint to a launch -- product launch, because we have multiple products that we will be launching into various markets. So it's difficult to actually say that which product will be give you more revenue on accounts basically.

Moderator: The next question is from the line of Jayesh, an Individual Investor

Jayesh: Yes, so my question is when 2 years down the line, when we will be achieving our desired revenue

of INR3,000 crores plus, so will we be able to maintain the sustainable net margin rate of 15% and more? Or will the Teva Pharma dent a little bit on the net profit margin?

Mark Saldanha: I think if we hit our -- we were talking of 2 years down the line, I think it should be -- we should be able to maintain the margins. It may improve only, it is not going to go down.

Moderator: As there are no further questions, I now hand the conference over to management team for closing comments. Over to you.

Mark Saldanha: Thank you all for participating. I know it's always tiring in the evening to get on the call. But once again, I'd like to thank you for your continuous interest and support in our company and be safe. I'm looking forward to talking to you soon. Thank you.

Moderator: Thank you, members of the management team. On behalf of Elara Securities Limited, that concludes the conference call. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

Date: August 22, 2024

Subject: Transcript of investor(s)/
strategy update

Dear Sir/Madam,

Pursuant to Regulation 30 read with Para A of
Obligations and Disclosure Requirements) Regulations,
transcript of the investor(s) / analyst(s) meet for Q
strategy update held on August

The above information is also available on the website of the Company i.e.
<http://www.marksanspharma.com/investors>

We request you to take the aforesaid on records.

Thanking you.

Yours faithfully,
For Marksans Pharma Limited

Harshavardhan Panigrahi
Company Secretary

Encl: As above BSE Limited
Corporate Relation Department
PhirozeJeejeeboi Towers,
Dalal Street,
Mumbai – 400001.

Scrip Code: 524404

investor(s)/ analyst(s) meet – Q1FY2025 financial performance and
Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing
Obligations and Disclosure Requirements) Regulations, 2015, kindly
investor(s) / analyst(s) meet for Q1FY2025 financial
August 14, 2024.

The above information is also available on the website of the Company i.e.
<http://www.marksanspharma.com/investors-meet.html>

request you to take the aforesaid on records.

For Marksans Pharma Limited Corporate Relation Department National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C- 1, Block
Bandra- Kurla Complex,
Bandra (East), Mumbai
Symbol: MARKSANS

financial performance and
Part A of Schedule III of the SEBI (Listing
find enclosed the
financial performance and

The above information is also available on the website of the Company i.e. National Stock Exchange of India Limited
1, Block-G,
Kurla Complex,
Bandra (East), Mumbai – 400051.

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Q1 FY'2

MANAGEMENT : MR. M
MANAGING
LIMIT

M R. J
– MARKSANS

MODERATOR : MR. N

Page 1 of 16

Marksans Pharma L imited
FY'25 Earnings Conference Call
August 14, 2024

MARK SALDANHA – FOUNDER, CHAIRMAN AND
ANAGING DIRECTOR – MARKSANS PHARMA
TED
JITENDRA SHARMA – CHIEF FINANCIAL
ARKSANS PHARMA LIMITED
NITIN AGARWAL – DAMC APITAL A
Earnings Conference Call "

HAIRMAN AND
HARMA
INANCIAL OFFICER
ADVISORS

Marksans Pharma Limited
August 14, 2024

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the Marksans Pharma Q1 FY '25 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. Thank you and over to you, sir.

Nitin Agarwal Thanks, Steve. Hi. Good afternoon, everyone. A very warm welcome to Marksans Pharma Q1 FY '25 earnings call hosted by DAM Capital Advisors Limited. On the call today, we are representing Marksans Pharma Management, Mr. Mark Saldanha, Founder, Chairman, and Managing Director, and Mr. Jitendra Sharma, Chief Financial Officer. I will hand over the call to Mark to make the opening comments, and then he will open the floor for questions. So, Mark, please go ahead.

Mark Saldanha: Thank you, Nitin. Welcome, everyone, and thank you for joining us in our Q1 FY '25 earnings conference call. We appreciate your continuous interest and support for the Company. I'm delighted to announce a strong start to the year, driven primarily by an increased market share with our existing customers and some new product launches.

This quarter, we faced a mixed demand scenario in the U.S. region. However, based on historical trends, we anticipate the upcoming quarters to be far better. Pricing pressure on our RX products remains stable. The U.S. is a strategic focus area for growth, and we are well-positioned to capitalize on the opportunity that lies in these markets. Our gross margin for the quarter expanded by 432 basis points year-on-year and 386 basis points quarter-on-quarter, primarily due to the reduced raw material pricing and the depletion of old high-cost inventory. A favorable product mix also boosted our margins. However, we continue to face elevated freight costs, mainly due to the ongoing Red Sea crisis, container shortages, and port congestions.

Regarding our newly acquired manufacturing facility, we are on track with scaling operations

and have commenced our product supply to key regions. We expect substantial revenue contribution from this facility in the upcoming quarters.

Looking ahead, we are committed to growing our business in a sustained manner. Our next goal is to reach INR 3,000 crores of revenue within the next two years, our focus on growing the business, launching new products, and enhancing supplies from our new facility will be instrumental in achieving this target. As a part of our commitment to a strong board oversight, I am pleased to announce the reappointment of Mr. Varddhman Jain as a Whole-Time Director for a further term of three years, Mr. Mohanty as a non-executive Independent Director for a term of five years. Our Board comprises of five eminent Independent Directors who are instrumental in guiding our company forward.

Marksans Pharma Limited
August 14, 2024

Page 3 of 16

With this, I would like to turn it over to Jitendra to update you on the financials.

Jitendra Sharma: Thank you, sir. For Q1 of FY '25, our operating revenue was INR590.6 crores, an increase of 18.1% compared to INR500 crores in the same quarter last year. The U.S. and North America was at INR251 crores, representing a 29.8% increase year-on-year basis. U.K. and EU formulation markets grew by 11.3% year-on-year to INR251.5 crores, on account of volume growth, incremental market share from the existing customers, and contributions from new launches.

Australia and New Zealand formulation markets recorded revenue of INR65.6 crores, a 12% increase year-on-year basis. The rest of the world recorded sales of INR22.

7 crores in Q1 of
FY25.

Gross profit was at INR329 crores, up 27.8% year-on-year. Gross margin increased by 423 basis points from 51.5% to 55.7% in Q1 of FY '25. EBITDA for the quarter was INR128.4 crores, an increase of 26% year-on-year and an increase of 17.1% on a quarter-on-quarter basis. The EBITDA margin for the quarter was 21.7%. This improvement is attributed to a higher gross margin and our continued efforts towards enhancing operational efficiency. However, freight costs continued to rise during the quarter. Profit after tax was at INR89.1 crores compared to INR70.4 crores in Q1 of FY '24, an increase of 26.4%. EPS for the quarter was INR2.

In Q1 of FY '25, the cash-form operation is at INR45 crores and pre-cash flow is at INR14.3 crores. The capex incurred during the period was INR31 crores. The investment is in line with our plan for selling the acquired manufacturing unit in Goa and we spent INR12 crores in the R&D which amounted to 2% of the sale. We continued to remain debt-free and had a total of INR691 crores of cash as of 30 of June 2024.

With this, I would like to open the floor to questions and answers. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya Pal from MSA Capital Partners. Please go ahead.

Aditya Pal: Thank you. Congrats on the great numbers. A couple of quick questions. Now that our efforts in the backward integration have been successful and we are successfully tied up with CMO Partners, so can I say that the growth margins cannot decrease below a certain level even if the API prices in the near future go up? And what would be that level, if so?

Mark Saldanha: Obviously, when we talk of a scenario where API prices go up, obviously if it is chemical prices, integrated prices going up, we are not immune to that escalation because most of it originates out of China. But what we can avoid is, like I mentioned in the past, we can avoid the exporting of raw material manufacturers exploiting the situation and increasing the prices beyond the cost of inactives -- intermediates that basically prices that go up. So, from that angle, we should be able to sustain our profitability.

Marksans Pharma Limited
August 14, 2024

Page 4 of 16

But at the same time, there would be a cost increase. But what we would secure ourselves with raw material supplies and availability of raw materials and at a competitive price when the prices are escalated by other manufacturers.

Aditya Pal: Understood. And the gross margins that we reported this quarter, which has seen a sharp uptick of 420 basis points, do you think this is sustainable? Assuming that overall API prices also remain where they are and there is no sharp increase of geopolitical risks, do you think that this is sustainable going forward?

Mark Saldanha: So, the quarter-on-quarter was 386 basis points. But I think it is sustainable, but buying the geopolitical situation that continues to evolve on a daily basis, we do see freight pricing challenges happening. We are hoping it is not going to be for long, but as of today, freight is again taking up. Yet not to a historic height, but it is creeping up. But I do believe we will be able to sustain these numbers.

Aditya Pal: Understood. And sir, the European and UK region, even though we reported a good growth, YoY, there has been a slowdown, that the growth has been slowed. So, from 20%, 22% that we used to report earlier, we have moved down to 12%.

So, can I say that now this 12% to 15% is the new growth rate that we can assume in this geography because we have become a large player in that particular geography?

Mark Saldanha: Yes, very accurately pointed out. The base has become bigger. So, with the base becoming bigger and market share growing, we are among the top five companies out there.

But we will see a 10% to 12% growth happening from here. And our

team is working hard to

supply shares and move ahead of that. But realistically, I think pretty much what you have said is what we believe will continue moving forward.

Aditya Pal: Understood. Just one last question before I come back in the queue. So, three years ahead, right, We have successfully penetrated deeper into the U.K. geographies. And now we are slowly penetrating and increasing our market share in the U.S. region. So, we are three to four years down the line. Other than the U.S. market as a very large growth lever, what are the other growth levers that you foresee that can benefit Marksans over the next three to five years?

Mark Saldanha: I do believe our U.K. is also -- we've got a huge upside in our U.K. too because of our products that are in the pipeline. I do believe our U.K. will grow in terms of revenue and will beat market expectations. The only thing is it will take a bit longer. But the fact remains that is also part of our growth drivers that are there. The U.S. will probably grow at a faster pace. But the U.K. revenue also, we have a budget, we have a marketing plan, we have a sales plan. We have our next five-year outlook on the U.K. And it is quite impressive from where we are today. But if you are asking me about, where else do we see our sales growing? I would like to grow in the European market. And for that, we are working on M&As and we are exploring on those possibilities.

Marksans Pharma Limited

August 14, 2024

Page 5 of 16

Aditya Pal: Understood. Best of luck to you and the entire team sir. Thank you so much.

Mark Saldanha: Thank you very much.

Moderator: The next question is from the line of Ishita Jain from Ashika Group. Please go ahead.

Ishita Jain: Hi, Mark. Congratulations on a consistently good quarter. My first question is on the capacity utilization. If you could tell us what the capacity utilization has been across the four units?

Mark Saldanha: So, the newly acquired facility, the capacity utilization is I would say about 40%, somewhere around 40%. And we do plan to every month it will keep increasing. I think last month we probably did 30%. So you can see month on month it is increasing. The other facilities are right now at probably 65% utilization.

Ishita Jain: So, 65% is the U.K. unit as well as the U.S. unit.

Mark Saldanha: Yes, I'm talking about my -- the other unit in India and the U.S. unit. And the U.K. unit will be around the same.

Ishita Jain: Understood. So, my second question on the U.S., we are currently in four categories, therapy areas in private label OTC. Are we going to be adding more breadth in terms of the therapy areas? Or are we going to add more vertical growth in the U.S.? I mean essentially just trying to understand what will drive growth for U.S. business.

Mark Saldanha: Again, penetration with customers. There are a couple of approaches in terms of distribution. Our current customers, I mean, we have a huge basket, right. And all our clients don't have 100% of our basket. Some have probably 10%, some have 5%, some have 30%, some have 50% basket. So our aim is to first penetrate with pretty much all the customers with our full basket and to ensure we optimize our product range into every client. So that's what we talk of market outreach, market penetration, better reach into each client. So that itself is a huge potential because the market size is obviously big and reflects our revenue growth.

Second is obviously targeting new clients, new customers, which are relatively bigger and larger. And while we do both, we have to also make sure that we have a back end in place in terms of manufacturing capabilities to support that growth that will come in. Because, again, the U.S. market is a big market, so the volumes are huge out there.

And again, so is the U.K. and our future markets that we want in Europe also. So, we have to look into various angles. But just to answer your question, which is more

U.S. specific, the approach is obviously a better market product penetration into existing clients, new product launches, and new segments in the market that we want to launch.

Ishita Jain: Got it. Great. Just one last question from my side. You mentioned that right now we are not so big in Europe and you're looking for M&A deals for that geography. Just to sort of get us -- get some color in Europe, are we looking to be -- are we looking to replicate the U.S. model and be more private label agency? Are we going for Rx or are we looking at a mix?

Marksans Pharma Limited
August 14, 2024

Page 6 of 16

Mark Saldanha: It will be a mix. It will be more like a U.K. model, which is also fantastically, which is good. And we have literally replicated all our business strategies across have been very similar. We have been true to our principles and to our objectives and to our strategy all over the world. And what we implemented from the first acquisition till today, we are continuing operating the same strategy. So, we will be able to replicate what we have in the U.K.

Ishita Jain: Great. All the best. I'll get back in the queue.

Mark Saldanha: Thank you.

Moderator: The next question is from the line of Darshil Pandya from Finterest Capital. Please go ahead.

Darshil Pandya: Yes, sir. Sir, just wanted to know what's the status on Teva plant? Has it started contributing to these numbers? And what are we expecting for this year?

Mark Saldanha: So, Teva plant, obviously, in a standalone, if you see, it has contributed. In the consolidated, obviously, when you consolidate, it does not reflect in the consolidation, because we have just shipped out products because we have reached, and we are planning to launch these items. So, I do believe the consolidated, you will see the contribution happening probably in the third quarter.

I mean, after September or October. But it has contributed because we have shipped the product out. Like I mentioned, we have done, we have done revenue in the first quarter. The second quarter will be better than the first quarter. And the third quarter will definitely be better than the first and second quarters. And the fourth quarter will probably be the best quarter. So, we do see an increase happening month on month. And if you look at our standalone number, it is reflecting on that.

Darshil Pandya: Okay. Can you just quantify what was in the number terms, what revenue did you do?

Mark Saldanha: I think we did, in the first quarter, we did about INR60 crores from the Teva plant.

Darshil Pandya: 60?

Mark Saldanha: Six zero, 60.

Darshil Pandya: 60, and we are kind of anticipating around INR500 to INR600 crores of revenue in FY '25. So, any comments on that?

Mark Saldanha: Yes, like in the first quarter, we did about INR60 crores. But in July, we did about INR30 crores. So, you can see it increasing month on month basis.

Darshil Pandya: So, any ballpark number that we can expect for this year, maybe?

Mark Saldanha: So, I do believe by the third quarter, we should be hitting close to INR100 crores a quarter.

Darshil Pandya: Okay. And for Q4 -- for the whole year, what are you anticipating?

Marksans Pharma Limited
August 14, 2024

Page 7 of 16

Mark Saldanha: When you talk of INR100 crores a quarter, that run rate, that may not happen for the whole year, but you are then trending at INR200 crores, and then the fourth quarter will obviously be better than the third quarter. So, we are anticipating that growth to continue from the acquired Teva Plant. But more than anything, these are in the consolidated numbers.

You will see the difference in the consolidated in the third and fourth quarters. Especially in the fourth quarter, you will see rise happening, because all the products that you ship will then see light in terms of product launches.

Darshil Pandya: Got it. And obviously, I saw some news articles that, you know, U.S. and U.K., we might see so

me more contract manufacturing coming in. Do you have any idea or any news about it?

Mark Saldanha: I mean there are different spaces. Not in our space. I don't see any difference in what we are doing to what the article basically talks about. So, I don't see that having any impact or any advantage to us.

Darshil Pandya: All right. Okay. Thank you so much. Much appreciated. All the best.

Moderator: Thank you. The next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani: Yes. Hi, Mark, and Jitendra congratulations on a really good set of numbers. Mark, my first question is that you've got some new marketing authorizations approved in the U.K. region. I'd like to understand what is the market size of that, and are these, you know, margin accretive products that you've been referring to, which we will see incrementally in the U.K. market? That's question one.

Mark Saldanha: Yes. These are margin-lucrative items. They are very niche products. Difficult molecules. So, they are not value drivers in terms of if you're asking whether the molecules will do a GBP10 million sales. That may not happen. But the bottom-line improvement, it will add tremendous value to the bottom line.

Aejas Lakhani: Got it. And we have already launched these products in the U.K. market, and they are live. Is that understanding?

Mark Saldanha: No, we just got the authorization. It takes at least, three to four months to launch it. We have to manufacture it, we have to ship it out, and it has to be imported in, tested and released. So that's a good gestational time of at least three to four months, and then we will see the launch.

Moderator: Hello, Mr. Aejas, does that answer your question? Hello, Mr. Aejas, does that answer your question?

Mark Saldanha: He should have been dropped out.

Moderator: No, sir, he's on the line. Okay, we'll move on to the next question. It's on the line of Niharika from Aequitas Investments. Please go ahead.

Marksans Pharma Limited
August 14, 2024

Page 8 of 16

Niharika Jain: Hi. Thank you for the opportunity. So, my first question is that we had onboarded OrbiMed as our investor, and they hold around 11%. So have you reaped any benefits because that was our thought process of giving them preferential allotments?

Mark Saldanha: There are multiple benefits. There are intangible benefits and tangible benefits, obviously. They have a tremendous value on the board. We have regular meetings. They add tremendous importance to corporate governance and all the discussions that we have surrounding our growth, M&A strategies. We have been getting a lot of M&A targets for us.

But that said and done, ultimately, it's always our choice whether we have to move ahead with our M&A target or not. And that said and done, they are a valuable partner source. And obviously, they have contributed a sufficient amount for us to go and explore and look at M&A targets. So, I would say we've added both intangible and tangible value modes.

Niharika Jain: Okay. Understood. And any insight if there is any increase in competition in the OTC market from Indian, like bigger players, who are wanting to enter into OTC market in, say, U.S. or U.K.? And if yes, then how are we coping with it?

Mark Saldanha: Well, I don't know. I mean, this is not a new segment that we've created. It's been existing there for years. And I guess all the companies have been there in the past and will be there in the future. So, it's just the nature of the beast. And it depends on who wants to come in as it is an open market.

Niharika Jain: Is there some kind of strength and distribution channel in place that we are kind of able to beat the competition? I'm just trying to understand our Moat in the OTC segment.

Mark Saldanha: Our strength is our strength. And obviously, we have, over the decade or so, we have mastered the art of paying and servicing the OTC market. That said

and done, our focus is there on that segment. It's a part of our focus. In terms of competition, competition is there in every segment, whether it may be RX or OTC. Like I said, it's a nature of the beast. We are in the commercial sector, which has a lot of companies involved.

Niharika Jain: Okay. And on a very broader level, the U.S. is more margin-accretive for us than the U.K. margin-wise on a company level.

Mark Saldanha: I think it's a fusion. It's a blended fusion of both. And obviously, today, U.K., you've got to understand U.K., we have been in the U.K. since 2008. So, we've been in U.K. for nearly nine years before we entered the U.S. The U.S., we relatively entered only like four or five years back, that's in 2017, literally by ourselves. So, we've still got a long way to go in the U.S. market, but it's a big market and has potential growth. We're still very small in the market. And that gives us hope and potential that we can grow more.

Niharika Jain: Right. And on the Red Sea front, I think last quarter we had incurred INR9 crores more because of the Red Sea issue. Is there a number that we can give for the quarter that it was because of some abnormal Red Sea crisis that we faced freight?

Marksans Pharma Limited
August 14, 2024

Jitendra Sharma: Niharika, we incurred an additional freight of INR12 crores if you see the year-on-year freight number. So, we incurred INR12 crores extra in freight.

Niharika Jain: And even currently you are facing freight issues?

Jitendra Sharma: It is further increasing. So definitely right now there is no respite.

Niharika Jain: Okay, understood. And on the Teva plant, have we reached break-even in this quarter, quarter one?

Mark Saldanha: Yes.

Niharika Jain: Okay. And on the order book visibility, do we have good visibility for the next one, two, three years? Because I'm not sure how our orders are kind of.

Mark Saldanha: Yes, I mean, based on the visibility, the confidence level, that we will touch INR3,000 crores within the next two years.

Niharika Jain: And typically how long is the contract for with a customer on an average?

Mark Saldanha: Two years, three years.

Niharika Jain: Okay. And this has some price escalation, this also element in the contract?

Mark Saldanha: That price escalation, I mean, contracts, I mean, we are not into various states. But normally when contracts are there, the price is fixed. But there is a clause that in case raw material prices escalate beyond a certain level percentage point, then we can always go back and re-report and renegotiate the price.

Niharika Jain: Okay. And my last question is, if you can give like top three, four products, five products concentration on the total revenue, if we have that number?

Mark Saldanha: Well, it's a very diversified portfolio. So, you know, in the U.K. we sell about 350 different products. In the U.S., our market is really touching about 60, 70 products. So, I think it's difficult to identify any molecule. And in a way, that's what makes it very robust, because we don't have one standout molecule which says, oh, well, we're getting INR100 crores on this molecule. When I look at the numbers, I don't see any single molecule standing up like an Eiffel Tower. The bar chart is literally at the same level of maybe 20, 30, 40 products.

Niharika Jain: Okay. Understood. Thank you so much for answering all the questions.

Moderator: The next question is from the line of Viraj Mahadevia from MoneyGrow. Please go ahead.

Viraj Mahadevia: Hi Mark and Jitendra congratulations on the great results. I just wanted to check, given the cash balances of INR650-odd crores, has there been any progress on our acquisitions in the U.S.?

Marksans Pharma Limited
August 14, 2024

Mark Saldanha: No. Acquisition in Europe, we went through two due diligence companies, but none of them worked out at the last minute. One of them we were last-minute outdate

d, and the second one

we just didn't move ahead after the due diligence part of it. So right now, there is no pen to paper.

And we are in discussion with one more company, but it's too early to say whether it will take any shape or not.

Viraj Mahadevia: Right. Understood. And given, I think a year, year and a half ago, you mentioned your payout policy to shareholders of one-third of free cash flows. I mean, if I look at it in the last 10, 12 months, you haven't done a buyback, and the dividends were still pretty small. So, are you still adhering to that policy, or has it been changed?

Mark Saldanha: Yes, we are. Our capex was very high, so the free cash flow was very less. As a matter of fact, we are literally paid more than our free cash flow, just to continue our trend.

But we have spent over INR160-odd crores in capex itself. So, when you look at the free cash flow, we have very limited. That formula would have not worked from a dividend point but we still ensured continued our trend.

Viraj Mahadevia: Excellent. The last question is on the in-housing of some of the CDMO projects on the API. What progress has been made? How many molecules have come in it?

Mark Saldanha: So, we have signed, you know, one DMF, and we are working on setting another one right now.

Viraj Mahadevia: Thank you all the very best.

Moderator: The next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead. The current participant. Hello, Mr. Aejas, can you hear us?

Aejas Lakhani: Yes, Mark, I got cut off earlier. Just a couple of questions. On the U.S., could you call out what is the order book today?

Mark Saldanha: About 180 million.

Aejas Lakhani: 180 million, right?

Mark Saldanha: Yes.

Aejas Lakhani: And that's executable over the next two years?

Mark Saldanha: Yes.

Aejas Lakhani: Okay. And in the contracts with U.S. customers, these increase in freights, are they like a pass-through, or is that something we have to absorb, and it gets passed on with maybe a lag in the next, you know, quarters or so?

Marksans Pharma Limited

August 14, 2024

Page 11 of 16

Mark Saldanha: Obviously, we have to absorb this for the time being because we do not know whether this is a passing phase, whether it's going to last one month, two months, three months, and correct, you know, it is not something that can be passed on at this stage unless it goes totally out of control. Then we can go and present some pricing points. But right now, we have to absorb it.

Aejas Lakhani: Okay, okay. And as the facility for Teva scales up in the next few quarters, do we expect some more operating leverage to play out or do you feel that that will be eaten up by the incremental freight cost similar to what happened this quarter?

Mark Saldanha: I think the operating leverage, the more we produce, the operating leverage will definitely kick in. And we are hoping that the operating leverage will be larger than the freight cost. So, while you can see the freight cost has gone up, but our results were still very prominent. So, again, operating leverage is kicking in and will continue to kick in from all fronts.

And based on that, yes, the freight cost is something that nobody wants to see. Three months back it was \$2,000. Now it's \$6,000 as of this month itself. So, nobody likes to take that hit of 300% on the freight. But, again, it's going to be just part and parcel of, you know, the global geopolitical scenarios that are existing.

But I do believe, and we are hoping that -- I don't have a crystal ball, but I'm hoping that it will start coming down because there is no rational point to keep increasing, because red sea is main issue. And many a time I keep wondering what's driving this up because maybe the shipping vessels or something. But it is a fact that the prices are going up.

Aejas Lakhani: Thank you for that elaborate answer. And, Mark, now that you have two facilities in Goa, how do you plan to

repurpose each of them? Because your older facility, which you've been running for so long, that already has a certain set of lines and products that you are making. So is it that -- if you could talk about how you are planning to optimize on the production, given that you have now two facilities?

Mark Saldanha: Well, as the demand grows and as the sales grow, the old facility is not going to be able to cater to all our requirements. So, we have to basically start giving it to the new facility and make sure that we basically service our requirements globally, whether it may be for U.K., for U.S., for Australia, for Canada. So obviously the Company is growing. To touch 3,000+ crores, we need two facilities. We can't just make that happen in one facility.

Definitely the second facility is already ramping up. We have already, in terms of tablets, I mean it's ramping up to the level that we anticipated. So, it's meeting our expectations, the speed. Shipments are starting to happen, and every month we can see some progress in the forward direction. I do believe the second facility will basically contribute larger than the first facility. It may take this financial year to see that happen.

Next financial year, I do believe, we will see the full results of that being built.

Aejas Lakhani: Got it. How much would be the sales from the Goa facility today?

Marksans Pharma Limited

August 14, 2024

Page 12 of 16

Mark Saldanha: I didn't get you. How much would be the?

Aejas Lakhani: So, you said that Teva facility will overtake your existing Goa facility in terms of sales in the years to come. So, I'd just like to know, what is the sales from the Goa facility today?

Mark Saldanha: It is in the range of INR750 crores to INR800 crores.

Aejas Lakhani: Okay. Wonderful. Okay. All the best. Thank you.

Moderator: The next question is from the line of Naveen Baid, Nuvama Asset Management. Please go ahead.

Naveen Baid: Thank you for the opportunity. My question is actually a continuation of what the previous speaker, one of the previous speakers had asked. If you could give some color, not necessarily a finite number, as to what is the pecking order of margins amongst the U.S., U.K., and the rest of the world business?

Jitendra Sharma: Margins are obviously -- at the gross margin level, we see to it that all geographies should give us 50% plus. So on an average, it is between 50% to 55% across these geographies.

Naveen Baid: But at the operating level, would it be safe to say that you would be doing more margins in the U.K.?

Jitendra Sharma: At EBITDA level, definitely. There are different numbers. In the U.K., definitely we have relatively high margins. The Indian operations have relatively high margins. In the U.S., we are catching up. A better number coming out from U.S. geography also.

Naveen Baid: Would the U.S. be lower than the console number for the Company?

Jitendra Sharma: Yes.

Naveen Baid: Okay, got it. Thank you.

Moderator: Thank you. The next question is a follow-up question from the line of Aditya Pal from MSA Capital Partners. Please go ahead.

Aditya Pal: Thank you for the opportunity. Sir, I just wanted to understand. There have been news in the U.S. that Walgreens and CVS have been shutting their pharmacies. Do we see an adverse impact because of that? Or is it a no-news type of scenario?

Mark Saldanha: No, we don't see any adverse impact on that. This is part and parcel of the cycle that the U.S. advocates every now and then. And while they shut pharmacies, after one year, they reopen some more pharmacies. And they reposition the pharmacies in areas which don't have pharmacies. Sometimes in the growth strategy, they go and literally open pharmacies every mile or every two miles or every five miles. So, we don't see an impact on that.

Marksans Pharma Limited
August 14, 2024

Page 13 of 16

Aditya Pal: Understood. And the question would be that when you're speaking abo

ut M&A and hunting

for opportunities in the European region, are we looking at a company which is a marketing company or someone which has their own brand plus a manufacturing setup?

Mark Saldanha: It's difficult to cherry-pick what we would like because that's what we've been trying to do. But from a manufacturing setup point of view, we are not trying to acquire a company which has a manufacturing facility.

One of the due diligence that we did, that was one of the touching points because it was overlapping the capacity and the facility that we had. So, we didn't want to go ahead with that. But we would like a company with more market authorization and more time in Europe spread. And we would like to leverage low-cost manufacturing based out of India.

Aditya Pal: Understood. And this last question from my side. So, now when you're talking to another participant about the Teva plant. So, Teva plant will be fully utilized by FY26. Are we hunting for new land to build or are we planning to augment our existing facilities in terms of capacity? How are we thinking about that?

Mark Saldanha: Yes, I mean, a very valid point actually. But you're right. Teva facility has basically -- we are moving at a very fast pace. Both from a growth point of view, from a requirement point of view. So, we have been discussing, exploring, contemplating within the core team. You know, strategies beyond INR3,000 plus crores. What backend infrastructure we need to support, let's say, the next jump that we have to do after INR 3,000 crores? So, we have to always align ourselves to ensure we have that support to fuel our growth.

So, we have to -- in pharmaceutical, you've got to plan three years before. You know, you invest today, you see returns after two to three years. So, that's typically how we move ahead.

And we have already started working on that.

Aditya Pal: Perfect. Thank you so much.

Moderator: The next question is from the line of the Deepak Rao from KNR Securities. Please go ahead.

Deepak Rao: Good evening, sir. Congratulations on a great set of numbers. So, I have three questions. So, the first question is regarding the timeline for a U.S. FDA audit on the acquired plant from Teva. And the second question is I just wanted to know if there's any guidance on how many filings are we aiming for in FY '25. And thirdly, I just wanted to understand what all countries are we targeting when we think about entering Europe.

Mark Saldanha: To your first question, I don't have an answer because, honestly, that's a regulatory question which basically no one has an answer to. And we are free to come any time. So, that is the answer to your first question.

The second one, in terms of the market, it is literally the same market that we already are doing our products, like I mentioned. Our first plant, again, we have to align ourselves with the demand and supply gap. And, definitely, our demand has gone higher than what our supply

Marksans Pharma Limited
August 14, 2024

was in the first plant. So, we are anticipating, we are servicing that gap from the second plant. And, so, basically, the geographies are the U.S. market, the European market, the Australian market. And your third question was?

Deepak Rao: Sir, regarding what countries are we targeting in Europe?

Mark Saldanha: So, I mean, right now, obviously, the countries that, right now, it's only U.K. that we are servicing from this plant. But, in terms of countries, like I mentioned, we are looking at M&As. And the countries of choice would be, obviously, the Western Europe. And, you know, we can start from Germany and spread out from there.

Deepak Rao: Okay. Thank you sir that answers my question.

Moderator: The next question is from the line of Dominic D'Costa from Axia Capital. Please go ahead.

Dominic D'Costa: Good evening, sir. Thanks a lot for the opportunity. And, congrats on a great set of numbers. I have two quest

ions. One is, should we see an increase in fixed costs? How do you think about fixed costs for the next quarter? Should we see an increase because of increasing capacity utilization? That's number one. Second is, on the farm...

Mark Saldanha: You are not audible. I'm sorry. I can't understand your question.

Dominic D'Costa: Sorry. Is this better?

Mark Saldanha: Okay, slightly better, but go ahead. I'll try.

Dominic D'Costa: Okay, so my first question is. Can you guide us towards the fixed cost for the next quarter? Should we expect an increase because of the new table plant, or all the fixed costs attributed to the table plant is already in the P&L for this quarter?

Mark Saldanha: Yes, the fixed cost is pretty much out there. There will be a slight increase happening. But most of the cost is already captured in the P&L and as and when, obviously. We ramp up further requirements, which is going to happen on a quarter-to-quarter basis, because obviously from, let's say from INR60 crores you want to do INR100 crores, you want to do INR120 crores. It's, you know, you need people, you need teams to execute that. So, it will ramp up proportionately when infrastructure is ready to get it up to that level.

Dominic D'Costa: Thank you. And the second question is, any update on the 483 audit?

Mark Saldanha: No update.

Dominic D'Costa: Thank you very much.

Moderator: The next question is from the line of Jayesh, an individual investor. Please go ahead.

Jayesh: So, congratulations on two things. One is a consistent and good set of numbers. And, the second thing is our Company is a billion-dollar Company. So, congratulations to you and your team.

Marksans Pharma Limited

August 14, 2024

Jayesh: So, my question is regarding the free trade agreement that our country is trying to sign with U.K. So, when and if signed, will there be any benefit from the U.K. operations to our Company, sir?

Jitendra Sharma: No, there will not be any specific benefit arising out of that agreement. So far as pharmaceuticals are concerned, already there are no duties as such. So, there may be some advantage, but nothing material.

Jayesh: All right. Thank you.

Moderator: Mr. Jayesh, does that answer your question?

Jayesh: Yes.

Moderator: Okay. Thank you. The next question is from the line of Niharika, an Aequitas Investments. Please go ahead.

Niharika Jain: Thank you again. So, just one clarification that you said that Teva plant current capacity utilization is around 35%, and U.S.-U.K. is 65%. Did I hear that right?

Mark Saldanha: Yes.

Niharika Jain: And what about the Goa plant's capacity utilization, and why U.S.-U.K. have lower capacity utilization? Is it because we have, like, overcapacity to cater to the demand, or is it, like, lower demand? Just want to understand on the capacity utilization front.

Mark Saldanha: 65% is quite a high utilization. You know, a plant can't go up to 100%, so maximum they can go up to 80%. 65% is a quite high utilization for a plant. But that's what I'm done. It will increase as the demand, as we have demand, and based on product launches and all, it will reach that peak. But we don't wait. We can't wait for it to touch 80% and then start planning. So, obviously, that's where the Teva plant came into play, to service the demand and supply

gaps that we foresee.

Niharika Jain: Okay, understood. Thank you so much.

Moderator: Thank you. The next question is from the line of Akash, an individual investor. Please go ahead.

Akash: Hi. Good evening. So, from the numbers that I could see, we have about 70-odd scientists into R&D. Two questions. One, do we see a correlation between R&D expenditure, vis-a-vis growth in revenue? And two, do we have any plans of adding more scientists or any kind of programs where they would develop products which would possibly end up contributing significantly to the top line in terms of another revenue stream?

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ksans Pharma Limited
August 14, 2024

Page 16 of 16

Mark Saldanha: So, as companies evolve, we get into more complex molecules. So, our number of scientists increasing will, again, depend on the molecules that we are adding in and the growth strategy that we have in place. We try to maintain a discipline in our approach and not go overboard. But that said and done we do believe it will be in the same range of what we are spending today. For the next two years, at least, it will remain in the same range.

Akash: Got it. Thank you. Thanks a lot.

Mark Saldanha: Thank you.

Moderator: The next question is a follow up question. It's from the line of Naveen Baid from Nuvama Asset Management. Please go ahead.

Naveen Baid: Thank you sir. In your journey from the current INR2,000-odd crores to INR3,000-odd crores that you're targeting over the next couple of years, which market do you think will lead this growth?

Mark Saldanha: You said in your journey from INR 2,100 crores to INR 3,000 crores which will grow. So, obviously, the immediate growth of the fastest-growing market will be the U.S. market. We see the growth drivers in the U.S. market. But that said and done, the U.K. market will also add value to this growth. But in absolute numbers and comparison, it will be the U.S. market that will take us faster and closer to the INR3,000 crores, with the U.K. market bridging the gap to hit that number.

Naveen Baid: Got it. Thank you.

Mark Saldanha: Thank you.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to the management for their closing comments.

Mark Saldanha: Thank you, everyone, for participating in our Q1 FY '25 earning call. Thank you for taking time. Thank you for all your support and interest. Be safe and looking forward to our next call. Thank you.

Jitendra Sharma: Thank you.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

November

Subject:
Strategy

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Pursuant Obligation
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For Manager

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Page 1 of 13

"Marksans Pharma Limited
Q2 FY25 Earnings Conference Call"
November 13, 2024

MANAGEMENT : M R. MARK SALDANHA – FOUNDER , CHAIRMAN AND
MANAGING DIRECTOR
M R. JITENDRA SHARMA – CHIEF FINANCIAL OFFICER

MODERATOR : M R. KASHISH THAKUR – ELARA SECURITIES INDIA
PRIVATE LIMITED

Q2FY25 Earnings Conference Call
November 13, 2024

Page 2 of 13

Moderator: Ladies and gentlemen, good day, and welcome to Marksans Pharma Q2 FY25 Conference Call hosted by Elara Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kashish Thakur from Elara Securities India Private Limited. Thank you, and over to you, sir.

Kashish Thakur: Thank you, Aditya. Good evening, everyone. A very warm welcome to Marksans Pharma Q2 FY25 Earnings Call hosted by Elara Securities India Private Limited. On the call today, we are representing Marksans Pharma Management -Mr. Mark Saldanha, Founder, Chairman and Managing Director, Mr. Jitendra Sharma, Chief Financial Officer. Before I hand over the call to the management, please note the disclaimer. Certain statements made by the management in today's call may be forward-looking statements.

These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on number of factors affecting the business.

I will now hand over the call to Mark sir to give the opening comments, and then we will open the floor for questions. Thank you, and over to you, sir.

Mark Saldanha: Thank you. Welcome everyone and thank you for joining us in our Q2 & H1 FY25 earnings conference call. We appreciate your continuous interest and support for the company. I am delighted to share that we have another strong quarter marked by a broad-based growth across all our markets. Our revenue grew by 20.8% year-on-year in Q2 FY25, led by a very strong performance in the US, followed by Australia & New Zealand.

The US market grew and remains our strategic focus for growth. UK & Europe witnessed a relatively soft quarter due to seasonality, and we expect to bounce back in the second half on the onset of the winter season.

Australia & New Zealand business also came in very strong this quarter with an improved growth trajectory. The continued focus on our product mix has enabled us to deliver a significant expansion in our gross margin and also achieve an all-time high quarterly EBITDA of INR135.7 crores.

The manufacturing facility acquired from Teva Pharma is ramping up well and maintains on track to scale up operations. We expect this facility to supplement our growth further in the coming quarters. Our strategy of expanding our present business, new product launches and enhancing supply from our new facility will help us to achieve our next milestone, which

Q2FY25 Earnings Conference Call
November 13, 2024

Page 3 of 13

we've always maintained at INR3,000 crores in revenue within the next 2 years. With this, I'd like to turn it over to Jitendra to update on our financials.

Jitendra Sharma: Thank you, sir. For Q2 FY25, our operating revenue stood at INR641.9 crores, an increase of 20.8% year-on-year compared with INR531.2 crores in the same quarter last year. Revenue from the US & North America market stood at INR304.2 crores, an increase of 36.8% on a

year-on-year basis, driven by new product launches and increased market share. UK & EU formulary business grew by 5.7% year-on-year to INR246.7 crores. We witnessed mixed demand trends in this category. Australia & New Zealand market recorded revenue of INR63.6 crores, up by 31.3% year-on-year. The rest of the world recorded revenue of INR27.5 crores in Q2 FY25. Gross profit was at INR383.5 crores, up 37.7% year-on-year. Gross margin expanded by 732 basis points from 52.4% to 59.7% in Q2FY25. This was driven by a better product mix and co

ntinued softness in raw material prices. We recorded an all-time high EBITDA of INR135.7 crores in Q2 FY25, an increase of 19.1% year-on-year. The EBITDA margin for the quarter stood at 21.1%, primarily due to addition of new employees at the Teva facility and increase in the freight costs. Profit after tax was at INR97.8 crores compared to INR83.9 crores in Q2 FY24, an increase of 16.6% year-on-year. EPS for the quarter was INR2.1. R&D expense for Q2 came in at INR10.7 crores, i.e. 1.7% of the consolidated revenue. Now talking about half yearly performance, in H1 FY25, our operating revenue stood at INR1,232.5 crores, an increase of 19.5% compared with INR1,031.3 crores in the same period last year. The US & North America market recorded revenue of INR555 crores, up 33.5% year-on-year basis and contributing 45% of the total revenue. The UK & EU market grew by 8.5% year-on-year to INR498.1 crores, contributing 40.4% to the revenue. Australia & New Zealand market recorded revenue of INR129.2 crores, an increase of 20.7% on a year-on-year basis. The Rest of the World recorded revenue of INR50.2 crores. Contribution from these 2 markets stood at 10.5% and 4.1% respectively. Gross profit was at INR712.4 crores, up 33% year-on-year. Gross margin increased by 584 basis points from 52.0% to 57.8% in H1 FY25. EBITDA for the period was at INR264.1 crores, an increase of 22.3% year-on-year. EBITDA margin stood at 21.4%, an improvement of 49 basis points over H1 FY24. Profit after tax was at INR186.8 crores compared to INR154.3 crores in H1 FY24, a growth of 21.1%.

EPS for H1 FY25 was INR4.1. In H1 FY25, the cash from operations came in at INR77.1 crores. The capex investments during the period were INR76.0 crores, which is in-line with our plan to scale up the acquired facility from Teva Pharma. We spent INR22.7 crores in R&D in H1, which amounted to 1.8% of the sales. We continue to remain debt free and cash balance stood at INR657 crores as of 30

th September 2024. With this, I would like to open the floor for questions and answers. Thank you very much.

Q2FY25 Earnings Conference Call
November 13, 2024

Page 4 of 13

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Ishita Jain from Ashika Group.

Ishita Jain: Congratulations on a good quarter. My first question is, so in this quarter, what is the revenue share from the Teva facility and the capacity utilization on it?

Mark Saldanha: So, we have presently, our capacity utilization is around 40%.

Ishita Jain: Okay. And the revenue share this quarter from Teva?

Jitendra Sharma: Approximately INR100 crores.

Mark Saldanha: Yes, approximately INR100 crores.

Ishita Jain: My second question, can you...

Mark Saldanha: Our current run rate is we are ranging around INR440 crores. I mean our current run rate is about INR440 crores a year.

Ishita Jain: Understood. And my second question is, can you give some color on which were the new product launches in the U.S., which contributed in part for the growth in the top line from the US geography?

Mark Saldanha: Well, it's in all three segments that we are in: pain, cough & cold and digestive. So, from that angle, we have quite a few products that have contributed. And this, again, constitutes mainly from market share that we have taken a bit of market share, more market penetration and a few product launches that happened during that time.

Ishita Jain: Do you want to highlight any product or any specific therapy area?

Mark Saldanha: Yes. That's what I said, right? The therapy is in pain and digestive. You can put these 2 as category areas.

Ishita Jain: Got it, understood. And given how our gross margin is also inching up, could you comment on how the product mix is changing? I mean, is there any meaningful change in Rx versus OTC split or any other way that the product mix is changing?

Mark Saldanha: No, ri

ght now, it is it is trending as to what we historically were doing. So, there is no product -- I mean, there is no mix change per se. But obviously, the gross margin has gone up because of a bit of a transition from a high-cost material to now lowering of raw material pricing, which has upgraded a bit of a contributing factor to improve our gross margin right now. Ishita Jain: Got it. And raw material prices are at similar levels even in quarter 3 or current quarter or is there a trend altering? Mark Saldanha: No, I think it is flattening, but it has obviously improved from historic highs. There's no two ways about it. And so, like I said, it's a transition and when you have raw material because we

Q2FY25 Earnings Conference Call
November 13, 2024

Page 5 of 13

hold the inventory at a higher cost and then you have a mix of low-cost material coming into play, that's a bit of a transition that helped in the gross margin. Moderator: Our next question is from the line of Angi Sheth from Array Investments. Angi Sheth: Congratulations on the great numbers. I wanted to know if there's any stability with the freight prices. Mark Saldanha: So, it has improved. We have seen some dramatic improvement in the last, you could say 30-odd days, probably in the last one month. So, we have seen it softening and it has improved from what we saw in the last quarter. Angi Sheth: Like could you give any ballpark figure because I think last quarter it was roughly around \$6,000. Mark Saldanha: Yes, it was around \$6,000, \$6,500. Now we are seeing prices as low as \$3,700, \$3,600. Angi Sheth: All right. And do we expect it to go any lower since I think on average, it used to be around \$2,000 max, like roughly 3-4 months back? Mark Saldanha: Well, we always hope for the best and we hope.... Angi Sheth: And any update with any of the merger and acquisitions? Mark Saldanha: No, presently nothing on table right now. Moderator: Thank you. Our next question is from the line of Marusu Tharun, an Individual Investor. Please go ahead. MarusuTharun: Sir, as we observe in the revenues from the US has increased a lot. Did we have any extra focus on the US over the UK? Mark Saldanha: Well, the focus is on both geographies, but we expected - our order book status was strong in the US and that's what we are executing. And the UK basically - Q2 is always a softer quarter because it is summer out there. So, it's a very seasonal trend that normally happens. It normally picks up in the third quarter and fourth quarter onwards. So, we do expect UK to be there. But from a growth point of view, US will be the growth driver followed by UK, which is going to be a potential market for us. MarusuTharun: And can you give me an outlook for FY25? Mark Saldanha: This is the FY25. You're talking of the... MarusuTharun: Q3, Q4. Mark Saldanha: The Q3... Jitendra Sharma: It will be a better quarter.

Q2FY25 Earnings Conference Call
November 13, 2024

Page 6 of 13

Mark Saldanha: We expect a stronger quarter than what we have done now because obviously, we do believe UK numbers will be a little better. Moderator: Thank you. Our next question is from the line of Aditya Pal from MSA Capital Partners. Please go ahead. Aditya Pal: Great set of numbers, congratulations to the team. Just wanted to ask again, what would be the status of investing in new capacities because Teva facility will cap out at INR800 crores odd. Mark Saldanha: Sorry, did you say INR300 crores odd? Aditya Pal: INR800 crores. Mark Saldanha: Yes, so obviously, then we have to look at expansion in terms of either new facilities or new blocks or new capex. But we do believe that we will - we are looking at touching INR800 crores plus, you are right in that, and then we are working on our next step of projects in terms of capacity enhancement or greenfield or M&A. Aditya Pal: Because we have INR650 crores odd net cash sitting on our balance sheet and for the last few quarters, we are not - I would say last few years, we are not getting any new targets as well, even though we are putting our best efforts. So, I was just thinking that if we could start

investing in capacities in India, would that make sense?

Mark Saldanha: Believe me, we have tried. It's not as easy. You don't every day come across a Teva. So obviously some of the facilities available, the valuations are crazy. So, we try to shy away from those deals, and we always look for value-accretive M&As where we believe that - because we know that we need to invest a lot after acquiring, like we did for Teva.

So, we try to get it at the price range that we wanted to. So, we are looking at it. You rightly said what's next beyond Teva and that is very well on our mind and our team is working on that.

Aditya Pal: Perfect. Another question was, so our gross margin expanded quite well this quarter, both quarter-on-quarter as well as year-on-year. If you were to attribute the increase, how much would have come from our efforts of getting our raw materials contract manufactured, and how much would be because of raw material softening?

Mark Saldanha: So basically, I would say 99.9% is raw material softening. I don't expect these numbers, the gross margin to sustain. This is just a transition of what you will see out there. But definitely, we should be around 53% to 55% gross margin level.

Aditya Pal: Perfect. If I can squeeze one more, I wanted to know more on the Europe & UK. Definitely it has become a very large segment for us, and we have become the top-five player and trying to become the top-three. And we are also launching new products in UK this year. If you can give some commentary on UK for the next two-odd quarters?

Q2FY25 Earnings Conference Call
November 13, 2024

Page 7 of 13

Mark Saldanha: Basically, I can give a much longer outlook than a quarter outlook because there's always a seasonality effect in UK. But I do believe in the next coming years, UK will grow and we have a business model to see for the next five years to ensure that UK achieves new milestones. It is a very important part of our business model. It is a very important geography in our company.

So, we do see that playing a very instrumental role moving forward. But again, the market size, we have to understand it's not like US, but we will be amongst the top. We're hoping that we should be among the top-three companies out there in UK within the next 2-3 years.

Moderator: Thank you. Our next question is from the line of Kashish Thakur.

Kashish Thakur: Sir, two questions from my end. Just wanted to understand the market scenario in Australia & New Zealand. So, like how long is the tender we get in the region, first, and second is like how big is the OTC market over there? What are the growth opportunities and what are we looking in or what are we planning to execute over there? That is first question.

Second question is towards the R&D spend. So, what will be our R&D spend for FY25 and FY26 going ahead and how should we bifurcate it in our regions? So, can you just help us out with this, it would be very helpful, sir?

Mark Saldanha: Yes. So Australian market is a very conservative market. In terms of the OTC portfolio, we can literally double our revenue from where we are over time. It's not going to happen overnight or in 1-2 years. We always like to believe that it will get us to \$100 million mark eventually, but we have to work through that. This year we are hoping to be close to AUD42 million and we are working towards that. Once we cross the first milestone of 50 million, our business strategy is there to see it grow.

In terms of R&D spend, we are spending slightly below 2% right now. And I would see it being stable at around 2%. And it is not for one geography, it is for all our geographies that we are catering to, mainly the US, Europe, UK and Australia. So, the

se are the geographies where most of our R&D spend is going on right now. In UK, we are definitely investing a lot in terms of R&D because we are looking at huge amount of filings and revenue potential with new product launches happening.

Moderator: Our next question is from the line of Deepesh Sancheti from Manya Finance. Please go ahead.

Deepesh Sancheti: My question was regarding the US market. After the change of government and with all the noise of Trump coming, how do you see the business? And do you see any potential risks or any particular changes which you need to do as a company to mitigate it?

Mark Saldanha: See, Deepesh, honestly, I don't have a crystal ball. If I had a crystal ball, I would have defined who the next President would be in the US. But nevertheless, it is difficult to know what stance the next government takes, and the next President takes.

Q2FY25 Earnings Conference Call
November 13, 2024

Page 8 of 13

And whatever policies and changes they do will have literally an advantage or an impact for everyone. I don't think even US companies or US factories will be insulated from tariffs or anything of that stuff. So, the impact we'll have will basically be passed on to the consumer, I guess. But again, we can only speculate because like I said I don't have a crystal ball as to what they are planning next, but we all hope for the best and we will take calls, or we will strategize only once we have a bit of more understanding and clarity on that.

Moderator: Our next question is from the line of Runit Kapoor from Elara Capital.

Runit Kapoor: Yes. One question. So, can you just give a guidance on FY26? How is it looking as of now in terms of revenue and EBITDA? And what is your capex guidance also?

Mark Saldanha: So, I do believe, like I mentioned in my earlier opening statement and what I mentioned in couple of quarters back that our next milestone is to achieve INR3,000 crores within the next two years. And I think we are trending towards that. So, we should be very close to hitting that number next year. I think our EBITDA will be in the range of 22% odd. It's stable. We don't foresee any cuts where that is concerned from an EBITDA point of view.

Runit Kapoor: Okay. And the Teva manufacturing facility is right now at what capacity utilization?

Mark Saldanha: I could say about 40% to 45%. We are trending at very close to INR440 crores to INR450 crores odd. I use the word trending because we've just started hitting our new numbers. So, when you look at that, I think we will keep increasing quarter-on-quarter and hopefully by next year, we will be trending at INR800 crores odd.

Moderator: Our next question is from the line of Aditya Pal from MSA Capital Partners. Please go ahead.

Aditya Pal: I just had a few follow-up questions. One was, sir, the freight cost, if you can give me for Q1 and Q2, how much would be the absolute freight cost?

Jitendra Sharma: So, see, actually freight cost during Q2, there was a substantial increase. And like in terms of the absolute number, it was in the range of around say INR60 crores as compared to a cost of around INR40 crores odd in Q1.

Aditya Pal: Understood. And sir, if I were to also try to bifurcate expenses for Teva, how much would Teva cost you out of our total cost of INR248 crores overhead?

Jitendra Sharma: See, Teva plant has broken even last quarter itself and it is basically contributing to the profits. So overall, Teva plant is generating positive profits, and it is not a drag on EBITDA. So, I can comment that much right now.

Moderator: Our next question is from the line of Mythili Balakrishnan from Alchemy Capital Management Private Limited. Please go ahead.

Q2FY25 Earnings Conference Call
November 13, 2024

Page 9 of 13

Mythili Balakrishnan: I wanted to check with you a couple of points. One is on the US business side, has there been any change to the business model, or have you added customers,

or have you won wallet

share? So, could you just explain how this growth has come about for us?

Mark Saldanha: I would not say we've added a lot of customers. There might be the odd one here and there, but definitely we have expanded our product portfolios within the same customers. So that has given us growth, obviously when you instead of 3 products, you start selling 5 products or 6 products. So that has definitely helped us to grow from that angle.

From a business model, it's still been very much the same as it was in the first quarter. The only thing is, like I said, our order book status is strong and that's where we do believe the revenue generation will continue in the coming quarters and will grow.

Mythili Balakrishnan: Got it. And just to get a sense, some of the customers that we have are now reconsidering some of the number of stores that they have, they have reduced them, made other changes in terms of their business model of trying to split businesses, etcetera. Do you think any of that will have an impact in terms of our business?

Mark Saldanha: It may to some extent, but again while we talk about that being a bit of a drag in a certain way, our product mix, our product growth into those customers have increased or literally doubled. So that basically overshadows any ifs and buts that may arise.

Mythili Balakrishnan: Got it. And to get us - sorry.

Mark Saldanha: The consolidation from the retailers is a positive thing from their point of view because I think they will just get a bit stronger from a profitability and a viability point of view.

Mythili Balakrishnan: Got it. And when we compete in the marketplace, is it the price that we are able to compete on because we have a very low cost of manufacturing or are there other aspects - we are sort of much better than competition, which enables us to grab this market share?

Mark Saldanha: I think it's a mix of everything. You can't rule out price. We have economies of scale. But at the same time, it is service, it is product basket, product portfolio that actually also helps in the entire gamut of things. But it is at the end of the day being reliable and being able to service

the requirements.

Mythili Balakrishnan: Got it. And just to get a sense, in terms of the length of these contracts, what is the typical length for any one of these contracts with the customers?

Mark Saldanha: It ranges from 2 to 4 years.

Mythili Balakrishnan: 2 to 4 years. And the product basket is something that we can increase within that? Or it's...

Mark Saldanha: Yes, I mean, again depends on opportunities that come across. And every time a contract opens up, then you have an opportunity to either increase or lose. So, it depends on that.

Q2FY25 Earnings Conference Call

November 13, 2024

Page 10 of 13

Mythili Balakrishnan: Got it. And lastly, my question is a bit of a bookkeeping one. The inventory seems to have gone up in terms of the inventory days. So just wanted to get a sense of like any particular reason why that is happening for quite some time now?

Mark Saldanha: These are basically new launches, new launches into accounts, new product launches happening in. So, we normally have to build up 4 to 5 months of stock before they start taking product. And quite a substantial amount of our contracts started off only in the month of October, so we had stock buildup before they literally turn the button on.

Mythili Balakrishnan: Got it. So that means that this inventory which is lying with us currently is now getting translated into sales?

Mark Saldanha: It is getting translated into sales until the new launches come or different retailers coming to play, then we have to reinvent the cycle. So, this year, we are still far away from hitting our order book status because the product launch is happening from now till March 2025, every month, every 2 months. So, we have to ensure those products are launched that we have inventory to ensure

that the launch happens on day one.

Mythili Balakrishnan: Got it. So, what I'm reading from this is that it will stay elevated till March at least.

Mark Saldanha: Yes, it will stay till March, till we hit the optimum order and trend towards the order book that we plan for the year.

Mythili Balakrishnan: Got it. Anything on the Rx business that you're seeing in terms of growth or any launches, etc., that you are excited about?

Mark Saldanha: We have a couple of products that we are talking about, UK has quite a few Rx items being launched, and we have a huge pipeline coming in maybe in 2025 that we see, new product launches happening out there. They all are high-end Rx items and they're niche products. So, we expect a bit of an improvement in topline and bottom line happening out there. And U.S. obviously the pricing pressure in Rx is as challenging as it always gets.

Moderator: Thank you. Our next question is from the line of Kashish Thakur. Please go ahead, sir.

Kashish Thakur: Sir, just one question. Thank you for the follow up. Sir, we are doing very well in the three geographies in which we are present. So, any plan that we want to diversify, and we want to enter in other geographies as well, either in the domestic market or other. If not now, then maybe when can we plan to do that? Can you just guide us with the same?

Mark Saldanha: Yes. So right now, obviously, Europe is our focus region that we are looking at expanding. So that becomes a priority for us to look at M&As and we've been looking at it for the last year, slightly over a year on that front. So, Europe is an interesting market that we'd like to get into. With regards to the domestic market, we're always open to M&As but nothing concrete and the complexity of any domestic contract or transaction happening in terms of valuations and sentiments attached to it is always a challenging factor. But we have nothing on our plate right

Q2FY25 Earnings Conference Call

November 13, 2024

Page 11 of 13

now where domestic is concerned. But we would love to. We always explore any M&A based on its merit.

Kashish Thakur: Thank you, sir. Sir, as we just spoke about, we are looking for opportunities in the domestic market. So, do we have any planned figure in our mind that we want to explore the opportunity which is within a specific figure, be it a small or a big acquisition?

Mark Saldanha: I mean domestic market is more branded than generic. And whichever company - if a company comes across to us, we will obviously try to evaluate the brand strength and the continuity of that brand and the growth of the brand. So, it is a bit more different than most of the markets that we are into because globally, we are into generic market and out here, it's a bit of a branded market. But like I said, so far, we've not had anything that came across, we've not even seen any potential targets which have come across. If they do, then we will have to evaluate it at that time, based on different parameters that we historically look at M&As.

Moderator: Thank you. Our next question is from the line of AkashThawrani, an individual investor. Please go ahead, sir.

AkashThawrani: Good evening. You mentioned that INR3,000 crores as a revenue number possibly in the next coming years, which now seems well within sight. So maybe, what's next, like what would your long-term vision for the company be, maybe like for a 7 to 10year horizon or are there any internal milestones that you currently have and where do you see the business grow? Just if you could throw some light on that, about your vision, that would be helpful. Thank you.

Mark Saldanha: So, Akash, my vision is big, but it's not - I don't want to sound crazy in terms of giving a number right now because here we have quarterly calls. So, you're probably the only investor who is asking us for a 5 to 7year outlook status. So yes, we do have plans. We do have a 5-year plan actually i

n place.

We do see visibility of where the company will go, and it will evolve. It will evolve to a new company altogether. I mean a different company altogether, let's put it this way. Like we were 2 years back, and if you look at us 4 years back where we were. So, we have grown and I do believe once we grow with size, then the next milestone will be relatively shorter to achieve.

Moderator: Thank you. Our next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani: Yes, hi, team. Thanks for the opportunity. Sorry, I joined in late. Mark, could you just call out what is the run rate of the U. S. business today and what is the order book visibility? Last, I recollect it was closer to about \$170 million to \$180 million. So, has that improved and what are we doing today?

Mark Saldanha: So basically, our order book stands at \$200 million now. There is an improvement. And like I had mentioned the last time that - it's grown. So, we obviously keep trying to increase sales,

Q2FY25 Earnings Conference Call
November 13, 2024

Page 12 of 13

right? So we don't stop at \$170 million or \$180 million, we keep building our order book status. So, our quarter number is trending at around \$40 million odd right now.

Aejas Lakhani: Got it. And you're expecting the acceleration to take place through the next year? From \$40 million to \$50 million...

Mark Saldanha: The first half of the year, obviously, most of the contracts started off only in September, October, a substantial amount. So, we literally lost the first half of the year. And if you see, that's where the growth will continue. We launched products, some in July, some in August, some in September, a decent amount in October and then we have something in Jan, Feb, March. So, we need a full cycle of 12 months to complete.

Aejas Lakhani: Got it. And all of these incrementally will be coming from the Teva facility, right?

Moderator: Yes, sir. Please go ahead, sir.

Aejas Lakhani: Yes. So, thanks. Mark, I just want to check. So basically the \$40 million will start to trend to move towards \$50 million by the next year and the incremental capacities will be coming from the Teva facility?

Mark Saldanha: Yes, basically, it's also coming from our U.S. plant also therefore, I think we are growing from all the plants.

Aejas Lakhani: Got it. And could you just explain the sequential increase in other expenses? I understood that incrementally INR20 crores came from the freight cost increase, but what explains the balance?

Jitendra Sharma: See, it is basically expenses coming out from Teva facility as well in terms of the manufacturing expenses and other expenses.

Aejas Lakhani: Got it. And we would be in the process of scaling up that facility. So, what would we be operating at today?

Jitendra Sharma: We are operating at 40% to 45% right now. But again, like in terms of the overheads, we believe that we are almost fully committed in terms of our fixed overheads for Teva facility right now and now incremental revenue will not have proportionate increase in our other expenses. So, I think definitely we see some operating leverage benefit getting in coming quarters.

Moderator: Thank you. Our next question is from the line of Kashish Thakur. Please go ahead, sir.

Kashish Thakur: Thank you for the follow-up. Sir, just one more follow-up question on Australia & New Zealand market, so just like what kind of major category sales would we see over there? Is it cough & cold, vitamins, like what kind of category has higher sales? I know like Q4 will be higher for cough & cold, Q1 sorry, as it is maybe a reverse of what U.S. is, seasonally. But apart from that, how are the other segments segregated?

Q2FY25 Earnings Conference Call

November 13, 2024

Page 13 of 13

Mark Saldanha: So, where we are, we handle pain, we handle cough & cold, allergy and we handle digestive. So these are the three

categories we are following globally. So, we are more OTC-oriented out there in Australian market and sometimes it's just a very conservative market, so it takes a bit longer to grow in terms of what we want to achieve out there.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for the closing comments.

Mark Saldanha: I'd like to thank all of you for spending your precious time on an evening out here. Thank you. Be safe and take care.

Moderator: Thank you. On behalf of Marksans Pharma Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This document has been edited to improve readability

Contact information:

Jitendra Sharma (CFO): jitendra@marksanspharma.com

Registered & Corporate Office:

11th Floor, GRANDEUR, Opp. Gundecha Symphony,

Veera Desai Extension Road, Oshiwara, Andheri (W), Mumbai - 400 053 Corporate Identification No.:

L24110MH1992PLC066364

Call: Feb 2025

February 25, 2025

Subject: Transcript of investor(s)/analyst(s) meet – Q3FY2025 Financial performance and Strategy update

Dear Sir/Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, kindly find enclosed the transcript of the investor(s) / analyst(s) meet for Q3FY2025 financial performance and strategy update held on February 12, 2025.

The above information is also available on the website of the Company i.e. <http://www.marksanspharma.com/investors-meet.html>

We request you to take the aforesaid on records.

Thanking you.

Yours faithfully,
For Marksans Pharma Limited

Harshavardhan Panigrahi
Company Secretary

Encl: As above BSE Limited
Corporate Relation Department
PhirozeJeejeeboi Towers,
Dalal Street,
Mumbai – 400001.
Scrip Code: 524404 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C-1, Block-G,
Bandra-Kurla Complex,
Bandra (East), Mumbai – 400051.
Symbol: MARKSANS

Page 1 of 15

“Marksans Pharma Limited
Q3 FY25 Earnings Conference Call”
February 12, 2025

MANAGEMENT : MR. MARK SALDANHA – FOUNDER, CHAIRMAN AND
MANAGING DIRECTOR
M R. JITENDRA SHARMA – CHIEF FINANCIAL OFFICER

MODERATOR : MR. BINO PATHIPARAMPIL – ELARA SECURITIES
INDIA PRIVATE LIMITED

Q3 FY25 Earnings Conference Call
February 12, 2025

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to Marksans Pharma Q3 FY25 earnings conference call hosted by Elara Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Bino Pathiparampil from Elara Securities India Private Limited. Thank you, and over to you, sir.

Bino Pathiparampil: Hi. Good evening, and good morning to all of you. This is Dr. Bino Pathiparampil from Elara. Welcoming you all to Marksans Pharma Q3 FY25 earnings conference call. We have today with us Mark Saldanha, Founder, Chairman, and Managing Director; and Mr. Jitendra Sharma, Chief Financial Officer of Marksans Pharma.

Before I hand over the call to the management, please note that certain statements made by the management in today's call may be forward-looking. These reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors that affect the business. We will begin the call with opening comments from the management, followed by the Q&A session. I hand over the call to Mark. Over to you, sir.

Mark Saldanha: Thank you, Bino. Welcome, everyone, and thank you for joining us in our Q3 & 9M FY25 earnings conference call. We sincerely appreciate your interest and continued support for the company. I'm pleased to report another strong quarter with an all-time high quarterly PAT. This strong performance was driven by the sustained 12th successive quarters of double-digit revenue growth.

Our revenue grew by 16.3% year-on-year in Q3 FY25, led by a continued strong performance in the U.S., followed by U.K., which has improved during the quarter. The U.S. market continued to grow strong, reflecting the strategic focus. It grew by 37% year-on-year, more than double of the overall company growth rate. U.K. & Europe performance improved both year-on-year and on a sequential basis. However, Australia & New Zealand was soft due to seasonality impact, while the Rest of the World was impacted by continued geopolitical turmoil. We expect the performance to improve in the coming quarters. Improvement in product mix and softer input price helped in gross margin expansion over the previous years. However, investments in the acquired facility and increased freight costs compared to the last year put pressure a bit on the margin. Nevertheless, we delivered a strong EBITDA and an all-time high PAT of INR 105 crores in Q3 FY25.

The acquired manufacturing facility is ramping up as per plan and will help in boosting growth further in the coming quarters. We remain focused on our strategic pillars for growing the company in the coming years. Expanding our business with new product launches and ramping up our new facility will help us achieve our next milestone of INR 3,000 crores of revenue. With this, I would like to turn this over to Jitendra to update on the financials.

Q3 FY25 Earnings Conference Call
February 12, 2025

Page 3 of 15

Jitendra Sharma: Thank you, sir. In Q3 FY25, our operating revenue stood at INR 682 crores, an increase of 16.3% year-on-year compared to INR 586 crores in the same quarter last year. Revenue from U.S. & North American markets stood at INR 353 crores, an increase of 37.1% on a year-on-year basis, driven by the new product launches and increased market share. U.K. & EU formulation business grew by 2.6% year-on-year to INR 258 crores. We witnessed mixed demand trends in this market.

Australian & New Zealand markets recorded revenue

of INR 47.2 crores, down by 2.8% year-on-year, affected by seasonality. The Rest of the World recorded revenue of INR 24.1 crores in Q3 FY25, affected by geopolitical issues. Gross profit was at INR 384 crores, up 22.4% year-on-year. Gross margin expanded by 279 basis points from 53.5% to 56.2% in Q3 FY25.

This was driven by a better product mix and lower raw material prices. We recorded EBITDA of INR 138.8 crores in Q3 FY25, an increase of 4.3% year-on-year. The EBITDA margin for the quarter stood at 20.4%. The reduction in EBITDA margin by 234 basis points was primarily due to the addition of new employees at the Teva facility and increase in freight costs.

Profit after tax was at INR 105.1 crores compared to INR 83.0 crores in Q3 FY24, an increase of 26.6% year-on-year. EPS for the quarter was at INR 2.3. The R&D spend for Q3 came in at INR 11.8 crores, which was 1.7% of the consolidated revenue.

Now talking about the nine-month financial performance. In 9M FY25, our operating revenue stood at INR 1,914 crores, an increase of 18.4% compared to INR 1,617 crores in the same

period last year. The U.S. & North American market recorded revenue of INR 908 crores, up 34.9% on a year-on-year basis and contributing 47.4% to the total revenue. U.K. & EU markets grew by 6.4% year-on-year to INR 756 crores, contributing 39.5% of the revenue.

Australian & New Zealand markets recorded revenue of INR 176 crores, an increase of 13.4% on a year-on-year basis. The Rest of the World recorded revenue of INR 74.3 crores.

Contribution from these 2 markets stood at 9.2% and 3.9%, respectively.

Gross profit was at INR 1,096 crores, up 29.1% year-on-year. Gross margin increased by 475 basis points to 57.2% in 9M FY25. EBITDA for the period was at INR 403 crores, an increase of 15.5% year-on-year. EBITDA margin stood at 21.0% compared to 21.6% in 9M FY24.

The drop in margin is primarily due to the investments in the acquired facility and an increase in freight costs. Profit after tax was at INR 292 crores compared to INR 237 crores in 9M FY24, a growth of 23.0%. EPS for the nine months was INR 6.4. In the 9M FY25, the cash from operations came in at INR 131 crores. The capex during the period was INR 129 crores, which is in-line with our plan to scale up the acquired facility.

We spent INR 34.5 crores in R&D in 9M FY25, which amounts to 1.8% of the consolidated revenue. We continue to remain debt-free and the cash balance stood at INR 669 crores as of 31st December 2024.

With this, I would like to open the floor for questions and answers. Thank you very much.

Q3 FY25 Earnings Conference Call
February 12, 2025

Page 4 of 15

Moderator: Thank you very much. First question is from the line of Agastya Dave from CAO Capital. Please go ahead.

Agastya Dave: Congratulations on fairly decent set of numbers. Sir, I had 2 questions. One is the quarterly fluctuation in the EBITDA margins. Is there something you would like to call out which happened during this quarter or probably happened last year same quarter, which is effectively giving an optical decline of 300 basis points, around 250 basis points in EBITDA margins?

Jitendra Sharma: This is Jitendra here. So, mainly if we see the expenses which we have incurred during Q3 in this year against the last year same quarter, there was increase in employee cost and also in the freight cost, which was a major contributor to this reduction in the EBITDA margin.

Agastya Dave: So the employee cost, I understand completely, sir, freight is still the problem sir, continuing, sir? There is still no resolution on that side?

Jitendra Sharma: No, it has started coming down. So, I think that impact you should see in this quarter, in Q4. I think this will no longer be a drag on EBITDA from this quarter onwards. And the employee cost also, I think as revenue grows, it will be again no drag on EBITDA from next 1 or 2 quarters.

Agastya Dave: Any

headwind or tailwind from the raw material costs?

Mark Saldanha: No. The raw material cost is now quite stable. Obviously, it has over time softened. So, we don't expect any increase right now on the raw material per se. We do see a bit of stability arising out there. But like Jitendra said, our employee cost because of the new facility will have a slight drag till operational leverage kicks in.

Agastya Dave: That is completely understandable. Sir, the second question is a hypothetical one. I wanted to understand the setup of the distribution channel in the U.S. and how the pricing mechanism is working out, especially for you guys? The hypothetical part of the question is that there is a lot of talk about the government there imposing universal tariffs on all pharma imports?

So, I'm assuming that if they actually do it, then we'll also be impacted. But I also think that a lot of it will be passed on to the end user. So how exactly does the pricing pass-through mechanism work in the distribution channel that we have today? What kind of lag can we expect if there is a price pass-through?

First of all, can we do a price pass-through? Will the market absorb it? How exactly will it work out? For the portfolio of products that we have, are there any local competitors there who can become more competitive with respect to our offerings if there is a completely irrational import duty imposed on our products?

Mark Saldanha: So presently, India does not have any tariffs being imposed. It is on China right now. That said and done, we really don't know what will come tomorrow. It's a very valid question. So technically, if it is more, if all countries or all major suppliers to the U.S., whether it's raw material or finished product, if tariffs are levied, I think it is fair to say that the price will be passed on.

Q3 FY25 Earnings Conference Call
February 12, 2025

Page 5 of 15

There will be a time lag that may be depending on the inventory being held at old prices, so you are looking at possibly a 6-month time lag to pass it on to the retailers or to the clients. But it will be a higher possibility if it is uniformly, if there is no advantage per se. So, there are local manufacturers in the U.S.

We have a factory in the U.S., but we import all our ingredients from different parts of the world, including China. And obviously, now that China tariffs have been effective, so technically, anything that comes in from China, the cost will go up by whatever 10% if we do continue getting it from China and if we don't get any price reduction on those materials to compensate the tariff.

So, what's going to happen is, obviously, the cost is going to go up and that cost will have to be passed on to the retailers. But that's where India comes into play. If India does not have any tariffs, then India becomes more advantageous. But we also have our own manufacturing capabilities in India.

So, we are in a good spot right now where we can leverage both our capabilities to negate any tariff implications. But if tomorrow, there is tariffs on all countries, then literally whether you make it in U.S., whether you make it in China, whether you make it in India, it's not going to matter, the cost will go up and that cost will have to be passed down.

Agastya Dave: Now the plans that you had with respect to U.S. that growth was expected to come in in the future as well and is supposed to become a sizable market for us. So, all those sales, were you planning to sell everything by making in U.S. or something was supposed to be exported from India? How are you planning the manufacturing and supply setup?

Mark Saldanha: So, all our distribution happens from U.S., but the manufacturing happens both from U.S. as well as India and India contributes a substantial amount of manufacturing support to U.S. So technically, we do have a balance, and we do manufacture a lot in India, while we also manufacture in the

U.S. also. So, obviously, we will leverage low-cost manufacturing base, which is India, and that will always be our focus point of manufacturing more in India and shipping out into the U.S.

Moderator: The next question is from the line of Aditya Pal from MSA Capital Partners.

Aditya Pal: Congratulations to the team for a great set of numbers. So, if I were to just say that the reason that EBITDA margin has decreased this quarter and obviously, Jitendra sir highlighted during the introduction call, so can I say that because our revenues from the Europe and U.K. market, maybe U.K. market didn't turn out to be as good as we expected?

And a subpart of this would be that now that we have close to 34 products being filed in U.K. do we see growth acceleration coming from this market and this is what will increase our EBITDA margin of the Teva facility?

Mark Saldanha: Yes. So, there are 2 sets of questions out here. So basically, we are very bullish on the U.K. market and it's very difficult to analyze it on a quarter-on-quarter basis. Definitely, the season in

Q3 FY25 Earnings Conference Call
February 12, 2025

Page 6 of 15

U.K., the winter was not all that great in U.K. It was a warm winter, you could put it this way. So, there was a bit of a seasonality part in the U.K. leading to softening of the number. But that said and done, we are very bullish on U.K. We have a growth plan of doubling our revenue within the next 5 to 7 years in the U.K. also.

So, we do see U.K. being also a potential growth driver after the U.S. So, we have a robust product pipeline, which is awaiting approvals plus what is being filed and plus what is being developed. So, we have an exhaustive pipeline out there. U.K. is a much more mature market compared to the U.S. So, we do see that revenue getting unfolded as and when approvals do come in play.

With regards to the Teva plant, it has to evolve. We still do believe it will do INR 800crores odd or INR 800+ crores odd. But it is a process. First is obviously get the plant operational to the level we want. Then the second step is to increase the capacity. And the third step is to get all the variations in place so that the increased capacity can be utilized.

We can't skip the process because we can't go and get the business or get the variation before the capacity is there. Otherwise, you will not be able to deliver the service needed out there. So, it is a process that one has to go through. Until then, in the pharma industry, you invest today, you see returns later. So out here, you have to get your team ready, you have to have your headcount, you have to have highly qualified people.

You have to invest, you have to do the training. And so, you have a gestation of 6 months out there before you actually see optimization or operating leverage happening once they come on board. So, there will be a time lag. I'm not saying this quarter, you will see what we want to see.

But definitely, from the next quarter, you will probably see much better.

Aditya Pal: Fair enough. So, in terms of Teva, right? Teva, are we on the operational front, operational expenses that is employee benefit expenses and other expenses that we've invested in Teva. Are we done with that process? Or do you see that there will be a slight bit more ramp-up in our employee benefit expenses, which is today it's INR 88 crores odd. Do you see this ramping up furthermore? This is the run rate along with somewhat bonuses and increases that should be given?

Mark Saldanha: 80% of the employment investment is already done in terms of people. I don't see a big variation in people. From a capex point of view, there is still a small percentage which is left in capex to get us to what we want to achieve. But that once we achieve the next milestone of hitting INR 50 crores odd, then we will talk of doing INR 80 crores odd.

So today, we are doing maybe INR 30 crores odd on a month-on-month basis, which

is INR 360

crores odd in a year. That's our run rate. And we want to now hit INR 50 crores odd, which will be INR 600 crores odd. And then we talk of INR 80 crores, which will be basically INR 1,000 crores odd a year.

Aditya Pal: If I can just slip in one last question. So just wanted to understand more from a longer-term perspective. So now we have 4 plants, cumulative capacity would be INR3,500 crores odd of

Q3 FY25 Earnings Conference Call
February 12, 2025

Page 7 of 15

revenue generation. And we plan to achieve INR 3,000 crores odd of revenue milestone by FY26. And then that is the capacity. Then there's an entire Europe market that we were planning to tap. So, from a longer-term perspective, how do we look at the company? One is from the capacity once we at INR 3,000 and the other is from a geographical point of view.

Mark Saldanha: Yes. So basically, from revenue point of view, obviously, we no longer talk of INR 3,000 crores. We are already working towards the INR 4,000 crores mark, the business model and the strategy. Our growth drivers will still be the top 2 countries that we talk about always, that's U.S. and U.K. From a geography point of view, we are working on Europe.

So, we are in dialogue with companies, but that, I think, should be more from a medium to long-term outlook. There is no short-term outlook in Europe per se. So immediate revenue drivers will be the 2 markets that we're already strong in and getting stronger. But from a medium to long-term, you will see Europe contributing and you will see doubling our revenue in the markets that we are already doing well.

Aditya Pal: Understood. So, from now once we achieve INR 3,000 crores in FY26, do we see capacity being constrained because as you rightly highlighted, right, that pharma business is a long gestation period business. Even if we start a greenfield or brownfield project, it takes its own time for either the plant to stabilize or to get these regulatory accreditations. So now because once we achieve INR 3,000 crores, there might be some capacity constraint that we might face in the shorter time period, not from a medium to long-term perspective?

Mark Saldanha: So, we do see our present capacity taking us beyond INR 3,000 crores and probably closer to INR 4,000 crores odd. But the question is by the time we start crossing INR 3,000 crores and we talk of INR 4,000 crores, our business model will take shape to go to the next level already. So that's where eventually, we would need to look at capacity infrastructure again to support the growth beyond the INR 4,000 crores odd.

So, it's not that we wait for us to achieve INR 3,500 crores or INR 4,000 crores and then look at our facility. Because obviously, then our target will be INR 5,000 crores, right? So, we would have to probably look at a facility maybe mid of next year, you could say, or towards the end of next year to take us beyond INR 4,000 crores odd.

Moderator: The next question is from the line of Bino Pathiparampil from Elara Capital Securities.

Bino Pathiparampil: Mark, off-late we have heard in bits and pieces from large Indian players about a renewed focus in the OTC space. Are you seeing any increased competition from larger Indian players?

Mark Saldanha: Sorry, I didn't get you, Bino. Did you say retail players or? I didn't get you. Could you repeat it again?

Bino Pathiparampil: Yes, sure. Off late, the large Indian pharma companies, some of them have indicated a renewed focus on the OTC segment in the U.S. So, are you facing any increased competition from the larger Indian pharma players in the U.S. market?

Q3 FY25 Earnings Conference Call
February 12, 2025

Page 8 of 15

Mark Saldanha: Well, I mean, this is not a market that we've invented. So, we can't say it is like it is something very normal or we've invented. It's been there. There are bigger players than even Indian companies out there. There have been Indian companies

s. So, I don't think anything has changed

and I don't think anything will change at least in the near future as to how it operates.

We obviously have an added advantage. We are one step ahead of the industry. So, we have that advantage to our side. But nevertheless, like I said, it's a nature of the beast, right? So, it's not something that concerns us right now.

Bino Pathiparampil: Understood. Second, coming to M&A, you were, I believe, open to looking at some small bolt-on acquisitions in new geographies, especially Continental Europe. Anything coming around on that?

Mark Saldanha: We are in dialogue with 2 companies right now as we speak. They are very initial set of dialogues. We are far away from any due diligence or putting pen to paper. But again, it's difficult. Many times, we've gone down the road, we've even gone to a due diligence stage, and pen didn't come to paper for whatever reasons.

So, it's got a bit more difficult to bridge the expectation gaps in M&As. So, we are still optimistic.

We still work towards achieving those objectives, but we are very conservative in our approach so that we ensure that the shareholders get their return on investments.

Bino Pathiparampil: Understood. One last question for Jitendra. Our depreciation and amortization expense has come down Y-o-Y. Why has it happened despite the Teva facility ramping up?

Jitendra Sharma: Yes, Bino. See, when we acquired Teva facility, we got the valuation done like as per the requirement. And then basis the remaining life of the few assets, which we got in acquisition, there was accelerated depreciation we had to provide in the initial quarters. And subsequently, now it has normalized.

So that's why you see a bit of lower depreciation in this quarter. Now of course, as we are doing more capex, eventually, it will go up only. So, I think it is because of the accelerated depreciation based on the remaining life of the few acquired assets from Teva. The depreciation was high during previous quarters.

Moderator: The next question is from the line of Deepesh from Maanya Finance.

Deepesh: My question was actually a reverse of what the first participant had asked. Firstly, who is the major competition in our OTC segment in U.S.? And if there are no tariffs levied on India, will that give Marksans a greater advantage over its competitors abroad?

Mark Saldanha: Well, yes and no, because most of the players do originate from India. Like Bino mentioned, there are players originating from India. So, we are at level 3. But India always gives us a low-cost manufacturing base advantage, and we leverage that out when needed. If tariffs do come into India, then I guess level fields for everybody.

Q3 FY25 Earnings Conference Call
February 12, 2025

Page 9 of 15

And that's where we have to then look at the cost implications and then work on passing those cost implications down if we don't get any price advantage. So presently, it is not there on the horizon, but we never know how politically things change very rapidly. So, we always hope for the best. Did I answer your questions?

Deepesh: Yes, you can continue. I mean, if you want to add on anything?

Mark Saldanha: No, no, I'm fine. I mean, I just try to club both your questions and give you a single answer. So, I'm just trying to figure out.

Jitendra Sharma: If there are no tariffs on Indian products, then definitely, India will have that edge, to answer your question.

Deepesh: Right. I was trying to understand that whether Marksans will get a better edge than other companies. But since you said that most of the competition is from India, but again, just modifying this question, since we have a manufacturing facility in U.S.A, is it possible for us to ramp up this facility if need be? Because, I mean, Trump being Trump, he can get up in the morning and just announce some tariffs.

And I mean, he's going to meet Mr. Modi maybe in this week or maybe tomorrow.

ow. And looking

at him, he might just remember, okay, I import a lot of drugs from India. So let me put tariffs.

So, if that kind of thing happens, can we expand our American facility? Or can we have a significant advantage? I mean, can we use that as an advantage for our company?

Mark Saldanha: So basically, you've got to understand when tariffs are put in play, and it depends on how they put sweep-in tariff. Let's take, for example, China, right? So, they put sweep-in tariffs on China that anything and everything, even what you send by courier has a tariff implication. So basically, now our U.S. plant imports material from Europe, from India. A lot from India, a lot

from China, some from Europe.

So technically, all the cost will go up because the raw materials originate from countries which have tariffs. So, the cost will go up if you make it in U.S. And that said and done, the finished product cost will also be tariff to that level. So, there is no escaping in terms of cost implications. We just hope that we can leverage that advantage being in the low-cost manufacturing base to our advantage. I'm hopeful that India would not be levied with tariffs. And that way, we can have a balancing act.

Deepesh: Right. Because these are uncertain times. So, if we can have opportunities for our company in this, it will be great. Also, I just wanted to understand, we are trying to double our low-cost manufacturing in India from INR 8 billion to INR 16 billion. When is that going to happen?

Mark Saldanha: That's already happening, right? So Teva has achieved its first objective, which we had kept as INR 30 crores odd of revenue. And now the next milestone is INR 50 crores odd and then INR 80 crores odd. So, we have achieved the first objective. So, we have broken it down to 3 phases. First phase is complete, we are in the second phase, and then we have to look at the third phase.

Q3 FY25 Earnings Conference Call
February 12, 2025

Page 10 of 15

Deepesh: Okay. And if I can squeeze in one question, that what is the capacity utilization of all the plants right now?

Mark Saldanha: Teva, our utilization is very low, maybe 20% odd. I would be surprised if it's 20% odd, it's low. So, because we have increased capacity, our utilization is low. But that gives us a potential of growth, right? So, we are working towards utilizing that capacity to fuel our growth to our next milestones.

Deepesh: What about the rest of the plants?

Mark Saldanha: Rest of the plants are at 70% odd.

Deepesh: What is the maximum they can go if you can just answer that?

Mark Saldanha: I would like to say 85%.

Moderator: The next question is from the line of Hiral Nandu from Kalpvruksh Capital.

Hiral Nandu: Congrats for a good set of numbers. My one question on tariff has already been asked and answered by you in the previous participant question. The second question, broadly, I would like to understand in the last 10, 12 years of our journey, we had a peak margin of around 25% and PAT level 18%. So, when do we see we reaching towards that goal in near future or in what time frame can we have it?

Jitendra Sharma: Again, difficult to answer this question. So, we are at around 21% right now. And it all depends. I think as sales are growing, we are experiencing operating leverage benefit kicking in, and that definitely will help us to improve our margin. So, it will depend on the overall market situation and our market share. So, giving timeline is difficult.

Hiral Nandu: But is there a possibility that was one of the case with some, I guess, some surprise gain or that margin is still achievable or possible with whatever condition remaining favourable and all. So, can we expect, we going back to that margin at some point in time with some positive scenarios and all?

Jitendra Sharma: See in business, definitely, it is possible. Again, very difficult to give timeline. We cannot give any specific commitments on these kinds of

numbers.

Moderator: Next question is from the line of Chirag Shah, an individual investor.

Chirag Shah: First of all, I'd like to thank you for the tremendous value that you have added to the investors over the last three to four years. Most of the guidance and vision which you set for us, you have exceeded them. I have two questions. One, on a longer-term, how do you envision this company now by 2030?

On the large goals that you are working towards. And other one is more short-term. You've targeted INR 3,000 crores by March 2027, but you'll be INR 2,600 crores by the end of this year.

Q3 FY25 Earnings Conference Call
February 12, 2025

Page 11 of 15

So, are you going to revise that target because the target, short-term target looks very small?

Those are the two questions.

Mark Saldanha: Well, I'll maintain my target. Nothing is small in this industry. We face geopolitical uncertainties on a daily basis, like one of the investors said – it depends on which side the president wakes up. But we will maintain the target of INR 3,000 crores odd. But we no longer talk of INR 3,000 crores now. Internally, our team is already working on the next milestone, which is INR 4,000

crores. So, when we talk of 2030, I would like to see beyond that, if you ask me my frank opinion. But it's difficult to give a number right now because that makes it a statement. But we would like to keep our next goal after INR 3,000 crores to a next milestone of INR 4,000 crores and then go on to INR 5,000 crores.

Chirag Shah: Yes. And how does new lines of offerings come into your larger term goals and a little bit light on the API goals that you had set yourself?

Mark Saldanha: The API goal will play and the API integration will be a part of our strategy like we have always said. It is not going to be and we are not an API company to believe that it's going to make our foundation on or create a foundation on, but it will just help us to basically leverage during uncertain times.

Obviously, nobody expects to go through a core phase again, and we hope that we never see those days. But we just want to be, we just want to cross our T's and dot our I's when that is confirmed. But in terms of our growth strategy, our growth strategy is pretty much crystal clear. Obviously, U.S., like we no longer talk of INR 200 million now we talk of INR 300 million odd. We are working towards INR 300 million and then we will obviously revise our goal before we reach the end of the year. So, the same way for U.K., we have a business model to double our revenue. It may take 5 years, 7 years. So, if you try to put all these pieces in from where we are today, obviously, we are looking at a different number if everything unfolds the way we want it to unfold.

Moderator: The next question is from the line of Dhruv Maheshwari from Perpetuity Ventures LLP.

Dhruv Maheshwari: I just had a small question. What were the freight costs for the quarter?

Jitendra Sharma: Well, for the quarter, freight costs will be in the range of approximately INR 40 crores odd.

Moderator: The next question is from the line of Agastya Dave from CAO Capital.

Agastya Dave: Thank you very much for allowing me the follow-up. Sir, there has also been a lot of volatility in fx. So how are you handling the cross currency moves which are happening? And have you changed your hedging policy in any way? Or are you running everything open? Because as of now, net-net, we should be a net beneficiary of it, but I'm not sure. I just wanted to know your comments and your views also on it.

Jitendra Sharma: So, our major revenues are coming in U.S. Dollar and in GBP. So, we have seen a lot of volatility in forex rates off late. So, as a policy, we definitely do some forward setting of our revenue in

Q3 FY25 Earnings Conference Call
February 12, 2025

Page 12 of 15

foreign currency. But as a percentage for U.S. Dollar, we keep it very small because we see Rupee will

have a depreciating trend. So by and large, our U.S. Dollar exposure, we keep it open. And the GBP, definitely, we see more volatility. And that's where we have a bit higher forward sales on GBP. So broadly, we follow this policy.

Agastya Dave: So final question. So, excluding the possibility of tariffs and the currency fluctuation, how are the realizations moving? What kind of drop have you seen Y-o-Y in this quarter for your product basket? Has it still mid to slightly high-single-digits or has it changed?

Jitendra Sharma: So, we haven't seen any drop as such. No, there is no drop in our realizations.

Agastya Dave: So absolutely nothing. On a like-to-like basis, it would be at zero?

Jitendra Sharma: No, no, I couldn't understand your question. Can you repeat it?

Agastya Dave: So your product basket, the prices of your products, have this fallen y-o-y for this quarter?

Jitendra Sharma: No, there is no change actually, no pricing. There is a usual pricing pressure on Rx, which we keep getting on our Rx basket of product. But as such, there is no reduction or drop in prices on account of tariffs. As such, there is no movement.

Agastya Dave: Excluding any tariffs or excluding any forex volatility, have you seen any price?

Jitendra Sharma: No, it is business as usual for us, though there is volatility in forex market. But on our overseas business pricing, there is no impact on that.

Moderator: The next question is from the line of Rohan from Prad Capital.

Rohan: So, my first question is that we have an other income of around INR 28 crores this quarter, which seems much higher than normal. So, what does it include?

Jitendra Sharma: So other income has 2 broad components. One is interest and the other is the foreign exchange gains. So, during the quarter, we definitely had a better foreign exchange gain. And of course, we have a good amount of interest income also.

Rohan: Sir, could you quantify the foreign exchange gain?

Jitendra Sharma: Foreign exchange gain during the quarter was in the range of INR 9 crores to INR 10 crores.

Rohan: Understood. And sir, in your presentation, when you explained the gross profit margin sequentially, you said that margin declined primarily due to product mix. So, what is it in the product mix this quarter that caused the decline? Is more U.S. slightly margin dilutive? Is there any more color on the product mix?

Jitendra Sharma: So, in Q2, we had a bit high gross margin, which was at 59%. And I think at that time itself, we were very clear, we had given a guidance that these margins are not sustainable. So, I think those margins are now becoming more at a level that will be more sustainable.

Q3 FY25 Earnings Conference Call
February 12, 2025

Page 13 of 15

Rohan: Okay. So, the Q3 margins of around 56%, we should be in the ballpark of this number going forward?

Jitendra Sharma: Yes.

Moderator: The next question is from the line of Hardip Dhodi, an individual investor.

Hardip Dhodi: Sir, I have a very basic question. I have heard a lot of these analysts on the business channels mentioning that CDMO is a big opportunity for Indian pharma companies. So now I want to know where does our company fall into? Would we classify ourselves as a CDMO player, sir?

Mark Saldanha: No. I don't think we are classified as that.

Moderator: The next question is from the line of Nirali Shah from Ashika Institutional Equities.

Nirali Shah: Just one question on new products that we are planning to launch. What kind of therapy are we looking at in that? And we are not giving any breakup on therapy-wise for a quarter-on-quarter basis. So, it would be really helpful if I could get that, which therapy are we targeting?

Mark Saldanha: So it is into pain, it is into digestive therapies. So, we have a bit of a cough & cold and allergy. So, it's pretty broad-based, it's not one therapy that we are focusing on, but it is more diversified into the areas that we already are in

to. So, we don't give a breakup therapy-wise. There's so much data we've already given. But maybe annually, we basically give up the segments that contribute the maximum to us.

Nirali Shah: So, the new products are into the top 3 therapies that we are targeting pain, cough & cold analgesic, all the new products are targeting the top 3 of the therapies?

Mark Saldanha: Yes.

Moderator: The next question is from the line of Deepesh from Maanya Finance.

Deepesh: Just a quick question. I think we have around INR 650 crores to INR 660 crores in as a cash balance. What are we going to do to deploy this to get the same ROE that our business is getting?

Secondly, I think you mentioned something that you're going to look at a new project or a new company, a manufacturing facility once you increase your targets to INR 4,000 crores. Are we looking for anything?

Mark Saldanha: Yes. So, the answer to your question, are we looking at targets? We're always looking at targets, and we are in dialogue and we are exploring, and that's where cash reserves are needed because when we find something interesting, we need to have the capability of closing that possibility.

So obviously, these are always capital-intensive assets that we look at.

So technically, you need to have deep pockets where that is concerned. So definitely, we are looking at increasing capacity by the end of next financial year. That may be organically or inorganically. Most likely, we would love to do it inorganically. And M&A is another thing that we are also exploring. So, all put together, I think that's where our reserves need to be intact.

Q3 FY25 Earnings Conference Call
February 12, 2025

Page 14 of 15

Deepesh: So, will we be building a war chest by raising fresh capital in terms of a QIP or a preferential for the next foreseen expansions or acquisitions?

Mark Saldanha: No, I don't think so. I think we have the reserves. We've kept reserves for that, cash reserves for that, and I don't think we need it right now.

Deepesh: That will suffice for the next acquisition?

Mark Saldanha: We are hoping. We don't do some crazy acquisitions. Our history will say that we've never gone into some big-ticket deals. We are not averse to it, but we try to avoid any risk or you could say we do a risk mitigation to see that there is no devaluation on what we acquire. So, our approach to M&A is a bit different than most of the Indian companies.

Deepesh: Okay. And the promoter holding is around 43%. Do you think that or you're comfortable with that or do you want to increase this promoter holding?

Mark Saldanha: I didn't get you. Do I want to -

Deepesh: Increase this? I mean, you hold around 43.8%, right? So, are you planning to increase this stake in the near future?

Mark Saldanha: I've not given much thought, honestly, on that, and I will explore it at a different time. But right now, I'm not giving much thought to that.

Deepesh: Because there have been some open market transactions from Sandra, but I mean, in that way, I just wanted to know whether the promoter wants to increase his skin in the game or?

Mark Saldanha: Well, like I said, I've not given some thought, and Sandra, I mean, she's free to buy from the market if she wants to buy. So, it's not strategic buying. So technically, when we do give it a thought, we will go and acquire something from the market.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you, sir.

Mark Saldanha: Thank you all for taking this time and interest in our company and totally appreciate all the support and the good wishes for the company. Have a great evening and be safe. Take care.

Cheers.

Moderator: Thank you. On behalf of Elara Securities India Private Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines. Thank you

Note: This document has

been edited to improve readability

Q3 FY25 Earnings Conference Call
February 12, 2025

Page 15 of 15

Contact information:

Jitendra Sharma (CFO): jitendra@marksanspharma.com

Registered & Corporate Office:

11th Floor, GRANDEUR, Opp. Gundecha Symphony,

Veera Desai Extension Road, Oshiwara,

Andheri (W), Mumbai - 400 053

Corporate Identification No.: L24110MH1992PLC066364

Call: May 2025

May 26, 2025

Subject: Transcript of investor(s)/ analyst(s) meet – Q4FY2025 Financial performance and Strategy update

Dear Sir/Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, kindly find enclosed the transcript of the investor(s) / analyst(s) meet for Q4FY2025 financial performance and strategy update held on May 20, 2025.

The above information is also available on the website of the Company i.e. <http://www.marksanspharma.com/investors-meet.html>

We request you to take the aforesaid on records.

Thanking you.

Yours faithfully,
For Marksans Pharma Limited

Harshavardhan Panigrahi
Company Secretary

Encl: As above BSE Limited
Corporate Relation Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.
Scrip Code: 524404 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block -G,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051.
Symbol: MARKSANS

Page 1 of 18

"Marksans Pharma Q4 FY '25 Earnings Conference
Call"

May 20, 2025

MANAGEMENT : MR. MARK SALDANHA - FOUNDER , CHAIRMAN AND
MANAGING DIRECTOR , MARKSANS PHARMA

MR. JITENDRA SHARMA - CHIEF FINANCIAL OFFICER ,
MARKSANS PHARMA
MODERATOR : DR. BINO PATHIPARAMPIL - ELARA SECURITIES INDIA
PRIVATE LIMITED

Marksans Pharma
May 20, 2025

Page 2 of 18

Moderator : Ladies and gentlemen, good day and welcome to the conference call to discuss Marksans Pharma Q4 FY '25 Earnings Con Call hosted by Elara Securities India Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Bino Pathiparampil from Elara Securities India Private Limited. Thank you, and over to you, sir.

Bino Pathiparampil: Thank you, Navya. A very good evening to all of you. This is Dr. Bino Pathiparampil. Welcoming all of you on behalf of Elara Securities to the Marksans Pharma Quarter 4 and Full Year F Y '25 Earnings Conference Call.

We have today with us Mark Saldanha – Founder, Chairman and Managing Director; and Mr. Jitendra Sharma – Chief Financial Officer of Marksans Pharma.

Before I hand over the call to the Management, please note that certain statements made by the management may be forward-looking in today's call. These reflect management's best judgment and analysis. The actual results may differ materially from current expectations based on a number of factors that affect the business.

We will begin the call with opening comments from the management, and we will have a question-and-answer session following that. I hand over the call to Mark. Over to you, sir.

Mark Saldanha: Thank you, Bino. Welcome, everyone, and thank you for joining us for our Q4 FY '25 Earnings Conference Call. We sincerely appreciate your interest and continued support for the company.

I am pleased to report yet another year of robust performance, achieving an all-time high in both revenue and profit. Our operating revenue and PAT increased by approximately 21% year-on-year. We witnessed a positive growth momentum across all our regions with the U.S. market being a significant growth driver, experiencing a 35% increase in revenue year-on-year. Our OTC segment reached a record high revenue and crossed Rs. 2,000 crore mark, a testament to our focus and execution in expanding our OTC product pipeline.

During the year, favorable market conditions and growth driven by market share gains and new product launches in the U.S. fueled our success. However, the fourth quarter witnessed a slower cough and cold season. For the Rx products, price erosion was stable. In Q4, our U.K. and Australia and rest of the world markets achieved their highest quarterly revenue of the year. The freight cost in the quarter was stable. We witnessed high freight cost in the first 2 quarters. However, costs stabilized in the latter half of the year.

Marksans Pharma
May 20, 2025

Page 3 of 18

Our strategic initiatives are shaping up with continued focus on achieving a product pipeline. And during the year, we managed to commercialize 58 SKUs and have about 79 more products in the pipeline. In the U.K. region, we received approval for around 12 products, and we have already filed 18 additional products out there. Our capacity expansion initiatives are advancing, and we have anticipated the operating leverage benefits to materialize in the next financial year. Looking forward, we are optimistic about the outlook. Our track record of consistent growth serves as a solid foundation, and we are confident that our strategic initiatives will continue to drive momentum. As a part of our commitment and enhancing shareholder value, I am pleased to announce that the Board has recommended a dividend of Rs. 0.8 per equity share, representing 80% of the face value per share.

With this, I would like to turn it over to Jitendra for an update on the financials.

Jitendra Sharma: Thank you, sir. In Q

Quarter 4 of FY '25, our operating revenue stood at Rs. 708.5 crores, an increase of 26.5% year-on-year compared to Rs. 560 crores in the same quarter last year. Revenue from the U.S. and North America markets stood at Rs. 328.6 crores, an increase of 34.1% on a year-on-year basis, driven by new product launches and increased market share. U.K. and EU formulation business grew by 17.7% year-on-year to Rs. 274.1 crores. Australia and New Zealand market recorded revenue of Rs. 76.5 crores, up by 20.9% year-on-year. The rest of the world recorded revenue of Rs. 29.3 crores in Q4 of FY '25, an increase of 55% year-on-year.

Gross profit was at Rs. 383.2 crores, up 32.1% year -on-year. Gross margin expanded by 228 basis points from 51.8% to 54.1% in Q4 of FY '25. This was driven by better product mix and lower raw material prices. We recorded EBITDA of Rs. 125.8 crores in Quarter 4 of FY '25, an increase of 14.7% year -on-year. The EBITDA margin for the quarter stood at 17.8%, a decrease of 183 basis points from last year's same quarter. The decline in margin is due to an increase in employee expenses and an increase in R&D expenses in Q4 of FY '24.

Profit after tax was at Rs. 90.7 crores compared to Rs. 77.6 crores in Q4 of FY '24, an increase of 16.9% year -on-year. EPS for the quarter was Rs. 2.

Now talking about FY '25 financial performance. In FY '25, our operating revenue stood at Rs. 2,623 crores, an increase of 20.5% compared to Rs. 2,177 crores in the same period last year. The U.S. and North America market recorded revenue of Rs. 1,237 crores, up by 34.7% on a year-on-year basis and contributing 47% to our total revenue. U.K. and EU market grew by 9.2% year-on-year to Rs. 1,030 crores, contributing 39.3% to the revenue. Australia and New Zealand market recorded revenue of Rs. 253 crores, an increase of 15.5% on a year -on-year basis. The rest of world market recorded revenue of Rs. 104 crores. Contribution from these 2 markets stood at 9.6% and 4%, respectively.

The gross profit was at Rs. 1,479 crores, up 29.8% year -on-year. Gross margin increased by 407 basis points to 56.4% in FY '25. EBITDA for the period was at Rs. 529 crores, an increase of Marksans Pharma

May 20, 2025

Page 4 of 18

15.3% year -on-year. EBITDA margin stood at 20.2% compared to 21.1% in FY '24. The decline is primarily due to an increase in employee expenses due to the headcount additions at the acquired facility in Goa, an increase in freight cost in the initial quarters of the year and also due to increase in the R&D expenses.

Profit after tax was at Rs. 383 crores compared to Rs. 315 crores in FY '24, a growth of 21.5%. EPS for FY '25 was Rs. 8.4 compared to Rs. 6.9 in FY '24. In FY '25, cash generated from operations came in at Rs. 207 crores. The CAPEX during the period was Rs. 173 crores, which is in line with our plan to scale up the acquired facility in Goa. We spent Rs. 57.9 crores in R&D in FY '25, which amounts to 2.2% of the consolidated revenue.

We continue to remain debt -free and the cash balance stood at Rs. 704 crores as of 31st March of 2025. Additionally, India Ratings and Research has upgraded the company's long -term debt to IND AA- from IND A+ with a stable outlook and affirmed short -term debt at IND A1+, enhancing our financial credibility.

With this, I would like to open the floor for question and answers. Thank you very much.

Moderator: Thank you. We will now begin the question and answer session. We take the first question from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: Thanks for the opportunity sir. My first question is on the Teva facility. In the last call, you had mentioned that utilization was up 20%. It will be helpful if you can explain what is the current utilization of the other utilization for Q4? And how do you see that trending in FY '26? A parallel question to that is there has been hiring for

that facility in the last few quarters. Do you see the

peak hiring is behind us? Or even in the next year, employee cost should inch up further on a quarterly basis?

Mark Saldanha: Yes. With regards to the hiring, obviously, we need to hire staff for the growth as and when the facility has to produce more. But that said and done, we are very close to the peak in terms of hiring. There may be a marginal hiring requirements, but that will be extremely small compared to the quantum of hiring that we have done in the last quarter by itself. With this hiring, we do believe our scale up would basically meet with at least 50% to 60% of our capacity growth that we have targeted historically. Today, not in the last quarter, not in the fourth quarter, but in the first quarter, we are trending around at Rs. 400 crores, which is pretty much half of what we had spoken of Rs. 800 crores coming out of the plant.

Ahmed Madha: Got it. And with this trend and other facilities at higher utilization in the next 2 years, is it fair to assume we reach close to Rs. 3,500 crores topline going by your commentary before?

Mark Saldanha: Yes. We still believe we are on par of hitting those objectives, yes.

Ahmed Madha: Got it. And in Q4, we had a very high R&D cost. Obviously, it's a part of the business, but could you give some guidance? What was the nature of the same? Was it because of the increased

Marksans Pharma

May 20, 2025

Page 5 of 18

filings? And how do you see the R&D cost normalizing on a full year basis in future either in percentage of revenue or absolute terms, whichever way the company looks at it ?

Mark Saldanha: I think from an R&D point of view, taking the whole year spending makes more sense than a quarter -wise spending because it just depends on when the filings happen, when the product

bioequivalence cost comes into play and everything of that stuff. So it's difficult to equate quarter-on-quarter justification of balance. But the whole year, I think we will be range bound at what we are seeing. I think Jitendra will throw some a bit more color on that R&D spend.

Jitendra Sharma: So last year, like we have spent 2.21% of our revenue on R&D expenses. And in the Q4, like so if I compare with the Q3 R&D spend with Q4, so in Q3, our R&D spend was Rs. 11.71 crores. And in Q4, it increased to Rs. 23.47 crores. So there was an increase of almost Rs. 12 crores in the Q4. And we have done a lot of filings, both in U.S. and in U.K. during the Q4. Moving on, we do expect the R&D expenditure to remain between, say, 1.9% to 2% on a year-on-year basis.

Ahmed Madha: Got it. Just one more question before I join back in the queue. How do you see the impact of U.S. tariffs on your business? Obviously, everything is premature in nature, but some insights from your side qualitatively and your view will be very helpful. And also in that context, in anticipation of tariffs or otherwise, are we seeing any pre buying in quarter 1?

Mark Saldanha: No, not exactly. There's no prebuying in quarter 1. The U.S. tariff is a universal question, honestly, I don't think anyone has the right answer for that. We are optimistic that India's proposal of the trade balance or the zero tariff recommendations would fly. And even if there is a tariff implemented, it would probably be very nominal in nature. Our Indian delegates are there in the U.S. as we speak. But again, that's said and done, it's anyone's guess as to how the tariffs will outplay. My personal view is I don't see a major impact on the tariffs because U.S. is taking more of a softening stand over time, not taking a hard stand on how they started the tariff play. But then again, that's only my opinion. I do believe that if the tariffs are disproportion in any nature, it will be passed down to customers and clients. And accordingly, it will be then passed down to the consumer thereafter. So I think th

at clarity has come from all the retailers if the tariffs continue, then price increase would be unavoidable. So basically, the retailers have already spoken out and said that the prices would go up for consumers.

Ahmed Madha: Sure, this was helpful. I will join back in the queue. Thank you so much.

Moderator: Thank you. Next question is from the line of Gautam Gosar from Monarch AIF. Please go ahead.

Gautam Gosar: Thank you for the opportunity. Sir, my question is on the Teva facility. So sir, basically, I wanted to know how much volume did we do from the Teva facility last quarter in Q4?

Mark Saldanha: So the last quarter, Q4, we didn't do the volumes as expected. We were somewhere around 200 million units being generated. But this year, this first few months, we are trending around 350 million tablets. So our objective is to hit , to cross the 450 million, 500 million come close to 500 million in the first half and then look at 600 million and 700 million thereafter.

Marksans Pharma

May 20, 2025

Page 6 of 18

Gautam Gosar: Okay. Got it. So we have a capacity of around 8 billion units in that facility. So can you highlight the peak utilization levels where we can reach? And how much time will it take to ramp up this project?

Mark Saldanha: So we do expect to hit 50% of those volumes hopefully within the next 6 months. Ramping up to hit 8 billion units would probably be towards the latter half of the year or maybe early next year. But we do plan to at least utilize 50% of those volumes within the next 6 months.

Gautam Gosar: Okay. Understood. And sir, what is the capacity utilization for the ex -Teva business?

Mark Saldanha: I didn't get. Could you repeat that question again?

Gautam Gosar: Other facilities, except Teva, Goa and the Teva UK facility , what is the capacity utilization for the combined business?

Mark Saldanha: The other facilities are running at around 65% .

Gautam Gosar: So just a follow -up, sir, I think with the existing capacity ramping up further on the Teva facility as well, we will be majorly exhausted in the next 2 years on the current capacity. So do we have any plans to further add any capacity by debottlenecking or any plans do you have if you could highlight on that?

Mark Saldanha: Yes. I mean it's a good question. Looking at our growth plans, we would have to obviously add facilities maybe after 2 years. But definitely, we are always on the lookout because in pharma, you have got to invest today to see returns after 2 years .So technically, we are always on the lookout for facility expansion. I mean, any new facility that comes our way, we will definitely try to explore those possibilities. Today, we don't have anything on the hand or we don't have anything concrete to discuss on that. But we would have to explore new capacities maybe 2 years down the line.

Gautam Gosar: Okay. Got it. So we don't have any expansion plans in our existing capacity?

Mark Saldanha: In the existing facility, it is nominal CAPEX now. Yes, from 5 billion to 8 billion, we may need to expand a bit to balance everything. So, nominal CAPEX will continue for the next couple of years for us to debottleneck whatever we believe is needed to achieve optimum capacity in the plant. So that is very normal. It will be nominal in nature compared to the size of revenue being generated. So I think one should expect that there will be some CAPEX , but not to the tune of what we have done in the last financial year.

Gautam Gosar: Got it, sir. Sir, my last question is on our working capital days. So they have gone up significantly, which is leading to the low operating cash generation for us. So if you can allude some reasons for the same and what can be the sustainable working capital days for us?

Mark Saldanha: I'm sorry, You are not audible. I could not get that question. Could you repeat that?

Marksans Pharma

May 20, 2025

Page 7 of 18

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utam Gosar: Sir, my question is on working capital. So the working capital days have gone up for us, which is leading to the low operating cash generation. So if you can allude some reasons for the same, what can be the sustainable working capital days for us ?

Jitendra Sharma: Jitendra here. So see, our current working capital cycle is of 127 days. So there is a slight increase as compared to last year. And our inventory levels have gone up. So right now, we are in the process of building up inventory because a lot of new launches have taken place during last year, specifically in U.S. And we need to ensure that we should have at least like 3 to 4 months of inventory at any given point of time. So we are building it up right now. In terms of the optimum cycle, definitely, our revenues are increasing. So in absolute terms, we will see increase in inventory and receivable levels in absolute terms. But in terms of number of days, I think it should be very much at the level at which we are at present.

Gautam Gosar: So it will continue to remain around 125 days.

Jitendra Sharma: It will definitely be in this range, definitely, yes. If you see our overall levels, like our receivable levels are just under 75 days. Inventory by nature of business is service-oriented. So definitely, we don't see inventory levels coming down. So broadly, though we are trying to optimize, but it will remain within the range of 125 to 135 days.

Moderator: Thank you. We take the next question from the line of Bino Pathiparampil from Elara Capital.

Please go ahead.

Bino Pathiparampil: Mark, we had this target of Rs. 3,000 crores revenue in FY '26. Are we on track for that?

Mark Saldanha: Yes, very much, Bino, because we have done Rs. 2,600 crores. So we are very optimistic that we are very much on track for the Rs. 3,000 crores.

Bino Pathiparampil: Right. And that will entail about 17% growth in FY '26. It's still early, but if I just keep ahead into '27, '28 etc., do you think this 17% sort of growth rate is sustainable? Or do you think the size becoming bigger could gradually bring down the growth rates?

Mark Saldanha: No, I think that is very doable, Bino. We would like to improve over the 17%, obviously. And we are optimistic that the market dynamics will stabilize. The geopolitical issues will probably settle down. But I think on a conservative basis, 17% is definitely doable.

Bino Pathiparampil: Got it. And just pushing you a bit on the tariff front. Worst case if some tariff indeed come to apply, say, 10% or 15%, whatever it is, how would you be positioned competitively against your key competitor, which I guess is Perrigo? Will Perrigo have a lot of U.S.-based plants and will they be much better positioned in such a scenario?

Mark Saldanha: So obviously, tariffs coming into effect is going to affect U.S. production also because U.S. is very dependent on all raw material imports. There are no raw material manufacturers within U.S. So technically, all raw materials coming into the U.S., the tariffs will have an impact on that.

Marksans Pharma

May 20, 2025

Page 8 of 18

Cost will go up even whether you produce it in U.S. or any part of the world. If it is a nominal tariff, I think the impact is less. If it is an abnormal tariff, then one, that will be passed on to the consumers and to the retailers and the retailers will pass onwards. I don't believe it will go down that road. I am quite optimistic that tariffs will be very nominal or not existing moving forward. So I do believe that eventually, if tariffs are disproportionately high, then it will be passed on. That said, the US manufacturers are not insulated or isolated with tariffs, their cost will go up because raw material costs will go up. So overall, the difference may not be all that great that one would think that, well, if you are a U.S. manufacturer, your cost will be very low. No, that's not the case b

ecause your cost will go up because of the raw material imports. And that, I think, reality is keeping into the U.S. market by itself. So, tariff is never good news, but it is what it is. It's the nature of the beast today, and we just have to aim it or cross handle it when it comes our way.

Bino Pathiparampil: Got it. So this year, we have seen a compression in EBITDA margin because of all the extra costs related to your new facility etc. So as operating leverage sets in, do you see a decent improvement in EBITDA margin next year?

Mark Saldanha: So there are 2 things, Bino. One is if you are comparing our last quarter, our last quarter has always been lower historically, if you go through the last couple of years because ...

Bino Pathiparampil: Interrupt you, we can talk from the full year perspective from '24 financial year 21%, it has come down to about 20% .

Mark Saldanha: Yes. So that is very nominal. I think basically, we will be at par, or we will be able to maintain the EBITDA, if not improve the EBITDA. So we are quite optimistic and bullish on those aspects on the EBITDA front of it. The last quarter, obviously, our last quarter is not the right way to evaluate anything because last quarter, the product mix changes by itself. We come off the cold season and we go into the pain season. There is a bit of a product mix change also, which has an impact on the gross contribution by itself. And yes, there is the timing in terms of the timing may not be right because we have added more people to enhance more capacity and volumes from our new plant. But I do believe we will maintain our EBITDA, our historic EBITDA that we have done but improve on that.

Bino Pathiparampil: Got it. And finally, one last to Jitendra . Could you put a number to the CAPEX expected in FY '26 or inclusive maintenance, debottlenecking etc., all put together?

Jitendra Sharma: So last year, of course, we did CAPEX of Rs. 173 crores. And I think this year also, the CAPEX we will continue to incur. It will be lower than last year, but I think we should be somewhere between, say, \$8 million to \$10 million overall.

Bino Pathiparampil: Thank you. I will join back the queue.

Moderator: Thank you. We take the next question from the line of Dhvij Patel from Finterest Capital. Please go ahead.

Marksans Pharma

May 20, 2025

Page 9 of 18

Dhvij Patel: Sir, my first question would be on the Teva facility. Just wanted to understand what kind of revenues have we seen from Teva facility in this financial year? I guess we have seen for 6 months, if I'm not wrong.

Mark Saldanha: Yes. So this year, I mean, like I mentioned, right now, we are trending at Rs. 40-odd crores, about Rs. 35 crores to Rs. 40-odd crores. So we are looking at somewhere around between Rs. 400-odd crores to Rs. 500-odd crores. This is the trend as on today.

Dhvij Patel: Rs. 400 crores to Rs. 500 crores is what we are seeing for this Financial Year?

Mark Saldanha: Yes. For this Financial Year, based on the current trend, obviously, it will improve. But if you look at, let's say, April and May, like May, for example, we are trending at between Rs. 400 crores to Rs. 500 crores.

Dhvij Patel: Got it. And sir, as far as I remember when we had a conversation, this facility was somewhere going to generate around Rs. 1,000 -odd crores of revenues for us once it reaches a peak capacity. So is this plan delayed? Because we were anticipating around Rs. 500 crores for this Financial Year, the last one, which has just gone by ?

Mark Saldanha: Yes, the last one, that approvals, site variations, everything took a bit longer than expected. Not so much of the CAPEX . The CAPEX , obviously, we have invested the CAPEX , as you can see, we have invested Rs. 175-odd crores of CAPEX. So from a capacity standpoint, we are good to hit those objectives of Rs. 500-odd crores. And we are trending towards, like I mentioned, between Rs.

400 crores to Rs. 500 crores. So I do believe we will be hitting on a trend basis minimum that objective will be achieved. Then when we talk of doubling it, that's where some more CAPEX and debottlenecking will go on. So hopefully, in the latter part of the year, we will be moving probably more towards Rs. 600 crores, Rs. 700-odd crores in terms of the trending part of it, not the actual revenue, but the trending part of it. Now it is a process by itself. It cannot be cut short and overnightly achieve those objectives because it is all about plant approvals. It's all about product approvals. There are some things which are not within our control, although CAPEX is within our control, but approvals and product switches are not within our control. So those things, you may have a quarter delay here and there. But we are pretty much on target where spending is concerned, where objectives are achieved. I do believe the plant will hit Rs. 1,000 crores eventually.

Dhvij Patel: Got your point. And just the question that I actually asked was how much revenue have we seen for this Financial YearFY '25 from the Teva facility?

Jitendra Sharma: We did around Rs. 325 crores.

Dhvij Patel: Okay. Got it. And sir, the final question would be on the new products, which will lead to higher margin product. Can you please elaborate what are we doing there now? What is the update on that?

Marksans Pharma

May 20, 2025

Page 10 of 18

Mark Saldanha: So we are launching products literally every quarter and every quarter, we are launching products. So we do believe we will see at least 50 -odd products in different segments, in different therapeutic segments, whether it might be cold, whether it might be digestive, whether it might

be pain and some in prescription also. So we do believe we'll be launching very close to about 70-odd products between now and, let's say, September.

Dhvi Patel: Got it. So your growth plan, the slide of FY '25 and beyond looks a bit conservative. I think we can change that someday in the near future.

Mark Saldanha: Yes, it is what it is. We would like to give a number that we believe is very much doable, even taking into consideration the geopolitical situations that exist all over surrounding us. We are still bullish and optimistic in expecting that we will hit our objectives.

Dhvi Patel: That is it from my side and all the best and thank you so much for taking my call. Thank you.

Moderator: Thank you. Next question is from the line of Mythili Balakrishnan from Alchemy Capital Management Private Limited. Please go ahead.

Mythili Balakrishnan: I just wanted to understand a little bit about any prebuy that you are seeing in the U.S. You mentioned that there is nothing much per se. But what about the quarter? Is some part of this growth be cause of customers stocking up?

Mark Saldanha: Sorry, I didn't get your question. Could you repeat it? It's not very audible.

Mythili Balakrishnan: Sure. I wanted to understand somewhat about this prebuy from the U.S. You mentioned that there is nothing much which has happened in April. But could you sort of indicate whether anything was happening during this particular March quarter in terms of customers wanting to stock up ahead of the tariffs?

Mark Saldanha: I don't think that is a scenario, not in pharmaceutical. See, when there is uncertainty, people will wait and watch. I don't think you could stock up beyond a certain level. Most of these retailers don't keep a lot of inventory by itself. So they are not equipped to stock up or hold inventory because they handle probably 10,000, 20,000 different items. So technically, there has been no stock up in April, in March. There has been some slowdown because of pricing situations and whether prices will change in the distribution channel. So if nothing else, there were talks of recession and everything. So a lot of uncertainty was revolving around the

the U.S. market, whether

it is the bond yields, whether it's a recession and it all started off with the tariffs. So it was all very new in March. It started in Feb, but it was all very new in Feb and March. Literally, nobody knew what was going on. So everyone was waiting for a better tomorrow or a better outcome. And uncertainty is never good for business. So I think now in April, you saw things being paused, you saw some positive things coming out and some damage control being done by the administration. And then you obviously saw bilateral government discussions happening. Our Indian government is really working hard towards achieving a trade neutral proposal. So
Marksans Pharma
May 20, 2025

Page 11 of 18

technically, I am optimistic that they will succeed. So we are hoping, obviously, for things to stabilize and only improve moving on.

Mythili Balakrishnan: Got it. But was April more normal? Or was April also a bit...?

Mark Saldanha: I think April was also a bit more like March per se, but things are getting better. The end of April, you could see things getting better because the tariff pause came into effect in April.

Mythili Balakrishnan: Also to understand on the tariff side, right? These are largely fixed price contracts where the contracts have been done for a period of 3, 4 years. So just wanted to get a sense from you of how will the tariff sort of get passed on to the customer? And will we be expected to bear a part of it? Or do you think sometimes there is no alternate, right, but to raise the price. But just wanted to get your sense on that.

Mark Saldanha: So eventually, obviously, our outlook because tariff is more like a force majeure, right? It is not within your control. It is a government doing. So, the contracts do not cover anything of those natures. And I think the retailers do anticipate that if tariffs do come into play. So today, there is no tariff. And as a matter of fact, India has got a great advantage compared to the rest of the world, including for products being manufactured in U.S. Today, India enjoys the benefit of being more competitive because U.S. manufacturers are still having the brunt of bearing raw material tariffs, which are coming out from China, which most of the raw materials do come out of China. So India, while it is beneficial, if tomorrow tariffs do come into play, it will be passed on. If it is extremely negligible and insignificant, we may not bother burdening anything, probably try to get the cost of goods down to nullify it. But most likely, if it is 10% or anything above 10%, we will definitely work on passing it down. And we will still be competitive compared to the domestic manufacturing in the U.S. because they will also have the brunt of raw material tariffs.

Mythili Balakrishnan: Got it. But this would be a force majeure even in any case?

Mark Saldanha: Yes, this is a force majeure. The retailers have already made public, the other consumables, which are not exempted are undergoing, our tariffs are being implemented and retailers have already made public statements stating that prices are going to go up because the inventory is being depleted, the non-tariff stock inventory is being depleted and the new stock will come with tariffs. And for that, it is not possible for the retailer to absorb anything. So they are going to

pass it down to the consumer.

Mythili Balakrishnan: Got it. Two questions on the U.S. growth. When we look at it, it is much higher than what the U.S. market seems to be growing at. We have grown like 34% on a year-on-year basis. So just wanted to get a sense of how are we sort of getting the share? Are there any specific new retailers we have added? Or just if you could sort of explain it a little bit. And also this growth that we have seen in terms of the rest of the world, is there any particular geography that you dive in?

Marksans Pharma

May 20, 2025

Page 12 of 18

Mark Saldanha: So, with regards to U.S., obviously, for size of the U.S. market, the base is extremely small. So when you see the percentage looks big because the base is small. And the market size is huge. So literally, the percentage gives you a different picture altogether, but we are taking market share both from the product as well as from new retail outlets that we are getting into and it is a mixed basket of everything, existing products, new products as well as new clients. But again, our base is extremely small. So we are optimistic of that growth and continued growth for the next couple of years where U.S. is concerned. Rest of the world, obviously, the market sizes are smaller. U.K. market size is extremely small, but we are doing fantastically well. We have a very aggressive growth plan for the U.K. market also. So we do plan to grow and those numbers will start unfolding in a couple of years. But you will see amazing growth coming from our U.K. subsidiary, too. For newer markets, obviously, we are targeting the European market, which for us is still a new market basically. And we are focusing more on those markets now than ever before. So we are hoping that we can get in there. And last but not the least, hopefully, someday, we'll get into the Indian market also.

Mythili Balakrishnan: That is all from my side. Thank you and all the best.

Moderator: Thank you. Next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Hi Mark, thanks for taking my question. Mark, on the U.S. business, based upon the current order book, what kind of revenue scale-up visibility you have for the next couple of years?

Mark Saldanha: So our order book stands at somewhere around 220 million. And it is growing, Nitin. But obviously, tariff has been a bit of a damper, right, because people are waiting and watching, like I mentioned earlier, uncertainty is never great for the growth part of it. But we are optimistic that we would basically look at a \$300 million order book status within the next 2 years.

Nitin Agarwal: So when you say 300 million order book, what does it translate into, typically annualized revenue by when you start realizing those kind of revenue, for example, when you say you have a 220 million order book right now, what does that really mean from a revenue booking perspective?

Mark Saldanha: So I mean, obviously, that's a good question because an order book when you get a contract, it takes about 6 to 8 months to start executing that contract because of the artwork process and everything of that stuff, right? So technically, a substantial amount of this 200, I mean, nearly around, I would say somewhere around 30 million to 35 million, we will start shipments only in the month of September and then balance 20 million will probably happen in the month of Feb or March. So technically, it takes about good 6 to 8 months to start commercializing and shipments of these orders. And then you are not going to see from day 1, Rs. 30 million being done, right? It's a trending pattern.

Nitin Agarwal: Right. But in a typical situation, if you were to just look at, for example, this 220 million revenue, by what time would that translate to annualized revenues for you?

Mark Saldanha: So if you look at today, order book status, 220 million, we'll do next year.

Marksans Pharma

May 20, 2025

Page 13 of 18

Nitin Agarwal: In FY '26?

Mark Saldanha: Yes. But if my order book goes higher, then we'll obviously be much in a better position to cross that. Then whatever contracts I get towards the latter half of the year because all these contracts, retailers are always 1 year, they always talk of the next year. They don't no longer talk of this year. So if I am getting contracts of this year, it is not for this year commercialization because they are always 1 year ahead in terms of planning.

Nitin Aga

ral: And in terms of the new order wins that you have been negotiating or talking to clients around, this is more on probably more products with existing clients or it's more of more clients with the current portfolio?

Mark Saldanha: There have been a few new clients, but basically, it is more products with existing clients and newer products that we are coming, which we are planning to launch also.

Nitin Agarwal: Okay. And for, our skew for the business I think we mentioned in the press release that Rs. 2,000-odd crores of our revenues of Rs. 2,600 crores is OTC. And so this skew towards OTC for the business will stay, continue as it is despite our filing some more ANDAs, which that we

have been doing?

Mark Saldanha: It may grow, Nitin, honestly, because we are very strong in OTC. So like I have always said, it may grow, and you may see OTC having maybe 85% .

Nitin Agarwal: Got it. That's helpful. And secondly, Jitendra , for this year, I think we have had some amount of rather under leveraging of the Teva plant cost, I presume, which has led to this SG&A cost being a little overly higher than what has been in the past. In your assessment, by when do we start to leverage those costs start to become like more in line with the company average when we start leveraging the Teva plant better, it happens this year or it take another year?

Jitendra Sharma: No, it will happen this year. I think in the second half of this year, so our utilization levels definitely will increase. And we will see operating leverage benefits from this year itself, most likely, but from second half of this year onwards.

Nitin Agarwal: And once we start getting operating leverage benefits on this new facility, what kind of sustainable EBITDA margins can the business go back to?

Jitendra Sharma: See, I think definitely, we can do 21%, 22% EBITDA margin once this kind of operating leverage gets in.

Nitin Agarwal: Okay, thank you so much.

Moderator: Thank you. We will take the next question from the line of Viraj Mahadevia from MoneyGrow India. Please go ahead.

Marksans Pharma

May 20, 2025

Page 14 of 18

Viraj Mahadevia: Congratulations on stable results. Most of my questions have been answered. Quick 2 questions.

One, you commented in your presentation that part of the EBITDA margin impact was on account of freight costs. How are you seeing freight costs currently in April and May period?

And are you seeing it moderating and likely to be lower for the next couple of months?

Jitendra Sharma: Yes, it has moderated already. So definitely, last quarter was a relatively softer quarter in terms of the freight costs. But yes, the first 2 quarters of FY '25, like we did pay a very high amount of freight cost. So if I see like freight cost as a percentage to sales, so in FY '25, it was around 5% as compared to 4% in FY '24. So we ended up paying like more in FY '25 as a whole. But yes, now it has stabilized, and I think it will come back to 4% in FY '26.

Viraj Mahadevia: Understood. My next question is regarding a follow -on to Nitin's question, which is the \$220 million of order book , Mark that you mentioned. So can we read that as \$50 million or \$60 million by FY '26 over and above the base of Rs. 2,600 crores that already be delivered. And then the incremental balance of 160 million spilling into FY '27 in addition to whatever else we win between now and then. Is that the right way to think about it?

Mark Saldanha: Yes. So the execution, like I mentioned, will start somewhere in September. Obviously, then we talk about trending because you will not within 5 months or 6 months, actually do the entire 50 - odd million because that 50 million is for the full year .So it will translate into a proper revenue only next year, if you want to look at it from an absolute 12-month revenue point of view. And then today, what contracts we actually are talking about in this year, ba

sically, they talk of next

year, maybe some may happen. If you look at pain normally happens in April, digestive happens in in the latter part , Cold happens maybe in September of '26. So it just depends on the product portfolios and the contracts that you actually get. But it shows, obviously, the strength of the business model, the continuity and the growth part of it. So when we talk of hitting objectives of Rs. 3,000 -odd crores, obviously, we talk about the U.S. growth, but we also have U.K. and other subsidiaries that are growing. But U.S. will continue to be our growth driver to hit those objectives. And then when we talk of beyond Rs. 3,000 crores, we anticipate these additional contracts to fuel us to that level.

Viraj Mahadevia: Understood. Last question is, can you comment a little bit about your cash balances and the intended use for making acquisitions? Have you made any progress there? Are there any advance conversation is going on?

Mark Saldanha: Yes. So the cash balance is what is stated out there. Obviously, we have increased our dividends to a level which is all -time high for us. But at the end of the day, we were in dialogue with some companies for M&A but those basically fizzled out in the last 10 days in Europe, and we continue to pursue European acquisitions I mean we have given mandates and each of those acquisitions are €30 million to €40 million potential. I mean if they do come our way, then we need that corpus with us to execute it and to fund that. And we also need CAPEX of around Rs. 100-odd crores for our plant. So taking into consideration all these transactions that we have on our plate, you are looking at a minimum Rs. 400-odd crores being kept aside only for that. And then the rest is all fueling our working capital and our aggressive growth strategies that are there to fuel,

Marksans Pharma

May 20, 2025

Page 15 of 18

so we don't borrow. We basically are debt-free. So working capital will definitely go up based on this aggressive growth strategy that we have in place.

Viraj Mahadevia: Understood. Thank you. All the best.

Moderator: Thank you. Next question is from the line of Bharat Shah from ASK Investment Managers. Please go ahead.

Bharat Shah: Sincere apologies because I could join only after 30 minutes of the call. So apologies if I'm repeating any question. But Trump, for example, a couple of days back seem to have a direct instructions to Walmart saying that they can't pass on or complain about increased cost, and they must absorb. Walmart is an important customer and clearly, this kind of items for them to bear the entire burden given Walmart's relatively low cost, low pricing model, how that is kind of possible. So I am confused while I understand the impracticality of the situation, what is going on, on one hand, the tariff being imposed and all the time vacillating situation on that, plus to expect that the party is concerned will bear the burden, clearly, unrealistic expectation, but that is what it is. It is on record, that is what is stated. So how do you read about all this? I mean it leaves me utterly confused as to what is going on.

Mark Saldanha: So the President will do what he believes he has to do to calm situations down or to show his strength are. I don't think it is possible to control cost if tariffs are in play, cost will go up. Some of the tariffs, Bharat, is literally double the cost of the product. So it depends on which country you are importing it, if the cost of a fruit is \$1, the tariff itself is \$1. So there's no way for retailers to absorb it. So the manufacturers or the suppliers are not going to absorb it. They are going to pass it down. And even for clothing and everything, they are going to pass it down. Now the question is for the retailers, they want to absorb it, it's their call. But it is most unlikely that anyone will absorb it, and they will pass it down to the c

ustomer one way or the other. They may not very bluntly mention, well, this is for tariff. They will slowly keep increasing their price and absorbing. I mean this is what has happened during COVID also, right. All the prices of finished product went up, but they didn't mention, well, it's COVID and that's why we are increasing prices. They slowly increased their prices. And ultimately, their prices are much higher than what it was historically because all cost has gone up due to COVID. So technically, I do see retailers increasing prices. There is no way they can absorb anything of that stuff. So the president may want certain things, but it may not be possible to stop it and unless the tariffs are removed or is very nominal, then definitely, retailers may say 4%, 5% here and there, we can manage it. But otherwise, there is no way that retailers will be able to absorb it. And eventually, it will go down to the customer and the customer will bear the brunt. And if you go to a retailer, you are seeing the cost much higher than what it was even for essentials. So I don't think that's going to stop the retailer from doing what they have to do.

Bharat Shah: So essentially, Mark, what you are saying is there are 4 parties involved: Government of America, which is seeking to impose tariff retailer like Walmart, manufacturer and distributor like you and the poor helpless final buyer of the product. You are basically saying that if U.S. government doesn't relent, then no part of the burden will be borne by either the distributor or a Marksans Pharma
May 20, 2025

Page 16 of 18

retailer like Walmart or producer like Marksans. The poor helpless customer will be holding the baby in his hands entirely. Is that practically how do you think it will work out?

Mark Saldanha: It is a reality, but it is a reality that everyone is aware that the end burden will be the customer itself. And that realization is not happening with the current administration because they believe their objective is to get production out here in the U.S. and get everything made in the U.S. But it is a fact that if tariffs do continue, see, I mean, to be fair, they have exempted a lot of tariffs or they paused a lot of tariffs because it was having a direct impact on the cost of product. Even for computers, they paused tariffs from China. So because the computer cost is going up. Cars now costs are going up because all the spare parts are going up. So technically, the car manufacturers have already increased their prices. Typically, it is like 30%, 40% more expensive to buy a car today. So if car manufacturers or dealers are increasing prices, I don't see why Walmart and all will not increase prices when they come into play. Obviously, tariffs are relatively very new. It's started only in the month of Feb, towards March, you could say, technically. And then again, in April, it was paused and then again, it has come back to some extent or revisited some extent. So there's a bit of chaos and uncertainty happening out there. But at the end of the day, there is inventory in the system, which once it gets depleted, the retailers will have to bear the brunt. And I am seeing the clothing industry, whether it's from India or whatever, we have very clearly told the retailers that they cannot absorb it, and they are going to pass it down to the retailers. And guess what the retailers are going to do, the retailers are going to pass it on to the customer.

Bharat Shah: And just one last bit. How much of what we supply to America would you describe as essential that they can't do without? And how much of it is some more dispensable category where cost

becomes an area of concern that people may dispense with the consumption itself altogether?
Mark Saldanha: So we don't supply any patented drugs or any products that you could term as lifesaving unless there's a COVID happening and people start taking pain, they

need something for fever or pain or something like that stuff. So we don't have any patented items basically to fall in that category that people have to use it and don't have a choice. But that said and done, when I talk of essentials, I am talking more on the grocery part of it, right. Those people have to buy vegetables, poultry or wheat and everything of that stuff. So those costs are going up. So people will definitely need to spend on that first and then later on, on medicines. So technically, all said and done, and that's why there was the rumors or speculation or doubts whether U.S. will go into recession because of this issue. But I think the government will eventually back off from tariffs. The intent was good, but the execution was not very great. So the intent was to have arrangement, but the execution was harder and eventually, they will back off, I do believe. They know it's not sustainable.

Bharat Shah: Sure. No, I am aware your OTC business is the dominant one in America. It's somewhat reverse in U.K. But given the pill popping culture in America and excessive predisposition towards consuming medicines and drugs for any and everything and given lack of easy access to doctors for most of the things that people have, I think America has become what it has become a pill popping kind of a society recklessly, I would say, to the benefit of businesses of your kind. But
Marksans Pharma
May 20, 2025

Page 17 of 18

within what you supply, given the habits and behavior of the society in America, you don't suspect that really speaking, to supply can just be dispensed with by the customers. In other words, the prices begin to bite and they say, okay, to help with it and not to buy some of the medicines, you see that as a possibility, as summing all these comes to pass?

Mark Saldanha: I hope not, number one. Number two is, obviously, if the country goes into recession, then it's new uncharted territories for all of us. But I don't foresee that happening.

Bharat Shah: Sure. And therefore, you believe the 25% -odd growth, which is what I had spoken to Jitendra last time and I had learned, I don't know what you said in this call, but 25 %-odd growth for U.S., U.K. and other territories put together for next 3 to 4 years, those plans are intact and those seem to be on track, right?

Mark Saldanha: So the U.S., yes, I can talk for the U.S. For the company by itself, we are giving a year -on-year growth of anything above 17.5%, 18% year -on-year growth as a corporate. But the U.S. market, our base being very small, I do believe it is doable.

Bharat Shah: So 25% plus for U.S. and Marksans in entirety at about 18 -odd percent, 3 - to 4-year kind of a topline growth?

Mark Saldanha: Yes. For the next 3 years, I would like to restrict to 3 years. Yes, I mean we are optimistic. Obviously, we have not given a 3 -year projection, but we are aiming for that.

Bharat Shah: Taking into account all the drama that is going on.

Mark Saldanha: Well, it just depends on how you define drama, right? And nobody wants a worst drama. I mean there are force majeure which are beyond your control. And if tomorrow war breaks out, it's pretty much saying that it's free fall for everyone. But we are still very optimistic based on the current situation.

Bharat Shah: Okay. Fantastic. All the best. You have a really interesting spectacle to deal with. So good luck to you.

Mark Saldanha: It's a nature of the beast. We overcome it.

Bharat Shah: Thank you and thank you, Jitendra.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments.

Mark Saldanha: I would like to thank everyone for spending their valuable time and continuing their interest in our company. I wish you all the best and have a great day and be safe. Cheers.

Marksans Pharma

May 20, 2025

Page 18 of 18

Moderator: On behalf of Elara Securities India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

(no extractable text — likely a scanned image PDF)

Call: Aug 2025

August 19 , 202 5

Subject: Transcript of investor(s)/ analyst(s) meet – Q1FY202 6 Financial performance and Strategy update

Dear Sir/Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, kindly find enclosed the transcript of the investor(s) / analyst(s) meet for Q 1FY202 6 financial performance and strategy update held on August 13 , 202 5.

The above information is also available on the website of the Company i.e.
<https://www.marksanspharma.com/earnings-call-transcripts.html>

We request you to take the aforesaid on records.

Thanking you.

Yours faithfully,
For Marksans Pharma Limited

Harshavardhan Panigrahi
Company Secretary

Encl: As above BSE Limited
Corporate Relation Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.
Scrip Code: 524404 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block -G,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051.
Symbol: MARKSANS

Page 1 of 12

“Marksans Pharma Limited
Q1 FY '26 Earnings Conference Call ”
August 13, 202 5

MANAGEMENT : MR. MARK SALDANHA – FOUNDER , CHAIRMAN AND
MANAGING DIRECTOR – MARKSANS PHARMA
LIMITED

MR. JITENDRA SHARMA – CHIEF FINANCIAL OFFICER
– MARKSANS PHARMA LIMITED

MODERATOR : MR. NITIN AGARWAL – DAM CAPITAL ADVISORS

Marksans Pharma Limited
August 13, 2025

Page 2 of 12

Moderator: Ladies and gentlemen, good day, and welcome to the Marksans Pharma Q1 FY '26 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited.

Thank you, and over to you, sir.

Nitin Agarwal: Thank you. Good afternoon, everyone, and a very warm welcome to Marksans Pharma's Q1 FY '26 Earnings Call hosted by DAM Capital Advisors Limited. On the call today, we have representing Marksans Pharma management, Mr. Mark Saldanha, Founder, Chairman and Managing Director; and Mr. Jitendra Sharma, Chief Financial Officer.

I'll hand over the call to the management team to make the opening comments, and we'll open the floor for questions. Please go ahead, Mark.

Mark Saldanha: Thank you, Nitin. Welcome, everyone, and thank you for joining us for our Q1 FY '26 earnings conference call. We sincerely appreciate your interest and continued support for the company.

Reflecting on Q1 FY'26, the quarter was seasonally soft, driven primarily by seasonal contraction in demand across our key markets in the U.S. and U.K. In U.K. specifically, we experienced high single-digit price erosion in a few products. We responded proactively and launched 4 high-margin liquid products in the U.K. These launches are a part of our conscious effort to strengthen our portfolio and insulate us better for pricing pressure.

We already are witnessing early signs of demand recovery in Q2. We believe the momentum will strengthen as the year progresses. Our profitability was impacted by a few non-recurring factors, including integration-related expenses, a one-time provision in the emerging market division and foreign exchange volatility. These are transitional in nature and do not detract anything from the fundamental trajectory of our business.

Strategically, we accelerated shipments to the U.S. ahead of the anticipated tariff implications, helping us de-risk certain potential disruptions and secure supply continuity for our customers. This front-loading impact -- impacted the working capital cycle, which stood at 159 days for the quarter.

We are pleased to report that the newly -- facility in Goa is structurally near ready. We are now focused on enhancing operational efficiencies and scaling capacity to support multiple dosage manufacturing forms of tablet, capsules, liquid, creams, ointments and more.

On regulatory front, we have received an EIR from the U.S. FDA for the inspection conducted at our subsidiary, Time-Cap Laboratories. We also continue to make good progress on our product pipeline. During the quarter, we have received 3 regulatory approvals from the U.S. FDA and U.K. MHRA and successfully launched 4 high-margin products in the U.K. These are all in line with our strategy of building a more diversified and margin-accretive portfolio.

Marksans Pharma Limited
August 13, 2025

Page 3 of 12

Our strategy focus remains consistent to emerge as a trusted, reliable partner in global consumer health care space. This has been driven through our strategic 5 pillars of; OTC expansion, strengthening our product pipeline, capacity augmentation, strategic front-end acquisition and delivering sustainable and responsible growth.

Looking ahead, we remain steadfast in our commitment to deliver a superior long-term value to all our stakeholders. Driven by strong operational execution, a robust product pipeline and enhanced capacity offered by our new facility in Goa, we are confident in our a

bility to navigate

any challenges that may arise in the coming quarters through disciplined execution and strategic agility. With this, I'd like to turn it over to Jitendra for an update on the financials.

Jitendra Sharma: Thank you, sir. In Q1 of FY '26, our operating revenue stood at INR620 crores, an increase of 5% year-on-year compared to INR590.6 crores in the same quarter last year. Revenue from the

U.S. and North America market stood at INR327.6 crores, an increase of 30.6% on a year -on-year basis, driven mainly by growth from new product launches in digestive, pain management segments.

U.K. and EU Formulation recorded revenue of INR203.8 crores. Australia and New Zealand market recorded revenue of INR57 crores. The rest of the world revenue grew to INR31.6 crores. Gross profit was at INR358.2 crores, up 8.9% year -on-year. Gross margin expanded by 209 basis points from 55.7% to 57.8% in Q1 of FY '26. Gross margin improved due to liquidation of high-cost inventories and benefits from softening input costs.

We recorded EBITDA of INR100.1 crores in Q1 of FY '26. The EBITDA margin for the quarter stood at 16.1%, a decrease of 560 basis points from last year. This decline is due to an increase in employee expenses from the additional recruitment of the new facility, along with onetime expected credit loss provision for the emerging market division of INR10.48 crores.

Additionally, softer demand during the quarter resulted in lower -than-expected operating leverage. Profit after tax was at INR58.2 crores, a decrease of 34.7% year -on-year. The decline in net profit was due to EBITDA impact and a mark -to-market forex loss of INR6.2 crores. EPS for the quarter was INR1.3.

In Q1 FY '26, the cash from operations came in at INR48.7 crores. The capex during the period was INR37.8 crores. We spent INR12.1 crores in R&D in Q1, which amounts to 2% of the consolidated revenue. We continue to remain debt -free, and the cash balance stood at INR711 crores as of 30th June 2025.

With this, I would like to open the floor for question and answers. Thank you very much.

Moderator: Thank you very much. The first question comes from the line of Ahmed Madha with Unifi Capital. Please go ahead.

Ahmed Madha: My first question is on the U.K. business. Can you explain a little better in detail in terms of what led to 20% degrowth year -on-year apart from the points you mentioned. If you can explain it in a little elaborate manner, it will help. That's first question.

Marksans Pharma Limited
August 13, 2025

Page 4 of 12

Second question, in terms of gross margins improvement, can you explain a little better what has led to the gross margin improvement? And how do we see on an annual basis in terms of gross margin trajectory? Thirdly, on the Teva facility, can you spell out the number of capacity utilization for Q1 compared to what it was in Q4? And how do you see the ramp -up of capacities?

Mark Saldanha: Ahmed, thank you. So, addressing your U.K. concerns. So, basically, unlike historic numbers of U.K. for the past 2, 3 years, obviously, the U.K. numbers were subdued on 2 counts. One was obviously seasonality. The first quarter season is normally always the weakest compared to rest of the year.

Second is the price erosion that we have witnessed, which has been a bit abnormal due to possibly various circumstances. One, again, having a cascading impact, which spills down from the tariff situation in the U.S. where uncertainty of tariff has basically slowed down demand in the U.S., thereby companies having a relook and refocus into different geographies for getting their revenues. So, we have witnessed a heavy pricing erosions happening in the U.K. and basically, pricing being thrown from probably the top 20 Indian companies out here, and again, to generate revenue and sales.

Unlike the U.S., the U.K., our portfolio is 60% OTC and 40% Rx. And as you always

know, the

Rx is highly volatile in terms of demand and supply. And presently, there is oversupply and less demand, which factors in from the global scenario stemmed from the tariff situations. So, we are seeing price erosions happening, which was abnormal, which basically U.K. has never seen to this level.

And this, coupled with the seasonality factor being the summer season and being quite warm, obviously, this was -- this had both coupled into the results that we are seeing today. That said and done, the second quarter will be better than the first quarter and the third quarter will be better than the second quarter and so on. So, we are optimistic on displaying better numbers in the coming quarters. But yes, the first quarter was below expectation from U.K., and that is, I think, pretty much out of anyone's control right now.

The Teva facility that we spoke of, the Teva facility, we are now trending at very close to INR500 crores. I think in the Q1, we were trending more towards INR400 crores. So, there has been a better utilization from the Teva facility in the Q1 compared to the Q4. The gross margin increase is again the lowering of raw material cost. Initially, we were holding higher material inventory cost, which once depleted, the lower cost came into play, resulting in a better gross margin onto the product portfolios that we saw.

Ahmed Madha: Got it. I have 2 follow -up questions. Based on pricing pressure, are you suggesting a high

competition intensity in the U.K. business? And secondly, is it that we are sitting with some inventory in the U.K. warehouse?

Mark Saldanha: So, inventory, we always sit with inventory. But from a competition point of view, no, I don't see more competitors coming in, but I do see a lot of desperate selling happening. And this -- I believe this could be, like I mentioned, a cascading effect where companies have decided to refocus their attention into different geographies due to the uncertainties of the global tariffs that

Marksans Pharma Limited

August 13, 2025

Page 5 of 12

are going on. And in that desperation, since U.S. was not yielding that results, companies tended to offload or get revenue in other markets, which have resulted in heavy price erosion happening out there.

Ahmed Madha: Got it. From that perspective, for a U.S. business, I think we were mentioning around \$200 million order book. So how is that order book shaping up? And are there any change in timeline of execution of the order book, which we had mentioned earlier?

Mark Saldanha: No. So, our order book stands at \$220 million today. Out of that, nearly \$45 million to \$50 million of that the execution will start in the month of October, November, December, based on the approvals and everything of that stuff. So, obviously, a substantial amount of \$40 million to \$50 million you will not see a full year of revenue arising in the year.

But that said and done, U.S. will grow. Our contracts are in place. We do not have any pricing volatility that you experience in U.K. and that prima facie is because 90% of our business in U.S. is OTC and 10% is Rx. So, the volatility is very restricted more towards Rx than into OTC per se.

So, our contracts are intact. So far, we've been fortunate that pharmaceutical is still exempted from the tariffs. So, we do not see an impact. But uncertainty is definitely never a good thing because any new contracts, any more awards, all the buyers are waiting to see whether there will be a tariff implication or no.

And since every now and then the timelines of tariffs are changing, well, it was supposed to be in July, it was supposed to be in 1st of August, 8th of August. So, everyone says, wait, we'll wait and watch because the last thing they want is to award more contracts and then after 2 months, come back -- and us coming back and saying, "Well, now the tariffs have come and now the price has changed," and we have

to reinvent the cycle and come up with a new contract.

So, that uncertainty, that visibility will come more when tariffs outplay itself, but it has dragged for the last 3 months because of no clarity of tariffs. While India has been slapped with a 50% tariff, we are fortunate that pharmaceutical has not been impacted on those tariffs.

We are seeing essential items, whether it's groceries or other essential items, cost going up. So, consumers tend to basically be more reserved and careful in their spending because, obviously, they have to allocate resources to essentials more than to commodities or luxury.

So, even you have restaurants that are now facing downturn of people because people would need to spend more on groceries than on eating outside and the same way for medicinal, instead of buying 100 count, they'd probably settle for a 24 count.

So, when you see something of this tariffs outplaying, although we may not be directly impacted, indirectly, it has some impact -- headline impact on the demand situation in the market. And it has then a cascading impact globally because then companies tend to look at different geographies to compensate their revenue drop.

Marksans Pharma Limited

August 13, 2025

Page 6 of 12

Ahmed Madha: Yes. My last question on the gross margin front again. So, if I look at in the context of lower input cost and you have already kept inventory in U.S. -- front-loaded inventory. So, is it fair to assume that we will have a similar gross margin as Q1 for the balance quarters or you would like to give a broad range?

Mark Saldanha: No, I think our gross margins will continue to be healthy. We are optimizing our U.S. operations in terms of our U.S. facility, we import -- we manufacture products and a lot of raw materials are imported from China, which basically has tariffs right now. So, we are paying a 20% tariffs on raw materials. So, basically, U.S. has become more expensive to manufacture in U.S. than in India. And hence, we are -- we always explore to leverage low-cost base whichever way it is potential

So, we are working on the product mix to avoid that tariff implications on raw materials

originating out of China. That will take another couple of months. So, definitely from the third quarter, you will see better bottom lines also coming from the U.S. Overall U.S., if you compare year-on-year first -- obviously, you can never compare the first quarter to the third or fourth quarter because those are the strongest peak season.

I've always said, our business does not revolve around quarter, it revolves year-on-year basis, so -- because seasonal impacts cannot be ignored on a quarter-on-quarter basis. But if you look at it on a year-on-year basis, U.S. did grow by 30% over last year.

Moderator: The next question comes from the line of Sudarshan Padmanabhan with ASK NDPMS.

Sudarshan P.: Sir, just going a little deeper on the price erosion in the U.K. You mentioned that 40% of the business is Rx. And if I see the press release, it talks about high single-digit erosion. I mean the magnitude either on a Q-on-Q basis or even if I assume that there is seasonality, the year-on-year, I'm basically seeing a INR50 crores drop. But if I assume that 50% of the 40% sales or 45% sales in U.K., the number seems to be very different. Is there anything else that is basically driving a little bit more drop than probably one would have expected even assuming this price erosion?

Mark Saldanha: No. So, I said there are 2 counts. One is obviously the -- when you look at it from the season point of view, there is a lull season and obviously, 40% and then coupled with price erosion happening. The price erosion happens on Rx, it can happen dramatically where all of a sudden, quite a few products do not -- would not be viable because of the price erosion.

So, revenue would drop accordingly and so will your margins drop proportionately.

So,

profitable products will become not so profitable because of price erosion and revenue dropping means we decided not to probably sell half a dozen or more products because of the pricing pressures that are happening. So, it has to be looked overall, one is obviously the season was warmer and was worse than the previous year season. But the previous year season didn't have pricing pressures and global phenomena like tariffs; while out here, uncertainties and tariffs led to a much bigger cascading impact in U.K. than in the U.S. or anywhere else.

Marksans Pharma Limited

August 13, 2025

Page 7 of 12

Sudarshan P.: Sure, sir. And the 4 products that we have launched now should basically kind of bridge the gap between what happened last year and probably what we saw in the first quarter as we progressively move forward. So, I mean, if you can share more on what are these products? I mean, how big they can be in terms of bridging the gap?

Mark Saldanha: They are quite decent. So, technically, obviously, bridging the gap, when you say bridging the gap, obviously, a quarter is over. So, the first quarter is over. But if you look at our second quarter, the numbers will be much better than the first quarter and the third will be better than the second quarter. And the fourth will be between the second and the third quarter. That's how the seasonality outplays in U.K.

But, definitely, I think the first quarter is a one-off scenario, not in comparison to quarter-on-quarter basis, but in comparison to historic numbers. Definitely, the quarter was subdued in U.K. but these new products will add more towards the bottom line than the top line. So, you will see better profitability arising because these are more high-value products and not high-volume products per se. So, you will see a better profitability arising in the second quarter, much better arising in the third quarter compared to the first quarter, and thereby recovering to some extent.

Sudarshan P.: Sure, sir. And with respect to Australia and New Zealand, I mean, that was primarily inventory and that should get back, right, from the second quarter?

Mark Saldanha: Yes. That should come back. And see, Australia has been reversed in the first quarter. It is winter out there while we have a summer. So, if you look at their last quarter, a lot of their winter sales, most of the retailers, they lift stocks before the winter, in the Q4, they lift up their stocks before the winter season starts. They don't wait for the season to start and then do sales. So, most of the retailers, if you look at their Q4 number was higher than the Q1 number. And that resulted in a bit of a lull where Q1 is concerned.

Sudarshan P.: Sir, one final question is, when we look at the glass half full rather than glass half empty, the gross margin expansion is quite favorable for the raw material prices coming down, the mix is improving, etc. And this would kind of move forward. So, I mean, if I'm structurally looking at your margins, I mean, where we were probably towards 20% to high teens. And, I mean, just fast forwarding beyond these issues that you are seeing and the moment we reach a certain scale as some of the products picks up, should our margin profile be much, much better than what we were, say, a year ago?

Mark Saldanha: See, I would love to be optimistic, but the global scenario is such where pricing pressure is there in certain markets. I mean U.K. itself constitutes 40% -plus, 40% to 45% of our revenue. So, we cannot ignore a market of that size having pricing pressure. So, from EBITDA margin point of

view, we will improve quarter -on-quarter. But year -on-year, I think it will be more flattish, somewhere around there.

Moderator: The next question comes from the line of Aditya Pal with MSA Capital Partners.

Aditya Pal: Yes. Sir, just wanted to double -click on your response to the previous partici

pant's question that

our U.K. market has a 60-40 split in favor of OTC. When we talk about U.S. margins and pricing

Marksans Pharma L imited

August 13, 202 5

Page 8 of 12

pressure not being there because of the favorable OTC mix, how are we going towards making the OTC mix higher in the U.K. market? Because as I believe that would protect our margins and would help us at least not face pricing pressures from the competition?

Mark Saldanha: That is going to be difficult in U.K. because historically, obviously, U.K. in most of the countries, we adopted different strategies to get a strong foothold and create a presence in the market. U.K., we had a very balanced portfolio of 50% OTC, 50% Rx, and we bought over 300 - plus market authorizations, both put together. U.S., obviously, we have a smaller portfolio compared to U.K. But U.S., we had to basically adopt a different strategy.

We were a very late entrant into the U.S. So, we looked at the window of opportunity and created a niche and identity for ourselves. Coming back to U.K., Rx is a very important portfolio, and we are increasing our product portfolio in Rx to much more complex molecules and much more niche molecules, which are more value drivers than volume drivers.

So, if you look at our portfolio, maybe 1 year down the line or 1.5 years down the line, our portfolio will be much more robust and profitable because of the Rx portfolio. That said and done, the inherent challenges of Rx will always remain, but we have to just grow out of that. The historic products of Rx will definitely be more volatile, and the newer molecules will be much more profitable. So, I guess we have to just stay one step ahead of the curve.

This phenomenon that we are witnessing, one has to understand, is probably never seen before. In the U.S., when you talk of tariffs, the tariffs have been probably the worst since the Great Depression 1929. So, technically, the tariffs are even worse than the Great Depression of 1929, so no one could foresee that. So, these are cascading impacts that are happening globally. But we would recover a lot of lost ground. Our business model is still intact. We are still focusing on new product approvals and launches. And we will grow stronger, and we'll come out of this phase.

Aditya Pal: Got it. So, just a couple of quarters back, not even a couple, last year in '25, Q1, we had said that the target for '26 is that we will reach a revenue of INR3,000 crores. And listening to your response to the previous participant that the margins would be low. So is it fair to say that we would not touch INR3,000 crores, but be closer to INR3,000 crores this year because of the entire tariff scenario uncertainty and because of that, the cascading problems in other existing markets.

Mark Saldanha: I think you've summarized it well. We should be very close to INR3,000 crores or maybe shy away from INR3,000 crores. But again, in the overall picture, we will still grow over the last year. But yes, from a INR3,000 crores, we may be shy of that.

Aditya Pal: Understood. Sir, a more strategic question. So, how are we thinking in terms of diversifying our revenues because for the last couple of quarters, we have been talking about acquisition but not being able to find one. Does it not make sense to start at least expanding in the European market organically?

Marksans Pharma L imited

August 13, 202 5

Page 9 of 12

Mark Saldanha: Well, organically, it's a very diversified market. But we are looking at now launching organically in Germany. But it's a medium - to long -term objective when you start organically. Inorganically helps a better stronghold and foothold faster, and we can use it as a launching pad. But that would have been ideal case scenario. But that said and done, we are looking at an organic exploration into these markets.

Focus is going on, on various fronts, not only Europe, but al

so looking at India as a market. And

let's not ignore that we have to safeguard our position, market share in the U.S., too, and we will do what is needed. If tariffs do not play as per our expectation, we'll have to do what is needed to ensure we basically continue our growth path and definitely try to retain market share that we

have worked so hard for.

Aditya Pal: Understood. So just last question. So, now obviously, there are no tariffs on pharmaceutical products in the U.S. but say, in a case where tariffs on pharmaceutical products come, are there safeguard measures in our contracts where at least some part of the tariffs can be passed on to the customer?

Mark Saldanha: Yes. I mean, see, the tariffs work as a force majeure. So, technically, all our customers are aware that if tariffs do come and it is something which is abnormal. If it is a small amount, it's okay.

But if it is abnormally high, then we would have to go back to the customer and put it forth.

Obviously, we are optimistic, and we are hopeful that our government reaches to some understanding with the U.S. government so that the impact is minimized to whatever level.

But that said and done, we are working on different strategies if the tariffs are high and it is not only going to the retailer and asking them for price increase because we have secured contracts till 2027. And the minute you go and ask them for a price revision, you are opening that contract up. That's something which is a double-edged sword, always.

But that said and done, all the retailers are understandable. They all have the same fear of tariffs, and they're all hoping that the tariffs don't come into play. Because if it does come into play, it's not going to be a surprise to them if you go back and tell them now price has to be adjusted because of the tariffs.

Moderator: The next question comes from the line of Maitri Sheth with Choice Institutional Equities.

Maitri Sheth: I just have one question. Most of my other questions have already been answered. On the Europe and U.K. business, now that we are seeing some pricing pressures and uncertainty, can we expect a continued mid-double-digit growth, mid-teens growth? Or should we look at it like a high single digit or low double-digit growth going forward?

Mark Saldanha: Sorry, which market -- are you talking of the -- as a company or you're talking of U.K. by itself?

Maitri Sheth: For the company. For the company, for our U.K. and Europe region.

Mark Saldanha: For the U.K. market, you're talking of? So, I believe it will be flattish.

Moderator: The next question comes from the line of Deepesh Sancheti with Maanya Finance.

Marksans Pharma Limited

August 13, 2025

Page 10 of 12

Deepesh Sancheti: Just wanted to understand how will the India-U.K. FTA work for us in the long term?

Mark Saldanha: Sorry?

Jitendra Sharma: The trade agreement.

Mark Saldanha: No, that's 0 impact. That's 0 impact.

Deepesh Sancheti: Zero impact? Okay. And this quarter, we saw a lot of selling from OrbiMed, whom we had given the shares on preferential. Have they discussed with the management about an exit strategy?

And are they still on our Board?

Mark Saldanha: They are still on our Board. They have not discussed anything where that is concerned. It was their call maybe for tariff reasons or whatever, we don't know. But they have not discussed this with us.

Deepesh Sancheti: Okay. And how much of the profit was actually impacted by one-off -- sorry, you were saying something, I'm sorry.

Mark Saldanha: I didn't say anything.

Deepesh Sancheti: Okay. How much of the profit this quarter was impacted due to onetime expenses? I mean you mentioned about the ECL provisions and other things, but how much of this is onetime and how much can be recurring?

Jitendra Sharma: Deepesh, this is Jitendra here. So, like -- as we have stated in the presentation, so there were 2

items. One was the ECL provision, which we have made in receivables of INR10.48 crores. And there was one mark-to-market provision of INR6.2 crores, which we have made, and this has come from the forward contracts, which we have taken for GBP exports to U.K.

So, in U.K., the last year, GBP was at INR105, and we have done some forward selling of GBP for up to INR109, INR110 levels. But this year, GBP has outperformed, and it is hovering around INR117, INR118 right now. So, there is some mark-to-market, which has come in the June numbers.

So, these are the 2 items, which are kind of one-offs, which we had in this quarter. And we don't expect -- see, our receivables are pretty clean. Most of the receivables are from subsidiary companies only and top customers. So, this is the only item which we had coming from our emerging market division. So, broadly, we don't see any more sticky receivable in our books.

Deepesh Sancheti: You also mentioned about the higher employee costs due to new hires in the acquired facilities. Will that be recurring?

Jitendra Sharma: No, if you compare year-on-year number. But now, of course, in terms of the hiring, we are not having any more additional hirings. So, the employee costs and other expenses, which you are

seeing in this quarter, we don't see these 2 items going up any further from here.

Marksans Pharma L imited
August 13, 202 5

Page 11 of 12

Mode rator: The next question comes from the line of Meet Rachchh with Equirus PMS.

Meet Rachchh: My question is again on the margins. So, in this quarter, if we exclude the impact of ECL provision, we had roughly 17.8% margin. And in one of the earlier answers , you mentioned that Q-o-Q margins will improve from here on. So, just wanted to understand that margins for remaining 3 quarters would be higher than current 17.8%? And second, is 20% plus margin doable in FY'27 ?

Jitendra Sharma: See, it is a bit difficul t right now to give a margin guidance. Definitely, our objective here is to see; number one, to ensure how can we sustain our margins, which we had till last year. So that's the priority right now for us. Definitely, the pricing pressure in U.K. has soften ed the margin a bit. So, I think we should be somewhere between last year margin and the 17% what you are calculating. So, we should be somewhere in between that.

Meet Rachchh: For FY '27 as well?

Jitendra Sharma: No, this is for current year. For FY '27, again, it's a bit early to give any guidance.

Moderator: The next question comes from the line of Ahmed Madha from Unifi Capital.

Ahmed Madha: Just to understand a scenario where there is adverse tariff. In that case, do we get benefit by having manufactur ing capacity in U.S. through Time -Caps? Is it meaningful? And as of now, how much of our manufacturing is happening in U.S. and how much is happening in India and maybe some in U.K. also?

Mark Saldanha: So, from a revenue standpoint of view, about 35%, 40% around is manufactured in U.S. The rest is manufactured in India. So, from today -- as on today, India is more viable because a few of the items which we manufacture in the U.S. are imported -- raw materials imported from China where we pay tariffs.

But just answering your question, will we benefit having a platform in the U.S. Of course, we will benefit to some extent. And again, depending on what the tariffs are going to -- the quantum of tariff is a universal question. What is the tariff or what amount of tariff? Is it single digits, double digits . To what level is it going to go to . That is uncertain. And based on that, when that unfolds, then I think when that unfolds, then we have to take concrete steps to retain our position and grow based on our ob jectives, what growth plans we have for the U.S.

But today, it does not make sense for us to panic because literally, I don't think anyone knows what's going to happen tomorrow. And based

on that, we have to wait and watch as to how things

unfold, because if tomorrow, India does strike a better deal, and we are very optimistic on that, then taking panic steps may backfire big time on us.

So, whether we have to expand our facility out there, whether we have to continue with what weare doing, whether we hav e to leverage low -cost manufacturing from India. So, these uncertainties are the ones that are most unpredictable and difficult to answer. And I guess the

Marksans Pharma L imited
August 13, 202 5

Page 12 of 12

market is -- I mean, we don't have a crystal ball. So, the market is basically wait and watch -- watc hing on what will unfold tomorrow.

Jitendra Sharma: See, I would like to add here that our balance sheet is pretty strong. And in case if there is need to do additional investments in U.S., we definitely will not shy away from doing that. So, that way, we are very well equipped and geared. And depending on the circumstances need, we will take the next steps.

Ahmed Madha: My question was from the perspective of, do we have a hedge in terms of having capacity in U.S. My question was from that standpoint?

Mark Saldanha: Yes. So, we have capacity in U.S., but it cannot compensate because we have a very diversified portfolio out here in India that we service in U.S., starting from Rx to different dosage forms. U.S., it's only a solid oral dosage form that we have . So technically, while we may benefit from a part of it, we would not be able to benefit fully from it.

Moderator: The next question comes from the line of Deepak Rao with KNR Securities.

Deepak Rao: Sir, I just wanted to ask how much is the revenue contr ibution from Teva facility currently? And what kind of growth do we expect in FY '26?

Mark Saldanha: So, like I answered in the last quarter, we were trending more towards INR400-odd crores. This quarter, we are trending more towards INR500 crores. So, tec hnically, I would say we have

another 40% utilization that we can do. Our aim is to go towards INR800-odd crores from the facility. So, we have potential of growth. And again, this is happening month -on-month basis, we are inching forward on that.

Deepak Rao: Got it, sir. Sir, one more question I have from my end is Australia and New Zealand. Just wanted to check how this market is expected to perform in the coming quarter?

Mark Saldanha: It will be flattish in terms of what it's historically done. It will show a nominal growth. But technically, it's difficult to talk about quarter -on-quarter, but year -on-year, we will definitely show a better number than the previous year.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing remarks.

Mark Saldanha: I thank you all for your continued interest and support for our company. I wish you a very good evening and a safe day. Thank you.

Jitendra Sharma: Thank you.

Moderator: Thank you. On behalf of Marksans Pharma, that concludes today's conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Marksans Pharma Ltd.
11th Floor, "GRANDEUR", Opp. Gundecha Symphony, Veera Desai Extension Road, Oshiwara,
Andheri (W), Mumbai - 400 053 Tel.: +91 22 4001 2000
E-mail: companysecretary@marksanspharma.com
www.marksanspharma.com

November 21, 2025

Subject: Transcript of investor(s)/analyst(s) meet – Q2 FY26 Unaudited Financial Results

Dear Sir/Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, kindly find enclosed herewith transcript of the investor(s) / analyst(s) meet on Q2 FY26 Unaudited Financial Results held on November 14, 2025 at 05:00 pm.

The above information is also available on the website of the Company under the link:
<https://www.marksanspharma.com/earnings-call-transcripts.html>

We request you to take the aforesaid on records.

Thanking you.

Yours faithfully,
For Marksans Pharma Limited

Harshavardhan Panigrahi
Company Secretary

Encl: As above
BSE Limited
Corporate Relation Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.
Scrip Code: 524404 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block -G,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051.
Symbol: MARKSANS

Page 1 of 16

"Marksans Pharma Limited Q2 FY'26 Earnings
Conference Call "

November 14, 2025

MANAGEMENT : MR. MARK SALDANHA - FOUNDER CHAIRMAN AND
MANAGING DIRECTOR , MARKSANS PHARMA LIMITED
MR. JITENDRA SHARMA - CHIEF FINANCIAL OFFICER ,
MARKSANS PHARMA LIMITED
MODERATOR : MR. NITIN AGARWAL - DAM CAPITAL ADVISORS
LIMITED

Marksans Pharma Limited
November 14, 2025

Page 2 of 16

Moderator : Ladies and gentlemen, good day and welcome to the Marksans Pharma Q2 FY '26 Earning Conference Call hosted by DAM Capital Advisors Limited.

As a reminder, all the participant lines will be in the lesson -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Nitin Agarwal. Thank you and over to you, sir.

Nitin Agarwal: Thank you. Good evening, everyone. A very warm welcome to Marksans Pharma's Limited Q2 FY'26 Post Results Earning Call hosted by DAM Capital Advisors Limited.

On the call today, we are representing Marksans Pharma Management, Mr. Mark Saldanha – Founder, Chairman and Managing Director, and Mr. Jitendra Sharma – Chief Financial Officer.

I will hand over a call to Mark to make the opening comments and we will open the floor for questions. Please go ahead, Mark.

Mark Saldanha: Thank you, Nitin. Welcome, everyone, and thank you for joining us on our H1 and Q2 FY '26 Earning Conference Call. We sincerely appreciate your interest and continued support for the Company.

I am pleased to share that the Q2 FY '26 has been a strong quarter for the Company, reflecting a healthy recovery from a softer Q1. The revenue grew 16% sequentially, driven by improved demand across key markets and improved operational execution. In the U.S., we delivered a robust performance despite micro headwinds. A strong order book moved into execution and new launches in digestive health and pain management helped meaningful traction. It's encouraging to see that the tariff-related uncertainties have now stabilized, indicating that the business sentiment is returning to normalcy. Price erosion for Rx products remains in low single digits, which gives us confidence in sustaining this momentum.

The UK business delivered stable results and saw improvement in demand. Even with the ongoing pricing pressure, during the quarter, our UK subsidiary Relonchem received three new marketing authorizations from U.K. MHRA. These approvals will strengthen our product portfolio and support growth in the coming quarters. Our goal to double U.K. revenues over the next 5 to 7 years remain firmly on track.

On profitability, EBITDA and PAT grew 44% and 70% quarter-on-quarter, supported by operating leverage and improved cost efficiencies. We also received several important milestones during the quarter. Our Unit 2 facility in Verna, Goa, which was first with the Teva Pharma, successfully completed a U.S. FDA inspection with zero form 483 observation,

Marksans Pharma Limited

November 14, 2025

Page 3 of 16

reaffirming our strong compliance standards. Additionally, CARE rating upgraded our long-term credit rating to CARE AA- with a stable outlook underscoring our sound financial position.

As we enter the second half of FY'26, we do so with a strong momentum and renewed confidence. With improved demand, a robust product pipeline, and a sharper operational discipline, we are well positioned to sustain growth to the remaining part of this year. We remain steadfast in our commitment to quality, innovation, and sustainable growth, building the Company that we consistently create value for our shareholders. With this, I'd like to hand it over to Jitendra for a detailed update on the numbers.

Jitendra Sharma: Thank you, sir. In Q2 of FY'26, our operating revenue stood at Rs. 720.4 crores, an increase of 12.2% year-on-year compared to Rs. 642 crore in the same quarter last year. The revenue from the U.S. and North America market stood at Rs. 387 crores, an increase of 27% on a year-on-year basis, supported by new product launches across the

digestive and pain management

segments. U.K. and EU formulation recorded revenue of Rs. 245 crores. Australia and New Zealand market recorded revenue of Rs. 61.3 crores. The rest of the world revenue stood at Rs. 26.5 crores. The gross profit for the quarter grew to 7.4% year-on-year to Rs. 411.8 crores with a gross margin of 57.2% compared to 59.7% last year, primarily reflecting product mix and pricing pressure in the UK. We recorded EBITDA of Rs. 144.5 crore in Q2 F Y'26. The EBITDA margin for the quarter stood at 20.1%, a decrease of 108 basis point year-on-year and increase of 391 basis point from the previous quarter. EBITDA margin improved sequentially due to operating leverage and improved cost efficiencies. Profit after tax was at Rs. 99.1 crores, an increase of 1.4% year-on-year. EPS for the quarter was Rs. 2.2.

Moving to H1 of F Y'26 performance :

In H1 of F Y'26, our operating revenue stood at Rs. 1,340.4 crore, an increase of 8.8% compared to Rs. 1,232.5 crore in the same period last year. The U.S. and North America market recorded revenue of Rs. 714.8 crore, up by 28.8% on a year-on-year basis and contributing 53% of our total revenue. U.K. and EU market revenues stood at Rs. 449 crore, contributing 34% of the revenue. Australia and New Zealand revenue recorded Rs. 118 crore of revenue. The rest of the world market recorded revenue of Rs. 58.2 crore. Contribution from these two markets stood at 9% and 4% respectively. The gross profit was at Rs. 770 crore, up 8.1% year-on-year. The gross margin of 57.4% slightly lowered by 35 basis points compared to last year. EBITDA for the period was at Rs. 244.6 crore. EBITDA margin stood at 18.2% compared to 21.4% in H1 of F Y'25. The decline is primarily due to an increase in employee expenses due to the headcount additions at the facility acquired in Goa. Profit after tax was at Rs. 157.3 crore. EPS for first half was at Rs. 3.5.

In H1 F Y'26, the cash generated from operation came in at Rs. 75.2 crore. The CAPEX during the period was at Rs. 73.2 crore. Our working capital cycle improved to 150 days as tariff-related disruptions eased and inventory normalizations began. We expect further improvement in the coming quarters. We spent Rs. 26.2 crore in R&D in H1 of FY'26 which amounted to 2% of the

Marksans Pharma Limited

November 14, 2025

Page 4 of 16

consolidated revenue. We continue to remain debt-free and the cash balance stood at Rs. 666.5 crore as of 30 September of 2025.

With this, I would like to open the floor for questions-and-answers. Thank you very much.

Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from the line of Ahmed from Unifi Capital. Please go ahead.

Ahmed: Thanks for the opportunity. I have a few questions. To start with, currently, how does the U.S. orderbook look like and how has been the offtake in the new season? And in a similar context, how do you see utilization trends for unit 2 moving? And a parallel question to this is, are the new product launches in the digestive in newer areas from the new site?

Mark Saldanha: Our order book right now stands at between \$225 to \$230 million, so that's quite strong. And our unit 2 is progressing. We are very close to Rs. 500 crores in terms of revenue based on our last two months statistics. The order book from unit 2 will basically now take momentum as the U.S. FDA and everything has been cleared. So it will grow in 2026. So we are expecting better growth in 2026 coming in. So basically, our product portfolio is strong. We are still very much in tune of hitting our objectives and commitment that we have given historically.

Ahmed: And for the U.K. business, how do you see the market conditions currently? Has there been any change in the pricing environment, the volume offtake? And how are the new product launches picking up in U.K.?

Mark Saldanha

: So the U.K. obviously, we have had tremendous price erosion and pricing pressures in U.K. But with new product approvals coming into play, we are looking at a better tomorrow. We are very optimistic on our growth strategy of doubling our revenue in the next 5 to 7 years. So our product pipeline is very strong and healthy. And we have done a lot of filings. We are expecting approvals. And as you can see, every quarter, we are getting these approvals in place. These approvals are not so much topline drivers, but they are more bottom-line drivers. And with regards to season, obviously, this is the peak season in the Western markets, in Europe, as well as in the U.S. So we do see this quarter and the following quarter being much better than the first quarter.

Ahmed: And lastly, on the Europe side, how are we making progress in terms of organic and inorganic initiatives to build out business in Europe, if you can give some comments on that?

Mark Saldanha: So Europe, basically, we are looking at expanding our geographies. And we have been looking for M &As. But we have actually started our operations in Germany. We are focused on four countries in Europe, prima facie. And in 2026, we would get our operations started, either organically or inorganically in these four countries. Germany, we have not managed to close an acquisition. We have decided to enter the market through organic route. And our present office

Marksans Pharma Limited

November 14, 2025

Page 5 of 16

setup is in progress. Our employees are being hired, as we speak. And we are looking at FY'26 starting operations in Germany.

Ahmed: I have a few more questions. I will jump back in the queue. Thank you so much.

Mark Saldanha: Thank you.

Moderator: Thank you. The next question comes from the line of Aditya Pal from MSA Capital Partners. Please go ahead.

Aditya Pal: Hi, thank you so much for giving me the opportunity. And congratulations on a great set of performance. Really wonderful that you have come back on a steady state again. Majority of my questions have been answered. Just wanted to do a bit deeper on Europe. So how are we thinking in terms of if you can enter those four countries? One, obviously, is Germany. Second is, when can we start seeing revenues coming from the European geography? And third is, the strategy remains the same where we will target the large customers and the business that we are doing with U.S. customers?

Mark Saldanha: Yes, the market is slightly different in Europe in each. And within Europe, each country has a different market. So we would have to tailor make our strategies based on the market dynamics. Germany, obviously, as everyone is aware of, is more tendering market. So there are a couple of European countries which follow the Germans' way of tendering. Then there are certain markets that are a little more branded and a little more diversified, like U.K. So we would be basically targeting four major countries in regions within Europe. And from there, we will be adopting a strategy based on the market dynamics. We would always leverage our low-cost manufacturing base. So our strategy will be in line with what we have historically done in the U.K. and in the U.S. So we are not deviating from that strategy. And we would be, like I said, we will be leveraging our facilities out of India, both our facilities out of India to service these markets. So we do see, from a revenue standpoint of view, obviously, we are starting. For example, Germany, we are organically starting. And our operations would be full flow in the 1st Quarter of '26. But you will see results probably in the second half of '26 coming from the German market and from the European market.

Aditya Pal: Understood. And sir, what I understand is that our current capacities can take up to, have a revenue capacity close to 4,000 odd crores. How are we thinking about adding new

capacities?

There's a land bank that we have with Teva, but Teva is where we can expand. And subsequently, we have in our other Goa plant as well. So if you can just touch base upon that thing of the plant expansion?

Mark Saldanha: So basically, our earlier plant in Goa we have a plot next door which we are looking at acquiring. We are strategically planning to expand our present infrastructure and in tablets in our old plant to 2.5x and our soft gels to about 3x from where we have. But this project we will undertake in 2026 from a CAPEX point of view. And we would have to spend a bit of CAPEX to look at us, Marksans Pharma Limited

November 14, 2025

Page 6 of 16

to take us beyond 4,000 crores, like you rightly said. Based on our capacity that we are sitting on, I think 4,000 crores is very much achievable. And beyond 4,000 crores, we would need to invest into infrastructure again. And either we acquire a facility, which is easier said than done, or we construct one. But the cheapest way would be to basically expand on the land banks, like you rightly said, and come up with blocks with shared infrastructure. This obviously helps us in operating leverage also. But more than anything, by just shifting capacity into these blocks, we can literally double if not triple our capacity from where we are. So we are hoping in somewhere in the end of 2026 to have a capacity of nearly 1.2 to 1.3 billion tablets coming out of our old plant. Right now it is at between 700 million and 800 million. So we are looking at 1.3 billion of tablets, and then we are looking at probably 3x the capacity of our soft gel being enhanced out there.

Aditya Pal: Just last question before I go back in the queue. Just wanted to understand from you now the capacity that we have. When we are negotiating or when we are discussing with existing and new customers in the U.S. does this discussion come up that if they are a bit hesitant to give us a large order, even though they want to shift it to a low-cost manufacturer in India?

Mark Saldanha: No, that question does not come. Because today we have ample capacity to see us through for at least 1 year to 2 years. Our Teva plant, I would say, is basically 30%, if not less utilized. So we have a huge scope of expanding our product portfolio. So I don't think if there is an opportunity they would consider us as prime manufacturers. They would look at us favorably. The last six months has been, as I've said in my previous earning call, the last six months, the uncertainty is revolving tariffs over the stumbling block. But now with clarity coming emerging out of there, I think sentiments are returning back.

Aditya Pal: Perfect. Wishing the team all the very best. Thank you so much.

Mark Saldanha: Thank you.

Moderator: Thank you. The next question comes from the line of Deepesh from Maanya Finance. Please go ahead.

Deepesh: Regarding the tariffs, what you mentioned, since there is a clarity on the US tariff, has it helped with the reduction of competition and pressure in the U.K. market also?

Mark Saldanha: It will take some time. See, clarity on U.S. tariff has come into play right now. And the sentiments globally will improve in due course of time. It has unnerved the global sentiments by itself. But a lot of companies like us looked at and are still focusing on different geographies for the reason of uncertainty in the US. Even today, in the first half of this call, we have been talking about other geographies like Europe and other market. But that drive from Indian companies to explore different geographies will remain there because of the economy and what the US is witnessing today. One is obviously tariffs, which we talked about. The second is obviously inflation and more into recession type of things that most of the companies try to avoid. But that

Marksans Pharma Limited

November 14, 2025

Page 7 of 16

said and

done, the U.S. is still a growth driver. We still have done well in this year and we will continue to do well. We still have a very aggressive outlook. I know last six months has been with a pinch of uncertainty. But now with clarity emerging, I think we will be back on track to hit our objectives. We are still targeting 300 million in a three years.

Deepesh: 300 million order book?

Mark Saldanha: Order book, yes.

Deepesh: And if you can give us a guidance?

Mark Saldanha: In couple of years, not right now, so not this year.

Deepesh: As in by FY '28?

Mark Saldanha: Yes, we are hopeful.

Deepesh: Can you give a guidance for, I mean, you mentioned that you're planning to get to around 3,000 crores of revenues by next year. But can you give a longer time guidance of where, what is your longer term targets?

Mark Saldanha: Obviously, if you ask, I mean, we have a business module that will take us to 5,000 crores, but it's not going to happen in the next two to three years. It will need a longer duration, maybe five to seven years, looking at that horizon.

Deepesh: Okay, so by FY '30, we should expect around 5,000 crores of revenues.

Mark Saldanha: That's fair to say.

Deepesh: Okay. Now, my question was around for the rest of the world business, especially in the MENA countries, having a lower base also, but we haven't really grown over there. Is there particular reason that, I mean, our focus is not right now on these countries and more on UK and more on US? I mean, it's a very small base.

Mark Saldanha: Yes, it is a small base and looking at the opportunities and drive right from inception, it's been more into the Western markets. So obviously, we do see an easier penetration. Our infrastructure is more positioned to service these markets. So resources, infrastructure, product pipelines are more focused into these huge markets that we are catering to. If you ask me while you're right, MENA is, I mean, has been a small base. It will keep growing for us. So we will continue to have our nominal growth, it will still be a relatively small percentage looking at the other market potentials and where we are in these markets and what we can do to take a leap in those markets. So I mean, I do see other markets going at a faster pace, including US, Europe being a fantastic market for us to look at growth. And let's not forget UK also, we have our strategy to double our

Marksans Pharma Limited

November 14, 2025

Page 8 of 16

revenue from where we are. But what's easier said than done, a lot of approvals are needed and business has to take shape to take us to another level. And that's what we are working hard for.

Deepesh: Because you mentioned in your previous answer that you're looking at other markets also apart from US and UK. So will the MENA countries will be our focus or will Australia and New Zealand will be more focus point?

Mark Saldanha: See, Australia and New Zealand are all smaller markets. MENA will be a focus to grow if you're looking at that region from that angle. But if you look at the whole geography, I think our growth will come from our core markets that we are strong in. And besides the core markets, we are looking at the growth to come from Europe, which is still a virgin territory for us. So we do see these being, we are launching also Canada by 2026. So we do, it's a smaller market, but I think it will be at, we will be targeting such markets also, smaller markets. But I do see Europe being besides the countries that we are strong in today. I do see Europe taking shape in the next two to

three years as a very prominent contributor to the revenue.

Deepesh: Specifically Germany ?

Mark Saldanha: Germany and the rest of Europe. Obviously Germany is the largest market in Europe. So yes, Germany followed by four countries that we are focusing on.

Deepesh: Great. Thank you so much, Mark. All the very best.

Mark Saldanha:

Thank you.

Moderator: Thank you. The next question comes from the line of Prolin Nandu from Edelweiss Public Alternatives. Please go ahead.

Prolin Nandu: Hi. Thank you for taking my question. Mark, I want you to elaborate a little bit on this uncertainty that you highlighted, right? While we understand that, maybe customers as well as companies like us have been slightly not sure as to how should we go about. But when you talk to customers, what are they saying in terms of if in case the worst case scenario were to play out, how do they engage with you or are there any alternative modes of mechanism which you guys are working on?

Mark Saldanha: When you say worst case scenario, this is regarding what context?

Prolin Nandu: No, you're talking about that still that tariff uncertainty is still there in the market, right, in a way. So, I just wanted to understand, just add a little bit more granularity on the same, right, in a way where we have to cater to an end market, right, in a way. So, where is that uncertainty? Which aspect of the business is that uncertainty there right now?

Marksans Pharma Limited

November 14, 2025

Page 9 of 16

Mark Saldanha: I must emphasize that that clarity has emerged. The uncertainty has diluted to a great level because the current administration has made it clear that pharma tariffs are not going to come, tariffs are not going to be put on pharmaceutical products. And even whatever investigation they are doing on that sector, they are not going to pursue it with regards to any pharmaceutical tariffs. So, I think the generic outline and the tariffs on the generic part of it, on the pharmaceutical part of it, I think that clarity has now come in the last one and a half months. So, I think people are now just beginning to realize that the risk is not there like what they assumed it was. You see, I mean, in the last three months, things took a back turn where India was hit with tariffs of 50%. And so, things were very, I mean, I can't stress more, were very uncertain in the last six months because while tariffs started in April, then things took from a back to worst turn where India was concerned. Now, things are shaping better for India because we have talks offers being introduced and probably a trade deal happening. But nevertheless, while the rest of the industries would probably have a better, far more impact on the tariffs, the pharmaceutical, we have relatively escaped the brunt of the tariffs and uncertainty whether pharma would come into the tariffs because there was a lot of talk two months back. I think that has been put to rest and clarity has emerged that pharma will not come into the tariffs. So, if you had asked me a month and a half back, two months back, my answer would have been, I would probably be answering you differently. But today, I have the confidence to say that that has been put to rest. So, when clients do approach us, some of them are very well educated with what is going on. Some are not updated with that fact. We do emphasize on the fact and we are seeing a better traction than what we were seeing maybe a month back. That said, there are a few plans which are printed that whether the administration will change their mind tomorrow, which is always the case, it's been happening all the time. But I don't see tariffs coming into play now. I think the worst is behind us where that is concerned.

Prolin Nandu: Thank you so much, Mark, for that. And second question would be just on your working capital, So, while we had some inventory issues and UK related issues in Q1, even in Q2, our working capital days are close to 150, which is higher than our average of let's say 125 to 130 days. So, do we expect that? I mean, nothing has changed fundamentally in the business, which will entail a higher working capital, right? We should get back to 125 to 130 days.

Mark Saldanha: We should. But we consciously

usly built up because of this uncertainty of tariffs. So, we consciously took a call of being very heavy on our inventory, on our stock holdings, so that in case things go south, we at least have enough of inventory to sustain till we take proactive actions to meet the new world or the new requirement, you can say it. So, we did increase a lot of our inventories and that's where the working capital did increase to a great extent. It will take time. It may take us a few months to come down to that level because we were sitting on nearly five to six months of stock. So, I think we should see better days, but it's not going to happen like in a month's time or two months.

Prolin Nandu: But let's say, for example, Q1 FY '27 onwards, the normal run rate should resume, right? Is that a great assumption?

Marksans Pharma Limited

November 14, 2025

Page 10 of 16

Jitendra Sharma : Yeah, I think so. Definitely. Now, it has started coming down already. So, if you see the levels from Q1 to Q2, already the trend has started showing. So, I think in next two to three quarters, it should come back to 120 -130 days.

Prolin Nandu: Thank you so much, team. That's it from my side, all the very best.

Mark Saldanha: Thank you.

Moderator: Thank you. The next question comes from the line of Nitin Agrawal from DAM Capital Advisors. Please go ahead.

Nitin Agrawal: Thanks for taking the question. Mark, on the UK business now, I think you've seen Q1 and the recovery in Q2 gone by. I mean, what are your thoughts really speaking on what happened in Q1 and are you clearing things now, this was sort of one of which happened and then we should be and Q2 is a more normalized base for us to think about UK as we go forward?

Mark Saldanha: Yes, Nitin, a fair question. Q1 was a one -off, you can put it that way. Q2, we are back on schedule, like you said, and Q3 will be better than Q2. I can tell you that for certain. Again, Q4 will be more seasonal, where you can't compare it compared to Q3. But we are back on track and moving forward with all these new approvals coming in place. Our foundation is getting only stronger, so it's not getting weaker. So we are going to make progress. This is just a gestation time when we consolidate, we stabilize, and then we move on onwards. So Q1 has been historically for various reasons, difficult to pinpoint, but for various reasons, sudden from season to global uncertainties, to geopolitical issues, Q1 was a challenge. But now, like you see, Q2 is better and I do believe Q3 will be better than Q2 for UK. And there on, I think we will see a better 2026 than 2025 for UK. So our growth trajectory, we are still very confident on the UK market, and we are still very bullish in our growth pattern.

Nitin Agrawal: And secondly Mark, on the UK itself, so when you talk about some of the relatively higher value product driving growth in the UK going forward, when do you see some of such launches starting to have like a more meaningful impact on the UK business and the overall probability for the business for us?

Mark Saldanha: Are you looking at the second half of 2026?

Nitin Agrawal: This is calendar '26.

Mark Saldanha: Financially year, you could say.

Nitin Agrawal: In Q3 and Q4, are you starting seeing the newer approvals begin to impact on?

Marksans Pharma Limited

November 14, 2025

Page 11 of 16

Mark Saldanha: So we are looking at Q3 of 26. Q1 is again going to be a bad season, right? So it's difficult to say that Q1 is going to, because that's April, May, June, which is like literally probably the worst months in the pharma industry.

Nitin Agrawal: Okay. And when you say that you're going to be doing both value added products, high margin products in the UK, what is the nature of these products? In general, as a quantitative thing?

Mark Saldanha: You're talking about the nature of the products?

Nitin Agrawal: I mean, what makes them

high margin products? And are they limited competition products, different presentations and overrules?

Mark Saldanha: Yes, they are limited. It's a mix of everything, not only limited. There are very niche molecules, very limited competition, and they are more formulation driven complexities that are there in those molecules, which will probably give us that edge. But those molecules size, the market sizes are very small and niche, like I mentioned. But like I said, there are no players, either there are no players or there is only one player that we have to take on. So it does give us that leverage and to say that, okay, while the top line may not have a substantial difference, but the bottom line will be seen. But when you go and when we are working on over 200 molecules, right? So when you start looking at a lot of product approvals coming in place, and every product contributing a small portion, it becomes a large portion eventually once these products unfold, once these revenues start unfolding of new molecules. So an individual product may not be a big market size in terms of the top line, but if when you talk of collectively 50 -80 products, then that makes a lot of difference.

Nitin Agrawal: And if I can squeeze in the last one, on the US, now the growth in the US largely will be driven by what your current set of approvals, or it will be more driven by newer launches or newer approvals?

Mark Saldanha: Both. We are still filing products. We are getting approvals. The Teva approval, the USFDA approval is strengthening our foundation. Now we have two plans to service from a de-risk point of view. It is perfectly situated where we can produce products in either of our plans. So it does put us in a stronger position. Probably we will put a lot of our investors into have a better confidence that now all eggs are not in one basket. So yes, we are expecting approvals from the

new plans also to come in in '26. So technically, it's a basket of newer products and obviously new accounts coming into it. We have been having our data with new accounts, but like I said, last six months has been with a lot of uncertainties, which people who are waiting and watching how things are unfolding, now I think a bit of clarity has emerged. So people are much more proactively discussing now.

Nitin Agrawal: Thank you so much.

Mark Saldanha: Thank you.

Marksans Pharma Limited

November 14, 2025

Page 12 of 16

Moderator: Thank you. The next question comes from the line of Sudarshan from ASK Wealth Advisors. Please go ahead.

Sudarshan: Thank you for taking my questions and congrats on good set of numbers. My question is as strategy today when we are seeing US markets and what are the things going around and you talked about diversification in terms of geography, I see that we have also taken 100% stake to increase exposure to Dubai. Given that we have cash on books, and we are moving up the value chain in terms of product launches, your take on newer markets with existing products and getting new products into newer markets. How are we looking at it organically and also utilizing the cash on books too has any market presence in both these categories?

Mark Saldanha: So when you talk of new geographies, whether we like it or not pharmaceutical is all about investing first and seeing returns after a couple of years. So all these new markets, whether you look at organically or inorganically, inorganically, obviously you pay a higher valuation in what you acquire. But organically is also not very cheap. And when you talk of cash on books, in crores, it looks very big, but then you convert them into euros or in pounds or in dollars, they are not all that big. Then you talk of getting into a new continent or a new geography by itself. So we are looking at expanding our geographies into Canada, into Europe, into four different countries into Europe. So the

re will be a lot of investment from our side, both organically, and we are keeping a corpus that we are looking, as we talk, also, we are looking at smaller M&As across Europe to be concluded in '26. So we are aggressively pursuing that. So we do see that resources going for both organic as well as inorganic. And then let's not forget that once we see us trending towards 4,000 crores, we cannot sit and wait for us to hit 4,000 crores. So maybe once we cross 3,000 crores, we will probably have to start looking at infrastructure in terms of manufacturing capabilities to take us to the next level, maybe 5,000 odd crores. So we have to plan at least one to two years in advance. And that's what I mentioned Pharmaceutical is such an industry where you invest today to see returns probably up to two to three years.

Sudarshan: Sure. And two things on the cost. If I look at the cost, I think the other costs we have done fairly very good job in terms of curtailing the cost. If I am looking at almost five to six quarters, irrespective of the topline, we are able to manage the cost around that between that 155 to 160 odd crores. One is, of course, I understand as Teva facility keeps ramping up, you get operating leverage and therefore that's fixed. But even as an absolute cost, can you talk a little bit more about what initiatives you have taken, which is yielding to the additional margins apart from the Teva operating leverage? And the second is if I take a little bit longer term vision as you move towards the 5,000 crores, today, we are between 19% to 20% margin. Clearly, incrementally, we are looking at higher value products and operating leverage coming in. So how do we see the margin trajectory as we touch that 3,000 crores to 5,000 crores?

Mark Saldanha: The operating leverage will get better only when we grow up. But at the same time, you're right. The operating cost does go up and you talk of newer markets, when you talk of newer infrastructure, it does temporarily go up till the leverage starts kicking in. It does not stop unless you believe that, oh, well, we have now conquered the world and we are now going to grow

Marksans Pharma Limited

November 14, 2025

Page 13 of 16

from an infrastructure point of view or job-ready point of view. And now we just consolidate and grow on sale. So as long as the company is aiming to have a robust growth plan in place of doubling or working towards doubling the revenue, you will always see that while operating leverage kicks in, the cost also will go up. But then again, once we stabilize that country, it will again, operating leverage will kick in in that country. In terms of when we talk of Germany, we are starting an organic operation out there. So we will have to invest into people, into filings, into infrastructure. And then obviously, you'll probably see returns coming in when revenue starts coming in. So on one side, you'll have the Teva plant, like you said, operating leverage kicking. On the other side, you'll have the cost going up because we are expanding new territories. It would have obviously made a lot sense if we acquired a company and you have already operating leverage there and you can just grow from there. But when you talk of organic

growth plans, definitely initial investments are a little higher, especially where cost is concerned. When you talk of new infrastructure starting from ground zero, then operating leverage takes a bit longer because initial years is all about construction costs, people being deployed, production yet have to start, or commercialized, or approvals yet have to come. So we do have that chicken and egg situation. But that said and done, I do believe that our margins will be sustainable and will grow slightly with obviously our revenue growing up and operating leverage. It's not going double because that's what we are aiming for. But you will see an upward trend with the revenue

increasing.

Sudarshan: Sure. Thanks a lot.

Mark Saldanha: Thank you.

Moderator: Thank you. The next question comes from the line of Nirali Shah from Ashika Stock Service Limited. Please go ahead.

Nirali Shah: Thank you for the opportunity. I just wanted to know on the capacity, you indicated that the old plant is currently at around 700 million tablets, and we are expecting it to move to around 1.2 to 1.3 billion. Then there's a plan to scale this to three times of the current level. So based on this, any quantifying the CAPEX that will be required for us to get to 3x of the tablet capacity and the phasing of this CAPEX over FY'27, FY'28?

Mark Saldanha: So we need to clarify that. So our present capacity of our old plant is at 700 million -800 million tablets a month. That's our present capacity. We are not utilizing that capacity today. So we have not hit that volume. But when I was talking of new plot, and I was talking of expansion over there, it will also free a bit of more space for us to expand our tablets. We do see once we put in that CAPEX our capacity going up from 700 million to 800 million to 1.3 billion tablets. So that will be a substantial growth in our capacity from a tablet point of view. But our soft gel will double, if not triple our capacity by doing this within the same CAPEX because it will again free space. So that will again give us a substantial drive. But we are going to put in the CAPEX somewhere in 2026. We are budgeting about 100 crores onto that CAPEX, that we will basically move forward once all the straight deals of India and everything is put in place. And we are very

Marksans Pharma Limited

November 14, 2025

Page 14 of 16

clear that our sales trends are moving towards optimizing our present infrastructure. So once we see that happening, probably a year before that, we will start investing into CAPEX to make sure that we can take the next leap. So today, as of today, we do have capacity in a Teva plant. We are utilizing only about 30% of our capacity. We do have some capacity, not a great capacity, but we do have some capacity in our old plant. But then if we have to grow from a 4,000 crores to 5,000 crores, then we will need this new infrastructure in place. So when we see ourselves trending towards 4,000 crores, then we will say that it's time to invest to take us to a 5,000 crores. We will not need any new approvals per se, because it's in the same plant. But yes, the infrastructure time taken will probably be six to eight months once we do decide to go down that road.

Nirali Shah: That would be when you are inching upwards of above 4,000.

Mark Saldanha: When we are trending towards that, when we are trending, we are very close to trending towards that.

Nirali Shah: Got it. And the second one is on the EBITDA margin. So we have bounced back to 20% in this quarter. And we have indicated Q3 will be on a similar line as Q2. So on a full year, say, FY '26, can we expect margins to settle at around 19 % to 20% band?

Mark Saldanha: Yes, it's very, very reasonable and fair to assume that. And it may be slightly better, but try to assume that, yes.

Nirali Shah: North of 20%. ?

Mark Saldanha: Yes, North of 20%. But I mean, from a safe point of view, 19 % to 20%, this is very reasonable.

Nirali Shah: Got it. Thank you.

Moderator: Thank you. The next question comes from the line of Sriram, an individual investor. Please go ahead.

Sriram: Thank you for the opportunity. So what is the size of the US private level OTC market? And what is our current market share?

Mark Saldanha: The size would be a couple of billion dollars, because you have the largest player, which is Perrigo, which is probably doing around \$1.8 to \$2 billion in the private label. Then you have PLD which is doing about \$700 million, LNK doing about \$400 million. So we are running amongst the top four players in the US market, but

we are still far away from the leader. So the size will be way above a couple of billion dollars.

Marksans Pharma Limited

November 14, 2025

Page 15 of 16

Sriram: Okay. So considering a large opportunity size in the US, I mean, and with the way our US business is growing, is it reasonable to assume that the US could account for, let's say, 75% of our total business in the next four to five years?

Mark Saldanha: There is a chance, because we are growing rapidly in other markets and we are focusing on other geographies. It is not that you can displace anyone overnight. So it's a process by itself. It's not that you can, these are players, these are manufacturers and companies that have been there even before I created this company. So they have been there for the last 40-45 years. So it's difficult to, in private label, they are what we call the Glaxo, Novartis type of thing, right? So they are pioneers in this industry. So it's difficult to displace them fully, but taking market share, definitely. So from a growth driver point of view, I do see US being one of our largest growth drivers. But that said and done, our focus is there on other geographies and other geographies will also contribute maybe at a slow pace, but it will contribute decently to our overall number.

Sriram: So but the rate of growth, which is historical growth rate for us is about 20% plus. So can we expect that to continue over the next 4-5 years? So in four years, can you double the US business revenue?

Mark Saldanha: Well, if you ask me my frank opinion, I would love to say yes. Geopolitical issues are the ones that make me pause a bit. But otherwise, if you had asked me a year back, I would have said yes. Today, I would say, well, 300 is more realistic. But I mean, our aim is to go beyond that.

Sriram: Okay, and so lastly could you broadly explain the cost difference between us and competitors like Perrigo?

Mark Saldanha: Obviously, they don't get into those details. But we are basically, we have a huge portfolio, they have a huge portfolio. We are a reliable partner for most of the retailers to partner with. Perrigo has its own strengths. We have different strengths. We do leverage low cost manufacturing based out of India. Perrigo are predominantly US manufacturer. So they don't play on that, made in USA part of it. But besides that, I think both have different strengths. And what goes in Perrigo's advantage is they are 50 years of assistance into the US and being pioneered in this industry.

Sriram: And like, could you just put some broad number to that difference? Let's say average cost difference would be 20% or 15%?

Mark Saldanha: No, I can't put those numbers out there.

Sriram: Okay. Thank you so much, sir. All the best.

Mark Saldanha: Thank you.

Moderator: Thank you. The next question comes from the line of Prolin Nandu from Edelweiss Public Alternatives. Please go ahead.

Marksans Pharma Limited

November 14, 2025

Page 16 of 16

Prolin Nandu: Thank you again for giving me the opportunity. See, my question is sometime during last quarter or after the last quarter, we had a thought that maybe the delivery mechanism in US needs to be changed, our capacity we need to expand, we need to think about near showing. All those discussion are no more on the table. As we stand today, obviously, things can change, right? But as we stand today, it's fairly certain that we won't be expanding our capacity in US or thinking about adding new facility in US or anything on your showing. Is that assumption correct?

Mark Saldanha: Nandu, you're right, it's correct. And last six months, this uncertainty has made us pause our outlook and whether we should invest in India or in US based on what the balance will play.

Now with a bit of clarity coming into play, we are back to our original plan of investing more into infrastructure where we are strong and where we have the

bandwidth and capabilities of

leveraging low cost manufacturing base. So we are back on that platform. But we had paused all our plans because we didn't know whether we should invest in India or in the US infrastructure point of view, all depending on the outcome of the tariffs. But nevertheless, that's up the table, you're right. And we are back to what we originally had planned.

Prolin Nandu: Great. Thank you so much. And all the very best.

Mark Saldanha: Thank you.

Moderator: Thank you. That was the last question for today's conference. I would now like to hand the conference over to management for closing comments.

Mark Saldanha: I would like to thank each and one of you all. I know it's late evening. And thank you for the interest and support for the Company. And I wish you have a great evening and be safe. Thank you very much.

Moderator: Thank you. The pending questions would be taken offline. This brings the conference call to an end. On behalf of DAM Capital Advisors, we thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2026

Marksans Pharma Ltd.

11th Floor, "GRANDEUR", Opp. Gundecha Symphony, Veera Desai Extension Road, Oshiwara, Andheri (W), Mumbai - 400 053 Tel.: +91 22 4001 2000

E-mail: companysecretary@marksanspharma.com

www.marksanspharma.com

February 12, 2026

Subject: Transcript of investor(s)/analyst(s) meet – Q3 9M FY26 Unaudited Financial Results

Dear Sir/Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, kindly find enclosed herewith transcript of the investor(s) / analyst(s) meet on Q3 9M FY26 Unaudited Financial Results held on February 06, 2026 at 04:00 pm.

The above information is also available on the website of the Company under the link:
<https://www.marksanspharma.com/earnings-call-transcripts.html>

We request you to take the aforesaid on records.

Thanking you.

Yours faithfully,
For Marksans Pharma Limited

Harshavardhan Panigrahi
Company Secretary

Encl: As above
BSE Limited
Corporate Relation Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.
Scrip Code: 524404 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block -G,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051.
Symbol: MARKSANS

Page 1 of 14

"Marksans Pharma Limited
Q3 FY26 Earnings Conference Call "
February 06, 2026

MANAGEMENT : MR. MARK SALDANHA – FOUNDER , CHAIRMAN AND

MANAGING DIRECTOR
MR. JITENDRA SHARMA – CHIEF FINANCIAL OFFICER

Q3 FY26 Earnings Conference Call
February 06 , 2026

Page 2 of 14

Moderator: Ladies and gentlemen, good day, and welcome to the Marksans Pharma Q3 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. Thank you, and over to you, sir.

Nitin Agarwal: Thank you. Good afternoon, everyone, and a very warm welcome to Marksans Pharma's Q3 FY26 Earnings Call hosted by DAM Capital Advisors Limited. On the call today, we have representing Marksans Pharma management, Mr. Mark Saldanha, Founder, Chairman and Managing Director; and Mr. Jitendra Sharma, Chief Financial Officer. I will hand over the call to the management team to make the opening comments, and then we'll open the floor for questions. Please go ahead, sir.

Mark Saldanha: Thank you, Nitin. Welcome, everyone, and thank you for joining us for our Q3 and 9 M FY26 Earnings Conference Call. We sincerely appreciate your interest and continued support for the company. I'm pleased to report that we have delivered a steady and resilient performance marked by healthy revenue growth, sustained margin expansion and continued progress on our strategic priorities.

For Q3 FY26, operating revenue grew by 10.6% year -on-year and reached INR 754 crores, which is an all -time high for the quarter. The growth was supported by stable execution across geographies, robust order book in U.S. as well as a seasonal uptick during the quarter. The performance is despite a high single -digit price erosion in the Rx product segments. In the U.K., we delivered an improved performance on quarter -on-quarter basis. The business is stabilizing after experiencing pricing pressures in Q1. This recovery is supported by new product launches and a favourable currency movement.

Our product pipeline execution remained strong during the quarter. Our U.K. subsidiary, Relonchem received MHRA market authorization for multiple products, including mefenamic acid tablets and cetirizine oral solutions.

In the U.S., Marksans Pharma Inc. received USFDA approval for amide hydrochloride and enhance our presence in high velocity OTC categories. These approvals are alignment with our strategy of focus and repeat demand therapies, particularly in pain, allergy, GI and cough and cold segments.

Strategically, we are taking measured but decisive steps to expand our global footprint. During the quarter, we incorporated Marksans Europe Limited in Ireland, Marksans Canada Inc. and are exploring further expansions. These will strengthen our platform for the future growth in regulated market.

Q3 FY26 Earnings Conference Call
February 06 , 2026

Page 3 of 14

Despite external volatility and pricing pressures in certain markets, our focus remains deeply rooted in execution. Our priorities are clear, consistent market share gains, strong pipeline and filing and launches, disciplined cost management and prudent capital allocation. We believe that this focused approach positions Marksans Pharma well to deliver substantial growth, healthy margins and long-term shareholder value.

With this, I'd like to hand it over to Jitendra for an update on the financials.

Jitendra Sharma: Thank you, sir. In Q3 of FY26, our operating revenue stood at INR 754.4 crores, an increase of 10.6% on a year-on-year basis compared to INR 681.8 crores in the same quarter last year. Revenue from the U.S. and North American market stood at INR 412.4 crores, an increase of 16.9% on a year-on-year basis.

This was driven by volumes and supported by seasonal demand. U.K. and EU fo

rmulation

recorded revenue of INR 258.2 crores, flat on a year-on-year basis as pricing pressure continued to persist. Australia and New Zealand market revenue stood at INR 61.4 crores, delivering 30.1% growth on a year-on-year basis. The rest of the world revenue stood at INR 22.4 crores. We continue to remain cautious for this market given the macroeconomic challenges.

Gross profit for the quarter grew by 14.3% year-on-year to INR 438.2 crores with a gross margin of 58.1% compared to 56.2% last year. The gross margin expansion of 184 basis points on a year-on-year basis is attributed to softening of raw material prices, a favourable product mix and also from benefits from foreign exchange movements.

We recorded EBITDA of INR 160.7 crores in Q3 of FY26, up 23.2% on year-on-year basis. The EBITDA margin for the quarter stood at 21.3%, an expansion of 217 basis points over Q3 of FY25 and 125 basis points over Q2 of FY26. EBITDA margin expansion was driven by operating leverage and improved cost efficiencies. Profit after tax stood at INR 113.7 crores, an increase of 8.2% on a year-on-year basis. EPS for the quarter was INR 2.5.

Moving to 9 M of FY26 performance. Our operating revenue stood at INR 2,094.8 crores compared to INR 1,914.4 crores in the same period last year, an increase of 9.4% on a year-on-year basis. The U.S. and North American market recorded revenue of INR 1,127.3 crores, up by 24.2% on a year-on-year basis and contributed 53.8% to our total operating revenue. U.K. and EU market revenue stood at INR 707.3 crores, contributing 33.8% to the revenue.

Australia and New Zealand market recorded revenue of INR 179.7 crores. The rest of the world market recorded revenue of INR 80.6 crores. Contribution from these 2 markets stood at 8.6% and 3.8%, respectively. The gross profit stood at INR 1,208.2 crores, up 10.3% on a year-on-year basis with a gross margin of 57.7%, up by 43 basis points compared to last year.

EBITDA for the period was at INR 405.4 crores with the EBITDA margin at 19.4% compared to 21.2% in 9 M of FY25, primarily reflecting the impact of weaker Q1, higher employee expenses and costs associated with scale-up and integration. Although profitability improved meaningfully in Q2 and Q3, profit after tax was at INR 271 crores and EPS for 9 M of FY26 was INR 6.0.

Q3 FY26 Earnings Conference Call
February 06, 2026

Page 4 of 14

In 9M of FY26, cash generated from operations amounted to INR 263.2 crores with the capex during the period being INR 97 crores. Our working capital remained steady at 151 days. We invested INR 62 crores in R&D in 9 M of FY26, which amounts to 3% of our consolidated revenue. We continue to remain debt-free, and the cash balance stood at INR 824.2 crores as of 31st December 2025.

With this, I would like to open the floor for question and answers. Thank you very much.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Nirali Shah from Ashika Stock Services.

Nirali Shah: I had a couple of questions. So firstly, on the U.S. performance, we have benefited on the U.S. due to seasonal demand. Excluding the seasonality, are you also seeing improvement in volumes or customer traction that is supporting the growth beyond.

Mark Saldanha: Yes, we are seeing that. And obviously, some seasonality does help during this normally, the third quarter is always the strongest quarter. So basically, it does help from all parameters. But overall, the product, all other products also, which are not seasonal have also shown a decent growth.

Nirali Shah: Okay. And on the U.K. business, we are seeing some kind of sequential stability also after a lot of pricing pressure. So is this stability sustainable?

Mark Saldanha: Yes, it is sustainable unless something else happens geopolitically. But otherwise, right now, it is sustainable.

Nirali Shah

: Any colour on the entire U.K. business?

Mark Saldanha: We are still very bullish. Obviously, we have done a lot of filings in U.K., and we are receiving approvals every quarter. So that is basically changing our product portfolio in that market. And it does help when there's a price erosion to stabilize that, the pricing pressure that one experiences. So we do see ourselves only growing stronger, and we do see a better quarter than the previous one.

Nirali Shah: Sir, lastly, on the employee cost, we have stepped up over the last few quarters, and that is really driven by the Goa facility and the broader wage changes also. So what should we consider as the new normal for the employee cost?

Mark Saldanha: I think what you're seeing is basically the...

Jitendra Sharma: So, Nirali, there is an impact of INR 2.8 crores due to the new labour code accounting on gratuity and new pay. So, barring that figure, I think everything else will remain like in terms of the overall employee cost.

Moderator: The next question is from the line of Ahmed from Unifi Capital.

Q3 FY26 Earnings Conference Call
February 06, 2026

Ahmed: Firstly, on the U.S. business, can you give some comments how does the order book looks like? And what kind of growth you sort of see coming in the next few quarters? We have done fairly well, I think, in the first 9 months and over the last few years. So how does the near term look like in terms of order bookings and the momentum in the revenue growth?

Mark Saldanha: Yes. Our order book still stands at a very strong \$220 million plus. We are still working towards our objective of going to the next milestone. So we are optimistic on the market dynamics and the U.S. market by itself.

Ahmed: And if I see last year, I think we are commenting around 180, 190. A quarter ago, I think it was similar to 220 sort of a thing. So does that sort of reflect that we should be able to grow at 20% odd in U.S. in the upcoming financial year?

Mark Saldanha: Yes, very close to that, yes. Sure.

Ahmed: And coming to the Teva facility, I mean, we are supposed to launch a lot of new products and different formulations. How is that shaping up in our order book? And how does the utilization look like in the current quarter, which went by? And in terms of outlook, the incremental revenue, does it sort of get captured from Teva facility and hence, we have some operating leverage coming in?

Mark Saldanha: Yes. Operating leverage is very visible because of the Teva facility. We are trending around INR 560 crores to INR 600 crores odd from the Teva facility. Our objective was to hit about INR 800 crores odd. So we are getting there. Obviously, the product mix has to grow. And as and when we get new businesses, it is looking healthier. But it is adding tremendous value on operating leverage per se. So that's very visible on our standalone numbers also.

Ahmed: Sure. And in terms of the new markets, Europe and Canada, I think we have incorporated subsidiaries. We read some comments last quarter. Would you like to provide some sense what sort of progress we have made? And in terms of the sort of contribution coming from those businesses, how far we are as of now?

Mark Saldanha: So obviously, we are quite far out there organic is concerned because we just started operations in Germany. We had first 2 employees join us literally on the 1st of Feb. Ireland, we formed the company. Canada, we formed the company. Market authorizations, I think, are being put in place so that we can start marketing. We need wholesale licenses. We need all these other approvals to basically make us so that we can sell.

So, it will take a couple of months. We are also exploring, as we've always repeated in the last couple of calls, we are exploring M&As in these markets, in various markets out there in Europe. And we are in advanced dialogue to try to

push that across. But yes, I mean, we are

optimistic that we will see tremendous progress in the next 3 to 5 years in Europe, which will contribute decently for the company per se.

Q3 FY26 Earnings Conference Call
February 06, 2026

Ahmed: Sure. That helps. And lastly, in terms of post the sort of deal which happened, obviously, it doesn't affect us in terms of tariffs. But in terms of the environment and the conversation, has there been any change in your conversation with your key customers, be it Walmart and so on? And secondly, would you like to give some sort of a sense as a blended as a whole. This year, we have done very well in U.S. and some of the other markets in U.K. has been sort of flattish. So as a blended as a whole, what sort of growth rate is practical to achieve in next financial year?

Mark Saldanha: Yes. So basically, tariff, it's a very valid question. And you are right, although we were not impacted by tariffs, but there has been a, I think it has basically put an ease to the uncertainty that prevailed in customers or consumers or clients' minds, right? So that is a big plus point that one could take away from this.

The trade deal has cleared the uncertainties and the questions that surrounded the trade war that one saw in the last 6 months out in the U.S. So, it is beneficial for the industry, beneficial for doing business out there. And we have seen that traction happening. The outlook from the client perspective also, they are thrilled that all these uncertainties are put to rest. So definitely, that's a plus for a market like U.S.

From a growth standpoint of view, see, I mean, we are still working towards our objectives. Next milestone is INR 4,000 crores. So we are working towards that. And then once we cross that, then we can talk about the next INR 5,000 crores odd. So we are, we still do believe that we are on track where that is concerned.

Ahmed: And that will be ideally 2 - 2.5 years. Will that be a fair timeline?

Mark Saldanha: Yes. I mean anywhere between 2 to 3 years is what we should hit our first milestone.

Moderator: The next question is from the line of Ishika from Perpetuity Ventures.

Ishika: The cash on the books is around INR 824 crores. Is this just in India? Or is this placed in any subsidiaries in U.S. or U.K. as well?

Jitendra Sharma: So, Ishika, this is spread across our subsidiaries. So broadly, I think almost 50% is in India books and another 40% is in our U.K. books and rest is spread across U.S. and Australia.

Moderator: The next question is from the line of Deepesh Sancheti from Maanya Finance .

Deepesh Sancheti: Congratulations on a good set of numbers. I wanted to understand from you what will be the effect of Trump Rx program, whether it will affect any of our products in the prescription segment?

Mark Saldanha: No, it's not going to affect any of our products. We don't fall in that category. And again, our Rx portfolio is relatively very, very small compared to our overall revenue. So it has no significant impact on us.

Q3 FY26 Earnings Conference Call
February 06 , 2026

Page 7 of 14

Deepesh Sancheti: Going ahead, when we are trying to double our revenues from U.S., will that portfolio be affected?

Mark Saldanha: No. No, no, it won't.

Deepesh Sancheti: Okay. Now you gave a strategic road map about the INR 3,000 crores. I'm sure you'll be able to achieve that in this year. Going ahead, you mentioned in the last con call that INR 5,000 crores by FY30 will be , is a possible figure. Do you still maintain that?

Mark Saldanha: No, I mentioned in the next 2 to 3 years is INR 4,000 crores odd, not INR 5,000 crores. But yes, we, then after that, obviously, we will go to the next milestone, which will be INR 5,000 crores odd. So we are working towards those 2 milestones that we have set ourselves out to.

Deepesh Sancheti: INR 4,000 crores by FY28?

Mark Saldanha: Next 2 to 3 years, yes. FY28 or FY29 .

Deepesh Sancheti: Right. And what is the order book right now?

Mark Saldanha: It's 220 plus.

Deepesh Sancheti: 220 plus . I'm talking about the overall as an order book?

Mark Saldanha: Well, there are different markets, it becomes difficult to know which market and what order book. So normally, we always talk about the order book for the U.S. market because that's where the growth outline is.

Deepesh Sancheti: Right. Because last time you mentioned that it will be around , by FY28, we are expecting \$300 million order book?

Mark Saldanha: That's for the U.S.

Deepesh Sancheti: And the new subsidiaries, which we have in Ireland and Canada, how big is the market which you feel , will it be bigger than the Australian market? I mean, what we are doing in the next 1 or 2 years?

Mark Saldanha: So Europe by itself is a huge market. It is bigger than the U.K. market also because it's a cluster of many countries. It's not one country. So it's a cluster of many countries. Canada is relatively a smaller market, but definitely, it will add value to our business. But I mean, Europe by itself, hopefully, maybe in the next 5 -plus-odd years, it could be a very prominent contributor to the company.

Deepesh Sancheti: So with this EU deal signed, will it affect or it doesn't have any implications on our sales?

Mark Saldanha: No, it does not. It does not.

Deepesh Sancheti: Okay. And going ahead, what capex we are looking to do?

Q3 FY26 Earnings Conference Call
February 06 , 2026

Page 8 of 14

Mark Saldanha: So it's , that's basically , so we normally spend our regular capex of INR 50 crores, INR 60 crores odd just on optimizations and everything of that stuff. But if we are going to look at a new block or a new manufacturing plant, depending on how well our order book shapes up and the demand creeps up and for us to go to another level altogether, then obviously, the capex could be anywhere between INR 150 crores to INR 200 crores odd. But as on today, we have not yet reached that benchmark to trigger that off.

Deepesh Sancheti: Okay. And the UAE acquisition, which we did, I mean, has it fortified, or we have not invested anything else on it?

Mark Saldanha: No, we have not invested much, but we are , we have done a lot of filings out there. So those return , those approvals and returns have to yet come. But it's a standalone profit -making

business, and it's still, the return on investment has already, we've already got the return on investment on what we've initially invested in that company.

Deepesh Sancheti: So, are we looking at any other bigger acquisitions, especially in Europe or something?

Mark Saldanha: Yes, we are. We are looking at Europe actively.

Moderator: The next question is from the line of Aditya Pal from MSA Capital.

Aditya Pal: Good set of numbers. Just wanted to double-check on the U.S. performance. So even though we've grown at good double-digit revenue, but there has been a deceleration of growth. So is this growth a new normal? Or is this just a pause before we come back to our older growth rates?

And more importantly, is this because of a base effect?

Mark Saldanha: No. I think, yes, I think 2025, there was a lot of geopolitical uncertainties that evolved around the U.S., right? So technically, you are looking at the tariff uncertainties, you look at different other angles. So it was a challenging first 6 months, let's put it this way, until dust settled. So we are quite optimistic that it will come back to its normal growth rate. And we are seeing that difference happening once the trade deal has been signed and everything of that stuff. So we are quite optimistic where that is concerned.

Aditya Pal: Perfect. And a sub question to this would be that you said that \$220 million odd of order book. And if I look at INR 400 crores of Q3 revenue, that is INR 1,60

0 crores odd of annualized

revenue run rate, which is roughly \$175 million, \$177 million. So how should we think of the \$220 million in terms of visible on our P&L?

Mark Saldanha: Yes, you'll see it in the next financial year because what, when we talk of the order book, so once you get an award, it takes us about anywhere between 5 to 6 months to commercialize those awards. And that's where there is a bit of a lag that goes on. But I think by the first or second quarter, you should see that trending happening to that.

Aditya Pal: Understood. And on your Europe and Canada operations, so when can we expect revenues to be visible from both these geographies? More importantly, from the European geography because that seems like a much larger pie and it looks like an inflection point for the company?

Q3 FY26 Earnings Conference Call

February 06, 2026

Page 9 of 14

Mark Saldanha: Yes. So Canada, you may see it trickling maybe in the next financial year, it start trickling in because we've done a lot of filings out there. Europe is a bit more complex because it's a cluster of many countries and starting from setup to everything has to be put in place, even getting a wholesale license has to be put in place, especially when you're doing certain greenfield start-ups.

But that said and done, I think Europe will make up for some lost time with some M&As and some platforms that we plan to acquire. So that will help us. But once it crystallizes, I think you'll have a better shape and colour on that.

Aditya Pal: Is there any timeline you would like to share?

Mark Saldanha: I think 2026 will be a turning point where that is concerned. So we are quite hopeful that 2026, we may see a couple of M&As happening out there.

Aditya Pal: Understood. Just a couple of bookkeeping questions. So when I look at your employee benefit expenses, so one thing, does it take into consideration the European and Canadian team that we would have hired because of which this number is looking elevated?

Jitendra Sharma: No, no. See, Canada, we haven't hired anyone as of now. And so we will be doing hiring in this year. And for Germany also, we right now have just 2 employees, and we may have more in coming quarters. So that way, it will increase to the extent of new employees in newer geographies. But so far as our current operations are concerned in EU and in India specifically, we don't see any significant increase in our hirings.

Aditya Pal: The reason that I'm asking this is because if I look at your EBITDA margin, it has come to a good level of 21%, but majority of the pull has come from an increase in gross margins. So I'm just trying to understand that when will our employee benefit expenses streamline and we will come back to our old 13%, 13.5% of revenue.

Jitendra Sharma: I think we should be able to see that number pretty soon, maybe by the second quarter of next financial year. And we don't see any incremental hiring. But of course, the annual increments and like the wage, the minimum wage, again, like are increasing across geographies, everywhere in U.K., in U.S., even in India also.

So, there is a pressure on employee cost for sure. But at least in terms of the headcount, we don't intend to increase it further. And we will basically see some better numbers out there maybe from the second quarter of next year.

Moderator: The next question is from the line of Riddhansh from Unifi AMC.

Riddhansh: Two questions. In the third quarter, especially for U.K. could you call out how much of the proportion was on account of attributable to new launches? How much of the stabilization took

place because of the currency tailwind? And how much came because of the base portfolio recovery actually?

Q3 FY26 Earnings Conference Call
February 06 , 2026

Page 10 of 14

Jitendra Sharma : So, see, new launches have started contributing definitely. And so, as

the currency also have

helped, but again, I don't see that having a significant impact during the quarter. It should keep giving us better numbers in coming quarters. Specifically, new launches, again, taking market share, it will happen gradually. So, we will see incremental revenue coming from new launches on a quarter-on-quarter basis.

But again, nothing significant per se in first quarter. And so far as the foreign exchange is concerned, we definitely have like some better revenue or impact on margins due to foreign exchange, rupee depreciation, it has helped. But again, I think that so far as we take average like in the quarter, and we haven't seen any very major significant improvement on that front as well.

But yes, as...

Riddhansh: Sorry, please continue.

Jitendra Sharma : No. So as we get into the next quarter, I think definitely that the rupee depreciation will help. But let us see, the level should sustain. So if these levels sustain, then definitely, we will have better numbers in coming quarters.

Riddhansh: Understood. So is it a fair assessment that there is recovery in the base portfolio and the price erosion that we had witnessed is bottoming out in the U.K. Is that a fair?

Jitendra Sharma : Yes.

Moderator: The next question is from the line of Hitendra Pradhan from Maximal Capital.

Hitendra Pradhan: So my question is like you guys have called out the prescription products, the price erosion that is happening in both U.S. and U.K. but your gross margin has stayed intact. So what has contributed to your gross margin?

Mark Saldanha: I mean, it does have an impact. Obviously, our portfolio is very small in the U.S. So the impact is slightly lesser. But in U.K., it is much larger. The Rx portfolio is much larger. But the price erosion does have an impact both on the top line as well as the bottom line, but it just depends on which geography we are talking about.

Hitendra Pradhan : And sir, what is our like in the U.K. market, what is your strategy to navigate that? Are we launching...

Mark Saldanha: Yes, new product. Yes, that's what we explained in the first half that new product launches are absorbing some of them. It's too early for it to contribute big time, but it is absorbing some factors out there. And as new products do get approved, it will just get healthier on a quarter-on-quarter basis.

Hitendra Pradhan : Okay, sir. And sir, the milestone or the target that you described earlier, INR 4,000 crores. So that is only for our current portfolio or that is including like EU, Canada and all those as well?

Mark Saldanha: No, it's the current portfolio right now.

Q3 FY26 Earnings Conference Call
February 06 , 2026

Page 11 of 14

Moderator: The next question is from the line of Miten Lathia from Fractal Capital .

Miten Lathia: The employee cost question has been asked a couple of times already, but I just wanted to understand one thing in FY23, we were at 13% of employee cost to revenue. And since then our sales have grown at a healthy clip. While employee cost has moved to almost 15% of revenue, what should we keep in mind that would have led to that sort of an increase?

Jitendra Sharma: See, so far as the new facility at Goa is concerned, we have done maximum hiring and the capacity utilization right now, we are still at around 50%. And that's where like when the capacity utilization goes up, as a percentage, the employee cost will start coming down. So that's what I have said earlier that by second quarter of next year, we will definitely see reduction in terms of the employee cost percentage to sales.

Moderator: The next question is from the line of Mihir from Fident AMC.

Mihir: So I have one question. Your R&D spend seems to have been very elevated this year. So, this year in the first 9 months, you spent more than what you spent in FY25. Almost 3% of your total spends are towards R&D. However, we've

not seen a material escalation in growth. So when do

we see that translating to growth and whether you would expect this 3% R&D percentage to

sales as the new normal?

Mark Saldanha: Yes. The R&D spend has gone because we are doing quite aggressive filings in U.K. We are working on a portfolio for Europe also. So as and when we talk of new geographies, we have to spend on development based on country specifics. But U.K., we are literally filing 4 or 5 products every month.

So it's quite a , we've taken an aggressive approach looking at the dynamics that we are seeing prevailing out there in U.K. But this is again based on our objective of what we expect the U.K. market to perform in the coming years.

Mihir: It is fair to say that this 3% R&D to sales will remain there for at least next year?

Mark Saldanha: Yes. I mean it will probably be between 2.5% to 3%, you can say, for the next year.

Mihir: Got it. And second is, you highlighted a couple of times that you might , you are looking at closing out 2 acquisitions in the European region. Would you also like to quantify the amount because there's a difference between acquiring an acquisition of INR 100 crores versus INR 800 crores, and you have a substantial amount of cash flow. Combined acquisition, what can be the net outgo which you are expecting that will happen in calendar year '26 or FY27?

Mark Saldanha: Again, it just depends on the target company. So, I mean, if you're looking at a company which is, which has a pan -Europe because you know Europe is not a country. It's a cluster of various countries. So having distribution all over Europe is always a challenge. Those companies are much more premium and much more bigger, larger in size that have operations out there. But if you look at cluster of countries, then basically, again, it just depends on what deals we close. It's difficult to give a number right now. But because we are in talks and once we come

Q3 FY26 Earnings Conference Call
February 06 , 2026

Page 12 of 14

closer, we'll have a better understanding as to what amount of money would be spent in M&As out there in Europe. Maybe in the next 3 to 4 months, we'll have a better visibility on that.

Mihir: Got it. And just one bookkeeping question. There seems to be a reclassification of around INR 8 crores from other income to other expenditure in the base quarter. So can you highlight what exactly has happened there?

Jitendra Sharma: Yes, you're right. So basically, it is just a reclassification of the mark -to-market provision on foreign exchange, which we do. So earlier, like it used to go into other income or other expenses. So we have done a bit of reclassification and now we are netting it off in other income itself. So due to that, that impact you are seeing. And yes, it is appearing in the note also in the results. We have specifically shown that number separately in the notes.

Moderator: The next question is from the line of Aditya Pal from MSA Capital Limited.

Aditya Pal : Just wanted to double -click on the previous participant's question on U.K. geography. A couple of quarters back or even last quarter, you had mentioned that the new products that we are introducing in U.K. market have higher gross margins than our current base company margins. So just wanted to understand, so this 58% of gross margin that we have today has come in because of raw material prices softening. But now that we are introducing, launching new higher -margin products, how should we think about gross margins, say, maybe 18 to 24 months thought process and the result in EBITDA?

Mark Saldanha: Yes. So Aditya, this , when everything is going normal, it would have been a much more easier question to answer. However, these better products, obviously, we've just launched a couple of them right now. So it has to take shape , need some time to take shape. But you are right, the

profitability and the margins are much better on the products that we are launching. It is not so much from a value top line point of view. It's more from a bottom line point of view. However, that gets negated if there's a price erosion and volatility at the other portfolio , other part of the portfolio, which is obviously a much more larger part of it, right? So it just depends on how the market dynamics plays out for maybe a quarter or 2 that, yes, the price erosion has stopped and now we see some correction or we see at least some stability on the price erosion happening.

So that we basically then you can define what the new products are actually contributing. But historically, if there is no price erosion or no predictability of price erosion, then obviously, the profitability would have improved substantially.

Aditya Pal : Understood. So my thinking is that there are 2 levers that you are playing with at this moment. One is our new product launches, which have better margins and the other is the operating leverage, which will come in once revenue growth normalizes and the U.S. market sees again, a higher growth rate from here?

Mark Saldanha: Yes.

Q3 FY26 Earnings Conference Call

February 06 , 202 6

Page 13 of 14

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Just on the Canada and the geographies that you're looking to enter now, here the product portfolio is going to be largely OTC driven or this is going to be Rx-driven business like the U.K.?

Jitendra Sharma: So in Canada, it will be more tilted like a similar strategy of the U.S. part of it. So we would have probably 80 -20, 80 OTC, 20 Rx. But in Europe, it will be prima facie 90 Rx and maybe 10 OTC.

Nitin Agarwal: And why would you go in for a primarily Rx strategy for Europe given any drivers for that?

Mark Saldanha: Yes. Nitin, it's just country specific. We have to adapt to, like in Rome, we do as a Roman rule, right? So we have to adapt based on different geographies and different countries. And if you look at certain countries, they are very tender prone, very tender -driven they do not have those retail outlets like how you have in U.K. or U.S.

They don't have chains that you could play that private label game. So they are very insurance driven more on Rx and very fragmented on the OTC front of it. So basically, certain markets do promote, and even in Europe, certain markets are only branded, they're not even generic.

So I guess we have to define it based on country specific. But prima facie, all the big markets that you see, they are more Rx -driven in terms of value drivers than OTC.

Nitin Agarwal: Okay. And secondly, on the R&D, if you can give us some more colour on any specific areas that you're spending, investing more in R&D are focus on R&D going forward?

Mark Saldanha: Well, actually, our increase in spending has happened mainly in the filings or the focused filings of U.K., where we have upped our filings per month and the number of products we are developing basically the products that we are developing in the pipelines that we are developing for the U.K. market, which we plan to leverage a decent amount for the Europe also, taking into consideration that we are looking at Europe from a short term to medium point of view. So we are looking at really focusing on developing a lot of niche and complex molecules for the geography by itself.

Nitin Agarwal: And how are you thinking about portfolio expansion for the U.S.?

Mark Saldanha: U.S. portfolio that goes on continuously. We find about 7 to 8 ANDAs a year. So that continues going on. We do different dosage forms. We are looking at different dosage forms for the U.S. market also, trying to differentiate ourselves.

But I think U.S. is pretty much on track where our strategy is concerned. Like I said, 2025 was a bit of a weird year because

right from April onwards, this geopolitical uncertainties of tariffs came into play. But otherwise, everything else in U.S. is looking okay.

Nitin Agarwal: And if I can take one last one. On the U.S., this whole, there has been anything going around that President Trump has been looking to push more substitution of OTC products. I mean, does

Q3 FY26 Earnings Conference Call

February 06 , 202 6

Page 14 of 14

that in any way influence change your strategy for the U.S. market? Does that change your product development strategy in any form?

Mark Saldanha: It does not actually. He comes up with statements every day. It's difficult to keep a track of what he says, but it does not. So honestly, I don't see any impact on that.

Moderator: The next question is from the line of Meet from Equirus PMS.

Meet: Sir, I just wanted to understand whether there is any seasonality factor present in our U.K. business in Q4. And considering that prices are now stabilizing, can we expect a healthy quarter - on-quarter growth in U.K. business in Q4?

Mark Saldanha: Well, yes, I mean, we are expecting a stabilized performance in Q4, let's put it this way. Seasonality obviously does help. We do have a lot of cough and cold items in U.K., too. So seasonality does help in cough and cold and in pain segments. But that said and done, we are seeing a bit of levelling out in the price erosion part of it.

So I don't know, maybe geopolitically with the trade deal happening in so many countries, I think a bit of stability and markets are opening up, so people are not focusing on a certain market or different geographies. So I think if that happens, predictability will be much better.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Mark Saldanha: I'd like to take this opportunity to thank everyone. I know it's late in the early part of the evening or late for those who are traveling. Please be safe, and thank you once again. Thank you.

Moderator: Thank you. On behalf of DAM Capital Advisors, that concludes this conference. Thank you for

joining us, and you may now disconnect your lines. Thank you.

Note: This document has been edited to improve readability

Contact information:

ir@marksanspharma.com

Registered & Corporate Office:

11th Floor, "GRANDEUR",

Opp. Gundecha Symphony,

Veera Desai Extension Road, Oshiwara,

Andheri (W), Mumbai - 400 053

Corporate Identification No: L24110MH1992PLC066364

Call: Jun 2026

Marksans Pharma Ltd.
11th Floor, "GRANDEUR", Opp. Gundecha Symphony, Veera Desai Extension Road, Oshiwara,
Andheri (W), Mumbai - 400 053 Tel.: +91 22 4001 2000
E-mail: companysecretary@marksanspharma.com
www.marksanspharma.com

June 03 , 2026

Subject: Transcript of investor(s)/analyst(s) meet – Q4 FY26 Audited Financial Results

Dear Sir/Madam,

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, kindly find enclosed herewith transcript of the investor(s) / analyst(s) meet on Q4 FY26 Audited Financial Results held on May 27, 2026 at 04:00 pm.

The above information is also available on the website of the Company under the link:
<https://www.marksanspharma.com/earnings-call-transcripts.html>

We request you to take the aforesaid on records.

Thanking you.

Yours faithfully,
For Marksans Pharma Limited

Harshavardhan Panigrahi
Company Secretary

Encl: As above
BSE Limited
Corporate Relation Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.
Scrip Code: 524404 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, C -1, Block -G,
Bandra -Kurla Complex,
Bandra (East), Mumbai – 400051.
Symbol: MARKSANS

Page 1 of 14

"Marksans Pharma Limited
Q4 FY 26 Earnings Conference Call "
May 27, 2026

MANAGEMENT : MR. MARK SALDANHA – FOUNDER , CHAIRMAN AND

MANAGING DIRECTOR – MARKSANS PHARMA
LIMITED
MR. JITENDRA SHARMA – CHIEF FINANCIAL OFFICER
– MARKSANS PHARMA LIMITED

MODERATOR : MR. NITIN AGARWAL – DAM CAPITAL

Marksans Pharma L imited
May 27, 202 6

Page 2 of 14

Moderator: Ladies and gentlemen, good day and welcome to the Marksans Pharma Limited Q4 FY26 Earnings Conference Call hosted by DAM Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star th en zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital. Thank you and over to you, sir.

Nitin Agarwal: Thank you, Ebin. Hi, good afternoon, good evening, everyone. And a very warm welcome to Marksans Pharma's Q4 F Y26 Post Results Earnings Call hosted by DAM Capital Advisors Limited. On the call today, we have representing Marksans Pharma management are Mr. Mark Saldanha, Founder, Chairman , and Managing Director; and Mr. Jitendra Sharma, Chief Financial Officer.

I will hand over the call to Mark to make the opening comments and we'll open the floor for questions. Please go ahead, sir.

Mark Saldanha: Thank you, Nitin. Welcome, everyone and thank you for joining us for our Q4 and FY26 Earning Conference Call. We sincerely appreciate your interest and continued support for the company.

Over the last several years, we have been consciously building a diversified global health care company with multiple growth drivers across regulated markets. FY26 marks an important milestone in that journey. During the year, we crossed INR3,000 crores in net income for the first time and delivered our highe st ever profitability.

More importantly, we strengthened the quality of business through geographical diversification, portfolio expansion, improved margins , and strong cash generation. We expanded our international footprint through new market entries in Germany, Canada, Ireland, while also strengthening our presence in Australia through our entry into branded prescription generics. Talking about regional growth, starting with North America, this remains our largest and fastest -growing market. Revenue for FY26 reached INR1,533 crores, reflecting a growth of 24% year -on-year. Over the last 4 years, the revenue in this market has increased from INR635 crores to INR1,533 crores, demonstrating the scalability of our operating model and the strength of our customer relationship.

During the year, we launched 112 SKUs and currently have 51 additional products in the pipeline. In U.K., the business saw a clear recovery of trajectory during the second half of the year. While FY26 revenue were marginally impacted by pricing pressure during the early part of the year, however, the Q4 performance was encouraging with revenue reaching an all -time quarterly high of INR308 crores, representing a growth of 12.3% year -on-year.

Marksans Pharma L imited
May 27, 202 6

Page 3 of 14

We currently have 18 product new product approvals, 30 products under review, 24 products awaiting approvals. Our next 4 years, we intend to file over 200 products in the U.K. market, increasing and creating a strong medium -term visibility.

Europe represents the next important phase of our growth strategy. Australia was another important highlight during the year. Our Q4 revenue reached INR123 crores, reflecting a strong growth both sequentially and on a year -on-year basis.

More importantly, through Nova Pharma, we have entered the prescription segment for the first time and launched 11 branded generic products. Having built a deep OTC capabilities over the last 2 decades, this expansion meaningfully increases our addressable opportunities in Australian market and create an additional long -term growth driver for the business.

Coming to profitability. FY26 saw a strong improvement across all key operating metrics. Gross margin improved to 56.7%, whi

le EBITDA margin expanded to 20.4%. The Q4 margin was particularly strong at 22.8%. This improvement was driven by better product mix, operating leverage, softened raw material cost during the second half and continued focus on execution efficiencies across the market.

At the same time, we remain mindful of the near-term external headwinds. We expect obviously some inflationary pressure on raw materials costs during Q1 FY27 due to the ongoing geopolitical and supply chain disruption. Our balance sheet continues to remain a significant strength for the company.

We closed FY26 with a cash and cash equivalent of approximately INR990 crores. This provides us with a substantial flexibility and invest behind future growth opportunities while maintaining disciplined capital allocation approach. In line with our commitment to create a long-term shareholder value, the Board has recommended a final dividend of INR0.90 per equity share, representing a 90% payout on face value for FY26.

Overall, we believe the company is entering the next phase of growth from the position of considerable strength. We will continue to build the diversified global company, expand into new regulated markets, strengthen our product pipeline, improve profitability, and maintain a very robust balance sheet. More importantly, we believe in creating a business that is scalable, resilient, and positioned to deliver sustainable long-term value for all our stakeholders.

With this, I hand it over to Jitendra.

Jitendra Sharma: Thank you, sir. In Q4 of FY26, our operating revenue stood at INR856 crores, an increase of 20.8% year-on-year compared to INR708 crores in the same quarter last year. Revenue from the U.S. and North America markets stood at INR406 crores, an increase of 23.6% on a Y-o-Y basis, reflecting sustained demand momentum and strong execution in the U.S. market.

U.K. and EU formulation business recorded revenue of INR308 crores, an increase of 12.3% year-on-year, marking the highest ever quarterly revenue. Q4 momentum was driven by multiple new product launches and improved order flow. Australia and New Zealand market revenue

Marksans Pharma Limited

May 27, 2026

Page 4 of 14

stood at INR123 crores, delivering 61.3% Y-o-Y growth. The rest of the world's revenue stood at INR19 crores.

Gross profit for the quarter grew by 21.5% year-on-year to INR465 crores with a gross margin of 54.4%, an expansion of 27 bps on a Y-o-Y basis. We recorded EBITDA of INR195 crores in Q4 of FY26, up 54% on a Y-o-Y basis.

EBITDA margin expanded by 491 basis points on a Y-o-Y basis to 22.8%, reflecting strong operating leverage as revenue scaled up and cost control measures. Profit after tax stood at INR149 crores, an increase of 64.3% on a Y-o-Y basis. EPS for the quarter was INR3.3.

Moving to FY26 performance. Our operating revenue stood at INR2,951 crores compared to INR2,623 crores in the same period last year, an increase of 12.5% on a Y-o-Y basis. The U.S. and North America market recorded revenue of INR1,533 crores, up by 24% on a Y-o-Y basis and contributed 52% of our total operating revenue.

U.K. and EU market revenue stood at INR1,015 crores, contributing 34.4% of the revenue.

Australia and New Zealand market recorded revenue of INR303 crores. The rest of the world market recorded revenue of INR99 crores. Contribution from these 2 markets stood at 10.3% and 3.4%, respectively.

The gross profit was at INR1,674 crores, up 13.2% on a Y-o-Y basis. Gross margin expanded 32 basis points on a Y-o-Y and stood at 56.7%. EBITDA for the period was INR601 crores, with the EBITDA margin at 20.4%. Profit after tax was at INR420 crores. EPS for FY26 was INR9.2. In FY26, cash generated from operation amounted to INR458 crores with the capex during the period being INR131 crores, primarily for the new facility and ongoing maintenance capex. With the major capex cycle now complete, free

cash flow generation continues to improve steadily.

We delivered a free cash flow of INR328 crores during the FY26.

Our working capital remained at 138 days. We invested INR89 crores in R&D in FY26, which amounts to 3% of our consolidated revenue. We continue to remain debt free and the cash balance stood at INR990 crores as of 31st March 2026.

With this, I would like to open the floor for question and answers. Thank you very much.

Moderator: Thank you very much. Our first question comes from the line of Ahmed Madha with Unifi Capital. Please go ahead.

Ahmed Madha: Yes. Thanks for the opportunity. Just to understand your comments on the raw material cost inflation, how should one look at the margins coming through? You spoke about the impact in Q1. But I'm assuming there will be some contractual pass-through with a typical lag or something. If you can elaborate a bit, how should one think about the price hikes and gross margins in near term?

Mark Saldanha: Yes. So we are witnessing obviously, raw materials which directly or indirectly have petroleum - related ingredients or intermediates involved in that. So we are seeing a price escalation of over

Marksans Pharma L imited
May 27, 202 6

Page 5 of 14

20% to 30% on these raw materials. That said and done, we are presently having a decent amount of inventory of raw materials. But obviously, our hope is that this war comes to an end as soon as possible.

And it's not only us, it's, I guess, a global wish list, or everyone is hoping for the same thing. But if it does come to an end, then obviously, we see a correction of petroleum -related ingredients or products and prices correcting or softening back to their original levels.

But today, we do see a slightly higher level of raw materials cost and that's where we are not seeing a big impact. But if we do run out of material, then we would have to buy it at a higher cost. And I've mentioned that so that a bit of awareness comes into play out there.

Ahmed Madha: Sure. But on your conversation with your customers, how is that going through? Because it's -- I mean, obviously, everyone is hoping for the things to settle down. But if not, how will be your contracts being renegotiated? And secondly, are you seeing raw material cost inflation in the APIs, paracetamol, ibuprofen, those sort of APIs or the solvent costs, where will you see a major problem?

Mark Saldanha: Yes, I think directly, indirectly, they all have some petroleum -related products, either solvents or something going into them. So technically, the cost, even on commoditized molecules have gone up. I don't see any raw material which has not gone up per se. With regards to renegotiating our contracts with our end customers, that's always an option open.

But because there is no clarity, we would like to wait and watch because if tomorrow, things do correct, the overall market will correct dramatically. And the last thing we need is to press a panic today because we are sitting on inventory of a lot of products. So I think everyone is waiting and watching.

And if you had asked me 30 days back, I would have said the war would probably come to an end sometime back but it is still going on. And every day, it's like tomorrow, right? But I do believe that everyone is hopeful that it will come to an end. And I don't think it benefits anyone, including the U.S. for continuing what's happening today.

Ahmed Madha: Sure. And will it be fair to assume we have inventory through Q1 or Q2 as well?

Mark Saldanha: We have inventory for Q1 to a great extent. Obviously, while we talk of raw material prices going up, we are also helped a bit on the forex part of it. So we do have some cover because, obviously, foreign currencies have gone up. So some leverage is there to absorb that cost rise.

Ahmed Madha: Sure. And on the logistics side, last time when the Red Sea crisis happened, we had 1%, 2% margin impact

?

Mark Saldanha: But now it is still around the same, about 2%. But again, if this keeps dragging, I don't have a crystal ball. But right now, the logistics per se is very prone to price changes depending on circumstances. And if this comes to a stop, it will go back to its historic lows. But right now, it is creeping up, but nothing to be alarmed of.

Marksans Pharma L imited
May 27, 202 6

Page 6 of 14

Ahmed Madha: Sure. The other question was on the Teva unit. How has been the utilization rate in Q4? And any comments on the new product launches in U.S.?

Mark Saldanha: Yes. New product launch is happening every quarter, but it is getting better. And you can see the results are a reflection of our strategy that we did in Teva, the -- our consolidated number itself is a reflection of the decision that we took to get into that facility and invest resources. So obviously, it is playing out very well as per expectation. We still have a potential of maybe 40% to 50% of growth coming from there and we are working towards that.

Ahmed Madha: Sure. Thank you so much. I will come back in queue.

Moderator: Thank you. Our next question is from the line of Maitri Sheth with Choice Institutional Equities. Please go ahead.

Maitri Sheth: Just 2 questions that I have. One is on the revenue guidance. So given the current macro situation, are we still on track to achieve the INR4,000 crores revenue by FY28? And second is on the pipeline. What sort of pipeline launches have we planned in North America and Europe for FY27? That's all.

Mark Saldanha: Yes. So to give some color and guidance, yes, I mean, our target is still there for INR4,000 crores

in the next 2 years. We have come up with our business strategy and our business model. We have come up with a road map to double our revenue in the next 3 to 5 years. So yes, I mean, INR4,000 crores within the next 2 years is very much on the plate right now.

And with regards to pipeline, our pipeline keeps growing because obviously, it's a never-ending pipeline. We keep developing products because that fuels a bit of our growth. That's a part of our growth strategy. So we've got a healthy pipeline, and we do see 2026 - '27 pipeline increasing by, like I mentioned, about 50 -odd products in the U.S.

And in other geographies, it's much larger than what is there in the U.S. So we are keeping in tune based on requirements of the market and finding the niche products into the respective markets so that we can be differentiated at all given times. So we do have a 3 - to 5-year horizon. Obviously, whatever we invest today or file today, you'll see results only in end of '27 or early '28 because it takes about a year or so to get approved.

Maitri Sheth : Okay. Thank you so much.

Moderator: Thank you. Our next question is from the line of Adityapal with MSA. Please go ahead.

Adityapal: Hello. Am I audible?

Mark Saldanha: Yes.

Adityapal: Yes. Thank you so much for the opportunity. Great set of results. Last time you had said that INR3,000 crores would be missed but you completely exceeded the guidance. So congratulations on that. The last part of my question has been answered.

Marksans Pharma L imited

May 27, 2026

Page 7 of 14

But I just wanted to touch upon -- a couple of years back, we had signed a CMO contract with a domestic API manufacturer. And will that come into play to protect us from our gross margins get affected because of the API crisis?

Mark Saldanha: Not to a great extent because what's driving the prices up are the intermediates. It is ultimately the intermediates that are driving the prices up. We are keeping a tap of every intermediate also that goes into API, right, we have more sights on our licenses. So we have that flexibility to play around.

But at any given time, at least on that raw material, we sit on a good 5 to 6 months of inventory at all given time. So we are sitting on invent

ory, which we don't feel may impact us if the war is called off tomorrow.

Adityapal: Understood. Understood. The other part was, you mentioned on the currency impact, which is benefiting. So definitely on the revenue side, yes., But on the raw material side also yuan and other raw materials, which are predominantly denominated in either US D or yuan, they're also strengthening against the INR. So are we facing impact on that?

Because it will be a dual thing, right? Your overall USD or yuan denominated price is also going up and then the currency is also strengthening against INR. So we'll be facing the raw material impact on that as well?

Mark Saldanha: Yes, you are right. Import will get a bit more expensive, but the value chain of getting into finished product and shipping it out is always higher than only the actives. And hence, the overall dollar benefit is much better and it does leverage that increase in raw material price. I mean it does absorb a decent amount of the raw material price.

Adityapal: Understood. Understood. Just last question. I'll merge my 2 questions. So one is when you were answering to the previous participant on passing on prices. So what I largely understand that these are fixed -- the OTC side of business is largely fixed 2 -year contracts until where they don't really invoke a clause and everything comes back to the table because last time when the tariff situation happened, you said that if we invoke the force majeure, then the entire contract is back into the renegotiation table.

And the other thing is on the -- on the decision of passing on the price. The other thing is on the freight. So freights have also -- the prices have close to 2.5 or tripled what we saw during the Red Sea. And the Red Sea impact -- the Red Sea crisis had impacted us. So are we seeing that same -- the quantum of impact the same or a bit lower?

Mark Saldanha: No, it is much lower than the Red Sea. It is very low compared to the Red Sea, if you're taking that as a comparison. Because out here, see, the vessels are free -- are moving freely except for the Strait of Hormuz, right? And those are more oil tankers related and all the stuff. So it is not the containers that are getting clogged up.

Marksans Pharma L imited

May 27, 2026

Page 8 of 14

So I think although the transit time has increased slightly marginally, but vessels are flowing freely from other routes. So the impact on freight barring the fuel and the fuel cost has not gone up to that level due to scarcity of containers or stoppage of shipping line.

Adityapal: Understood. Understood. And on the OTC contracts?

Mark Saldanha: The OTC contracts, see, while it is for a longer duration, you're right on that. But historically, if you look at it, during COVID times, we went through that and we were successful in revising our prices without actually triggering of any force majeure. The problem that we have in this situation right now, if I go to the buyer, everyone expects the war to end tomorrow, at least as for the President of the United States says, like the deal is imminent.

So that's where the lack of clarity to some extent and hopes that it will end tomorrow is something that no one is panicking and no one believes that this will drag on because I don't think anyone can afford it to drag on, no country can afford it to drag on. And everyone is globally impacted by it.

So I believe that there will be some outcome. But obviously, we always expect it to be earlier the better. And that's where we don't want to go for something where tomorrow, the crude comes down or prices come down and then the buyer comes to us and says, okay, let's revise your prices or we have got cheaper cost of goods from somewhere else.

So right now, everyone is waiting and watching. And if it does prolong or if it does go into full blown war, then obviously, we would have to have a different discussion with the

buyers at

that time. But it's possible to go and we look into this because everyone knows this is like a force majeure. It's beyond our control.

Moderator: Our next question is from the line of Rajat G with Fortune.

Rajat G.: Yes. Topnotch results, sir. My query is more with respect to 7 to 8 years long-term. So I think back in Q2, you had mentioned expanding on current land banks to achieve INR9,000 crores to INR10,000 crores capacity. So by which FY should we achieve this roughly \$1 billion capacity? And what should be the approximate cost? Because I'm looking at road map for us to reach a \$1 billion revenue by FY34.

Mark Saldanha: That's a good outlook. But see, I mentioned in the previous call that we have a road map and a business model to double our revenue in the next 3 to 5 years. And we are quite optimistically working towards those objectives. We have different geographies, our focus is into. But in terms of infrastructure, we still have spare capacity.

And as and when we believe it is the time to expand our capacity through land banks or through acquiring new plants, we are already looking out and we're already planning for that stage. So I think we may be a bit early but we are still working on that.

Rajat G.: Okay, sir. And just one more question. With this -- respect to this, do we have any impact because of Trump Rx? Like this Time -Cap Labs, does it have any partnership with Amazon Pharmacy?

Marksans Pharma Limited
May 27, 2026

Page 9 of 14

Mark Saldanha: This Rx is not something new. It's a very old Mark Cuban's Rx. So there's nothing new out there and we are not impacted with this.

Moderator: Our next question comes from the line of Viraj Mahadevia with Moneygrow Asset.

Viraj Mahadevia: Congratulations on a good Q4. Can we take Q4 as a exit run rate for FY27, i.e., could you replicate this level of revenues and profits for the full year?

Mark Saldanha: So, Viraj if you look at our historic trend over the last couple of years, the first quarter is normally where -- always because of seasonalities, right, first quarter is always on the lower side. The second quarter is better than the first quarter. Third quarter is actually a peak and then the fourth quarter, obviously, is stronger but not as strong as the third quarter.

But obviously, this time it's a little bit different but it is historically, that's how it goes. Depending on how long the season, the winter season actually prolongs, so that's where the fourth quarter remains.

But historically, the first quarter -- so we -- I've always stressed in all my calls because of our business model, the way that -- we cannot look at it on a quarter -to-quarter basis. But on a year -to-year basis, we definitely are very optimistic of growth and hitting our objectives.

Viraj Mahadevia: Great. Secondly, sir, can you update on the Teva facility? What is the utilization there? Is it -- has it fully ramped up? Is there still a lot of capacity room? Are you adding more lines?

Mark Saldanha: So we are at very close to 50% of our capacity today, maybe shying away from the 50% but very close to that. We still have a huge scope of utilization out there. So we're optimistic on that. We are planning some capex, but within the facility because it's huge. But that is to launch different dosage forms or something which is not already there in the plant.

So we are working. It's a part and parcel of our pipeline products that may need different dosage

forms to be launched. So for that, obviously, we need to have machinery or capex involved to ensure that we get those products into our pipeline.

Viraj Mahadevia: Understood. And on the INR990 crores of net cash, any plans to deploy it? Any suitable acquisition candidates? I think we've been on the lookout. You publicly said -- for the better part of the last 2 years.

Viraj Mahadevia: And if not, any plans to distribute it to shareholders ?

Ma

rk Saldanha: Yes. So basically, obviously, we have declared dividends. But prima facie, the reason we were -- we are in active dialogue, 2 targets. And as a matter of fact, one target, we are doing due diligence. The other one has not started yet.

So I'm more optimistic that, yes, 2027 will see some M&A transactions happening. And that's where we have kept the corpus because why? When we look at INR990 crores and we feel in terms of absolute rupee value, it is big. But if you look at it from a dollar

Marksans Pharma L imited

May 27, 202 6

Page 10 of 14

Viraj Mahadevia: Acquisition, you lead that much, yes.

Mark Saldanha: Yes. I mean you spend \$50 million, \$60 million and you wonder where the money is gone, you know.

Viraj Mahadevia: Correct. And would these targets be in Europe, U.S., any particular therapy, manufacturing, front -end licenses? Just a little bit of flavor around what these potential targets look like?

Mark Saldanha: So these targets are a mixed basket. Obviously, we are looking at platforms. We are looking at different geographies. So my focus is always to diversify in different geographies. That said and done, if a target does come up, come across in the geography th at we are very strong in, we will obviously explore and take it to another level.

But for us, we've been always very conservative to make sure that whatever we acquire is value, basically return on investment and creates value for the shareholders. So we are very conservative in the valuation. We don't go for some high -ticket deals and throw money at it.

Viraj Mahadevia: Absolutely, fully aware of that. Yes.

Mark Saldanha: But we are looking at it, and we are optimistic that 2027 will see some activity out there.

Moderator: Our next question is from the line of Nishita Shanklesha with Sapphire Capital.

Nishita Shanklesha : I just had 2 questions. One is that you mentioned that our margins could be impacted due to the RM prices, raw material price inflation we see. So like for the full year FY27 , can we -- still the EBITDA margins in the same range of 20%, 21%? Or do we expect them to be lower?

Mark Saldanha: No, I think it will be the same.

Nishita Shanklesha : Okay. And if you can give some guidance on the top-line level, can we see the growth of 18%, 20%? Or is it -- what range can we expect the growth to be in?

Mark Saldanha: I mean conservatively because I always like to be that way but between 15% to 20%.

Moderator: Our next question is from the line of Manav with Funrise Capital.

Manav : Congratulations for a good set of numbers. My first question would be that you've entered the Europe market organically. So do you still plan to look at any possible opportunities for M&A in the region?

Mark Saldanha: Yes. We've organically entered only into Germany. Europe is a cluster of different countries and different zones like you have North Europe, you have the Nordics, you have Eastern Europe. So it's a cluster of many countries and many cultures and many diffe rent -- each country has its own modus of operandi or the sales that happen. So yes, we are exploring, obviously, to expand our footprint and become prominent players in Europe per se, not only in Germany. So we are looking at different coun tries within Europe also.

Marksans Pharma L imited

May 27, 202 6

Page 11 of 14

Manav : Got it. And sir, my second question would be, when will we see some revenue contribution from new markets like Germany, Ireland and Canada?

Mark Saldanha: So Canada, products are in the filing and we should see a small part of it trickle in towards the end of the financial year. But Europe, we are expecting it to be earlier than expected. I mean within this year, we are expecting maybe second half for it to see some results.

Moderator: Our next question comes from the line of Kamal, an Individual Investor.

Kamal : Yes. Thanks, sir, and your team for a great set of

numbers . My simple question is, what is operational capacity available out of 26 billion units as of now?

Mark Saldanha: Are you asking for the capacity -- utilization capacity?

Kamal : Yes. Right now, you have total capacity of 26 billion units. And even though 8 billion for Goa plant for with Teva we might be expandable. So what is right now operational capacity available?

Mark Saldanha: That's slightly below 50% for the Teva plant.

Kamal: No, no. That's not. Let me restate. Out of 26 billion, are we -- we have about 18 billion units per year already available, operational capacity?

Mark Saldanha: About -- yes, different facilities. You're talking of all 3 facilities put together?

Kamal: Yes, yes, yes.

Mark Saldanha: Yes. So we are at 13 billion to 14 billion.

Kamal: Okay, okay.

Mark Saldanha: 50%. You can say, like I said, around 50% to 55%.

Kamal: Okay. And -- or what about the OrbiMed, which strategically get into the company 4 years back and some stake they have sold, what is their plan, either their objective has been achieved or what's -- some color on it, sir?

Mark Saldanha: Well, I can't speak for them. But I think they see the strength of the company and they are quite happy with the progress and the road map that we have in place. So I can't speak beyond that on the outlook , but I'm sure they are happy with our strategy.

Kamal: Okay. R&D spending is 3%. What is the outlook for next 3 to 5 years for R&D expenses ? How much of that ...

Mark Saldanha: We'd like to keep it at that.

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May 27, 202 6

Page 12 of 14

Kamal: Okay keep it at that. It will continue like that. Last question is, do we have any land bank outside Goa? I think few years back, some news are there, in Nagpur, we have some land bank, etc, for new facility or something. Is it right or it is...

Mark Saldanha: Outside Goa presently, we don't have anything.

Kamal: Okay.

Moderator: Our next question is from the line of Ahmed Madha with Unifi Capital.

Ahmed Madha: Two questions. Firstly, on Australia geography, leaving out the seasonality in the cough, cold season, what sort of growth rate can we sustain with all the new launches we have done?

Obviously, Q4 was very strong. But moving forward, what sort of growth rate one can assume?

And what sort of scale ...

Mark Saldanha: Like in the previous calls that I mentioned, we have a business model to see us -- a road map to see us to \$100 million. I think we've reached halfway mark out here. But I'm very optimistic and very confident that within the next 3 years, we should hit the objectives of hitting our first milestone of \$100 million.

Ahmed Madha: Okay. Sure. And in terms of the new geographies, EU markets and Canada, can you give some sense of what progress you have made in the Canada market? You spoke about the European region in the call earlier .

Mark Saldanha: The Canadian market, a lot of products are under filing right now. We see approvals trickling in somewhere towards the latter part of this financial year. And parallelly, we are creating -- it will be an organic setup but we are creating an organic setup of the operations but we still have time to create that because product approvals are not there.

So we don't want to set up to be sitting idle out there. But we do see revenue generation. One has to understand that Canada is relatively a smaller market than any of our countries, any of the geographies we are into. But it's a part of our strategy of expanding our footprints into different geographies and that's where Canada comes into play.

Moderator: Our next question comes from the line of Mihir Damania with Fident Asset Management Company.

Mihir Damania: Yes. Just one question from my side. Considering that we have a decent roadway for growth in Australia and New Zealand of around AUD100 million or so. My understanding is that we still currently only hold

around 60% in the entity, the Australia, New Zealand entity. And considering you also added INR1,000 crores cash in the books, why not just buy the outright 40% or is there some constraints in that?

Mark Saldanha: Well, the management is running that, right? So the other 40% is working hard and growing the company and helping us achieve our objectives. So we are happy with that.

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May 27, 202 6

Mihir Damania: Do we not have like a call option or any decisions of just increasing the stake, monetizing some of it?

Mark Saldanha: No, we don't have that. And again, I do believe we can grow a lot as partners, than individually. So the management is very capable of basically driving growth moving forward. So I think so far, we are happy with what we see.

Mihir Damania: Okay. And while currently, let's say, sitting right now closer to INR3,000 crores odd, we've done a very good job of scaling this company into a U.S. and a developed market generic company. But if you look at after a particular scale, a lot of other companies are moving into -- some are moving into CDMO, some are moving into biologics, but we are still currently still focusing on oral solids, painkillers, like generic products.

Do you see any merits in diversifying maybe 3 to 5 years down the line into other adjacency?

Or do you think there's still runway for growth at least for the next 3 to 5 years before you kind of pivot to something different?

Mark Saldanha: So every geography, every country we operate different. So we don't have a thumb rule. If you look at our portfolio in U.K., it is more tilted into Rx than into OTC and our revenue is much more split. But every country that we operate, we basically have a very diversified and balanced portfolio. So as time goes by, we will basically cover every stone.

I mean, we ensure no stone is left unturned. But I do believe INR3,000 crores is just a tip of the iceberg and we have a lot of potential of growth based on our strategy that we are executing as on today. So we've achieved a great milestone, but we've still got a long way to go.

Moderator: Our next question comes from the line of Jugal Shah, an Individual Investor.

Jugal Shah: Congratulations on the great set of numbers. I've been an investor for the last 5 to 7 years. So last couple of quarters were challenging. So good to see this quarter and especially the dividend which you have provided, which is, again, very welcome.

I have 2 questions. One, Mark, is on the working capital cycle. I do see that increasing year-over-year. So just wanted to have an understanding like what is the comfort level? And do we see it going down?

Mark Saldanha: So Jugal, basically, last year, we were hit with the uncertainties of tariffs. If you look at the whole of the past year, there was a huge amount of uncertainties and it went on. There was a lot of chaos prevailing. So it was a conscious decision for us to ensure before our products -- nobody knew what will happen tomorrow, so before our products get into any tariff zone, we decided to go heavy on inventory, both finished product as well as raw materials.

So I mean, it was better safe than sorry and our Board and everyone, we discussed and we decided let's just secure ourselves as much as we could produce or whatever material we could keep on store.

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May 27, 2026

Now if you look at it retrospect, this year, we have different challenges and that's related to fuel. But it is helping us in terms of what we did last year. So we have -- we are not panicking that the prices are going up because we are sitting on whatever we built last year. So we are depleting some of that inventory that we built. But again ideal case scenario, we would love to go a bit lighter.

But geopolitically, we don't know what comes next. So we have to just keep a track of that and be one step

ahead if possible. I'm least concerned about the working cycle today because we are -- it is basically helping us out in what we are doing today.

Jugal Shah: Okay, good to know. Thanks, Mark. The last question which I have Mark is, from now onwards to the next 2 to 3 years, whatever guidance you have given, where would you see the highest amount of revenue in terms of percentage, if you could just give a broader idea in terms of a price, like U.S., EU, Australia, New Zealand?

Mark Saldanha: So I do see -- eventually, if you look at 3 to 5 years, obviously, U.S. will be a growth driver always. But at the same time, I would put a lot of stress -- I would put a lot of weightage on Europe. Our U.K. is also growing nicely.

And obviously, I've already given a guidance for Australia. So I'm quite confident on Australia part of it. So all our geographies will grow, but the new geographies that come into play will be Europe, and then we're working hard to ensure that would be within one of our allied subsidiaries, which are doing decent milestones out there.

Jugal Shah: Is it safe to assume the pricing power would be higher in U.S. compared to other geographies?

Mark Saldanha: Pricing power?

Jugal Shah: I mean, sorry, in terms of margin. My bad, in terms of margin.

Mark Saldanha: In terms of margin, obviously, U.S. is very competitive. So it's a huge market. So a lot of pricing pressure comes out there. But I do believe Europe is relatively better. And then again, U.K. is also doing fantastically well depending on the product basket mix that we offer. So it's quite evenly distributed from all angles.

Moderator: Thank you. We have no further questions, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Mark Saldanha: Thank you, everyone, for the continued support and interest. And please be safe and take care and have a great evening. Thank you.

Jitendra Sharma: Thank you.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.